



Building

New Paths



ARPICO INSURANCE PLC
Annual Report 2024



Building New Paths

Arpico Insurance PLC has continuously served our diverse stakeholders with respect, compassion and with utmost dedication. As we turn the page on a significant year in our storied legacy, we focus on building new paths ahead with practical, innovative solutions at the helm, and with untiring determination towards ensuring a bright future for every customer and stakeholder.

We understand that true success isn't awarded, but is achieved by dedication, strategic intervention and creativity. As an entity that is part of a well-established conglomerate, we are determined to grow with confidence in the years to come with stability, strategy and resourcefulness, and to forge ahead with renewed commitment to insurance excellence.

In the year in review, we have laid the foundation, made the plans and set the stage for prosperity. With our advanced technology brilliantly complementing our actions, and with the untiring support of our multi-talented workforce fuelling our drive, we are building not one, but many paths towards a prosperous future.

As we fulfil promises of security and safety to our customers, we remain focused on building new paths towards stable success.



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your smart device to view
this report online

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ABOUT THE REPORT



This report reflects our unwavering commitment to transparency, accountability, and sustainable growth - offering stakeholders a comprehensive view of our performance, strategy, and impact during a year of transformation, resilience, and forward-looking purpose.

REPORT PROFILE

This Integrated Annual Report provides a comprehensive overview of the financial and non-financial performance of Arpico Insurance PLC, highlighting the Company's strategic progress while addressing stakeholder expectations.

Being the 4th Integrated Report published by the Company, the current

report builds on previous publications, including the most recent one for FY 2023, all of which are available for viewing and download on the corporate website -



<https://www.arpicoinsurance.com/>



SCOPE AND BOUNDARY

This report covers the period from 01st January 2024 to 31st December 2024, which coincides with the Company's financial reporting period.

GOVERNANCE STRUCTURE

RISKS | OPPORTUNITIES | GOVERNANCE

Financial and Statutory Reporting Boundary

STRATEGIC PILLARS



Shared Prosperity Through Portfolio Growth



Customer Centricity



Inclusive Business Models



Inspired Teams



Preserving and Regenerating Nature

CAPITALS



Financial Capital



Manufactured Capital



Human Capital



Intellectual Capital



Social & Relationship Capital



Natural Capital

STAKEHOLDERS



Shareholders



Employees



Customers



Suppliers



Business Partners



Communities



Government

REPORTING FRAMEWORKS.

Financial Reporting	Governance and Risk Reporting	Integrated Reporting (V)	Sustainability Reporting (V)
- Sri Lanka Accounting Standards issued by the Institute of Chartered Accountants of Sri Lanka (M) - The Companies Act No. 7 of 2007 (M) - CSE Listing Rules (M)	- The Code of Best Practice on Corporate Governance issued jointly by the Institute of Chartered Accountants of Sri Lanka (V) - The new Corporate Governance rules issued by the CSE for listed entities (M) - Insurance Regulatory Commission of Sri Lanka rules and regulations (M)	Integrated Reporting Framework <IR> by the International Integrated Reporting Council (V)	- Global Reporting Initiative (GRI) Standards "In Reference" (V) - United Nations Sustainable Development Goals (V) - IFRS S 1 and S 2 (V)
M - Mandatory V - Voluntary Adoption			

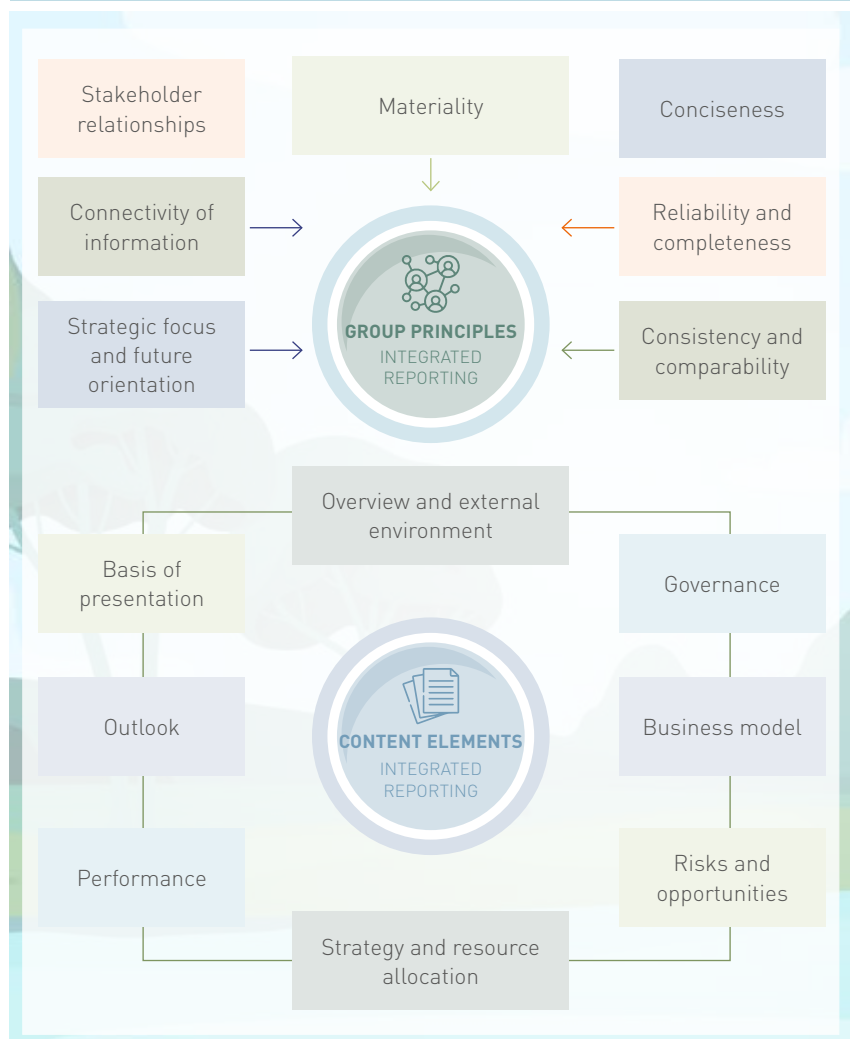
INTEGRATED REPORTING PROCESS

Arpico Insurance PLC's integrated reporting process combines financial and non-financial information to provide a comprehensive view of the Company's performance and strategic direction. The process involves collaboration across various departments, including operations, finance, sustainability, risk management, and governance teams to develop a holistic analysis of financial performance and ESG factors. Regular feedback loops help refine the process, with the final report structured to highlight long-term value creation, transparency, and accountability in alignment with regulatory standards and best practices.

MATERIALITY

Arpico Insurance PLC's integrated report is guided by the principle of materiality, wherein only the most relevant and significant information is considered. This approach aims to prioritise disclosures related to the Company's business model, strategy, risks, opportunities, and societal and environmental impact to enable stakeholders to make informed decisions regarding the Company's performance and prospects.

KEY COMPONENTS OF OUR DR INFRASTRUCTURE



ABOUT THE REPORT

SIX CAPITALS

The six capitals framework demonstrates value creation with each capital reflecting how different aspects of Arpico Insurance PLC's operations contribute towards creating and preserving value over time. By integrating these elements into its reporting, the Company aims to provide a holistic view of how resources are mobilised to achieve strategic objectives while minimising societal and environmental impacts.

ASSURANCE

The Company has adopted a combined assurance approach to validate the content of its integrated report. The assurance process involves close collaboration among internal teams to review both financial and non-financial data, underscoring the commitment to reliability and timeliness of information.

To uphold transparency, accuracy and completeness, the financial statement for the period ending 31st December 2024 has been independently verified by the Company's external auditors, Ernst and Young. Their report available on pages 172 and 174.

FORWARD-LOOKING STATEMENTS

This Integrated Report includes forward-looking statements that represent Arpico Insurance PLC's current expectations, and projections regarding future events and financial performance. These statements are based on assumptions and available information at the time of reporting.

However, given that the Company operates in the highly competitive and rapidly evolving insurance sector, future performance may differ from current forecasts. Readers are therefore advised to exercise caution and avoid placing undue reliance on these statements, as they involve risks and uncertainties that could lead to outcomes differing materially from expectations.

Disclaimer: Arpico Insurance PLC undertakes no obligation to update these forward-looking statements, whether as a result of new information, future events, or otherwise.

There are no restatements pertaining to previous annual reports published by the Company.

BOARD RESPONSIBILITY STATEMENT

The Board of Directors of Arpico Insurance PLC acknowledges its fundamental responsibility for upholding the integrity of the integrated report, by ensuring that it accurately reflects the Company's performance and prospects in alignment with the Company's strategic objectives.

Accordingly, the Board confirms that the integrated report for FY 2024 provides a balanced and transparent view of the Company's financial and non-financial performance.



Chairman



Chairman of the Audit Committee



Financial Controller

FEEDBACK

Recognising the importance of stakeholder insights in enhancing the quality of the Company's reporting suite, the Board welcomes feedback on its integrated report and requests that all such feedback should be directed to:

S. H. Dulanjith Kaweesha
Financial Controller

No. 55/20,
Vauxhall Lane,
Colombo 02.
E-mail: dulanjith.k@arpicoinsurance.com



AWARDS

Excellence is not an act, but a habit
- our awards are a reflection of our
unwavering commitment to quality,
innovation, and trust



ABOUT ARPICO INSURANCE PLC



More than a life insurer, we are a legacy of strength and trust. With deep local roots and forward-thinking innovation, Arpico Insurance PLC is redefining protection, inspiring confidence, and securing futures - empowering every Sri Lankan to live boldly, backed by the stability of Richard Pieris & Company PLC.



Redefining Protection. Inspiring Confidence. Securing Futures.

At Arpico Insurance PLC, we are more than just an insurance company - we are a pillar of strength, a beacon of trust, and a force of innovation in Sri Lanka's life insurance industry. As a proud subsidiary of Richard Pieris & Company PLC, one of Sri Lanka's most respected conglomerates, we bring a legacy of over 90 years of excellence, financial stability, and customer commitment.

Founded in 2011, we embarked on a journey to revolutionise life insurance with unparalleled service excellence, innovation, and customer-centric solutions. Our rapid growth and unwavering commitment to transparency led us to be listed on the Colombo Stock Exchange (CSE) in 2015, reinforcing our dedication to governance, accountability, and long-term sustainability.



OUR VISION

To be the most trusted and innovative solutions provider for life insurance needs.

OUR MISSION

Provide unparalleled services to clients through team spirit nourished by passion and developing innovative life insurance solutions, technical expertise, value additions, and unique service capability.

OUR CORE VALUES THE FOUNDATION OF OUR SUCCESS

At the heart of Arpico Insurance PLC lies a set of core values that define who we are and how we operate:

A FUTURE BUILT ON STRENGTH, INNOVATION, AND UNWAVERING COMMITMENT

With a strong foundation, innovative mindset, and the unwavering trust of our customers, Arpico Insurance PLC is reshaping the future of life insurance in Sri Lanka. Backed by the strength of Richard Pieris & Company PLC, we are committed to delivering value-driven, future-focused, and customer-centric solutions - empowering individuals and families to live with confidence and peace of mind.



Customer First

We put our policyholders at the center of everything we do, ensuring that their needs drive our innovations and services.



Integrity & Trust

We believe in absolute transparency, ethical business practices, and a commitment to doing what's right.



Innovation & Excellence

We challenge the status quo, leveraging technology and expertise to create game-changing insurance solutions.



Sustainability & Responsibility

As a responsible corporate citizen, we contribute to a sustainable future through ethical operations, environmental consciousness, and social responsibility.



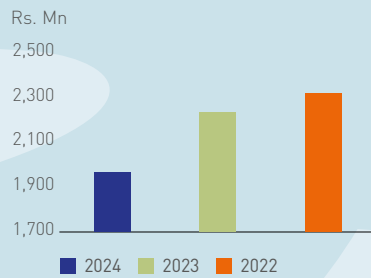
Employee Empowerment

Our people are our strength. We cultivate a culture of growth, collaboration, and continuous learning to deliver exceptional service.

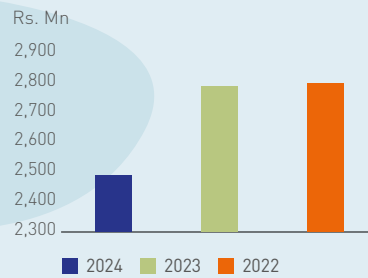
PERFORMANCE HIGHLIGHTS

	2024 (000)	2023 (000)	Change (000)
Profitability / Return			
Profit before tax	144,891	(683,832)	828,723
Income Tax	90,000	-	90,000
Profit/(Loss) after Tax	234,891	(683,832)	918,723
Gross Written Premium	1,968,763	2,236,605	(267,842)
Net Premium Earned	1,881,275	2,141,063	(259,789)
Operating Profit/(Loss)	369,801	(503,690)	873,491
Gross Profit Margin	19%	-23%	41%
EBITDA	337,466	(509,204)	846,669
Net Profit Margin	12%	-31%	43%
Return on Assets	5%	-14%	19%
Return on Equity	13%	-48%	61%
Market Performance			-
Market price per share	26.5	22.5	4
Earning per share	3.55	-10	13.55
Financial Position			-
Total Assets	5,009,848	4,815,675	194,173
Insurance Contract Liability	2,715,710	2,885,864	(170,153)
Total Debt	3,168,770	3,405,199	(236,428)
Total Equity	1,841,078	1,410,477	430,601
Efficiency Ratios			-
Asset turnover	39%	46%	-7%
Gearing Ratios			-
Debt/Total assets	63%	71%	-7%
Debt / Equity	1.7	2.41	-0.69
Industry Specific Ratios			-
Capital Adequacy	258%	345%	-87%
Reinsurance expense	4%	4%	-
Acquisition cost to GWP	27%	28%	-1%
Operational Highlights			-
Number of employees	379	406	(27)
Total employee benefits	355,063	419,220	(64,157)
Employee benefits per employee	937	1,033	(96)
Net Profit/(Loss) per employee	620	(1,684)	2,304

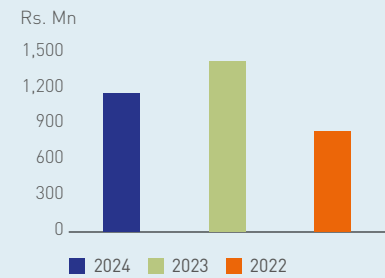
Gross Written Premium



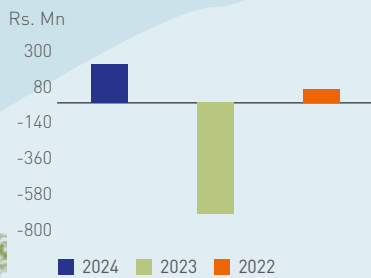
Net Revenue



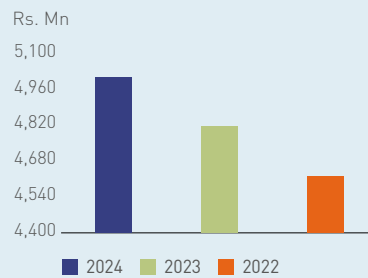
Net Insurance Benefits and Claims



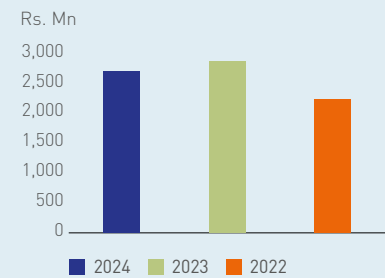
Profit/(Loss) after tax



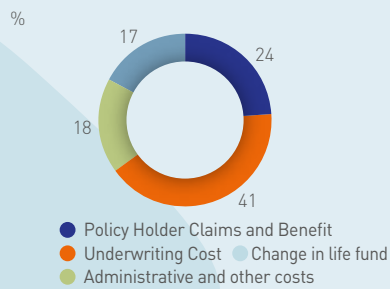
Total Assets



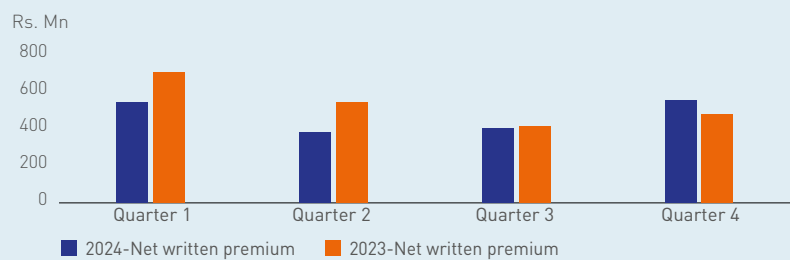
Insurance Contract Liability



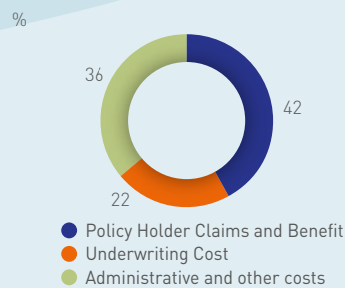
2024-Income Utilization



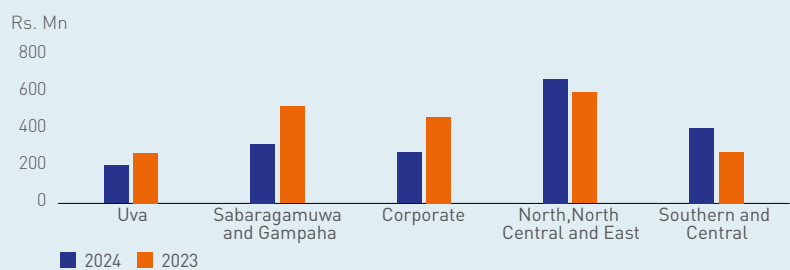
Net Written Premium (Segment)



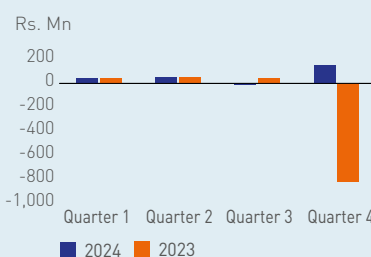
2024 - Expense Composition



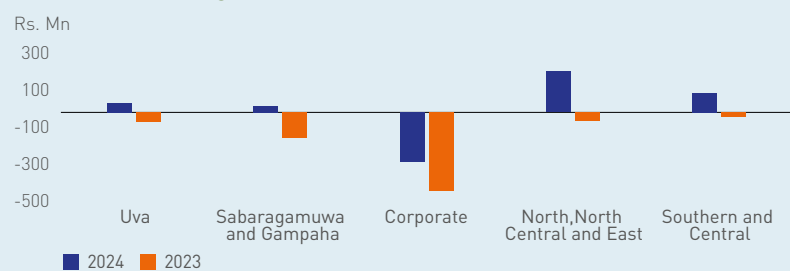
Net Written Premium (Segment)



Net Profit



Profit Before Tax (Segment)



JOURNEY AND MILESTONES

2011

- Arpico Insurance Limited incorporated as a public limited company
- Recognised by IRCSL and granted the license to provide life insurance

2013

- New head office moved to Vauxhall Lane - to accommodate growth

2012

- Operations launched at Hyde Park Corner office
- Achieved LKR 100 Mn GWP in our first year of operations

2014

- IPO declared, opening shares to the public
- First life insurer to record a profit in third operational year

2024

- Obtained the training partnership for Corporate and Strategic Level of CA Sri Lanka

2023

- CA Sri Lanka TAGS Awards Bronze award for Gross Premium up to 10 Bn category
- Indian Chamber of Commerce awards for Best strategies for insurance spreading Sri Lanka

2022

- Won the award for Best Risk Management Strategy of the Year 2021
- CA Sri Lanka TAGS Awards Bronze award for Gross Premium up to 10Bn category
- Certificate of Appreciation for Outstanding Performance in the Life Insurance Industry of Sri Lanka

2015

- Commenced trading on the CSE (Diri Savi Board)
- Retail footprint expanded to 24 branches

2017

- Recognised as the fastest growing life insurer in Sri Lanka by the Global Banking and Finance Review

2018

- Became the fastest growing life insurer for the second successive year and adjudged most successful life insurer in Sri Lanka by the Global Brand Magazine - UK

2016

- Profit of Rs. 107 Mn achieved

2019

- Honoured with a special award from the Indian Chamber of Commerce for our risk management strategy of 2019
- Recognised as the most trusted life insurance brand in Sri Lanka 2019 by the Global Brands Magazine - UK

2021

- Completing 10 vibrant years in the industry
- New healthcare Product introduced
- Added new sector to the distribution channel

2020

- Awarded as the Best life insurance company for innovation in Sri Lanka by the Global Banking and Finance Review
- 24 employees qualified for MDRT and two as Court of the Table members

CHAIRMAN'S MESSAGE



2024 marked a transformative chapter for Arpico Insurance PLC - emerging stronger, more agile, and deeply committed to customer-centric innovation. Turning a loss of Rs. 683 Mn into a profit of Rs. 235 Mn stands as a testament to our resilience, strategic clarity, and collective perseverance.



It is with great pride that I present the Annual Report and Financial Statements for Arpico Insurance PLC for the year ending 31st December 2024. The past twelve months have been a period of significant transformation to the Company, and I am pleased to claim that we have emerged as a stronger, more resilient, organisation, geared to catalyse new opportunities to reach ever greater heights in the coming years.

INDUSTRY PERFORMANCE AND GROWTH

The local life insurance industry reported a strong performance in 2024 growing by an impressive 20% year-on-year. The life insurance segment, and in particular the medical insurance vertical, demonstrated robust expansion as economic recovery bolstered policy adoption across the country. It is also very encouraging to



see increased awareness influencing more individuals to take up life insurance, marking a notable shift in consumer behaviour.

STRATEGIC REVAMP AND BUSINESS REALIGNMENT

For us at Arpico Insurance, the year 2024 was one of deep introspection that prompted a 360-degree evaluation of our operational processes, organisational structures, product offerings, and distribution channels. Our intention with this strategic overhaul was essentially to strengthen our core capabilities, embrace digital transformation, and refine our distribution strategies to reposition the Company as a more agile and customer-centric organisation, thereby laying a strong foundation to accelerate growth, drive innovation, and better serve the evolving needs of our policyholders now and in the future.

I am truly delighted to witness our efforts bearing fruit within the current year itself. After navigating unprecedented challenges for three consecutive years, we successfully turned the tide, transforming a loss of Rs. 683 Mn in the previous year into a remarkable profit of Rs. 235 Mn in Financial Year 2024. This phenomenal achievement reaffirms my belief that no challenge is insurmountable when approached with conviction and purpose. That said, I readily acknowledge that this accomplishment is a culmination of the vision and dedication of our executive team as well as the perseverance of the entire Arpico team employees.

STRENGTHENING COMPLIANCE AND GOVERNANCE

Operating in an industry built on trust and financial security, our commitment to regulatory compliance goes beyond mere obligation and stands as a testament to our dedication to protecting policyholders, creating value for investors, and upholding the integrity of the country's financial system.

In fact, we view compliance as a fundamental pillar of our corporate culture that drives every aspect of our

business to operate with transparency, accountability, and adherence to the highest standards set by the regulatory bodies governing our operations - the Insurance Regulatory Commission of Sri Lanka (IRCSL), the Securities Exchange Commission (SEC), the Colombo Stock Exchange (CSE) and the Central Bank of Sri Lanka (CBSL).

Given the increasing frequency and complexity of regulatory changes in recent times, we appointed a dedicated Risk and Compliance Manager in the current financial year to oversee adherence to IRCSL directives, and efforts are underway with a dedicated team lead by the Chairman of the Board Audit Committee for the diligent adoption of IFRS 17. Keeping in mind the go-live deadline of January 1, 2026, we have made good progress in establishing the technical frameworks and proceeded to select a software vendor to support the system roll out.

With the supervision of the Risk and Compliance Manager, we also

strengthened our compliance mechanisms concerning the Personal Data Protection Act (PDPA), Anti-Money Laundering (AML) regulations, as well as Financial Intelligence Unit (FIU) reporting requirements.

Likewise, we made remarkable headway in our efforts to prepare for the adoption of the SLFRS S1 & S2 standards relating to sustainability and climate related disclosures. The Board engaged in extensive discussions to deepen its understanding of global climate change trends, their potential implications for Sri Lanka, and the specific climate-related risks and opportunities for Arpico Insurance in order to establish long-term emissions reduction goals. The Board in close collaboration with the executive leadership also began formulating pathways for sustainable operational practices, incorporating cost projections and key assumptions. To ensure a smooth transition, a series of training and capacity-building initiatives were rolled out to equip our teams with the



INDUSTRY GROWTH

20%



PROFIT GROWTH

134%



EARNINGS PER SHARE

Rs.3.55



CHAIRMAN'S MESSAGE



Empowering future professionals through knowledge, Arpico Insurance is proud to be recognised as a Corporate and Strategic Level Training Partner by the Institute of Chartered Accountants of Sri Lanka - a testament to our commitment to excellence.

necessary expertise to meet these new standards as they come into effect in 2026.

THE ROAD AHEAD

The future for Arpico Insurance PLC is bright, with immense growth potential in Sri Lanka's evolving insurance market. Having reinvented ourselves and in doing so, delivered exceptional results, I am convinced the only way from this point is onward and upward.

I believe one of the most compelling opportunities for Arpico Insurance in the coming years, lies in Sri Lanka's low insurance penetration rate, which currently stands at just 2%, significantly below the regional average of 6%. This gap represents a vast, untapped market, and we are determined to seize the change to bridge it. With strong support from the state and industry stakeholders, we will strive to increase insurance adoption and enhance financial security for individuals and families across the country. Drawing insights from markets such as India, where insurance penetration has seen remarkable growth in recent years, Arpico Insurance will focus on raising awareness and developing financial

instruments that are accessible, affordable, and relevant to diverse customer segments.

Our priority will be to expand our medical insurance portfolio to cater to the evolving healthcare needs of the population. As medical expenses continue to rise, comprehensive health insurance coverage is becoming increasingly essential, and we are committed to ensuring better financial protection against medical emergencies. At the same time, we aim to enhance accessibility to savings and protection products, empowering individuals with financial solutions that safeguard their future.

Strengthening our distribution network will be critical in achieving our growth ambitions. Our dynamic agency force remains at the heart of our operations, and we will continue to empower them with the tools, training, and resources needed to extend our reach and better serve our customers. In parallel, we plan to accelerate technology integration to drive innovation, enhance operational efficiency, and improve customer experience. At the same time, we will seek to capitalise on the rich legacy and trust of the Arpico brand

built over 92 years, to strengthen our market presence and enhance our product development capabilities.

Our direction is clear: to set new industry benchmarks, drive innovation, and position Arpico Insurance as a dominant force capable of reshaping the future of insurance in Sri Lanka.

The Arpico Insurance Board of Directors composed of highly experienced, "hands on" professionals with expertise in finance, IT, marketing and insurance will continue to guide the destinies of your Company. I am confident that the collective knowledge and experience of the Board members, as well as the continuous engagement with the Executive will steer Arpico Insurance toward sustained growth and innovative industry leadership.

ACKNOWLEDGEMENTS

The year in review ushered in changes on the Board of Directors of your Company, with visionaries and leaders with a proven track record of excellence with wide experience in their respective fields joining the Board. It is in the spirit of committed sustainable progress that I welcome my colleagues Messrs. Yudhistran Kanakasabai and

Rohan Muttiah to the Board of Directors of the Company.

I take this opportunity to record with gratitude the services rendered through the formative and difficult years by Mrs. Lasini Serasinghe and Mrs. Dilukshika Fernando who resigned from the Board. I wish them the very best in their future endeavours.

I extend my sincere appreciation to the Board of Directors for their visionary leadership that has made Arpico Insurance PLC what it is today-a resilient force to be watched, within the Insurance Industry.

I would like to take this opportunity to extend my deepest gratitude to our employees, especially those in the Field, as well as our Technical, Actuarial and Support staff, whose dedication and perseverance have been instrumental to our success. Their unwavering commitment and selfless loyalty led by our very capable Executive Director/ CEO Dr. Kelum Senanayake, through his mentorship has been the driving force behind our growth, and we remain committed to creating fulfilling careers for each and every one of them.

The continuous support and guidance of Mr. Shiron Gooneratne who through the Richard Pieris Group ensures that we stay on track in terms of our progress. His contribution is vital and is viewed with much gratitude in ensuring strategic alignment with the plans we set for ourselves and those of the Group.

There is always an invisible force that sets the trend and accent for the Organisation and supports the philosophy of what your Company stands for. I record my sincere thanks to our Group Chairman Dr. Sena Yaddhegige, who patiently watches over our progress with much forbearance and understanding, as a true entrepreneur, academic and National business leader. We collectively value his encouragement and counsel.

The Board joins me in thanking our policyholders who form the backbone of our growth, business partners and other stakeholders for their trust and support. As we forge ahead, we invite you to stay on this journey of success, for we are confident that together, we will continue to thrive, grow and create lasting value to all concerned.



Ramal. G. Jasinghe
Chairman

11th April 2025

CHIEF EXECUTIVE OFFICER'S REVIEW



2024 was a year of bold decisions and decisive action to transform Arpico Insurance into a stronger, more resilient organisation. We shifted focus toward quality-driven individual life and health insurance, achieving a 4% increase in our customer base. A remarkable turnaround saw NPBT reach Rs. 145 Mn, recovering from a Rs. 683 Mn loss in 2023. Digitalisation efforts enhanced efficiency, cost containment, and customer experience.



If I were asked to summarise the year 2024, I would describe it as a year of bold decisions and decisive action to transform Arpico Insurance PLC into a stronger, more resilient and fit-for-purpose organisation.

SRI LANKA REGAINS GROWTH MOMENTUM

Following the massive economic downturn of 2022, Sri Lanka was in the midst of recovery, GDP growth was

recorded at 5%, supported by stable exchange rates and controlled inflation at 2%. Foreign reserves also improved, reaching USD 6.1 Bn by the end of 2024.

However, this period was not without its difficulties. The much-anticipated presidential and parliamentary elections brought a level of political uncertainty, exacerbated by ongoing economic policy ambiguities and the domestic debt restructuring measures influenced by the International



Monetary Fund (IMF). Despite these challenges, there were clear signs of economic stabilisation.

INSURANCE INDUSTRY DYNAMICS

The Sri Lankan insurance industry demonstrated significant growth. Insurance penetration reached 0.6% of total GDP and the industry growth was reported at 20%.

The life insurance sector experienced significant expansion driven by heightened awareness of healthcare needs post-COVID-19, a trend observed not just in Sri Lanka but globally as well.

In Sri Lanka, demand for life was further fuelled by an increasing demand for retirement planning solutions, as an ageing population and rising life expectancy underscored the importance of financial security in later years.

RECALIBRATING OUR STRATEGY

For Arpico Insurance, the FY 2024 was one of deep introspection and corrective action. Recognising that a fundamental shift in our strategic priorities was needed in order to establish the foundation for sustained long term growth, we initiated coordinated action to strengthen our core operations, refine our sales strategies, and build leaders who could steer the company toward greater stability and success.

With high lapse rates in individual insurance policies being one of our most pressing concerns we implemented stringent measures to encourage our sales force to prioritise quality over quantity, which was part of a long term strategy to reinforce the integrity and resilience of our business. Through our efforts to refine our sales policies and realign incentive structures to support long-term customer retention rather than short-term gains, we succeeded in boosting our customer base by almost 4% compared to the previous years.

In parallel, we undertook a deep dive to reassess our geographic and sectoral operations. Despite the inevitable

challenges associated with such a transformation, we pushed ahead with the restructuring of our agency business, consolidating non-performing sectors to eliminate inefficiencies and ensure a more strategic allocation of resources. The objective of this exercise was to reform our internal structures to create a lean, high-performing operational model that will position Arpico Insurance as a more resilient and adaptable entity, capable of pivoting swiftly in response to industry dynamics. I am confident that this transformation will not only drive sustained growth but also establish a more robust foundation for long-term success in an increasingly competitive market.

Another key strategic decision taken was to reduce our exposure to group insurance policies which in recent times has been plagued by considerable revenue uncertainty, and instead pursue the individual life and health insurance segment which represents a more stable and sustainable income stream. We invested in a range of initiatives designed to enhance the customer experience while supporting our strategic pivot toward individual life and health insurance policies. We focused on developing more personalised and customer-centric individual life and health insurance solutions to cater to the evolving needs of policyholders seeking comprehensive financial protection. We also seized the chance to

strengthen customer engagement to connect more meaningfully with our customers. By leveraging technology, we streamlined key processes to ensure greater convenience, efficiency, and accessibility for policyholders. One of the most significant advancements was the introduction of electronic receipts via SMS, enabling customers to receive instant confirmations of their transactions. Additionally, we launched an e-proposal system for fast-selling products, significantly reducing the time required to process new policies and enhancing the overall customer onboarding experience. Premium payment methods were also transitioned to digital platforms, providing customers with multiple electronic options to make payments easily and securely. In line with our commitment to simplifying interactions, we initiated the implementation of e-standing orders, eliminating the need for customers to visit physical branches to renew their policies, while also ensuring the timely collection of premiums and reducing our risk of policy lapses.

The move towards individual policies also provided the opportunity to refine our internal underwriting processes and enhance risk management strategies in keeping with the focus on quality business over volume-driven growth. Meanwhile, to further improve operational efficiency, we invested in digital technology to automate agent



CHIEF EXECUTIVE OFFICER'S REVIEW



Our MDRT winners are not just top performers - they are trailblazers. Their relentless drive, unmatched commitment, and fearless ambition embody the bold future Arpico Insurance is building - one milestone, one champion at a time.

payments, replacing the manual processing exercise that has proven to be cumbersome and entirely too time consuming. These improvements align with our broader cost-cutting initiatives and sustainability efforts, reinforcing our commitment to building a more agile, technology-driven organisation.

Leadership development and talent acquisition was another key focus area in our strategic recalibration exercise. A significant milestone was the appointment of a new General Manager for national sales distribution in December, a move aimed at reinforcing strategic direction and execution. Simultaneously, we launched an aggressive recruitment drive to bring in fresh talent to strengthen our sales force. These new hires, equipped with rigorous training and a refined approach to sales, are expected to make a meaningful impact in 2025, further solidifying our long-term growth strategy.

FINANCIAL HIGHLIGHTS

Arpico Insurance delivered a strong performance for FY 2024 which I believe stands as a testament to the success of the strategic recalibration efforts outlined above. The Company tabled Net Profit Before Tax (NPBT) of Rs. 146 Mn in

the current year, a remarkable turnaround from the loss of Rs. 683 Mn reported in FY 2023. What is more impressive is that, the more than Rs. 830 Mn turnaround in NPBT is despite a 12% contraction in Gross Written Premium (GWP).

The decline in GWP from Rs. 2,236 Mn in 2023 to Rs. 1,969 Mn in 2024, is the result of our conscious decision to shift focus away from group insurance policies and redirect our attention to individual life and health insurance verticals.

On the other hand investment income remained more or less on par with the previous year. The Company's investment portfolio delivered returns of 17%, a commendable achievement that demonstrates our disciplined approach to financial management against the backdrop of the low interest rate environment that prevailed in 2024.

Cost containment also played a key role in the Company's successful financial performance in 2024. To offset the impact of the decline in GWP we redoubled cost saving measures and implemented stringent company-wide cost containment initiatives. These efforts were driven by a focused

strategy to optimise operational efficiency and streamline workflows to curb unnecessary expenditure. Central to our cost containment efforts was the ongoing digital transformation. By digitising processes that were previously manual and resource-intensive, we were able to cut administrative overheads, reduce reliance on paper-based documentation, collectively leading to a significant reduction in total expenses from Rs. 702 Mn in 2023, down 2% to Rs. 689 Mn in the current year.

LOOKING AHEAD

Buoyed by our accomplishments in 2024, I look forward to the future with much enthusiasm. With Sri Lanka's GDP projected to grow by 5% in 2025 and over 3% in 2026, driven by industrial expansion, a resurgence in tourism, and increased remittances, the economic outlook presents significant opportunities for growth for the insurance industry.

I remain confident that the strategic realignments undertaken by Arpico Insurance in 2024 has established a strong foundation for the Company to leverage potential opportunities to further consolidate its position within the local life insurance industry.

As awareness and adoption of insurance products continue to increase, our unwavering emphasis on quality-driven sales, operational efficiency, and talent development will be instrumental in navigating the evolving insurance landscape. A key component of this approach will be our aggressive campaign to expand and enhance our distribution network to enhance island-wide accessibility and reach, enabling us to better serve our growing customer base across Sri Lanka. To further strengthen our presence in the individual life and health insurance segments, we remain committed to continuous innovation to ensure our offerings remain relevant, competitive, and aligned with the long-term needs of our policyholders. These efforts will be complemented by significant investments on building a competent, high functioning sales force capable of driving sustained business growth. As part of our overall approach to widen market reach, we also expect to further accelerate digital transformation across both backend and front end interfaces.

Led by this clear vision we are confident in our ability to seize emerging opportunities, strengthen our market position, and continue delivering long-term value to our customers, stakeholders, and the nation as a whole.

APPRECIATIONS

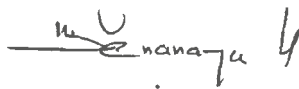
I wish to extend my heartfelt gratitude to Dr. Sena Yaddhige – our Group Chairman, for his visionary leadership and steadfast support. Your guidance continues to inspire and drive us forward.

Also, I would like to extend my deepest gratitude to our Chairman and my esteemed colleagues on the Board of Directors for their visionary leadership, unwavering support, and invaluable guidance throughout the year. Their strategic foresight and steadfast commitment have been instrumental in steering Arpico Insurance PLC through

a transformative phase, enabling us to navigate challenges with confidence while positioning the Company for long-term success.

I would also like to take this opportunity to extend my heartfelt appreciation to our dedicated team, for their tireless efforts, passion, and determination in executing our strategic initiatives that have played a crucial role in strengthening the Company's foundation and enhancing our operational excellence.

On behalf of the Board, I would also like to express our sincere gratitude to our shareholders for their continued trust and support. Your confidence in our vision has been invaluable, and we remain committed to delivering sustained value in the years ahead. We especially look forward to strengthening these partnerships as we continue to drive innovation, growth, and long-term success at Arpico Insurance PLC.



Kelum Senanayake
Chief Executive Officer

11th April 2025

BOARD OF DIRECTORS



MR. RAMAL JASINGHE

Chairman
Independent Non-Executive Director

Mr. Ramal Jasinghe began his career in the chemical Industry serving for 13 years culminating in his tenure as the Marketing Manager/ Alternate Director at the multinational Messrs. Union Carbide Lanka Ltd.

On completion of his MBA where he read at the Postgraduate Institute of Management, University of Sri Jayewardenepura, he was invited to serve on the senior management of the leading insurance company Union Assurance Limited. Having received the management training at two prestigious management business schools; Indian Institute of Management (IIM) Ahmedabad and the Stanford University, Palo Alto California, he served the Company with a track record of excellence for a period of 11 years.

Mr. Jasinghe joined Asian Alliance Insurance, initially as the CEO and after five years in service he was appointed to the Directorate and was designated Director/ CEO position until the sale of Asian Alliance General Insurance arm to Fairfax of Canada. He served 13 years as Director/CEO in Asian Alliance.

Following the merger of Union Assurance General Insurance which Fairfax owned, with the General Insurance arm of Asian Alliance and after the former merging with the latter, he had the privilege of being made the first CEO of the newly formed General Insurance Company, Fairfirst. He served for three years at Fairfirst retiring as a Director thus serving in the insurance industry for over 30 years.

After serving in Fairfirst he was invited to Chair an Insurance Brokerage, Messrs. Strategic Insurance Brokers and served there for a short period.

He has served as the President of the Insurance Association of Sri Lanka, on the Board of the Riot and Strike Commission, as well as on the Financial Services Stability Committee, of the Central Bank of Sri Lanka.

He believes that being involved in the Insurance profession, it is essential to closely intertwine with the community at large. Having served on the committees of the Leading Chambers of Commerce during his active years of service, he continues to serve on the committees of many altruistic organisations, the Education Advisory Board of the Sri Lanka Institute of Marketing (SLIM), Senior Brand Ambassador at the Chartered Institute of Marketing (CIM UK), The Faculty Advisory Board of the Sri Lanka Institute of Information Technology (SLIIT) and as a Patron of the National Chamber of Exporters. Sri Lanka, which he holds the distinction of being the sole insurance professional to lead the Chamber as its President.

He firmly believes that contribution, guidance through earned experience and engagement with the community at large are essential ingredients in the making of an insurance person irrespective of the role played in this social wellbeing based noble financial service. It is in this backdrop that he strives to serve your Company as its Chairman.



MR. SHIRON GOONERATNE
Non-Executive Director

Mr. Shiron Gooneratne is a fellow member of the Institute of Chartered Accountants of Sri Lanka and holds an MBA from University of Leicester, United Kingdom.

Mr. Gooneratne brings in a wealth of experience, both from Sri Lanka and overseas. He has held Finance Director / CFO positions of Fortune 500 and leading corporates. Having trained at Ernst & Young, he joined GlaxoSmithKline Consumer Healthcare where he completed 11 years of which 7 years as the Finance Director.

Thereafter, he joined the telecommunication sector where he was the Chief Financial Officer of Sri Lanka Telecom PLC, which provides diversified services and a range of ICT solutions that cover fixed and mobile telephony, broadband, data services, Internet Protocol Television (IPTV), cloud computing and hosting services. He also held the position of Chief Financial Officer at Dilmah Ceylon Tea Company PLC. Having held the Group Chief Financial Officer / Executive Director of Richard Pieris & Company PLC, currently he functions as a Non-Executive Director.



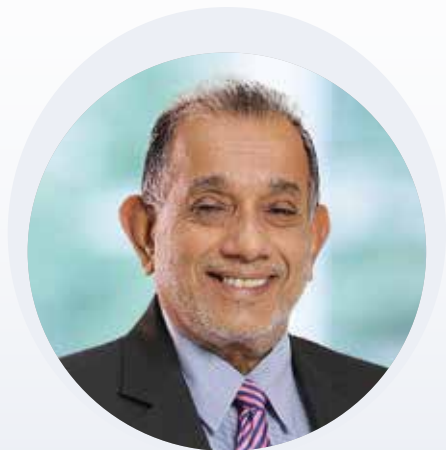
MR. KELUM SENANAYAKE
Executive Director/
Chief Executive Officer

Mr. Kelum Senanayake is a well-known personality in the regional life insurance landscape and as the Chief Executive Officer of Arpico Insurance PLC brings to the table a wealth of experience & exposure spanning almost 40 years, from both local as well as international insurance industries. He also makes history by becoming the first and only CEO in the Sri Lankan Insurance industry to hold the coveted Million Dollar Round Table (MDRT) status achieved in Sri Lanka, in an impressive 133 days.

A product of Ananda College Colombo, he holds a diploma in business management from Worldview Institute & Master of Business Administration from the University of Western Sydney, Australia.

In addition to being a management professional, he is also a respected trainer who has trained over 5,000 insurance professionals in his career and received training in the UK, Germany, Japan, Singapore, Hong Kong, Malaysia & South Africa. He has extensive experience in the areas of operations, life underwriting, life servicing, claims, product development, re-insurance, branch operations, corporate solutions distribution, contact centers and logistics.

BOARD OF DIRECTORS



MR. YUDHISHTRAN KANAGASABAI

Non-Executive Independent Director

(Appointed with effect from 18th July 2024)

Mr. Yudhishtan (Yudy) Kanagasabai is an experienced finance and business professional with extensive expertise in accounting, assurance, business consulting, technology consulting, and tax structuring.

Mr. Kanagasabai currently serves as the Independent Non-Executive Chairman of Asia Capital PLC, Asia Capital Stockbrokers (Private) Limited, Asia Leisure Holdings (Private) Limited, and Wadduwa Resort (Private) Limited. Additionally, he holds Independent Non-Executive Director positions at Eswaran Brothers Exports (Private) Limited, MainGate (Private) Limited, Arpico Insurance PLC, Kelani Cables PLC and Cargills Bank PLC.

Previously, he served in several senior Board positions, including:

- Chairman of South Asia Textiles Limited (Jan 2021 – May 2021) and Dankotuwa Porcelain PLC (Aug 2021 – Oct 2023)
- Non-Executive Director at Union Bank of Colombo PLC, EAP Holdings Limited, Hunter & Company PLC, Cargills (Ceylon) PLC, Cargills Retail (Pvt) Ltd, Dankotuwa Porcelain PLC, Lanka Canneries Limited, Taprobane Capital Plus (Pvt) Ltd, Ceylon Tobacco Company PLC, Ambeon Capital PLC, Colombo City Holdings PLC, and MillenniumIT ESP (Pvt) Ltd
- Chairman of the Audit Committee at Union Bank PLC (Aug 2016 – Dec 2018)
- Commissioner of the Insurance Regulatory Commission of Sri Lanka (May 2018 – Nov 2018, Dec 2018 – Nov 2019)

Prior to taking up these board roles post-retirement, Mr. Kanagasabai had a distinguished career at PricewaterhouseCoopers (PwC) Sri Lanka and Maldives, where he served as Senior Partner and CEO. Having joined the firm in 1981, he held progressively senior positions before becoming a partner in 1991. He also gained international exposure through a secondment at PwC Singapore from June 1988 to May 1990, specialising in Information Security. His early career included roles as a Cost Trainee at Ernst & Young and a Management Trainee at Management Aids Limited. Mr. Kanagasabai is a Fellow of the Institute of Chartered Accountants of Sri Lanka.



MR. AINSLEY ROHAN MUTURAJAH MUTTIAH

Non-Executive Independent Director

(Appointed with effect from 3rd March 2025)

Mr. Rohan Muttiah is a seasoned professional with over 35 years of experience in Banking, Technology, Cybersecurity, Airlines, Energy, Financial Services, and Hospitality. He holds a Bachelor of Computing from Monash University, Melbourne, Australia (1995). Rohan has held senior leadership roles including Chief Operating Officer (COO) at Cargills Bank (2016–2021) and Chief Information Officer (CIO) at Commercial Bank of Ceylon (2008–2015). His career also includes CEO roles at John Keells BPO and Vandenberg Consulting Group, Australia, and significant positions at IBM Global Services, Lend Lease, and Mayne Nickless.

Rohan's key achievements include leading Sri Lanka's first Payment Hub at Commercial Bank of Ceylon, pioneering Ripple Blockchain for remittances at Cargills Bank, and driving a 200% growth in Mobile Banking at Commercial Bank of Ceylon in 2014. He was also integral to the digitisation of banking processes, helping Cargills Bank win a Google award for its use of Google Workspace in 2020.

Beyond corporate roles, Rohan has held prominent positions such as Chairman (Non-Executive) of Lanka Communication Services, Chairman of the Sri Lanka Computer Emergency Readiness Team (2020–2023), and Chairman of the Blockchain Working Committee at the Central Bank of Sri Lanka (CBSL). He has represented Sri Lanka at the Council of Europe's Budapest Convention on Cyber Crime in France and contributed to developing Sri Lanka's Baseline Security Standards and Cloud Computing Guidelines for banking.

Rohan's expertise in programme management includes overseeing the Fiserv Core Banking upgrade at Commercial Bank of Ceylon, the SAP ERP rollout across John Keells Group, and the Intellect Core Banking upgrade at Cargills Bank. He also played a key role in establishing Sri Lanka's first third-party Data Centre for the banking sector in 2012.

Rohan's expertise spans strategic management, programme execution, and cybersecurity governance. He has contributed significantly to Sri Lanka's digital banking infrastructure and has been a thought leader and speaker at numerous industry events, both locally and internationally.



MRS. DILUKSHIKA FERNANDO
Non-Executive Independent Director
(Ceased to hold office from 30th November 2024)

Mrs. Dilukshika Fernando is a multi-qualified chartered insurer with over 15 years of experience in the insurance industry. She is an associate member of the Chartered Insurance Institute (ACII), associate member of the Chartered Institute of Management Accountants (ACMA) and an associate member of the Chartered Institute of Marketing (Dip M (UK) ACIM).

She started her career at Ernst & Young as a management consultancy trainee. Thereafter, she stepped into the insurance industry by joining Union Assurance PLC as a management trainee and held managerial and senior managerial positions during her tenure.

Her job role further expanded after joining Allianz Life Insurance Lanka limited as she was heading the Life operations division for 2 years. She was also a member of the compliance and audit committee and executive committee.

Her experience in a multinational insurance company paved the way for her to join another reputed multinational insurance company - AIA Insurance PLC. She functioned as head of operations and was the specified officer for AIA Insurance PLC.



MRS. LASINEE SERESINHE
Non-Executive Independent Director
(Ceased to hold office from 27th May 2024)

Mrs. Lasinee Seresinhe is an industry leader and veteran with over 21 years of leadership and experience to her name. During this tenure she held positions of leadership at the Securities and Exchange Commission of Sri Lanka and the Insurance Regulatory Commission of Sri Lanka (IRCSL – former Insurance Board of Sri Lanka).

At IRCSL, she commenced her duties as Director General during its time as an independent office and served at the commission until her retirement. Parallel to her tenure as Director General of IRCSL, she also served on the board of the National Insurance Trust Fund as an Ex-Officio member. Before her tenure at IRCSL she also served as a Director at the Securities and Exchange Commission.

She was then engaged as an advisor at the Ministry of Finance for a short span of time. Prior to her positions of leadership at IRCSL and SEC, Mrs. Seresinhe worked in the private sector, for several years within the finance discipline and also held duties as a consultant. In addition, she was also attached to SSP Corporate (Pvt) Ltd.

Mrs. Seresinhe is a fellow member of the Chartered Institute of Management Accountants (UK), a fellow member of the Chartered Global Management Accountants and is also a diploma holder in computer programming.

CORPORATE MANAGEMENT



MR. P. VANOJAN
General Manager - Sales



MRS. SRIYONIE MENDIS
Deputy General Manager - Life Operations /
Specified Officer



MR. NELUSHAN GUNWARDENA
Head of Marketing



MRS. PAVITHRA PEIRIS
Senior Manager - Conservation and
Customer Care



MR. NIRUKSHA UDAGEDARA
Senior Manager - Partnership



MR. S.H. DULANJITH KAWEESHA
Financial Controller



MRS. L. A. C. PRIYANTHI

Manager - Actuarial



MRS. SAJEE KAHAVEVIDANE

Manager - Sales Administration



MR. KITHMAL GODAGE

Risk and Compliance Officer



MR. CHATHURA JAYAWEERA

Manager - IT



MR. NISHABHA RANATUNGA

Assistant Manager - Administration

CORPORATE MANAGEMENT

MR. P. VANOJAN

General Manager - Sales

An illustrious career spanning 17 years in the insurance industry, he has built a reputation as a dynamic and results-driven professional.

His journey in the sector began with Ceylinco Life, followed by notable tenures at Union Assurance and Janashakthi. In 2013, he joined Arpico Insurance PLC, where he has steadily climbed the corporate ladder, demonstrating exceptional leadership and industry expertise. Starting as an Ass Sales Manager (ASM), Vanojan quickly progressed through various leadership roles, earning promotions as Sales Manager (SM), Regional Sales Manager (RSM), Senior Regional Sales Manager (SRS), Zonal Sales Manager (ZSM), Senior Zonal Sales Manager (SZSM), Assistant General Manager (AGM), Senior Assistant General Manager (SAGM), Deputy General Manager (DGM), and ultimately, General Manager (GM).

His unwavering commitment and ability to drive performance have been instrumental in the Company's growth and success. Vanojan's contributions to the insurance industry have not gone unnoticed. In 2019, he was honoured with the prestigious NASCO Browns Award in the Regional Manager category, a testament to his outstanding leadership and strategic vision.

Additionally, his tenure at Arpico Insurance has been marked by numerous accolades and recognitions, reinforcing his status as a top performer in the field. Beyond his professional achievements, Vanojan has also prioritised academic growth. He holds a Diploma in Accounting and Business (AAT) and is currently pursuing an MBA at the Sri Lanka Institute of Marketing (SLIM), further equipping himself with the knowledge to drive innovation and excellence in the insurance sector.

MRS. SRIYONIE MENDIS

Deputy General Manager - Life Operations / Specified Officer

Sriyonie counts over 24 years of experience in the Insurance Industry with extensive knowledge and experience in

Life Underwriting, policy servicing, Life claims, Customer Care / Complaints Management, Group Life Insurance and Reinsurance areas. She has joined the insurance industry after her Bachelor of Science degree in Physical Science from University of Colombo. She is a Chartered Insurer and Associate Member of the Chartered Insurance Institute of UK and holds an MBA from the University of Colombo Sri Lanka.

MR. NELUSHAN GUNewardena

Head of Marketing

Nelushan is a key member of the Senior Management team and is a highly versatile and practical Marketing and Management professional with over 20 years of extensive experience. His expertise encompasses areas of strategic marketing planning, brand management, marketing & corporate communications, new product development, public relations, revenue generation, operations & administration, among other areas. His accomplishments are underscored by numerous business and academic accolades, reflecting his commitment to excellence. He is a Member of the Chartered Institute of Marketing (CIM) UK, and holds a Master of Business Administration from London Metropolitan University, UK, a Postgraduate Diploma in Marketing from the Sri Lanka Institute of Marketing (SLIM) and possesses technical qualifications in Automotive Systems and Mechanical Engineering. He has led successful brand and business transformations, achieving notable success in highly dynamic industries such as Retail, Automotive, Real Estate, Apparels, Advertising and Insurance, within both local and multinational contexts.

MRS. PAVITHRA PEIRIS

Senior Manager - Conservation and Customer Care

Pavithra brings over 11 years of extensive experience in the insurance industry. She has built a successful career with a leading multinational life insurance company, excelling in policy conservation and customer service departments.

Her academic credentials include a degree in Human Resource Management from the Chartered Institute of Personnel Management (CIPM), an Advanced Diploma in Business Management from the Australian College of Business & Technology (ACBT), and a Diploma in Information & Communication Technology from IDM Computer Studies. Currently, she holds a leadership role, overseeing the Conservation & Customer Care departments, where she continues to drive excellence and customer satisfaction.

MR. NIRUKSHA UDAGEDARA

Senior Manager - Partnership

Niruksha Udagedara is an accomplished financial services professional with over nine years of experience in the banking industry, specialising in individual and corporate sales across both local and international markets, including Sri Lanka and the UAE. He has a proven track record of managing diverse client portfolios, driving business expansion and cultivating long-term strategic partnerships.

In addition, he brings approximately seven years of expertise in the insurance industry in Sri Lanka, working extensively with insurance brokers, banks and corporate clients. His deep industry knowledge, strategic business acumen and client-centric approach have been instrumental in expanding market share and strengthening key partnerships. Notably, he was recognised as the first-ever Top of the Table (TOT) achiever at Arpico Insurance, a testament to his exceptional performance and commitment to industry excellence.

Niruksha holds a Bachelor's Degree in Business Management from the University of Colombo. His extensive experience, leadership capabilities and results-driven approach continue to play a pivotal role in driving business growth and fostering high-value partnerships.

MR. S. H. DULANJITH KAWESHA

Financial Controller

Dulanjith joined Arpico Insurance in 2023 and he is a finance professional with over 11 years of diverse experience in Auditing, Financial Reporting, Budgeting, Financial Planning & Analysis.

He holds Bachelor of Science Degree in Business Administration from University of Sri Jayewardenepura, and an MBA in Finance from University of Colombo. Dulanjith is a member of the Institute of Chartered Accountants of Sri Lanka (CASL) and is a member of CMA Sri Lanka.

MRS. L. A. C. PRIYANTHI

Manager - Actuarial

Priyanthi is a highly experienced professional with over 23 years of dedicated service in the insurance industry. Her career reflects a deep commitment to analytical excellence and technical precision, particularly in the fields of actuarial science, risk analysis, and data-driven decision-making.

She holds a Bachelor of Science degree with First Class Honours in Mathematics and Statistics from the University of Colombo, and further enhanced her expertise by obtaining a Master of Science in Actuarial Science from the same institution. Her academic background has provided her with a strong foundation to excel in complex actuarial evaluations, pricing strategies, and insurance modeling.

Priyanthi continues to be a key contributor to Arpico Insurance PLC's actuarial and technical initiatives, ensuring the company's long-term financial soundness and regulatory compliance through robust data analysis and modeling expertise.

MRS. SAJEE KAHAWEVIDANE

Manager - Sales Administration

Sajee Kahawevidane has been an integral member of the Arpico Insurance PLC team, holding the position of Manager - Sales Administration. In this role, she has demonstrated exceptional leadership,

technical expertise, problem-solving abilities with 9 years' experience in Life Insurance industry.

Her educational background is distinguished by a Level 7 Extended Diploma in Strategic Management from the Awards for Training and Higher Education, United Kingdom (ATHE- UK) and Masters of Business Administration from University of Northampton United Kingdom.

Looking forward, Sajee is eager to take on new challenges and continue contributing to the Company's growth. She excited about the opportunity to further support the team and the Company's mission.

MR. KITHMAL GODAGE

Risk and Compliance Officer

Kithmal is an experienced Compliance Auditor and Trade Specialist with over 20 years of experience in the banking and insurance industry. He has developed deep expertise in Risk and Regulatory Compliance, KYC Operations, and International Trade Services, with significant experience at foreign banks, specialising in KYC & CDD operations, AML/CFT compliance and trade finance.

Kithmal is a fully qualified banking professional (AIB) and an Associate Member of the Institute of Bankers of Sri Lanka. He is also an ICA-certified Anti-Money Laundering (AML) and Global Sanctions Compliance Specialist. Kithmal holds a Bachelor's Degree in Business Administration from the University of Sri Jayewardenepura, along with diplomas in Banking & Finance and Compliance from the Institute of Bankers of Sri Lanka (IBSL).

MR. CHATHURA JAYAWEERA

Manager - IT

With over 10 years of experience in the IT industry, Chathura Jayaweera is the Manager of Information Technology at Arpico Insurance PLC, where he leads the IT department in driving technological innovation and operational excellence. Holding a Master's degree in IT & Strategic

Innovation from Kingston University, UK, he combines strong technical expertise with strategic vision to ensure the department supports the Company's goals and long-term success.

In addition to his academic background, Chathura holds a Green Belt certification in Lean methodology, further enhancing his ability to optimise processes and improve efficiency across IT operations. His leadership ensures that Arpico Insurance remains well-equipped to adapt to the fast-changing technology landscape, delivering top-notch solutions that provide value to both the business and its customers.

MR. NISHABHA RANATUNGA

Assistant Manager - Administration

Nishabha is a valued member of the Arpico Insurance PLC management team, bringing over 21 years of hands-on experience in Facilities Management within the insurance industry, including a distinguished tenure at a emerging insurance company. A highly dependable and technically adept professional, he has played a pivotal role in ensuring the smooth functioning of administrative and operational infrastructures.

His core competencies lie in facilities planning and coordination, vendor and asset management, compliance monitoring, and workplace safety protocols. Nishabha possesses a Diploma in Electronics & Electrical Engineering from the Open University of Sri Lanka and a Diploma in Facilities Management from the National Institute of Business Management (NIBM). His strong technical background, coupled with a deep understanding of operational best practices, has enabled him to contribute significantly to the company's efficiency and employee well-being.

Nishabha continues to play a crucial role in supporting the day-to-day operations of Arpico Insurance, ensuring that the administrative functions align with the organization's strategic goals.

SALES MANAGEMENT



MR. P. VANOJAN
General Manager - Sales /
Sector Head - Sector 5



MR. B. R. P. CHANDRAKUMARA
Assistant General Manager
Sector Head - Sector 2



MR. KAMAL GUNASEKARA
Assistant General Manager
Sector Head - Sector 6



MR. P. S. DISSANAYAKE
Sector Head - Sector 7

INDEPENDENT ASSURANCE ON IR FRAMEWORK



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INDEPENDENT PRACTITIONER'S ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF ARPICO INSURANCE PLC ON THE INTEGRATED ANNUAL REPORT 2024

SCOPE

We have been engaged by Arpico Insurance PLC to perform a 'limited assurance engagement,' as defined by Sri Lanka Standard on Assurance Engagements, here after referred to as the engagement, to report on Arpico Insurance PLC's Information on how it's strategy, governance, performance and prospects, in the context of its external environment, lead to the creation, preservation or erosion of value over the short, medium and long term (the "Subject Matter") contained in Arpico Insurance PLC's (the "Entity's") Integrated Annual Report for the year ended 31 December 2024 (the "Report").

Other than as described in the preceding paragraph, which sets out the scope of our engagement, we did not perform assurance procedures on the remaining information included in the Report, and accordingly, we do not express a conclusion on this information.

CRITERIA APPLIED BY ARPICO INSURANCE PLC

In preparing the Subject Matter, Arpico Insurance PLC applied the Integrated Reporting Framework (<IR>

Framework) issued by the International Integrated Reporting Council (IIRC) ("Criteria"):

Such Criteria were specifically designed for the purpose of assisting in determining whether the capital management, stakeholder engagement, business model, strategy, organisational overview & external environment outlook presented in the Integrated Annual Report is presented in accordance with the relevant criteria; As a result, the subject matter information may not be suitable for another purpose.

ARPICO INSURANCE PLC'S RESPONSIBILITIES

Arpico Insurance PLC management is responsible for selecting the Criteria, and for presenting the Subject Matter in accordance with that Criteria, in all material respects. This responsibility includes establishing and maintaining internal controls, maintaining adequate records and making estimates that are relevant to the preparation of the subject matter, such that it is free from material misstatement, whether due to fraud or error.

ERNST & YOUNG'S RESPONSIBILITIES

Our responsibility is to express a conclusion on the presentation of the Subject Matter based on the evidence we have obtained.

We conducted our engagement in accordance with the Sri Lanka Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information (SLSAE 3000 (Revised), and the terms of reference for this engagement as agreed with the Arpico Insurance PLC on 4 April 2025. Those standards require that we plan and perform our engagement to express a conclusion on whether we are aware of any material modifications that need to be made to the Subject Matter in order for it to be in accordance with the Criteria, and to issue a report. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our limited assurance conclusions.

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman FCA FCMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA, B Vasanthan ACA ACMA, W D P L Perera ACA

Principals: T P M Ruberu FCMA FCCA MBA (USJ-SL), G B Goudian ACA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), D L B Karunathilaka ACA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shalithivel B.Com (Sp)

A member firm of Ernst & Young Global Limited

INDEPENDENT ASSURANCE ON IR FRAMEWORK

OUR INDEPENDENCE AND QUALITY MANAGEMENT

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and have the required competencies and experience to conduct this assurance engagement.

EY also applies International Standard on Quality Management 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services engagements, which requires that we design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

DESCRIPTION OF PROCEDURES PERFORMED

Procedures performed in a limited assurance engagement vary in nature and timing from and are less in extent than for a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed. Our procedures were designed to obtain a limited level of assurance on which to base our conclusion and do not provide all the evidence that would be required to provide a reasonable level of assurance.

Although we considered the effectiveness of management's internal controls when determining the nature and extent of our procedures, our assurance engagement was not designed to provide assurance on internal controls. Our procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

A limited assurance engagement consists of making enquiries, primarily of persons responsible for preparing the subject matter and related information and applying analytical and other appropriate procedures.

OUR PROCEDURES INCLUDED:

- Performed a comparison of the content of the Integrated Annual Report against the Guiding Principles and Content Elements given in the Integrated Reporting Framework (<IR> Framework).
- Checked whether the information contained in the Integrated Annual Report – Financial Capital element information has been properly derived from the audited financial statements.
- Conducted interviews with the selected key management personnel and relevant staff and obtained an understanding of the internal controls, governance structure and reporting process relevant to the Integrated Report.
- Obtained an understanding of the relevant internal policies and procedures developed, including those relevant to determining what matters most to the stakeholders, how the organisation creates value, the external environment, strategy, approaches to putting members first, governance and reporting.
- Obtained an understanding of the description of the organisation's strategy and how the organisation creates value, what matters most to the stakeholders and enquiring the management as to whether the description in the Integrated Report accurately reflects their understanding.
- Checked the Board of Directors meeting minutes during the financial year to ensure consistency with the content of the Integrated Report.

- Tested the relevant supporting evidence related to qualitative & quantitative disclosures within the Integrated Report against identified material aspects.
- Read the Integrated Report in its entirety for consistency with our overall knowledge obtained during the assurance engagement.

We also performed such other procedures as we considered necessary in the circumstances.

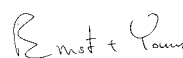
EMPHASIS OF MATTER

Economic, Environment, Social and Intellectual capital management data/information are subject to inherent limitations given their nature and the methods used for determining, calculating and estimating such data. Such inherent limitations are common in Sri Lanka.

We also do not provide any assurance on the assumptions and achievability of prospective information presented in the Entity's Annual Report.

CONCLUSION

Based on our procedures and the evidence obtained, we are not aware of any material modifications that should be made to the information contained in the Integrated Annual Report of Arpico Insurance PLC for the year ended 31 December 2024, in order for it to be in accordance with the Criteria.



11th April 2025
Colombo

CORPORATE GOVERNANCE

A stylized illustration of a bridge over a river. The bridge is a simple arch design with a dark frame and a metal railing. It spans a wide river with light blue water. On the left bank, there are large, light-colored rocks and some green foliage. On the right bank, there are more rocks and a dense forest of green trees. In the background, there are several layers of blue mountains under a light blue sky with a few white clouds.

Building New Futures

A well-constructed bridge allows for smooth crossover, and at Arpico Insurance PLC, our corporate governance structures are furnished with fortitude, which allows our stakeholders to cross over into a prosperous future with stability. Our governance places responsibility and accountability as the blueprint for our bridge towards the future.

CORPORATE GOVERNANCE



MR. RAMAL JASINGHE
Chairman



Strong governance is not merely a system of rules - it's the foundation of trust, the framework for ethical conduct, and the compass that steers our strategy toward sustainable value creation. At Arpico Insurance PLC, our governance structure evolves with foresight, empowering leadership, safeguarding integrity, and fostering resilience in a world of accelerating change.



CHAIRMAN'S INTRODUCTION

At Arpico Insurance PLC, we believe that good governance is a reflection of principles entrenched in our values and policies embedded in our day-to-day business practices, that contribute towards our continued success. Over the years, we have strengthened our governance practices, in tandem with the evolving regulatory landscape as well as to keep in line with industry benchmarks.

Given the significant regulatory changes emerging in 2024, much of the Board focus for the current financial year was centred on complying with these new regulations. To that end, the Board and Board Committees together oversaw the implementation of the changes introduced under Section 9 of the CSE Listing Rules on Corporate Governance, ensuring full compliance with all relevant provisions in line with the mandated timelines.

I am also pleased to report that the Board took early action to prepare for the adoption of SLFRS 17, the local equivalent of the IFRS 17 standard, which will become mandatory for insurers in Sri Lanka by 2026. This transformative standard requires insurers to adopt a fair value approach to measuring insurance liabilities, significantly enhancing transparency and comparability in financial reporting. Recognising the importance of early preparation, the Board commissioned a comprehensive gap analysis to identify areas needing adjustment and has finalised the selection of an internal team to spearhead the transition and seamless integration of the new standard into the Company's financial reporting framework.

In conclusion, I wish to confirm that the Board has exercised its fiduciary duties with the Board, Corporate Management and all employees of the company discharging their duties in compliance with the applicable regulatory and statutory requirements and in accordance with the Company's internal constitution.



CORPORATE GOVERNANCE PHILOSOPHY

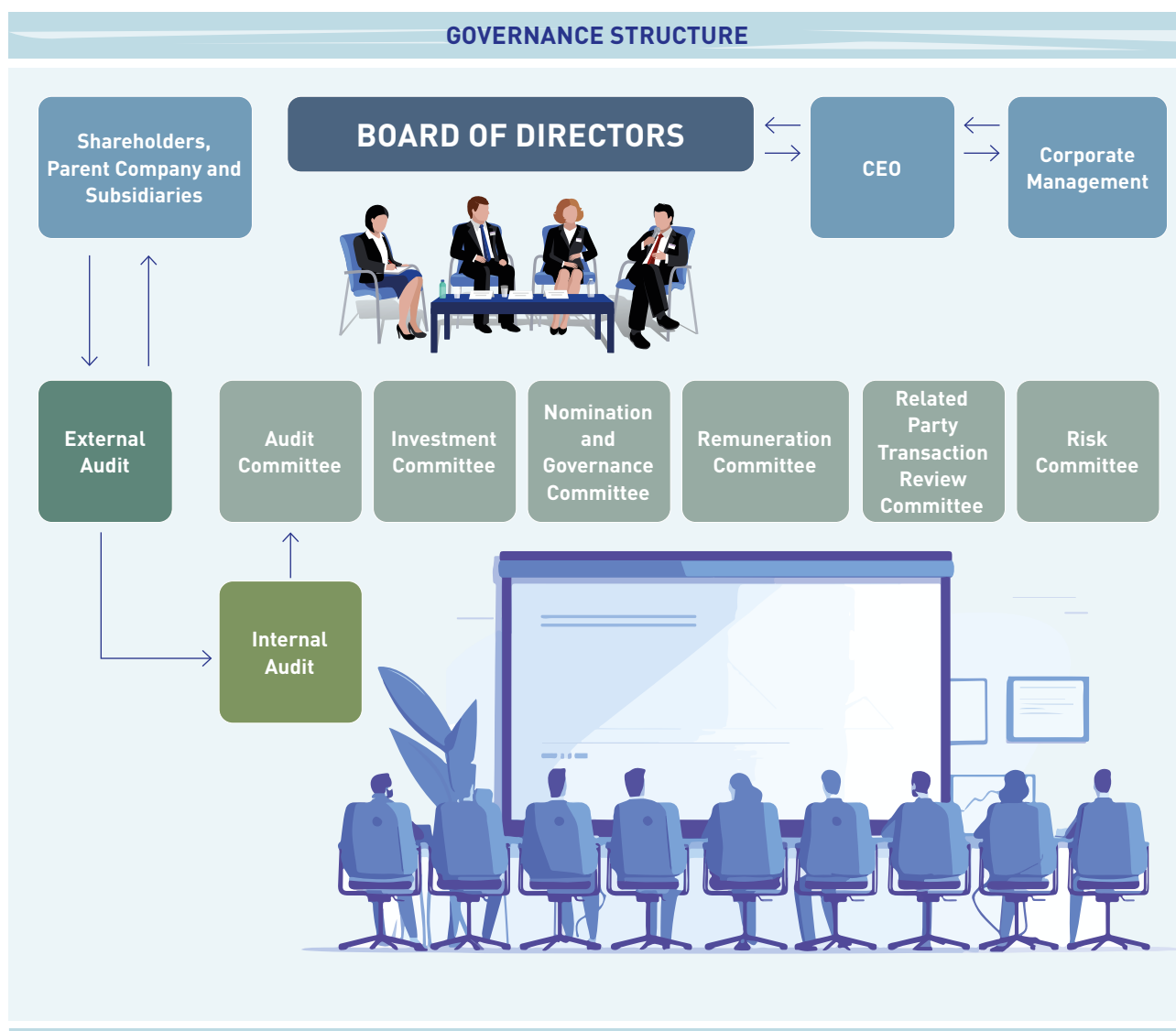
Arpico Insurance PLC's Corporate Governance philosophy stems from the belief that good governance is essential for safeguarding stakeholder interests while driving strategic growth.

The Company's approach to corporate practices revolves around the

fundamental belief that strict adherence to regulatory requirements enhances organisational resilience and supports sustained long-term success.

However, as a responsible corporate citizen, our approach to good governance goes beyond adherence to regulatory framework, to embed global good governance practices within the

Company's internal framework of policies and procedures that facilitate effective decision-making and responsible risk management at all levels of operation. Furthermore, we remain committed to continually evaluate and enhance our governance structure and internal frameworks in keeping with regulatory changes and the latest global best practices.



CORPORATE GOVERNANCE

GOVERNANCE BENCHMARKS OF THE COMPANY

Mandatory Frameworks	Voluntary Frameworks	Internal Governance
Financial Reporting Sri Lanka Accounting Standards - The Regulations of Insurance Industry Act No. 43 2000 and amendments - Statement of Recommended Practice (SoRP) - Regulations and directions issued by the of Insurance Regulatory Commission of Sri Lanka (IRCSL) - Companies Act No. 07 of 2007 and amendments	Integrated Reporting - IFRS Foundation's International <IR> Framework - Guidelines for Presentation of Annual Reports (CA Sri Lanka) - Handbook on Integrated Corporate Reporting (CA Sri Lanka)	- Articles of Association - Terms of Reference - Committee Charters - Department Policies - Risk Management - Company Code of Conduct - Operations, Finance, Procurement, IT, HR and Treasury, Reinsurance Policies
Corporate Governance - Listing Rules of the Colombo Stock Exchange - Companies Act No. 7 of 2007 - Securities and Exchange Commission of Sri Lanka Act No. 36 of 1987 and amendments - Corporate governance framework for insurers issued under Section 96A of the Regulations of the Insurance Industry Act No. 43 of 2000 (IRCSL)	Corporate Governance - Code of best practices on Corporate Governance 2023 (CA Sri Lanka) - Integrated Risk Management Framework is crafted based on the guidelines provided in ISO 31000:2018	- Processes and Procedures of Risk Management and Internal control of the Company - Sustainable Governance Policy - Whistleblower, Compliance and Complaint Handling Policy
Sustainability - Sri Lanka Sustainability Disclosure Standards S1 – General Requirements of sustainability-related financial information - Sri Lanka Sustainability Disclosure Standards S2 – Climate Related Disclosures	Sustainability - GRI Standards - Sustainability Accounting Standards Board (SASB) Standards - Gender Parity Reporting Framework (CA Sri Lanka) - Sustainable Development Goals (SDGs) - Colombo Stock Exchange Guide on Communicating Sustainability - United Nations Global Compact (UNGC)	- Business Continuity Plan and Code of Business Conduct and Ethics - Sale Governance Policy
Assurance - Sri Lanka Auditing Standards (SLAuSs) - Sri Lanka Standard on Assurance Engagements SLSAE 3000; Assurance Engagements other than Audits or Review of Historical Financial Information (CA Sri Lanka) - Internal Auditing Framework of Institute of Internal Auditors	Assurance Independent Assurance on Integrated Reporting (Ernst & Young)	

THE BOARD

The Board of Directors of Arpico Insurance PLC serves as the apex governing body of the organisation. Guided by the Board Charter, which outlines the Terms of Reference (TOR) for its responsibilities, the Board is entrusted with setting out the Company's mission, vision, and long-term strategic objectives as well as providing entrepreneurial leadership for implementation of the strategy to ensure stakeholder interests are safeguarded. As the main custodian for governance, the Board establishes and monitors corporate governance policies and frameworks and compliance with legal, regulatory, and ethical standards.

KEY BOARD RESPONSIBILITIES

Regulatory Compliance

The Board of Directors, as the primary custodian of governance at Arpico Insurance PLC, bears the responsibility

of ensuring the Company complies with all applicable regulatory requirements. Upholding a strict zero-tolerance policy on non-compliance, the Board collaborates closely with the Board Committees and executive leadership to establish and enforce robust compliance frameworks and procedures to ensure compliance at all levels of operation. Additionally, the Board has established designated communication channels to encourage employees at all levels to report compliance concerns or violations without fear of reprisal.

Recognising the rapidly evolving regulatory landscape in recent years, the Board actively seeks to understand and anticipate evolving requirements, including by engaging with regulatory authorities and consulting with subject matter experts. Through these efforts, the Board effectively identifies and

mitigates compliance risks while fostering a culture of early adoption and continuous improvement.

In FY 2024, the Board and its Committees ensure full compliance with the updated Section 9 of the CSE Listing Rules on Corporate Governance, meeting all mandated timelines.

The Board also began preparations for the adoption of SLFRS 17, a standard that will require insurers to measure insurance liabilities using a fair value approach, enhancing transparency and comparability in financial reporting. As part of this effort, a comprehensive gap analysis was completed, and an internal team was appointed to oversee the transition by ensuring a seamless integration of the new standard into the Company's financial reporting framework ahead of the 2026 deadline.

Arpico Insurance PLC Compliance Update - CSE Listing Rules on Corporate Governance introduced in 2024

Rule Number	Requirement	Effective Date	Compliance Status
9.9	Alternate Directors compliance requirements	1st Jan 2024	No alternative Directors appointed
9.7.3	Fit and Proper Criteria for Directors and CEOs	1st April 2024	Complied
9.14.2 (1)	Composition of the Related Party Transactions Review Committee; - Must comprise minimum 3 - Chairman should be independent Director 2/3 of directors have to be independent.	1st April 2024	Complied
9.2	Formulation of 12 new policies and disclosure of same on the corporate website	1st Oct 2024	Complied
9.3.3	The Chairperson of the Board shall not be the Chairperson of the Board Committees	1st Oct 2024	Complied
9.8.1	Minimum five Directors on the Board	1st Oct 2024	Complied
9.8.2	The Board must include a minimum number of Independent Directors, which is determined as the greater of two or one-third of the total number of Directors on the Board.	1st Oct 2024	Complied
9.11	Establishment of the Nominations and Governance Committee	1st Oct 2024	Complied

CORPORATE GOVERNANCE

Arpico Insurance PLC Compliance Update - CSE Listing Rules on Corporate Governance introduced in 2024

Rule Number	Requirement	Effective Date	Compliance Status
Rule 9.12.6 (1)	Establish a Remuneration Committee comprising a minimum of three Directors, with at least two-thirds of its members being Independent Directors.	1st Oct 2024	Complied
9.13.3	The Audit Committee must consist of a minimum of three Directors, all of whom must be Non-Executive Directors, with the majority being Independent Directors	1st Oct 2024	Complied
9.13.4 and 9.13.5	Functions and Disclosures in the Annual Report relating to the Audit Committee	1st Oct 2024	Complied
9.8.3	A Director shall not be considered 'independent' if he/she is 70 years of age or above.	1st Jan 2025	Complied
9.1.4 (3)	In respect of Listed Entities which have Directors who are declared as 'nevertheless independent' by its Board of Directors, notwithstanding such Directors not meeting the 'independence' criteria set out in the Listing Rules as at 1st October 2023, such Entities shall comply with the criteria for determining independence set out in Rule 9.8.3 of these Rules with effect from 1st January 2025.	1st Jan 2025	Complied
9.1.4 (4)	The Rules relating to sharing of Board Committees in a situation where both the parent company (including the ultimate parent company) and the subsidiary are Listed Entities contained in Rules 9.12.6 (2), 9.13.3 (4) and 9.14.2 (2) shall cease to apply to Entities which have listed its shares on the Main Market Segment and/or Debt Securities	1st Oct 2024	Complied

Financial Control and Reporting

The Board exercises its responsibility for sound financial stewardship by maintaining strict oversight over critical areas, ensuring financial discipline and promoting accountability across the organisation. In this regard, the Board retains the sole authority for approving all major financial decisions, including approval of the annual budget, financial statements, dividend declarations, major capital expenditures, investments, funding strategies and significant financial arrangements of the Company.

The Board holds ultimate responsibility for ensuring the integrity, accuracy, and transparency of the Company's financial

reporting, together with the Board Audit Committee undertakes to regularly review the financial performance of the Company as well as overseeing the preparation and presentation of financial statements in compliance with applicable accounting standards, regulatory requirements, and best practices in financial disclosure.

The Board reviews and approves the Company's annual financial statements, interim financial reports, annual report and any other mandatory financial reports, to ensure they provide a true and fair view of the Company's financial position, performance and progress.

Risk Management and Internal Control

The Board holds ultimate responsibility for the Company's risk management and internal control frameworks are robust, effective, and capable of supporting the achievement of the Company's strategic objectives. As part of their risk management duties, the Board sets the Company's overall risk appetite and collaborates with the Board Audit Committee to oversee the implementation of policies and procedures to identify, assess, and mitigate potential risks that could impact the Company's operations, reputation, or financial performance.

Under the delegated authority of the Board, the Board Audit Committee plays a critical role in evaluating the adequacy and effectiveness of the risk management and internal control systems. The Committee reviews risk assessments, monitors key risk indicators, and ensures that appropriate measures are in place to address identified risks.

Additionally, the Board Audit Committee is charged with obtaining independent assurance from both internal and external auditors regarding the integrity of these frameworks, and recommending improvements where necessary. These findings are reported to the Board, enabling the timely implementation of corrective actions and ensuring the Company maintains a

resilient and proactive approach to risk management.

In compliance with the provisions of the CSE's new Listing Rules on Corporate Governance issued in 2024, a formal Policy on Risk Management and Internal Control was approved by the Board and rolled out with effect from, September 2024. The new policy establishes a robust framework for mitigating risks and ensuring the effectiveness of internal controls across the organisation, thereby fostering a proactive approach to risk management in order to safeguard its assets, maintain business continuity, and ensure compliance with regulatory requirements while promoting sustainable growth and value creation for shareholders.

Conduct and Ethics

The Board plays a crucial role in promoting ethics and conduct, striving to lead by example in setting the tone from the top. To permeate the culture of integrity and good conduct across the organisation, the Board has established a comprehensive conduct framework comprising a comprehensive range of policies and procedures. In 2024, the policy framework was significantly strengthened following the implementation of 3 formal Policies - the Internal Code of Business Conduct, the Policy on Anti-bribery and Corruption and the Whistleblowing Policy, all mandated by the provisions of the CSE's new listing rules on Corporate Governance issued in 2024.

GOVERNANCE BENCHMARKS OF THE COMPANY



POLICY ON INTERNAL CODE OF BUSINESS CONDUCT AND ETHICS

Establishes the principles and standards governing ethical behaviour and compliance within Arpico Insurance PLC, is applicable to or all Directors and Employees of the Company, without exception. Covering such as integrity, fairness, and transparency in business dealings, including specific guidelines on trading in the company's listed securities, the policy is designed to ensure that all directors and employees adhere to the highest ethical standards, prevent conflicts of interest, and comply with legal and regulatory requirements, thereby maintaining the company's reputation and fostering a culture of accountability.



POLICY ON ANTI-BRIBERY AND CORRUPTION

Outlines the Company's commitment to preventing bribery, corruption, and any form of unethical conduct. It applies to all employees, Directors, and third-party associates, reinforcing a zero-tolerance approach to any actions that could undermine the Company's reputation or legal obligations. By implementing this policy, Arpico Insurance PLC aims to uphold the highest standards of compliance with local and international anti-corruption laws.



WHISTLEBLOWING POLICY

Serves as a key catalyst in fostering a culture of transparency and accountability within an organisation. It provides employees and stakeholders with a safe and confidential mechanism to report unethical behaviour, misconduct, or violations of Company policies without fear of retaliation. By encouraging openness, the Policy on Whistleblowing helps protect the integrity and reputation of the organisation while ensuring compliance with legal and regulatory standards.

CORPORATE GOVERNANCE



Strong governance is not merely a system of rules - it's the foundation of trust, the framework for ethical conduct, and the compass that steers our strategy toward sustainable value creation.



Information Technology (IT) and Cybersecurity Governance

The Arpico Insurance Board plays a pivotal role in IT and Cybersecurity governance, ensuring that the Company's information technology strategies are aligned with its broader business objectives and risk management framework. The Board is responsible for establishing and maintaining robust IT governance policies and procedures that support effective management of IT resources, protect digital assets, and ensure compliance with regulatory requirements.

The Company's IT department, guided by the Board Audit Committee, monitors and assesses the performance of IT initiatives, ensuring they create value, enhance operational efficiency, and drive innovation. The IT department is also tasked with governance and oversight of

information security, including reviewing and approving security measures, assessing risks, and ensuring compliance with regulatory objectives.

Stewardship of Human Capital

The Board of Arpico Insurance PLC is the ultimate authority in charge of the stewardship of Human Capital. To that end, the Board is responsible for ensuring that the Company is led by a capable management team, led by a competent CEO.

Part of the Board oversight role includes the establishment of a succession plan that ensures continuity of leadership for the purpose of long-term organisational success.

The Board also works closely with the Remuneration Committee to develop and implement a suitable remuneration structure that is competitive, equitable, and complies with regulatory standards, while keeping in line with industry standards.

In compliance with the provisions of the CSE's new Listing Rules on Corporate Governance issued in 2024, a formal Policy on Remuneration was approved by the Board and rolled out with effect from, September 2024. The Policy, which is based on the principles of fairness, transparency, and accountability, sets the framework for determining fair and competitive compensation for directors, executives, and employees to attract, retain and motivate top talent for the purpose of achieving corporate objectives and driving long-term value creation.

Stakeholder Engagement

Acknowledging that transparent communication and responsiveness are critical for building stakeholder trust. The Board places a significant emphasis on effective stakeholder engagement. Aiming to build long-term relationships with stakeholders, the Board has delegated the responsibility to various Board Committees and the executive management.

Board Committees have been issued with clear mandates to oversee specific stakeholder Groups, while the Company's executive management is tasked with ensuring day-to-day engagements are handled efficiently in alignment with the Board's strategic direction.

Comprehensive information regarding the methodologies used for engaging with various stakeholders along with the frequency of engagement and other relevant information can be found in the Stakeholder Engagement section on pages 102 to 105 of this report.

Sustainability and Climate Governance

The Board is the main authoritative body in charge of sustainability and climate governance at Arpico Insurance PLC. Responsibilities in this regard include strategy development, providing oversight for risks and opportunities and ensuring the Board possesses the requisite skills to address critical sustainability and climate related issues effectively.

The responsibility for sustainability and climate strategy execution has been delegated to the CEO, who in collaboration with the executive management team, works to integrate the Board's vision into business planning, risk management, and resource allocation processes, in keeping with approved budgets and financial frameworks.

The Board retains ultimate responsibility for monitoring progress on sustainability and climate-related initiatives and receives regular updates through detailed management reports. These updates, which are a standing agenda item at most Board meetings, enable the Board to ensure that climate resilience and sustainability remain integral to the Company's long-term strategy.

In compliance with the provisions of the CSE's new Listing Rules on Corporate Governance issued in 2024, a formal Policy on Environmental, Social and

Governance Sustainability was approved by the Board and implemented with effect from September 2024. The policy outlines the Company's commitment to embedding sustainable practices into its business operations by aligning business strategies with sustainable development principles to ensure long-term value creation for shareholders, stakeholders, and the broader community.

Simultaneously, the Board proceeded to conduct in-depth discussions to understand the impact of climate-related issues, focusing on global climate trends, potential impacts on Sri Lanka, and the Company's risk exposure. This was accompanied with an extensive analysis of climate risks and review of potential emissions reduction initiatives, followed by the rollout of a structured governance process, detailing responsibilities for climate oversight within the organisation, in order to integrate key climate risks into the enterprise risk management framework, as well as monitoring and updating the Board of the progress on emission reduction initiatives.

Shareholder Relations and Communication

The Board has adopted a proactive and transparent approach to shareholder relations and communication. To ensure shareholders are kept informed and engaged, the Board prioritises open and timely communication through CSE disclosures and press releases informing them of the Company's financial performance, strategic initiatives, and material developments. The Board acknowledges its responsibility for ensuring all such disclosures comply with regulatory requirements.

Further, the Board strives to address shareholder inquiries promptly and encourages shareholders to raise any issues at the Annual General Meeting or in writing to the Company Secretary.

In compliance with the provisions of the CSE's new Listing Rules on Corporate

Governance issued in 2024, 2 new policies were implemented during the year to further strengthen shareholder relations and communication. The first - the Policy on Relations with Shareholders and Investors sets the framework for open communication, regular engagement, and mutual understanding. This policy emphasises the importance of timely and accurate information sharing, allowing shareholders and investors to make informed decisions and actively participate in the Company's growth and governance. The Policy on Relations with Shareholders and Investors was approved by the Board and implemented with effect from September 2024.

The second policy on Corporate Disclosures was approved by the Board and implemented with effect from September 2024. The policy outlines the procedures and standards for disclosing material information, ensuring that all disclosures are timely, clear, and in compliance with legal and regulatory requirements. The main aim of the policy is to ensure greater transparency, accuracy, and consistency in the communication of a Company's financial and operational information to stakeholders. By promoting honest and open communication, the policy helps to build trust with investors, regulators, and the public.

Annual General Meeting (AGM)

The AGM serves as the primary forum for shareholders to engage directly with the Board, raise concerns, and offer suggestions. The meeting is attended by all Directors and members of the executive management, ensuring comprehensive representation and dialogue.

To facilitate meaningful participation, the Annual Report, notice of AGM, resolutions requiring shareholder approval, and voting instructions are distributed to shareholders at least 15 working days in advance to provide sufficient time for preparation prior to the AGM.

Arpico Insurance PLC's next AGM is scheduled to be held on April 2026.

BOARD COMPOSITION

Arpico Insurance PLC is governed by a strong and well-balanced Board. The composition of the Board is determined by the Company's Articles of Association and aligned with the latest regulatory frameworks.

The Company complies with the Board balance requirements set out under section 9.8.2 of the new CSE rules on corporate governance stipulating that at least two (02) Board Members or 1/3rd of the Board whichever is higher consists of Independent Directors.

Following the resignation of Mrs. Dilukshika Fernando (Independent Non-Executive Director) with effect from 30 November 2024, the Arpico Insurance PLC Board as at 31st December 2024 comprised 04 members consisting of 03 Non-Executive Directors and 01 Executive Director. The majority presence of Non-Executive Directors significantly enhances the quality and integrity of the Board, as Non-Executive Directors provide impartial oversight to strengthen governance practices, drive accountability, and facilitate informed decision-making at Board level.

In accordance with CSE Listing Rule 9.8.2.(b), Company appointed Mr. Rohan Muttiah as an Independent Non-Executive Director on 3rd March 2025.

In compliance with the provisions of the CSE's new Listing Rules on Corporate Governance issued in 2024, a formal Policy on Matters Relating to the Board of Directors was approved by the Board and implemented with effect from September 2024. The policy establishes clear guidelines on such matters as Board balance, Board composition, requirement of Senior Independent Director & Duties, participation at Board and Committee Meetings including via online channels and any other policies on matters relating to the Board of Directors.

CORPORATE GOVERNANCE

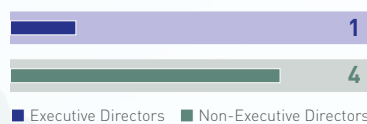
GOVERNANCE BENCHMARKS OF THE COMPANY

Arpico Insurance PLC places high priority on ensuring Board diversity. The Company is committed to maintaining diversity at Board level, reflecting a broad range of perspectives, skills, experiences, and backgrounds. As an insurer financial acumen, is deemed a key skill for Arpico Insurance PLC Board Directors.

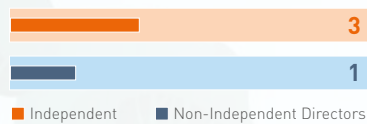
The Company Board as of 31st December 2024 reflects a healthy diversity in age, and professional expertise to facilitate robust discussions and active debate at the Board level. Of the 04 Board members, 02 possess extensive qualifications and experience in various financial related disciplines.

COMPOSITION

From 3rd March 2025

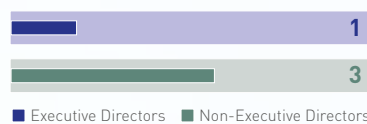


■ Executive Directors ■ Non-Executive Directors

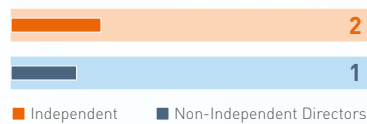


■ Independent ■ Non-Independent Directors

As at 31st December 2024*

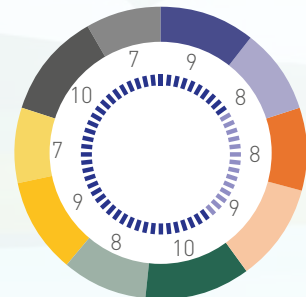


■ Executive Directors ■ Non-Executive Directors



■ Independent ■ Non-Independent Directors

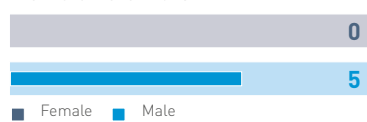
DIVERSITY OF EXPERTISE



- Business leadership and development
- Strategy
- Financial services experience
- Financial acumen
- Risk management
- Culture and conduct
- People and remuneration
- Technology and digital
- Corporate governance
- Legal and compliance

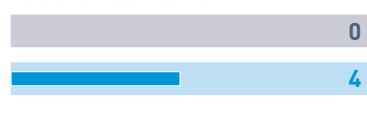
COMPOSITION

From 3rd March 2025



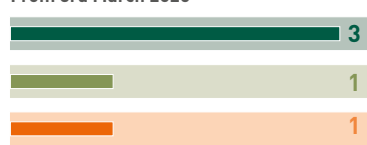
■ Female ■ Male

As at 31st December 2024*



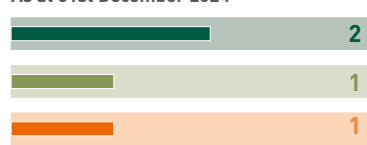
TENURE OF THE NON-EXECUTIVE DIRECTORS

From 3rd March 2025



■ Less than 3 years ■ 3 to 5 years ■ 6 to 10 years

As at 31st December 2024*



*Not in compliance during the period following the resignation of Mrs. Dilukshika Fernando with effect from 30th November 2024, until the appointment of Mr. Rohan Muttiah with effect from 3rd March 2025.

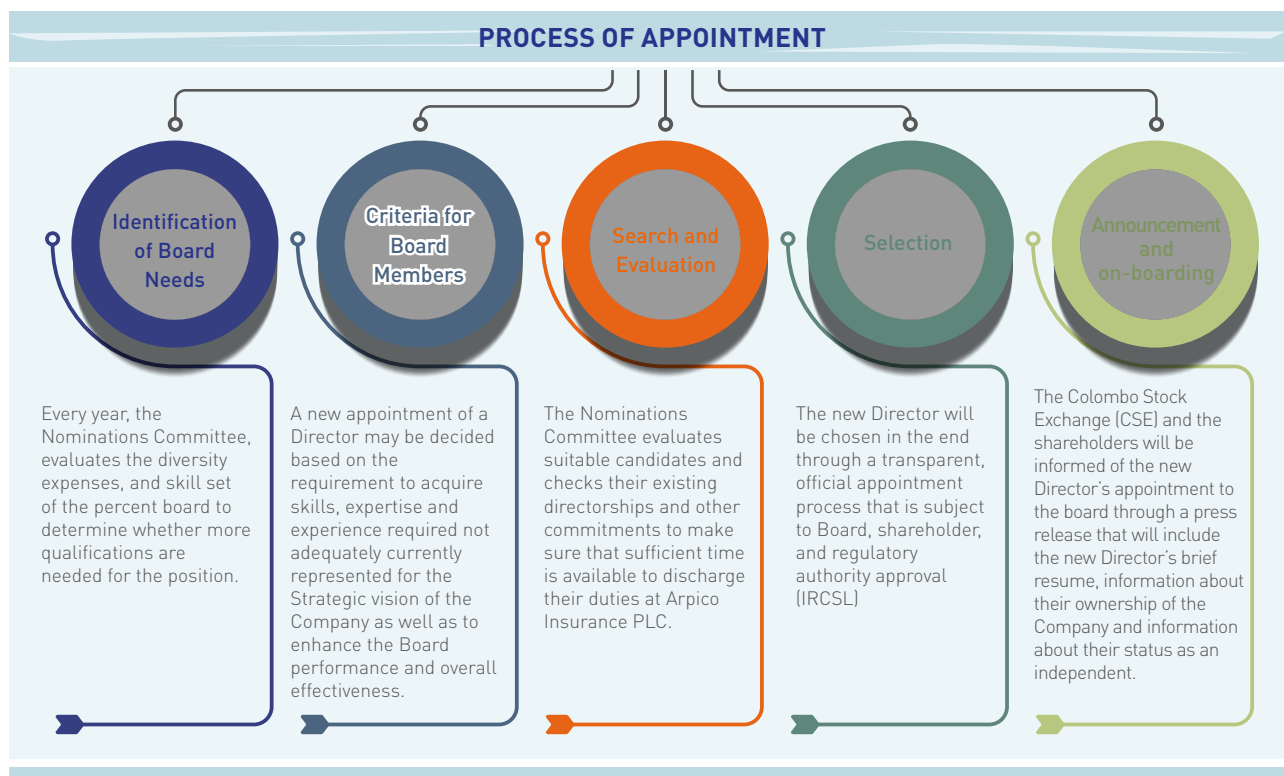
APPOINTMENT / RE-ELECTION / RESIGNATION / RETIREMENT OF DIRECTORS

Board members are appointed through a formal and transparent process that was implemented as part of the duties and responsibilities assigned to the newly-established Nominations and Governance Committee (NAGC). The NAGC is required to consider the suitability of potential candidates based on how their skills and expertise will augment the Board quality. This includes reviewing the external directorships held by potential candidates to determine that these do not exceed what is reasonable for them to be able to exercise due care, skill and diligence in their role as a member of the Arpico Insurance Board.

Meanwhile, as stated in the Group Articles of Association 1/3 of the Non-Executive Directors are required to retire from office at each Annual General Meeting but may remain eligible to stand for re-election by the shareholders at the Annual General Meeting. In this context as well, the NAGC reviews the relevant Directors' eligibility for re-election with due consideration of his/her past record in terms of participation, engagement and contribution towards Board matters.

A Director appointed by the Board to fill a casual vacancy that may have arisen since the previous AGM, is also entitled to offer himself / herself for re-election at the next AGM for approval by the shareholders.

It is mandatory for Directors who have served on the Board for 9 years consecutively or reach the age of 70 years (whichever comes first) to retire. However, provisions set out under Section 210 and 211 of the Companies Act No 07 of 2007 along with Direction 17 on Corporate Governance frameworks for insurers, allows such Directors to be recommended for re-election by way of an ordinary resolution submitted by the majority shareholders of the Company.



The Board ensures due process is followed to inform the CSE and shareholders of any appointment / re-election / resignation / retirement of Directors.

BOARD CHANGES FOR FY 2024		
NEW APPOINTMENTS	RE-ELECTIONS	RESIGNATIONS
Mr. Yudhishtan Kanagasabai INED - 18th Jul 2024 Mr. Ainsley Rohan Muturajah Muttiah INED - 03rd March 2025	Mr. Ramal Jasinghe Mr. Shiron Gooneratne Mr. Kelum Senanayake	Mrs. Dilukshika Fernando INED - 30th Nov 2024 Mrs. Lasinee Serasinhe INED - 27th May 2024

In compliance with the provisions of the CSE's new Listing Rules on Corporate Governance issued in 2024, a formal Policy on Corporate Governance, Nominations and Re-election was approved by the Board and implemented with effect from September 2024. The primary objective of this policy is to promote strong governance practices, transparency, and fairness in the nomination and re-election of Board members. The Policy further seeks to ensure Arpico Insurance PLC is led by a high quality and competent Board.

MANAGING CONFLICTS OF INTEREST

All Directors are required to act in good faith in executing their fiduciary duties towards shareholders and other stakeholders, by actively avoiding subjecting themselves to situations that can be construed as conflict of interest.

All Directors are expected to exercise due diligence and transparency in identifying and promptly disclosing potential conflicts to the Board. The newly established Policy on Internal Business Conduct and Ethics applicable

for Directors & Employees offers detailed guidance regarding protocols for managing conflict of interest, including recusal from discussions or decisions where a conflict arises.

The Company's Related Party Transactions Review Committee is tasked with the responsibility of assessing all conflict of interest disclosures made by Directors, and recommending to the Board appropriate action to mitigate such conflicts.

CORPORATE GOVERNANCE

Directors' Interest in Contracts					
Name of Director	Position on the Arpico Insurance Board	Directorships held in listed Companies		Directorships held in unlisted Companies	
		Executive Capacity	Non-Executive Capacity	Executive Capacity	Non-Executive Capacity
Mr. Ramal Jasinghe	Chairman (Independent Non-Executive Director)	-	-	-	-
Mr. Shiron Gooneratne	Non-Executive Director	-	2	-	14
Mr. Kelum Senanayake	Executive Director	-	-	-	-
Mr. Yudhishtan Kanagasabai	Independent Non-Executive Director	-	3	-	4
Mrs. Dilukshika Fernando- (Ceased to hold office since 30th Nov 2024)	Independent Non-Executive Director	-	-	-	-
Mrs. Lasinee Serasinhe (Ceased to hold office since 17th January 2024)	Independent Non-Executive Director	-	-	-	-

DIRECTOR'S REMUNERATION

The newly-established Policy on Remuneration outlines the framework for determining fair and competitive compensation for Directors, executives, and employees of Arpico Insurance PLC.

The policy sets out clear structures regarding the remuneration of both Executive and Non-Executive Directors. Non-Executive Independent Directors receive a fee for serving as a Director of the Arpico Insurance Board and a member of a Sub-Committee. This is based on market norms and fees paid to other Non- Executive and independent Directors in similar entities. An annual review by the Board helps to update the remuneration of Non-Executive Independent Directors in line with industry standards.

Meanwhile, remuneration for Executive Directors, while influenced by local market rates, is mainly shaped by the Company's overall performance objectives - an approach that ensures remuneration is competitive, performance-driven, and aligned with the long-term success and sustainability of the Company.

Based on these underlying principles, remuneration for Executive Directors typically consist of fixed and variable elements such as, performance-based incentives, bonuses, and long-term equity awards. Remuneration of Key Management Personnel (KMP's) is also determined in the same way.

DIVISION OF RESPONSIBILITIES

In line with global best practices, Arpico Insurance has established a clear division of responsibilities at the leadership level to promote accountability, prevent conflicts of interest, and ensure that both governance and management functions are conducted with the highest levels of professionalism and integrity

Accordingly, there exists a clear separation of roles between the Chairman and the CEO.

The Arpico Insurance Board is led by a Non-Executive Independent Chairman, who provides objective leadership and oversees Board effectiveness by promoting unbiased discussions and decision-making at the Board level. The Executive Director/CEO is responsible for executing the Board's strategic directives, managing day-to-day

operations, and driving the Company's performance in alignment with its long-term goals.

BOARD COMMITTEES

To assist in performing its oversight role, the Board has appointed several Sub Committees to provide oversight in specific key areas.

In compliance with the provisions of the CSE's new Listing Rules on Corporate Governance issued in 2024, 2 new Board Committees, namely the Nominations and Governance committee (NAGC) and the Remuneration Committee were established in September 2024. Accordingly, as at 31st December 2024, the Company had established all 04 mandatory Committees - the Board Audit Committee, the Related Party Transaction Review Committee, the Nominations and Governance Committee and the Remuneration Committee. With the resignation of Mrs. Dilukshika Fernando (INED), on 30th Nov 2024, the Company fell short of the compliance requirements under the CSE Listing Rules with regard to the composition of the Audit Committee. An announcement to the fact was made to the CSE on 5th December 2024.

Moreover, the Policy on Board Committees was also approved by the Board established with effect from September 2024, setting out formal Terms of Reference (TOR's) for all 04 Committees, which hereinafter would be reviewed annually by the Board and updated as needed in line with regulatory changes and good governance practices.

AUDIT COMMITTEE

Objective

- Financial Reporting Integrity
- Risk Management & Internal Control
- External & Internal Audit Oversight
- Regulatory & Compliance Assurance

Members (Number of meetings)

Name	Attendance
Mrs. Lasinee Seresinhe (Ceased to hold office from 27th May 2024)	2/2
Mr. Yudhishtan Kanagasabai (w.e.f. 18th July 2024)	2/2
Mr. Shiron Gooneratne	2/4
Mrs. W Dilukshika N Fernando (Ceased to hold office from 30th November 2024)	4/4
Mr. Rohan Muttiah (w.e.f. 3rd March 2025)	N/A

INVITEES

- Representatives from Ernst & Young (EY).
- Group Management Committee,
- Key members of the finance and risk teams

Further readings

Committee Report on page 151.

NOMINATIONS AND GOVERNANCE COMMITTEE

Objective

- Board Composition & Succession Planning
- Corporate Governance Framework
- Performance Evaluation
- Independence & Conflicts of Interest

Name
Mrs. Dilukshika (Ceased to hold office since 30th November 2024)
Mr. Yudhishtan Kanagasabai (w.e.f. 18th July 2024)
Mr. Shiron Gooneratne
Mr. Rohan Muttiah (w.e.f. 3rd March 2025)

Invitees

Further readings
Committee Report on page 164.

BOARD REMUNERATION COMMITTEE

Objective

- Fair & Competitive Compensation
- Performance-based Rewards
- Regulatory Compliance & Governance
- Transparency & Disclosure

Members (Number of meetings)

Name
Mrs. Dilukshika Fernando (Ceased to hold office from 30th November)
Mr. Yudhishtan Kanagasabai (w.e.f. 18th July 2024)
Mr. Shiron Gooneratne
Mr. Rohan Muttiah (w.e.f. 3rd March 2025)

Invitees

Further readings
Committee Report on page 161.

BOARD RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Objective

- Review and Approval of RPTs
- Compliance with Regulations
- Transparency and Disclosure
- Risk Mitigation

Members (Number of meetings)

Name	Attendance
Dr. Jayatissa De Costa P.C.	3/3
Mr. Prasanna Fernando.	3/3
Mr. J F Fernandopulle	3/3
Dr. Jayatissa De Costa P.C.	3/3
Mr. Yudhishtan Kanagasabai (w.e.f. 18th July 2024)	1/1
Mrs. W Dilukshika N Fernando (Ceased to hold office since 30th November 2024)	1/1
Mr. Shiron Gooneratne	1/1
Mr. Rohan Muttiah (w.e.f. 3rd March 2025)	N/A

Invitees

Further readings
Committee Report on page 166.

CORPORATE GOVERNANCE

RISK COMMITTEE

Objective

- Risk Oversight & Governance
- Identification & Assessment of Risks
- Mitigation & Internal Controls
- Risk Reporting & Compliance

Members (Number of meetings)

Name
Mrs. L. Serasinhe (Ceased to hold office from 27th May 2024)
Mr. Yudhishtan Kanagasabai (w.e.f. 18th July 2024)
Mr. Ramal Jasinghe
Mrs. Dilukshika Fernando (Ceased to hold office by 30th November 2024)
Mr. Rohan Muttiah (w.e.f. 3rd March 2025)

Invitees

- Chief Executive Officer
- Head of Actuarial, Risk, Compliance, and Investments
- Risk & Compliance Officer
- Financial Controller
- Other corporate management team members

Further readings

Committee Report on page 148.

INVESTMENT COMMITTEE

Objective

- Investment Strategy & Policy Oversight
- Risk-Adjusted Investment Decisions
- Performance Monitoring & Optimisation
- Compliance & Governance

Members (Number of meetings)

Name	Attendance
Mr. Shiron Gooneratne	2/2
Mr. Ramal Jasinghe	2/2

Invitees

Further readings

Committee Report on page 158.

COMPANY SECRETARY

The Company Secretary of Arpico Insurance PLC plays a crucial role in ensuring the effectiveness of the Board and its governance framework. As a trusted advisor to the Board, the Company Secretary is responsible for providing guidance on corporate governance practices, regulatory compliance, and Board procedures. Directors have unrestricted access to the Company Secretary.

The Company Secretary's key responsibilities include coordinating Board meetings, preparing and distributing the Board pack and minutes, and ensuring timely communication of Board decisions to relevant stakeholders. By acting as a liaison between the Board, management, and shareholders, the Company Secretary upholds transparency and accountability, contributing to the Company's commitment to good governance.

The Company Secretary also facilitates the induction and ongoing training of Directors, ensuring they remain well-informed of their responsibilities and industry developments.

The appointment of the Company Secretary is approved by the Board after rigorous screening, including fit and proper clearance. The Board undertakes an annual review to assess the performance of the Company Secretary.

DIRECTOR'S TRAINING

Training is critical for ensuring that members of the Board are well-equipped to fulfil their roles effectively through sound decision making to uphold the highest governance standards. Directors training, which is arranged by Company Secretary, often focuses on emerging industry trends, risk management, corporate governance best practices, and legal requirements. Additionally, knowledge development opportunities are provided to keep Directors updated on changes in laws, regulations, and best practices, further enhancing their ability to guide the Company toward long-term success while safeguarding stakeholders' interests.

All new Directors receive an orientation pack with all relevant external and internal documentation to ensure they are adequately briefed and have the requisite knowledge of the Company and its operations. New Directors are also given the opportunity to meet with the Board and KMP's as needed.

BOARD MEETINGS

Board meetings are held every month or more often when needed. Board meetings are planned ahead by the Chairman in collaboration with the Company Secretary who draws up the annual meeting calendar, which once finalised is circulated among all Directors.

PLANNING OF BOARD MEETINGS

The meeting calendar is prepared by the Company Secretary annually in advance and communicated to all Board members.

The Chairman sets the Board agenda, assisted by the Company Secretary, with the meeting time established to ensure all agenda items receive adequate time discussed. Directors are allowed to make a written request to the Chairman detailing any additional matters to be included in the agenda.

The finalised agenda along with a comprehensive Board pack containing relevant Board Papers are circulated among all Directors at least seven (07) working days prior to the meeting date, allowing Board members sufficient time to review the same.

ACCESS TO INFORMATION

All Board Directors have the right to access essential information needed to prepare for and contribute effectively at meetings. As such Directors may, at any time request to review data relating to the Company's operations, financial performance, risks, and strategic plans and request access to any relevant documents. They are also allowed to reach out to KMP's to raise questions and seek appropriate clarifications.

Directors may also obtain independent professional advisory service, as needed to fulfil their role as Board members. All such expenses are borne by the Company.



ATTENDANCE AT MEETING

Directors	Status	Board	AC	RPTRC
Mr. Ramal Jasinghe	I	8	N/A	N/A
Mr. Shiron Gooneratne	N	8	2	1
Mr. Kelum Senanayake	E	8	N/A	N/A
Mrs. Lasinee Seresinhe	I	2	2	N/A
Mrs. Dilukshika Fernando	I	5	4	1
Mr. Yudhishtan Kanagasabai	I	5	2	1
Dr. Jayatissa De Costa P.C.	N/A	N/A	N/A	3
Mr. Prasanna Fernando	N/A	N/A	N/A	3
Mr. J. F. Fernandopulle	N/A	N/A	N/A	3
Total Number of Meetings		8	4	4

I - Independent Director
N - Non-Executive Director
E - Executive Director
AC - Audit Committee

RPTRC - Related Party Transactions Review Committee
RC - Risk Committee
NC - Nomination Committee

As stipulated in the newly established Policy on Matters Relating to the Board of Directors, every Director required to participate in at least one or over 10% of the general Board meetings. The policy allows Directors to participate at Board meetings using audio visual channels with such participation taken into account when deciding on the quorum in the event that the physical quorum of 03 is not met.

Board members, regardless of whether they participate in-person or online, are expected to come well prepared and

engage in robust discussions on key matters pertaining to the Company.

The Chairman takes the lead in ensuring effective Board meetings by ensuring all Directors have the opportunity to contribute, thereby promoting open, constructive discussions and encouraging diverse perspectives, while keeping a strict focus on addressing all agenda items, including deliberation of Board resolutions.

CORPORATE GOVERNANCE

Every Board meeting agenda includes a segment where the Chairman / Chairperson of each Board committee is required to provide an update on significant matters discussed at their respective Board sub-committee meetings held since the previous Board meeting.

Members of the Corporate Management team also often attend Board meetings on invitation.

The Company Secretary is responsible for maintaining the minutes of each Board meeting. These minutes are initially presented to the Chairman for approval before being shared with the Directors and other members of Corporate Management who attended the Board meeting.

A total of 8 Board meetings were held in FY 2024.

BOARD AND BOARD SUB COMMITTEE EVALUATION

The effectiveness of the Board and its Subcommittees undergoes an annual evaluation. As part of this process, all Directors are required to complete a self-assessment, providing their insights on the Board's balance and overall effectiveness in functioning.

EVALUATING THE PERFORMANCE OF THE CEO

The performance of Arpico Insurance PLC's Executive Director/CEO is evaluated annually by the Board at the conclusion of a particular financial year to review the performance and progress of the Company against the targets, goals and objectives established at the start of the financial year. Based on the outcomes of this annual performance review, the Board recommends to the Remuneration Committee regarding any adjustments to the CEO's compensation.

COMPLIANCE STATUS ACCORDING TO THE BEST PRACTICE CODE REQUIREMENT

Principle A. DIRECTORS	Terms as Best Practice Code	Best Practice Code Requirement	Compliance Status
A.1	The Board	Every Public Company should be headed by an effective board	Complied
A.1.1	Board Meetings	Board meeting should be held at least once in every quarter of a financial year (4 times during the year) in order to effectively execute the board's responsibilities	Complied
A.1.2	Roles & Responsibilities	■ The board's role is to provide entrepreneurial leadership of the company within a framework of prudent and effective controls which enables risk to be assessed and managed ■ Ensure formulation and implementation of a sound business strategy ■ Appointing the chair and senior independent directors if relevant ■ Ensuring that the Chief Executive Officer (CEO) and management team possess the skills, experience and knowledge to implement the strategy ■ Ensuring the adoption of an effective CEO and Key Management Personnel succession strategy ■ Approving budgets and major capital expenditure ■ Determining the matters expressly reserved to the Board and those delegated to the management including limits of authority and financial delegation ■ Ensuring effective systems to secure integrity of information, internal controls, business continuity and risk management ■ Ensuring the availability of information communication technology (ICT) roadmap in line with business strategy of the company, and monitor the progress of implementation through the ICT dashboard, ensuring compliance with laws, regulations and ethical standards ■ Ensuring all stakeholder interests are considered in corporate decisions ■ Recognising sustainable business development in Corporate Strategy, decisions and activities and consider the need for adopting "integrated reporting" ■ Ensuring that the Company's values and standards are set with emphasis on adopting appropriate accounting policies and fostering compliance with financial regulations ■ Establish a process of monitoring and evaluation of progress on strategy implementation, budgets, plans and related risks ■ Ensuring that a process is established for corporate reporting on annual and quarterly basis or more regularly as relevant to the Company ■ Fulfilling such other Board functions as are vital, given the scale, nature and complexity of the business concerned	Complied

CORPORATE GOVERNANCE

Principle A. DIRECTORS	Terms as Best Practice Code	Best Practice Code Requirement	Compliance Status
A.1.3	Act in accordance with the laws of the Country	The board collectively, and directors individually, must act in accordance with the laws of the country, as applicable to the business enterprise. The Board has confirmed that the Company has been compliant with the provisions set by the Companies Act No. 07 of 2007, Regulation of Insurance Industry (RII) Act No. 43 of 2000, Direction 17 on Corporate Governance by the Insurance Regulatory Commission of Sri Lanka ("IRCSL"), and the Code of Best Practice on Corporate Governance 2023 issued by CA Sri Lanka.	Complied
A.1.4	Access to advice and services of the Company Secretary	All directors should have access to the advice and services of the company secretary, who is responsible to the board in ensuring that board procedures are followed, and that applicable rules and regulations are complied with. The company should obtain appropriate insurance cover as recommended by the nominations committee for the board, directors, and key management personnel.	Complied
A.1.5	Independence judgment	All directors should bring independent judgment to bear, in discharging their duties and responsibilities on matters relating to the board including strategy, performance, resource allocation, risk management, compliance and standards of business conduct	Complied
A.1.6	Dedicate adequate time and effort to matters of the Company	Every director should dedicate adequate time and effort to matters of the board and the company, to ensure that the duties and responsibilities owed to the company are satisfactorily discharged	Complied
A.1.7	Procedures relating to Directors' Matters in the best interests of the Company	One third of directors can call for a resolution to be presented to the board where they feel it is in best interest to the company to do so. Procedures are in accordance with the specific provisions set out by the Articles of Association of the Company and the Code for best practice on Corporate Governance	Complied
A.1.8	Board induction and training	Every director should receive appropriate training when first appointed to the board of a company, and subsequently as necessary. A director must recognise that there is a need for continuous training and an expansion of the knowledge and skills required to effectively perform duties as a director. The board should regularly review and agree on the training and development needs of the directors.	Complied
A.2	Chairman and Chief Executive Officer (CEO)	The position of the Chairman and CEO have been separated in line with the code and their roles and responsibilities are clearly defined in order to maintain balance of power and authority. The Chairman of the Company is Mr. Ramal Jasinghe and the CEO of the Company is Mr. Kelum Senanayake.	Complied
A.3	Chairman's Role	The chairman's role in preserving good corporate governance is crucial. As the person responsible for running the board, the chairman should preserve order and facilitate the effective discharge of board functions; maintains smooth functioning of the Board, presides at the Directors' and Shareholders' meetings to ensure Director participation and proper execution of Board proceedings and promotes and carries out his responsibilities in the best interests of good governance.	Complied

Principle A. DIRECTORS	Terms as Best Practice Code	Best Practice Code Requirement	Compliance Status
A.4	Financial Acumen	The board should ensure the availability within it, of those with sufficient financial acumen and knowledge to offer guidance on matters of finance	Complied
A.5	The Board Balance	The board should include at least three non-executive directors or such number of non-executive directors, equivalent to one third of total number of directors, whichever is higher. In the event the chairman and CEO is the same person, or if the chairman is not an independent director, non-executive directors should comprise majority of the board. At least three or two third of total number of non-executive directors appointed to the board of directors whichever higher should be independent.	Complied*
A.6	Supply of Information	The board should be provided with timely information in a form and of a quality appropriate to enable it to discharge its duties.	Complied
A.7	Appointment to the Board	Board should establish a formal and transparent procedure for the appointment of new directors to the board.	Complied
A.8	Re-election and Resignation of Directors	All directors should be required to submit themselves for re-election at regular intervals and at least once in every three years.	Complied
A.9	Appraisal of Board Performance	Boards should periodically appraise their own performance in order to ensure that board responsibilities are satisfactorily discharged.	Complied
A.10	Information in Respect of Directors as Specified in the Code	Shareholders should be kept advised of relevant details in respect of directors. Profiles including qualifications, expertise, and appointments. Material business interests of Directors. Whether Executive, Non-Executive and/or Independent Director. Total number of Board seats held by each Director in other companies. Number/percentage of Board meetings of the Company attended during the year. Members of Committees and attendance at Board meetings and committee meetings	Complied
A.11	Appraisal of the Chief Executive Officer [CEO]	The Board should be required, at least annually, to assess the performance of the CEO.	Complied

* Not in compliance during the period following the resignation of Mrs. Dilukshika Fernando with effect from 30th November 2024, until the appointment of Mr. Rohan Muttiah with effect from 3rd March 2025

CORPORATE GOVERNANCE

COMPLIANCE STATUS ACCORDING TO THE CSE LISTING RULES

Principle 9. Corporate Governance	Terms as CSE Listing Rules	Listing Rule Requirement	Compliance Status
9.1	Applicability of Corporate Governance Rules	By confirming its adherence to corporate governance guidelines, the company has complied with CSE Listing Rule 9.	Complied
9.2.1	Policies	Listed Entities shall establish and maintain the following policies and disclose the fact of existence of such policies together with the details relating to the implementation of such policies by the Entity on its website; a) Policy on the matters relating to the Board of Directors b) Policy on Board Committees c) Policy on Corporate Governance, Nominations and Re-election d) Policy on Remuneration e) Policy on Internal Code of Business conduct and Ethics for all Directors and employees, including policies on trading in the Entity's listed securities f) Policy on Risk management and Internal controls g) Policy on Relations with Shareholders and Investors h) Policy on Environmental, Social and Governance Sustainability i) Policy on Control and Management of Company Assets and Shareholder Investments j) Policy on Corporate Disclosures k) Policy on Whistleblowing l) Policy on Anti-Bribery and Corruption	Complied
9.2.2	Policies	Any waivers from compliance with the Internal Code of business conduct and ethics or exemptions granted by the Listed Entity shall be fully disclosed in the Annual Report.	Complied
9.2.3	Policies	The policies have been disclosed on the company website, and no modifications have been made to the policies throughout the year.	Complied
9.2.4	Policies	Listed Entities shall make available all such policies to shareholders upon a written request being made for any such Policy	Complied
9.3.1	Board Committees	The Company maintains 4 mandatory committees required by CSE listing rules. Refer respective committee reports. a) Nominations and Governance Committee b) Human Resource and Remuneration Committee c) Audit Committee d) Related Party Transactions Review Committee	Complied

Principle 9. Corporate Governance	Terms as CSE Listing Rules	Listing Rule Requirement	Compliance Status
9.3.2	Board Committees	Listed Entities shall comply with the composition, responsibilities and disclosures required in respect of the Board committees as set out in these Rules	Complied
9.3.3	Board Committees	The Chairperson of the Board of Directors of the Listed Entity shall not be the Chairperson of the Board Committees	Complied
9.4.1, 9.4.2	Adherence to principles of democracy in the adoption of meeting procedures and the conduct of all General Meetings with shareholders	Listed Entities shall retain records of all resolutions and the following information whenever a resolution is considered at any General Meeting of the entity. The entity shall provide copies of the same at the request of the exchange and/or SEC The number of shares in respect of which proxy appointments have been validly made; a) The number of votes in favour of the resolution; b) The number of votes against the resolution; and c) The number of shares in respect of which the vote was directed to be abstained Communication and relations with shareholders and investors	Complied Complied
9.5.1	Policy on matters relating to the Board of Directors	Listed Entities shall establish and maintain a formal policy governing matters relating to the Board of Directors.	Complied
9.5.2	Policy on matters relating to the Board of Directors	Listed Entities shall confirm compliance with the requirements of the policy referred to in Rule 9.5.1 above in the Annual Report and provide explanations for any non- compliance with any of the requirements with reasons for such non-compliance and the proposed remedial action.	Complied
9.6.1-9.6.4	Chairperson and CEO	The Chairperson of every Listed Entity shall be a Non-Executive Director and the positions of the Chairperson and CEO shall not be held by the same individual.	Complied
9.7.1 – 9.7.2	Fitness of Directors and CEOs	The Listed Entities shall take necessary steps to ensure that their Directors and the CEO are, at all times, fit and proper persons as required in terms of these Rules: In evaluating fitness and propriety of the persons referred in these Rules, Listed Entities shall utilise the 'Fit and Proper Assessment Criteria' set out in Rule 9.7.3	Complied
9.7.3 – 9.7.5	Fitness of Directors and CEOs	A fit and proper assessment process to be implemented, and all directors needs to be assessed -annually in accordance with Rule, as well as IRCSL regulations.	Complied
9.8.1	Board Composition	The Board of Directors of a Listed Entity shall, at a minimum, consist of five (05) Directors	Complied*

CORPORATE GOVERNANCE

Principle 9. Corporate Governance	Terms as CSE Listing Rules	Listing Rule Requirement	Compliance Status
9.8.2	Board Composition	The Board of Directors of Listed Entities shall include at least two Adopted (2) Independent Directors or such number equivalent to one third (1/3) of the total number of Directors.	Complied*
9.8.3- 9.8.4	Board Composition	The Criteria for determining independence shall complied with Listing Rule 9.8.3	Complied
9.8.5	Board Composition	Each Independent Director to submit a signed and dated declaration annually of his or her "independence" or "non-independence" The Board has reviewed these annual declarations and other available information to verify adherence to the criteria for assessing independence. (Refer Note 01)	Complied
9.9	Alternate Director	If a Listed Entity provides for the appointment of Alternate Directors, it shall be required to comply with the CSE Listing Rule	The Company was not required to appoint an Alternate Director during the period.
9.10.1	Disclosures relating to Directors	Listed Entities shall disclose its policy on the maximum number of directorships it's Board members shall be permitted to hold in the manner specified in Rule 9.5.1.	Not implemented
9.10.2	Disclosures relating to Directors	Listed Entities shall, upon the appointment of a new Director to its Board, make an immediate Market Announcement setting out the following; I. A brief resume of such Director; II. His/her capacity of directorship; and, III. Statement by the Entity indicating whether such appointment has been reviewed by the Nominations and Governance Committee of the Entity.	Complied
9.10.3	Disclosures relating to Directors	Listed Entities shall make an immediate Market Announcement regarding any changes to the composition of the Board of Directors or Board Committees referred to in Rule 9.3	Complied
9.10.4	Disclosures relating to Directors	Listed Entities shall also disclose the information required to rule no. 9.10.4 in relation to the Directors in the Annual Report.	Complied
9.11.1- 9.11.3	Nominations and Governance Committee	Established a Nominations and Governance Committee, which follows a formal procedure for appointing new Directors and re-electing existing Directors to the Board. The Committee operates under a set of written terms of reference that clearly define its scope, authority, and responsibilities. Refer to Nominations and Governance Committee report	Complied since October 2024

Principle 9. Corporate Governance	Terms as CSE Listing Rules	Listing Rule Requirement	Compliance Status
9.11.4	Composition	Comprise of a minimum of three (03) Directors of the Listed Entity, out of which a minimum of two (02) members shall be Independent Directors of the Listed Entity. Not comprise of Executive Directors of the Listed Entity. An Independent Director shall be appointed as the Chairperson of the Nominations and Governance Committee by the Board of Directors. The Chairperson and the members of the Nominations and Governance Committee shall be identified in the Annual Report of the Listed Entity.	Complied since October 2024*
9.11.5	Functions of the Committee	The Committee shall fulfil its duties by evaluating and recommending Director appointments, establishing selection criteria, reviewing the Board's structure, and updating governance policies in accordance with the stipulations outlined in Section 9.11.5, thereby ensuring compliance with regulatory requirements. Re-elections and new appointments have been disclosed.	Complied since October 2024
9.11.6	Disclosures	Disclosure requirements, as follows. a) The names of the Chairperson, Committee members and Directors; b) Committee appointment date; c) Nominating Director policy existence; d) Directors' periodic re-election requirement; e) Board diversity disclosure; f) Effective Director appointment policy demonstration; g) Re-elected Directors' details; h) Board and Managing Director (CEO) performance evaluations; i) Independent Directors' major entity issues awareness; j) New Directors' induction on governance; k) Annual updates on governance for Directors; l) Directors' independence confirmation; m) Listing Rules compliance statement, non-compliance explanation, and remedial actions.	Complied
9.12.6	Remuneration Committee	The Company shall operate with a separate Remuneration Committee. The Remuneration Committee comprises Two (2) Independent Non-Executive Directors and One (1) Non-Executive Director. An Independent Director serves as the Chairperson.	Complied since October 2024*

CORPORATE GOVERNANCE

Principle 9. Corporate Governance	Terms as CSE Listing Rules	Listing Rule Requirement	Compliance Status
9.12.7	Functions	Recommends and assesses the relevance of the remuneration payable to the Executive Directors of the Company.	Complied since October 2024
9.12.8	Disclosures	a) Chairperson and members of the Remuneration Committee and their Directorships. b) Statement on remuneration policy. c) Aggregate remuneration of Executive and Non-Executive Directors.	Complied
9.13	Audit Committee	The Company shall establish an Audit Committee as a separate Board Sub-Committee to oversee Risk Management and Internal Controls. The Committee operates under a set of written terms of reference that clearly outline its scope, authority, duties.	Complied
9.13.3	Composition	Shall comprises of Two [2] Independent Non-Executive Directors and One [1] Non-Executive Director. During the year the Committee shall meet four [4] times with the participation of the Managing Director, CFO, and Chief Audit and Compliance Officer by invitation. An Independent Director serves as the Chairperson	Complied* Complied Complied
9.13.4	Functions	The committee shall oversee the entity's compliance with financial regulations, reviewing financial statements and accounting policies, recommending external auditor appointments, ensuring assurance on financial records and risk management, overseeing compliance with auditing standards and risk management, evaluating risk policies, taking corrective actions on excessive risks, reviewing audit effectiveness, establishing policies for external auditor engagement, justifying auditor changes when necessary, and promptly reporting breaches to the Board and relevant authorities.	Complied

Principle 9. Corporate Governance	Terms as CSE Listing Rules	Listing Rule Requirement	Compliance Status
9.13.5	Disclosures	a) Chairperson and Audit Committee members' details, b) Risk management status for the Company. c) CEO and CFO assurance statement. d) Compliance opinion on financial reporting requirements. e) Confirmation of Audit Charter existence. f) Summary of internal audit method. g) Details of functions discharged for the financial year. h) Confirmation of external auditors' independence. i) Auditor independence determination and engagement details.	Complied
9.14.1	Related Party Transactions Review Committee	Shall established a Related Party Transactions Review Committee and complies with the requirements outlined in Rule 9.14. The Committee operates under a set of written terms of reference that clearly outline its scope, authority, duties.	Complied
9.14.2	Composition	The Related Party Transactions Review Committee shall comprise of a minimum of three (03) Directors of the Listed Entity, out of which two (02) members shall be Independent Directors of the Listed Entity. It may also include executive directors, at the option of the Listed Entity. An Independent Director shall be appointed as the Chairperson of the Committee.	Complied*
9.14.3	Functions	The Company shall set up a Related Party Transactions Review Committee to oversee such transactions, with the aim of safeguarding shareholders' interests and preventing abuse by Directors, CEOs, or Substantial Shareholders. The rules prioritise the economic and commercial substance of transactions over the legal form or technicalities. The committee is tasked with establishing and maintaining clear policies, procedures, and processes for identifying, clarifying, and reporting related party transactions across the Company's operations.	Complied
9.14.4	General requirements	The Committee shall convenes quarterly, ensuring thorough documentation of meeting minutes for the Board of Directors. Committee members have access to adequate expertise to evaluate proposed transactions, seeking professional advice when necessary. Approval from the Board of Directors is required for reviewed transactions as mandated by Rule 9.14.4. Directors with personal interests in such matters must abstain from participation and voting during relevant Board Meetings.	Complied

CORPORATE GOVERNANCE

Principle 9. Corporate Governance	Terms as CSE Listing Rules	Listing Rule Requirement	Compliance Status
9.14.5 – 9.14.6	General Requirements	The Related Party Transactions Review Committee, shall review all related party transactions, while also considering any material changes to previously reviewed transactions under Rule 9.14.5. They assess transaction details, and Director independence, and may establish guidelines for ongoing deals, conducting annual compliance reviews.	Complied
9.14.7	Disclosures	There were no non-recurrent related party transactions which exceeded the aggregate value of 10% of the Equity or 5% of the Total Assets. There were no recurrent related party transactions which exceeded aggregate value of the 10% of the gross revenue/ income (or equivalent term in the Income Statement) during the year. The Board confirms that the Company has disclosed transactions with Related Parties in terms of Sri Lanka Accounting Standard (LKAS 24) and has complied with all requirements as per the CSE Listing Rules.	Complied
9.14.8	Annual report disclosures	There were no transactions in the aggregate value of the non- recurrent Related Party Transactions exceeding 10% of the Equity or 5% of the Total Assets of the Company, as per the latest Audited Financial Statements.	Complied
9.14.9	Disclose	Acquisition and Disposal of Assets from/to related parties	No substantial acquisitions or disposals occurred during the year.
9.14.10	Exempted Related Party Transactions	Use definition given under exempted related party transactions when determine the related party transactions of the Company	Complied
9.16	Other disclosures	i) The Board of Directors has disclosed all material interests in Entity contracts and refrained from voting on such matters. (Refer page 143) ii) The Board has reviewed internal controls and obtained reasonable assurance of effectiveness. Any inability to declare is explained. (Refer page 147) iii) The Board stays informed about applicable laws, rules, and regulations. (Refer page 46)	Complied
		iv) The Board discloses instances of non-compliance and material fines in Entity operated jurisdictions.	Non compliances were disclosed and no fines were incurred in 2024

* Not in compliance during the period following the resignation of Mrs. Dilukshika Fernando with effect from 30th November 2024, until the appointment of Mr. Rohan Muttiah with effect from 3rd March 2025

DIRECTION ON CORPORATE GOVERNANCE FOR INSURERS ISSUED BY THE INSURANCE REGULATORY COMMISSION OF SRI LANKA

Principle	Implications	Compliance
A	Adherence of the Code of Best Practice on Corporate Governance 2024	Complied
B.1	A minimum of two Directors of the Board must be citizens and residents of Sri Lanka	Complied
B.2	Total service period of a Non-Executive Director [NED] shall not exceed nine [9] years	Complied
B.3	Age of a person who serves as a Director of the Company, shall not exceed 75 years	Complied
B.4	Adherence to the Section 9 of the Listing Rules of the CSE	Complied
B.5	Appointments in Other Boards The Directors of the Company do not hold directorship of more than 20 Companies, inclusive of subsidiaries or associate companies of the insurer/ Company. Of such 20, a maximum of 10 companies shall be classified as Specified Business Entities.	Complied
B.6	Disclosed compliance status as required in Section 9 of the Listing Rules of the CSE	Complied
B.7	Any non-compliance status in respect of principle B of this direction Compliance requirements set by the "IRCSL Direction 17" specific to Principle B as mentioned above on Corporate Governance are successfully achieved as required.	Complied
B.8	In the case of a Director older than 70 years continuing in service None of the Directors on the Board are older than 70 years and if any Director wishes to serve beyond the age of 70, the Company should provide a certification and written confirmation through the Company Secretary to the IRCSL, which has been duly approved by passing a resolution at the general meeting and/or not prohibited by the Articles of Association of the Company.	Not applicable

INDEPENDENCE OF DIRECTORS AS AT 31ST DECEMBER 2024

Name of the Director	Employment by the Company	Material Business Relationship	Close family member is a KMP	Significant Shareholding	Consecutive service of nine or more years	Business Relationship	Director of another Company	Shareholder in another Company	70 Years of Age*
Mr. Ramal Jasinghe	✓	✓	✓	✓	✓	✓	✓	✓	✓
Mr. Shiron Gooneratne	✓	✓	✓	✓	✓	✓	✗	✓	✓
Mr. Kelum Senanayake	✗	✓	✓	✓	✓	✓	✓	✓	✓
Mr. Yudhishtan Kanagasaba	✓	✓	✓	✓	✓	✓	✓	✓	✓
Mr. Ainsley Rohan Muturajah Muttiah	✓	✓	✓	✓	✓	✓	✓	✓	✓
Mrs. Dilukshika Fernando	✓	✓	✓	✓	✓	✓	✓	✓	✓
Mrs. Lasinee Seresinhe	✓	✓	✓	✓	✗	✓	✓	✓	✓

CORPORATE GOVERNANCE

NOTE 1

According to A5.5 of code of best practices for corporate governance 2023, a director who has served on the board more than nine years can still be considered independent despite having

some relationships or circumstances that might typically suggest otherwise. In the absence of material business relationships, significant shareholdings, business connections, employment or family relationship with the company,

Non-executive director Mrs. Lasinee Serasinghe can still be deemed independent despite her service more than nine years.

Statement/Report	Regulatory Body	Relevant Act	Current Status
VAT	Insurance Regulatory commission of Sri Lanka	VAT Act No 14 of 2002	Complied
Returns to IRCSL (Quarterly/ Annual/ Further Returns/ Actuarial Returns/ Circular/ Management Letter)	Insurance Regulatory commission of Sri Lanka	Regulation of Insurance Industry Act No 43 of 2000	Complied
Annual Fee to IRCSL	Insurance Regulatory commission of Sri Lanka	Regulation of Insurance Industry Act No 43 of 2000	Complied
Reinsurance Arrangements to the Controller	Insurance Regulatory commission of Sri Lanka	Regulation of Insurance Industry Act No 43 of 2000	Complied
Copy of Register of Insurance Agents Registered with Arpico Insurance PLC	Insurance Regulatory commission of Sri Lanka	Regulation of Insurance Industry Act No 43 of 2000	Complied
Stamp Duty	Department of Inland Revenue	Stamp Duty (Special Provisions) Act No 12 of 2006	Complied
CSE Quarterly Returns	Colombo Stock Exchange	CSE Listing Rules	Complied
Anti-Money Laundering Statements	Financial Intelligence Unit-Central Bank of Sri Lanka	Financial Transactions Reporting Act No 6 of 2006	Complied
EPF and ETF	Central Bank of Sri Lanka/ETF Board	EPF Act No 15 of 1958 and ETF Act No 46 of 1980	Complied
Legal Interest	Monetary Board	Civil Procedure Code	Complied
Annual Return to the Registrar of Companies	Registrar General of Companies	Companies Act No 7 of 2007	Complied

HOW WE CREATE VALUE



Building New Pathways

Through effective collaboration, novel strategies, innovation and the best of our dedicated efforts, we shape our path as we move ahead. With this strong foundation, our promising endeavors shape our future.

VALUE CREATION MODEL

INPUTS



Financial Capital

Financial resources to sustain Arpico Insurance core business operations and facilitate business expansion

- Equity Rs. 1.8 Bn (Rs. 1.4 Bn - 2023)
- Debt Nil (Nil - 2023)



Manufactured Capital

The physical infrastructure and IT systems that together facilitate the delivery of the Arpico Insurance value proposition to the market

- Branch Network
- Digital Channels
- Backend IT Infrastructure



Intellectual Capital

Unique attributes that collectively represent the Company's competitive edge

- Brand Reputation
- Ethics and Values
- BCP Framework & DR Architecture



Human Capital

As a service organisation, Human Capital represents the backbone of Arpico Insurance PLC's business

- 1,464 employees across Sri Lanka
- 1:1.2 Overall Gender ratio
- 1:0.6 gender ratio at a leadership level



Social & Relationship Capital

The primary stakeholder relationships that are crucial for sustaining the Company's business operations.

- Customers
- Suppliers
- Agent Network
- Wider community
- Reinsurance Partners



Natural Capital

Environmental resources used to produce energy, water and paper used in the Company's day-to-day operations

- ESG Policy



VALUE CREATION PROCESS

OUR VISION

To be the most trusted and innovative solutions provider for life insurance needs.

OUR MISSION

Provide unparalleled services to clients through team spirit nourished by passion and developing innovative life insurance solutions, technical expertise, value additions, and unique service capability.





OUTPUTS

Financial Capital

- Year-on-year GWP Growth -12%
- NPAT: Rs. 235 Mn
- Zero tax liability
- Rs. 1 Bn Retained earnings
- Claim Ratio 62%



Manufactured Capital

- GWP per branch: Rs. 28 Mn
- ROA: 5%
- 20 year-on-year growth in digital channel adoption



Intellectual Capital

- Awards for 2024
- ZERO incidents of bribery or corruption



Human Capital

- 49% staff attrition
- ZERO Incidents of discrimination



Social & Relationship Capital

- 10% year-on-year increase in social media engagement
- Customer satisfaction on claim settlements
- Reduction in the Average Time taken to deliver policy to the customer



Natural Capital

- 7% year-on-year reduction in energy consumption per branch
- 487 CO₂T Organisation-wide Carbon footprint



STAKEHOLDER OUTCOMES

SHAREHOLDERS

- Earnings per share (EPS): Rs. 3.55 (Rs. 10 - 2023)
- Return on Equity (ROE): 12.8% [-41% - 2023]



REGULATORS

- Rs. 10 Mn Taxes Paid (Rs. 10 Mn - 2023)



CUSTOMERS

- Financial security with a variety of insurance products, such as life, health
- Long term investment opportunity
- Reduced claim processing time
- Multi-channel access to products and services
- Efficient and customer-friendly service
- ZERO breaches of data privacy
- Rs. 1.1 Bn worth of claims paid to customers



EMPLOYEES

- 8% average annual salary increment
- Rs. 355 Mn paid as employee salaries and benefits
- 1,673 new recruits
- 73 promotions



BUSINESS PARTNERS AND SUPPLIERS

- Rs. 220 Mn worth commission and incentives paid to agents
- 22 training programmes for agents
- Rs. 55 Mn worth Claims ceded to reinsurers
- Rs. 184 Mn paid to suppliers

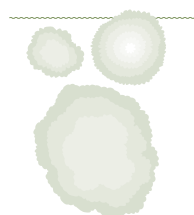


COMMUNITY AND ENVIRONMENT PARTNERS AND SUPPLIERS

- 02 Community projects focused on education, health and disaster relief
- 50 kg paper waste recycled



SDG'S IMPACT





FINANCIAL CAPITAL



OVERVIEW

Financial Capital provides the necessary resources to meet regulatory requirements, ensure liquidity, and facilitate investments in strategic initiatives. Adequate Financial Capital also enables Arpico Insurance to absorb unexpected losses, deliver value to shareholders, and capitalise on market opportunities, ultimately contributing to the Company's long-term stability and competitiveness in the insurance sector

MANAGEMENT APPROACH

Arpico Insurance adopts a strategic approach to managing Financial Capital focused on balancing risk and return, ensuring long-term sustainability. Key priorities include maintaining a robust capital structure, prudent risk management, and careful capital allocation to optimise both assets and liabilities. This is accompanied with continuous monitoring of financial performance, along with efficient expense management, to maintain liquidity, profitability, and solvency.

ASSOCIATED RISKS

- Underwriting Risks
- Reinsurance Risk
- Claims Risk
- Insurance Market Risk
- Liquidity Risk
- Credit Risk
- Investment Risk

KEY ACTIONS FOR FY 2024



Portfolio cleaning to drive sustained GWP expansion



Disciplined management of investment portfolio against the backdrop of declining interest rates



Effective management of surrender claims



Effective liability management strategies

OUTPUTS/OUTCOMES



Rs. 145 Mn
PBT



13%
ROE



13%
ROI



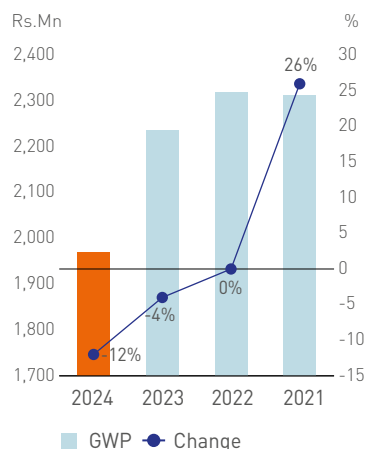
31%
Improvement in
Equity

SDG'S IMPACT



GROSS WRITTEN PREMIUM (GWP)

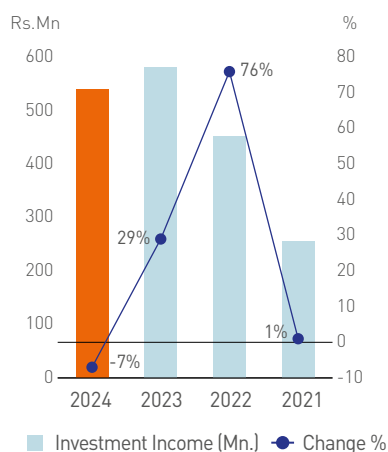
The Company recorded GWP of Rs. 1,969 Mn, reflecting a drop of 12% from the Rs. 2,237 Mn reported in the previous financial year. The decline was attributed to the conscious decision to move away from the Group insurance business vertical as part of the overall portfolio cleansing exercise undertaken by the Company in the current financial year.



56%
PERSISTENCY FIRST YEAR

INVESTMENT INCOME

Despite challenging economic conditions and a sharp decline in interest rates to mid single digit levels in the current year, Arpico Insurance successfully maintained its investment income more or less on par with the previous year. The Company recorded investment income of Rs. 540 Mn in FY 2024, compared to Rs. 581 Mn in the previous financial year, reflecting only a marginal decline of 7% year-on-year, a commendable achievement attributed to the Company's disciplined portfolio management strategies and a long-term investment approach to mitigate the impact of market fluctuations.

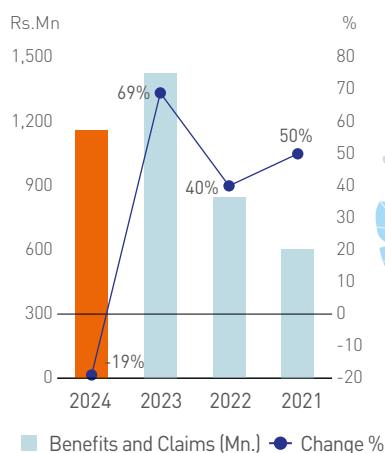


13%
INVESTMENT YIELD

BENEFITS AND CLAIMS

Arpico Insurance recorded a notable reduction in total claims, primarily driven by a significant drop in surrender claims, which fell by nearly 45% from Rs. 527 Mn in the previous year to Rs. 288 Mn in FY 2024 this year. The reduction in surrender claims is the result of broad based initiatives to retain policyholders beyond the three-year mark.

Meanwhile, the slight reduction in hospitalisation claims owing to a reduced emphasis on corporate business, also contributed to the lower claims in the current year.

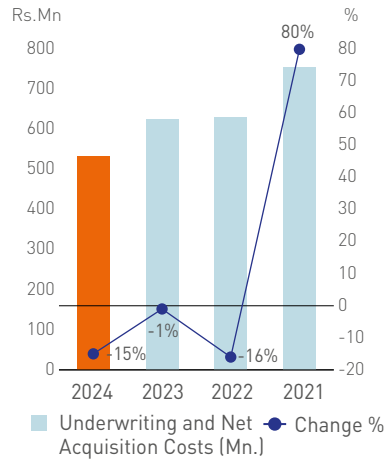


61%
CLAIM RATIO

FINANCIAL CAPITAL

UNDERWRITING ACQUISITION COSTS

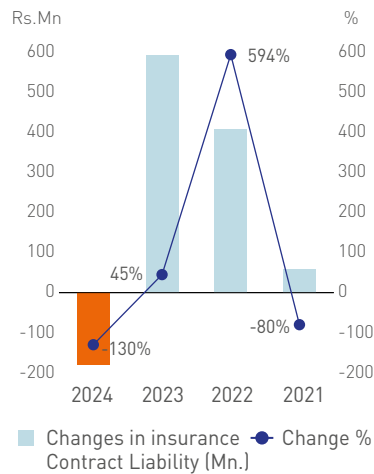
Underwriting and net acquisition costs declined by 15%, falling from Rs. 624 Mn in the previous year to Rs. 532 Mn in the current year. The reduction is due to the combined impact of lower GWP alongside the new approach to incentivising the sales force based on sustained business growth.



28%
NET ACQUISITION RATIO

CHANGE IN INSURANCE CONTRACT LIABILITIES

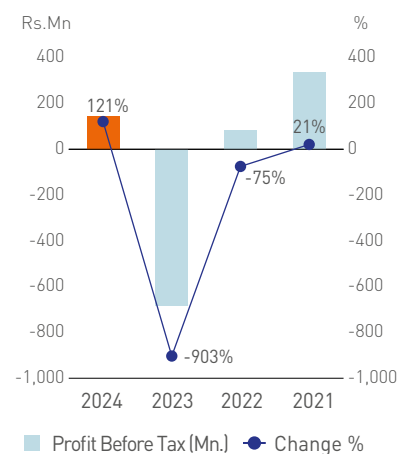
A significant movement was recorded in the Insurance Contract Liabilities. In FY 2023, the transfer of Rs. 948 Mn on account of shareholder contributed to a negative balance of Rs. 591 Mn in the change in contract liabilities, in turn adversely impacting the financial position of the Company in that year. However, effective liability management strategies ensured that no such deficit transfers were required in the current financial year.



1.4
LIABILITY TO GWP

PROFIT BEFORE TAX (PBT)

Profit Before Tax (PBT) saw a remarkable turnaround, rising to Rs. 145 Mn from a loss of Rs. 683 Mn in the previous year. This phenomenal 121% year-on-year improvement was mainly attributed to the absence of insurance contract liability transfers in the current year, compared to the Rs. 948 Mn transfer recorded last year.



3%
PBT TO INVESTMENT

VERTICAL ANALYSIS OF INCOME STATEMENT

Income Statement	2024		2023		2022		2021		2020	
	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%
Gross written premium	1,969	100.0	2,237	100.00	2,319	100.00	2,312	100.0	1,836	100.0
Premium ceded to reinsurers	(87)	(4.4)	(96)	(4.27)	(72)	(3.09)	(103)	(4.5)	(91)	(5.0)
Net written premium	1,881	95.6	2,141	95.73	2,247	96.91	2,208	95.5	1,745	95.0
Fees and commission income	30	1.5	29	1.31	50	2.16	46	2.0	34	1.9
Investment income	540	27.4	581	25.99	452	19.50	256	11.1	253	13.8
Fair value gains / (losses)	14	0.7	28	1.27	14	0.60	1	0.0	-	-
Net realised gains	18	0.9	-	-	5	0.20	-	-	-	-
Other operating revenue	6	0.3	8	0.37	31	1.34	7	0.3	9	0.5
Total other revenue	608	30.9	647	28.94	552	23.80	310	13.4	297	16.2
Net income	2,489	126.4	2,788	124.67	2,799	120.71	2,518	108.9	2,041	111.2
Net insurance benefits and claims paid	(1,144)	(58.1)	(1,401)	(62.65)	(860)	(37.09)	(573)	(24.8)	(395)	(21.5)
Net change in insurance claims outstanding	(17)	(0.9)	(28)	(1.24)	14	0.59	(31)	(1.3)	(8)	(0.4)
Underwriting and net acquisition costs	(532)	(27.0)	(624)	(27.90)	(630)	(27.18)	(754)	(32.6)	(419)	(22.8)
Change in contract liabilities - life fund	181	9.2	(592)	(26.46)	(409)	(17.63)	(59)	(2.5)	(296)	(16.1)
Other operating and administrative expenses	(691)	(35.1)	(703)	(31.43)	(747)	(32.24)	(685)	(29.6)	(570)	(31.0)
Depreciation and Amortisation	(142)	(7.2)	(124)	(5.57)	(81)	(3.49)	(79)	(3.4)	(75)	(4.1)
Total benefits, claims and other expenses	2,344	119.1	(3,472)	(155.24)	(2,714)	(117.04)	(2,181)	(94.3)	(1,763)	(96.0)
Profit before tax	145	7.4	(684)	(30.6)	85	3.7	337	14.6	279	15.2
Income tax (expense)/reversal	90	4.6	-	-	(49)	(0.02)	(101)	(4.4)	(78)	(4.2)
Profit for the year	235	11.9	(684)	(31)	36	4	237	10.2	201	10.9

FINANCIAL CAPITAL

HORIZONTAL ANALYSIS OF INCOME STATEMENT

Income Statement	CAGR*	2024		2023		2022		2021		2020	
	%	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%
Gross written premium	4	1,969	[12]	2,237	[4]	2,319	0	2,312	26	1,836	12
Premium ceded to reinsurers	-	(87)	[8]	(96)	34	(72)	(31)	(103)	13	(91)	3
Net written premium	4	1,881	[12]	2,141	[5]	2,247	2	2,208	27	1,745	13
Fees and commission income	100	30	4	29	[42]	50	10	46	33	34	100
Investment income	80	540	[7]	581	29	452	76	256	1	253	779
Fair value gains / (losses)	[44]	14	[51]	28	103	14	1,510	1	100	-	[100]
Net realised gains	[4]	18	100	-	[100]	5	100	-	-	-	[100]
Other operating revenue	[11]	6	[28]	8	[73]	31	335	7	[21]	9	[15]
Total other revenue	14	608	[6]	647	17	552	78	310	4	297	[8]
Net income	6	2,489	[11]	2,788	[0]	2,799	11	2,518	23	2,041	9
Net insurance benefits and claims paid	31	(1,144)	[18]	(1,401)	63	(860)	50	(573)	45	(395)	32
Net change in insurance claims outstanding	18	(17)	[39]	(28)	[302]	14	(144)	(31)	292	(8)	8
Underwriting and net acquisition costs	7	(532)	[15]	(624)	(1)	(630)	(16)	(754)	80	(419)	12
Change in contract liabilities - life fund	[196]	181	[131]	(592)	45	(409)	594	(59)	[80]	(296)	33
Other operating and administrative expenses	4	(691)	[2]	(703)	[6]	(747)	9	(685)	20	(570)	1
Depreciation and Amortisation	11	(142)	14	(124)	54	(81)	(203)	79	(205)	(75)	[11]
Total benefits, claims and other expenses	9	(2,343)	[33]	(3,472)	28	(2,714)	24	(2,181)	24	(1,763)	14
Profit before tax	[14]	145	[121]	(684)	(903)	85	(75)	337	21	279	[12]
Income tax (expense)/reversal	(200)	90	100	-	(100)	(49)	(51)	(101)	29	(78)	(12)
Profit for the year	1	236	[135]	(684)	[1,987]	36	(85)	237	18	201	[12]

* CAGR : Compound Annual Growth Rate

ANALYSIS OF FINANCIAL POSITION

Total Assets

Arpico Insurance recorded a substantial increase in total assets, driven by strategic investments and portfolio expansion. Intangible assets surged by eight times following the implementation of a new firewall solution to enhance the Company's cybersecurity infrastructure. Held-to-maturity assets, mainly

comprising treasury bonds, also improved to Rs. 132 Mn, reflecting the Company's focus on strengthening long-term financial stability. With an increasing number of policies requiring asset backing, Arpico Insurance strategically expanded its treasury bond investments, targeting higher allocations in the coming year to support business growth and ensure financial resilience.

Insurance Contract Liabilities

Insurance contract liabilities decreased from Rs. 2.8 Bn in the previous year to Rs.27 Bn in FY 2024, reflecting a commendable 6%-fold decrease which was the result of favourable assumptions and effective cost management strategies implemented throughout the current year.

VERTICAL ANALYSIS OF STATEMENT OF FINANCIAL POSITION

Statement Of Financial Position	2024		2023		2022		2021		2020	
	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%
Assets										
Intangible assets	7	0.14	1	0.02	1	0.02	1	-	-	-
Property, plant and equipment	42	0.83	60	1.25	75	1.63	58	1	59	1
Deferred tax asset	171	3.41	198	-	163	-	37	1	138	3
Right of use assets	90	1.79	-	4.12	-	3.54	130	3	137	3
Financial assets	4,263	85.02	3,950	82.02	3,682	79.69	3,470	79	2,682	64
Loans to life policyholders	199	3.97	241	5.01	322	6.97	426	10	390	9
Reinsurance receivables	11	0.22	11	0.23	2	0.04	8	-	7	-
Amounts due from related parties	6	0.12	31	0.64	22	0.47	12	-	6	-
Premium receivables	60	1.19	91	1.90	99	2.15	62	1	31	1
Other assets	108	2.15	175	3.64	84	1.82	63	1	56	1
Cash and cash equivalents	54	1.07	56	1.17	170	3.68	150	3	669	16
Total assets	5,010	100	4,816	100	4,620	100	4,416	100	4,175	100
Equity and liabilities										
Shareholders' equity										
Stated capital	676	13.47	676	14.03	676	14.62	676	15	676	16
Retained earnings	1,006	20.08	770	16.00	1,458	31.57	1,422	32	1,185	28
Available for sale reserves	160	3.18	(36)	(0.74)	(217)	(4.69)	(27)	(1)	-	-
Total ordinary shareholders' equity	1,841	36.74	1,410	29.29	1,917	41.50	2,071	47	1,861	45
Liabilities										
Insurance contract liabilities	2,716	54.21	2,886	59.93	2,242	48.52	1,897	43	1,905	46
Employee benefit obligation	16	0.32	16	0.33	17	0.37	16	-	15	-
Reinsurance payables	9	0.17	38	0.78	32	0.70	70	2	86	2
Lease liabilities	208	4.15	222	4.61	175	3.80	157	4	155	4
Amounts due to related parties	7	0.14	50	1.03	31	0.67	2	-	17	-
Other financial liabilities	178	3.55	126	2.62	118	2.54	108	2	79	2
Other liabilities	35	0.70	68	1.42	88	1.90	95	2	58	1
Total liabilities	3,169	63.25	3,405	70.71	2,703	58.50	2,345	53	2,315	55
Total equity and liabilities	5,010	100	4,816	100	4,620	100	4,416	100	4,175	100

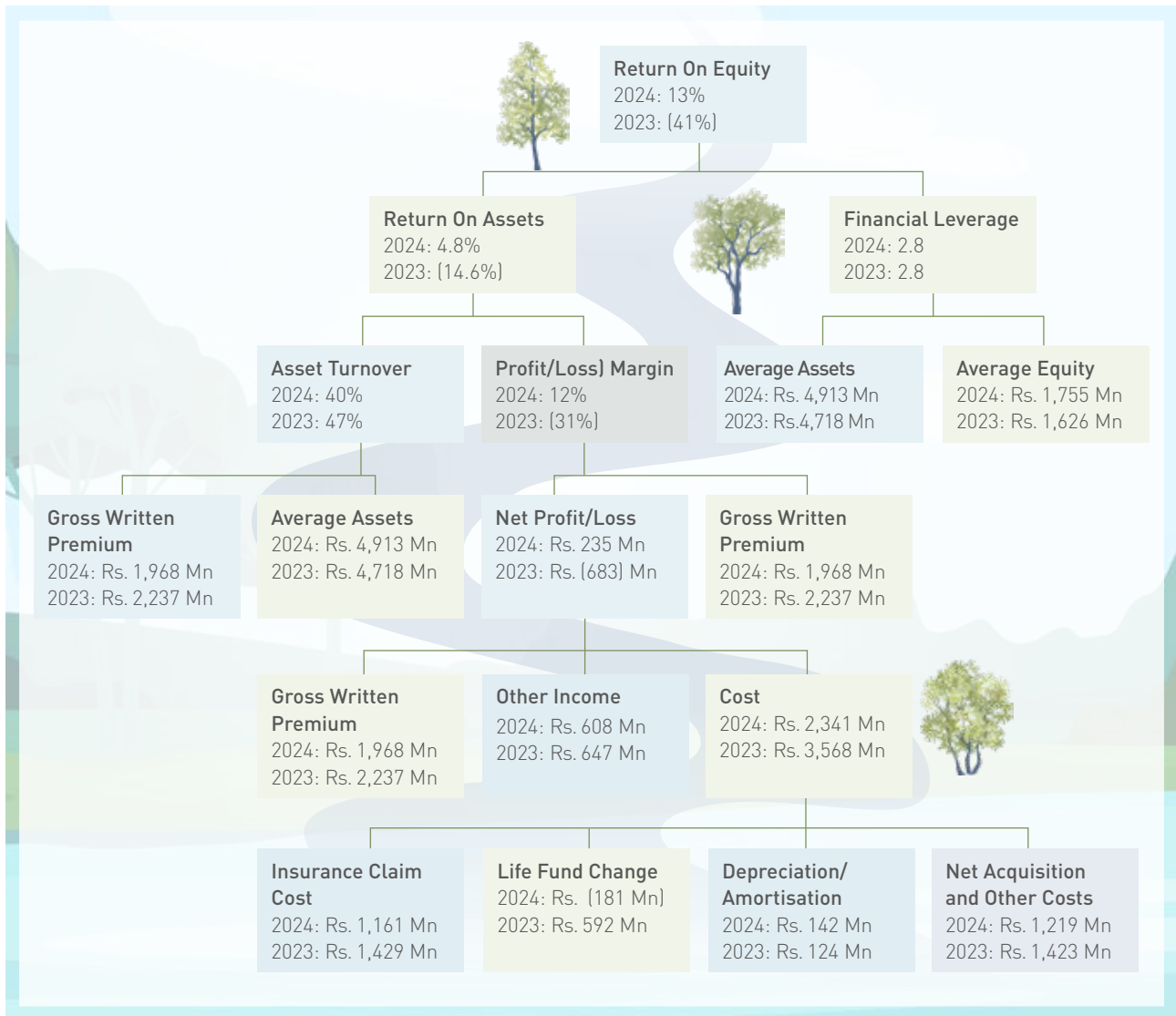
FINANCIAL CAPITAL

HORIZONTAL ANALYSIS OF STATEMENT OF FINANCIAL POSITION

Statement of Financial Position	CAGR*	2024		2023		2022		2021		2020	
	%	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%
Assets											
Intangible assets	61	7	845	1	(31)	1	91	1	42	-	(39)
Property, plant and equipment	(7)	42	(31)	60	(20)	75	30	58	(2)	59	(2)
Right of use assets	(5)	171	(14)	198	21	163	26	130	(6)	138	(36)
Deferred tax asset	(6)	90	100	-	-	-	(100)	37	(73)	137	15
Financial assets	12	4,263	8	3,950	7	3,682	6	3,470	29	2,682	13
Loans to life policyholders	(7)	199	(17)	241	(25)	322	(24)	426	9	390	36
Reinsurance receivables	(31)	11	(1)	11	484	2	(77)	8	17	7	(90)
Amounts due from related parties	(35)	6	(81)	31	43	22	80	12	86	6	(88)
Premium receivables	(3)	60	(35)	91	(8)	99	59	62	103	31	(56)
Other assets	1	108	(39)	175	109	84	34	63	12	56	(46)
Cash and cash equivalents	(29)	54	(4)	56	(67)	170	13	150	(78)	669	126
Total assets	7	5,010	4	4,816	4	4,620	5	4,416	6	4,175	14
Equity and liabilities											
Shareholders' equity											
Stated capital	-	676	-	676	-	676	-	676	-	676	-
Retained earnings	-	1,006	31	770	(47)	1,458	3	1,422	20	1,185	20
Available for sale reserves	100	160	(549)	(36)	(84)	(217)	716	(27)	(100)	-	-
Total ordinary shareholders' equity	2	1,842	31	1,410	(26)	1,917	(7)	2,071	11	1,861	12
Liabilities											
Insurance contract liabilities	12	2,716	(6)	2,886	29	2,242	18	1,897	-	1,905	22
Employee benefit obligation	7	16	1	16	(8)	17	6	16	10	15	29
Reinsurance payables	(39)	9	(77)	38	16	32	(54)	70	(19)	86	(17)
Lease liabilities	10	208	(6)	222	26	175	11	157	1	155	21
Amounts due to related parties	-	7	(86)	50	61	31	1,363	2	(87)	17	130
Other financial liabilities	6	178	41	126	7	118	9	108	36	79	(40)
Other liabilities	(4)	35	(49)	68	(22)	88	(7)	95	63	58	39
Total liabilities	10	3,169	(7)	3,405	26	2,703	15	2,345	1	2,315	16
Total equity and liabilities	7	5,011	4	4,816	4	4,620	5	4,416	6	4,175	14

*CAGR: Compound Annual Growth Rate

DUPONT ANALYSIS





MANUFACTURED CAPITAL



OVERVIEW

Our manufactured capital represents our physical, digital, and IT infrastructure, which together form the foundation for delivering seamless operations, enhancing customer experiences, and driving sustainable growth.

MANAGEMENT APPROACH

Our management approach is framed around a comprehensive asset management strategy that integrates CAPEX planning, budgeting, procurement guidelines, and asset management fundamentals to ensure our physical and digital assets have the capacity and capability to meet the Company's current operational needs as well as the leverage to drive future growth and overcome challenges, while balancing cost considerations.

ASSOCIATED RISKS

- Premises Risk
- Legal Risk
- Reputation Risk

KEY ACTIONS FOR FY 2024



Unveiling the Nelliady branch



Enhance branch infrastructure and systems



Rescaling initiative to improve productivity and cost efficiency of the branch network



Launch of the E-Proposal system

OUTPUTS/OUTCOMES

	Revenue per Zone (LKR Mn)		Revenue per Branch (LKR Mn)	
	2024	2023	2024	2023
Central Province	21	12	8	4
Eastern Province	28	30	7	7
North Central Province	27	124	21	82
North Western Province	13	27	13	27
Northern Province	179	21	67	32
Sabaragamuwa Province	43	39	14	13
Southern Province	36	34	32	34
Uva Province	28	37	23	25
Western Province	33	41	25	27

SDG'S IMPACT

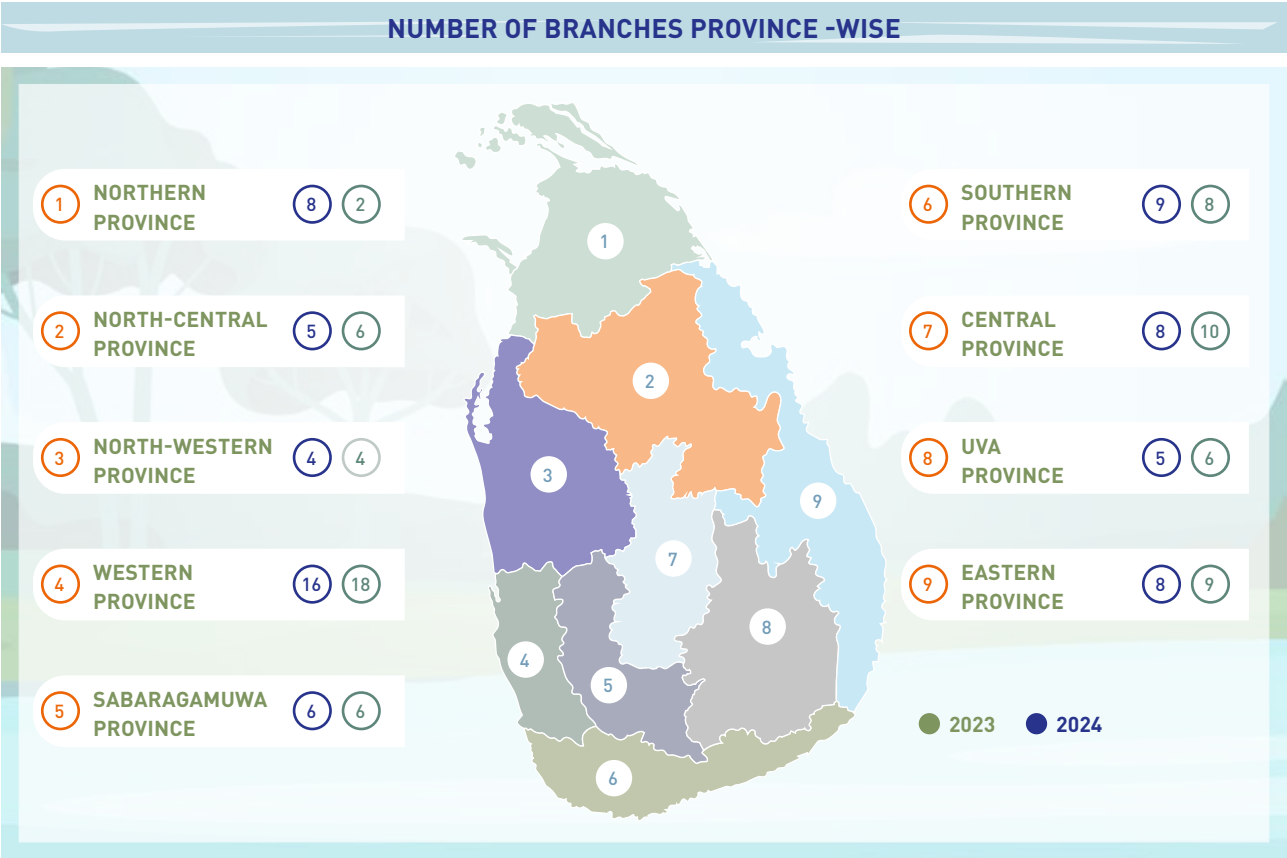


BRANCH NETWORK

Arpico Insurance has invested in growing its branch footprint across Sri Lanka - a testament to the Company's commitment to become the trusted insurance partner for customers nation-wide.

Over the years we have strategically expanded our branch network with the intention of increasing insurance penetration across Sri Lanka, thus empowering more and more individuals and local businesses to reap the benefits of insurance protection. Our

physical presence is represented across Sri Lanka's provincial map, where branches are arranged across zones based on population density, commercialisation and economic potential of a particular area.



While optimal customer outreach remains the underlying focus of our network expansion strategy, we are cognisant of cost considerations associated with setting up physical branches. Accordingly, when setting up new branches, we opt for leasehold premises strategically situated within key locations across main cities and hub towns nationwide. The same principle is applied to determine the need to rescale or relocate branches in order to strengthen and improve our operational footprint on an ongoing basis. These approaches are consistent

with our efforts to ensure optimal accessibility and enhanced customer convenience through our branches, while maintaining financial prudence.

In the year under review, we rolled out a new branch rescaling initiative to improve productivity and cost efficiency of the branch network. The Ratnapura branch and the Jaffna regional office were the first to be rescaled as part of this initiative. At the same time, we proceeded to enhance our island-wide presence with the opening of the Nelliady branch in 2024, bringing the

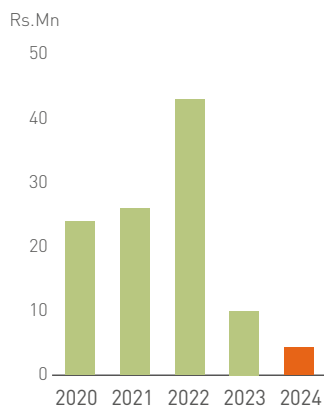
Arpico Insurance network to 69 branches as at 31st December 2024.

BRANCH MODERNISATION

In keeping with our endeavour to provide the best in-class value proposition to our customers, we continue to invest in modernising our branches. This involves updating infrastructure including office equipment, furniture and fittings etc. All new investments are undertaken as per the Board-approved annual Capital Expenditure (CAPEX) plan and within the authorised budgetary allocations.

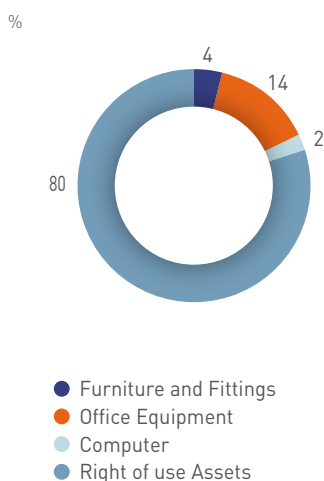
MANUFACTURED CAPITAL

Fixed Asset Additions



The CAPEX process begins with a needs assessment where branches are required to develop detailed proposals, including objectives, benefits and cost estimates. All CAPEX proposals undergo rigorous evaluation by the Board of Directors, focusing on financial viability, ROI, and strategic alignment. A comprehensive CAPEX budget is prepared, datelining fund allocations for approved projects, with all investments are undertaken as per the approved CAPEX budget and closely monitored to ensure alignment with stated objectives. On this basis, a total of Rs. 1.9 Mn was incurred to enhance branch infrastructure and systems.

Asset Composition



Arpico Insurance Fixed Asset Capitalisation Policy

Fixed assets are defined as the resources purchased for long term use in the business and are not likely to be sold for cash within 12 months. On this basis, Property, Plant and Equipment shall be recognised as an asset if, and only if: it is probable that future economic benefits associated with the item will flow to the entity; and, the cost of the item can be measured reliably. Arpico Insurance PLC does not own land and building, with the head office or branch operations conducted on leasehold premises. Hence no property is recognised as a Right-of-Use Asset in the Company's books as per SLFRS 16. However, office equipment, furniture & fittings, computers and vehicles purchased by the Company are recognised as its fixed assets.

Accordingly, the Company's asset base as at 31st December 2024 comprised Right-of-Use assets (Leased) to the value of Rs. 171 Mn and Rs. 41 Mn worth property plant and equipment.

DIGITAL CHANNELS

Arpico Insurance has invested in digital channels, underscoring the Company's commitment to reduce dependency on physical infrastructure while creating a scalable framework to meet the growing demands of a tech-savvy customer base. The Company has leveraged digital technology to embed paperless operations through the introduction of user-friendly online portals that enable customers to access insurance products and services seamlessly.

Significant advancements introduced in recent years include InstantPay, an e-standing order system that simplifies premium payments, and the integration of premium payment capabilities directly through our corporate website, enhancing convenience for our customers. We further have planned to develop a chatbot in next year to promote greater customer engagement on our website.



arpicoinsurance.com online pay



Online Fund Transfer



Commercial Bank Q+ app



Dialog ezCash



InstantPay

BACKED IT INFRASTRUCTURE

We continue to make strategic investments in backend IT infrastructure, including software enhancements and new hardware, to drive operational efficiency, competitiveness and readiness to manage increasing workloads seamlessly.

We made good headway in this area in the current year by implementing several key initiatives, key among them - the launch of the E-Proposal, a 100% paperless solution for submitting proposal forms. This latest feature streamlines the proposal process, reduces paperwork, and aligns with our commitment to sustainable and efficient operations.

COMPREHENSIVE ASSET MANAGEMENT PROTOCOLS

Asset management forms an integral part of our overall approach to improving asset life. The 7-point approach, which encompasses the following, represents a forward-looking approach to enhancing the resilience of our Manufactured Capital.

Regular Asset Audits

We conduct periodic audits to assess the condition and performance of physical and digital assets. These inspections enable us to identify emerging maintenance needs and upgrades, ensuring optimal asset functionality and preventing unforeseen breakdowns.

Planned Preventive Maintenance

A robust preventive maintenance programme is in place for critical assets, such as IT infrastructure and equipment. Routine servicing and inspections reduce downtime, enhance performance, and extend asset lifespans, supporting uninterrupted operations.

Employee Training

We invest in providing our staff with the knowledge and skills to use and maintain assets efficiently. This includes comprehensive training on software systems and equipment to minimise user errors, enhance efficiency, and safeguard asset integrity.

Energy Efficiency Measures

Implementing energy-efficient practices and equipment is integral to our sustainability efforts. These initiatives not only reduce operational costs but also align with our commitment to environmentally responsible practices.

Proactive Feedback Mechanisms

We maintain open channels for employees to report issues and propose improvements related to asset performance. This proactive feedback system fosters prompt problem resolution and continuous enhancement of asset management practices.

Data-Driven Monitoring

Leveraging data-driven systems to track maintenance schedules, asset performance, and associated costs, thereby supporting informed decision-making and maximising asset utilisation.

Safety Checks

Regular checks to ensure all assets conform to recommended safety standards and best practices, in turn enhancing long-term asset reliability.

Our in-house SMS Gateway which enables automated notifications to keep customers informed about premium payments, due reminders, and other critical updates was also significantly enhanced in 2024 through the integration with our receipt, claims, and payment systems, enabling instant, real-time notifications to customers.

FUTURE PLANS

In the coming years, we will look to strategically enhance our Manufactured Capital to achieve sustainable growth in the highly competitive local insurance industry. Our approach will focus on two key areas. In the near term we will continue with branch rescaling efforts, where we will conduct feasibility studies to explore opportunities for merging branches to strengthen customer fulfilment while driving cost efficiencies.

In the long term, we will prioritise investment in IT systems, with targeted efforts to adopt advanced technologies, including a comprehensive CRM system to better address customer needs and enhance relationships. We also expect to leverage technology to aid our transition to a paperless environment across all business functions. This initiative will reduce paper dependency, improve data accessibility, and promote environmentally sustainable practices. Additionally, as we align with global insurance accounting standards, we will allocate resources to fully modernise our backend IT infrastructure to integrate IFRS 17/SLFRS 17 requirements as well as enhance data accuracy, strengthen compliance, and improve the efficiency of financial and insurance contract reporting, benefiting both internal operations and regulatory requirements.



INTELLECTUAL CAPITAL



OVERVIEW

Intellectual Capital is a critical asset that represents the intangibles, including our brand identity, principle values, internal systems, and key business relationships, that collectively provide the impetus for Arpico Insurance to innovate, grow and sustain its competitive edge.

MANAGEMENT APPROACH

Our holistic approach to developing Intellectual Capital is rooted in the continuous refinement of each intangible element, ensuring their individual strengths contributes to bolstering Arpico Insurance PLC's competitive advantage. Additionally, by fostering deeper integration and synergy among these elements, we aim to create a dynamic ecosystem that not only amplifies our market position but also reinforces our organisational resilience, enabling us to adapt and thrive in an ever-evolving business landscape.

ASSOCIATED RISKS

- Underwriting Risk
- Reinsurance Risk
- Claims Risk
- Insurance Market Risk
- Fraud Risk
- Information Security / Cyber Security Risk

KEY ACTIONS FOR FY 2024



Rs. 25 Mn

was incurred on account of brand marketing and corporate communication. Implemented 3 new conduct policies



Conducted anti-bribery training workshops covering approximately 75% of the workforce



Focused efforts to improve the robustness of the BCP Framework and DR Architecture

OUTPUTS/OUTCOMES



Awards for 2024



ZERO incidents of bribery or corruption



New partnership with a leading Sri Lankan bank to offer exclusive life insurance packages to retail banking clients

SDG'S IMPACT



BRAND REPUTATION

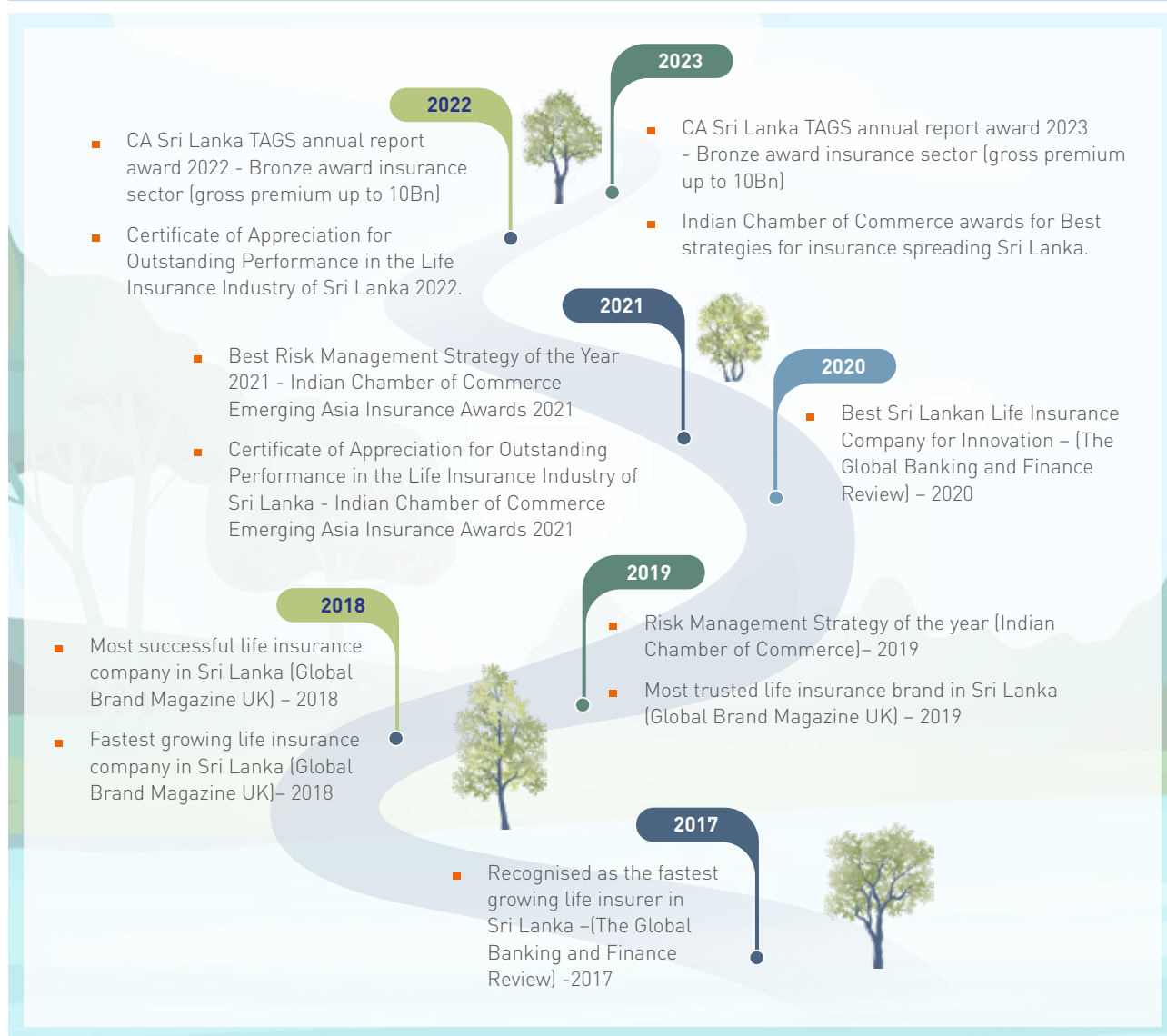
The Arpico Insurance brand serves as the cornerstone of our Intellectual Capital by embodying the trust, expertise, and innovation that define our identity. Rooted in the 90-year legacy of our parent company, Richard Pieris & Company PLC, the Arpico

Insurance brand stands as a symbol of reliability and excellence within Sri Lanka's insurance landscape.

Furthermore, our strategic focus on compliance, profitable product offerings, and market-responsive solutions positions Arpico Insurance as

one of the most trusted brands in the local insurance industry. This reputation not only enhances our competitive advantage but also provides a foundation for navigating challenges and leveraging opportunities within Sri Lanka's dynamic insurance landscape.

AWARDS AND ACCOLADES



INTELLECTUAL CAPITAL



In a year marked by heightened complexity and rising competition, our intellectual capital-comprising strategic thinking, ethical discipline, digital innovation, and brand stewardship-became the cornerstone of resilience.



As the operating landscape became increasingly more complex against the backdrop of evolving challenges in the current financial year, our strategy continued to focus on consolidating the Arpico Insurance brand and positioning it as a trusted and resilient force in Sri Lanka's insurance industry.

Seeking to offset challenges arising as a consequence of heightened competition, we worked purposefully to leverage digital technology to deepen the penetration in traditional markets and sought strategic partners to help us reach new market segments. As part of our overall approach, we also continued to streamline our product portfolio to reflect market trends, with more emphasis on promoting profitable products like our Healthcare Plan while phasing out unprofitable ones.

At the same time, brand-building initiatives were further intensified. A total of Rs. 25 Mn was incurred during FY 2024 on account of marketing and

corporate communication activities to ensure consistent presence across platforms encompassing print, electronic, digital and social media. Additionally, we conducted targeted propaganda activities at key locations across the island, reinforcing our brand visibility.

ETHICS AND VALUES

At Arpico Insurance, ethics and values serve as the key pillars that shape our brand and solidifies our reputation as a reliable and responsible insurance provider.

Compliance with laws and regulations is integral to our ethical framework. Through rigorous policies and protocols and regular employee training, we ensure our operations align with both national and international standards, reinforcing our dedication to lawful and ethical business practices.

In FY 2024, we further strengthened our ethics framework with the rollout of 3 new Board-approved policies. The Policy on Business Conduct and Ethics for All Directors and Employees, The Policy on Whistle-blowing, The Policy on Anti-Bribery and Corruption.

ETHICS TRAINING

Demonstrating our unwavering commitment to uphold the highest ethical standards, we conducted a series of workshops in 2024 to reinforce our zero-tolerance policy toward bribery and corruption. The sessions which were aimed mainly at disseminating our newly unveiled Policy on Anti-Bribery and Corruption, included case study material, interactive tools and role playing exercises to guide employees to identify and prevent bribery in their daily operations as well as the proper procedure for reporting such misconduct. Approximately 75% of employees of Arpico Insurance were covered through this workshop series.

GRI: 205-1, 205-2, 205-3



NEW CONDUCT POLICIES - FY 2024

POLICY ON INTERNAL CODE OF BUSINESS CONDUCT AND ETHICS FOR ALL DIRECTORS AND EMPLOYEES

Establishes the principles and standards governing ethical behaviour and compliance within Arpico Insurance PLC. This policy covers key areas such as integrity, fairness, and transparency in business dealings, and includes specific guidelines on trading in the Company's listed securities. It is designed to ensure that all Directors and employees adhere to the highest ethical standards, prevent conflicts of interest, and comply with legal and regulatory requirements, thereby maintaining the Company's reputation and fostering a culture of accountability.

POLICY ON WHISTLEBLOWING

Crucial for fostering a culture of transparency and accountability within an organisation. It provides employees and stakeholders with a safe and confidential mechanism to report unethical behaviour, misconduct, or violations of Company policies without fear of retaliation. By encouraging openness, this policy helps protect the integrity and reputation of the organisation while ensuring compliance with legal and regulatory standards.

POLICY ON ANTI-BRIBERY AND CORRUPTION

Promotes ethical business practices and ensures that Arpico Insurance PLC operates with integrity, transparency, and accountability. This policy outlines the Company's commitment to preventing bribery, corruption, and any form of unethical conduct. It applies to all employees, Directors, and third-party associates, reinforcing a zero-tolerance approach to any actions that could undermine the Company's reputation or legal obligations. By implementing this policy, Arpico Insurance PLC aims to uphold the highest standards of compliance with local and international anti-corruption laws.

BCP FRAMEWORK & DR ARCHITECTURE

Our Business Continuity Plan (BCP) framework stands as a key pillar of organisational resilience. Our BCP framework is designed to ensure operational resilience through a comprehensive approach that includes detailed incident response procedures for containment, impact assessment, and escalation prevention and robust recovery strategies to sustain critical functions like policy management, claims processing, and customer support to enable both immediate and long-term restoration of services. Clear communication plans are in place to keep stakeholders informed and address concerns, while continuous risk assessment drives improvements to adapt to emerging threats. Regular testing and updates ensure alignment with regulatory guidance and industry best practices, supported by a dedicated Crisis Management Team (CMT) that oversees response actions, coordinates cross-functional efforts, and maintains effective reporting structures.

In this way, our BCP framework ensures that we are able to maintain seamless service delivery to our policyholders, fulfil regulatory obligations, and preserve the trust of our stakeholders, even in the face of unforeseen events.

In 2024, we undertook a series of initiatives to enhance our BCP framework, with a view to improving our readiness to respond to a broader range of potential disruptions and maintain operational stability. Key measures included:

- Expanding the BCP testing programme by conducting more frequent drills and simulations, including unannounced tests to assess real-time response capabilities
- Began conducting unplanned incident response drills to simulate an unexpected IT failure during peak business hours
- Introduction of new scenario planning exercises to test the resilience of our life insurance operations under extreme conditions, identify critical vulnerabilities and address them proactively
- Established a structured programme of Quarterly Health Checks to identify any gaps in the BCP against industry best practices along with an annual in-depth review procedure to ensure the BCP is updated in tandem with evolving business needs, regulatory changes, and global best practices
- Introduced monthly reviews of potential risks, evaluate recent incidents, assess changes in the risk landscape, and check compliance levels to ensure that all BCP-related processes are functioning as intended
- Sought the expertise of a third party specialist to carry out an independent audit and provide insights and recommendations for further strengthening the BCP framework

INTELLECTUAL CAPITAL

- Upgrading our cybersecurity protocols within the BCP by implementing a comprehensive cybersecurity incident response plan encompassing rigorous access controls, continuous monitoring systems, and backup measures to secure sensitive data
- Implemented real-time monitoring to track key metrics, such as server performance, network connectivity, and data backup status
- Investing in advanced communication tools to strengthen both internal and external communication channels, ensuring that employees, policyholders, and regulatory authorities receive timely and accurate information
- Targeted training sessions for the Crisis Management Team (CMT) and other key personnel
- Improved remote work infrastructure, making it easier for employees to access essential systems securely from off-site locations. This measure strengthens our ability to continue operations in case of physical access disruptions to office locations
- Increased Board oversight, wherein regular updates on the BCP's performance, identified risks, and results from scenario tests are now provided to the Board

Our DR Architecture works hand-in-hand with our BCP Framework to protect data integrity, minimise downtime, and support operational continuity.

In the year under review, we focused on further enhancing our DR Infrastructure by investing in additional redundant network pathways and enhancing our internet bandwidth. Furthermore, we upgraded our network security protocols, including advanced firewalls and encryption, to provide an added layer of protection for our DR infrastructure against cyber threats. Meanwhile, as part of our shift towards more flexible and scalable solutions, we also expanded our use of cloud infrastructure in 2024. Accordingly, several new critical applications were migrated to secure cloud environments, which has not only reduced reliance on physical data centers, but also greatly improved scalability to keep pace with the growth in our business operations. At the same time, considering evolving work environments, we invested in secure, scalable remote work solutions supported by advanced VPNs and multi-factor authentication to enable employees to securely access essential systems from remote locations during disruptions.

KEY COMPONENTS OF OUR DR INFRASTRUCTURE

Automated failover mechanisms for essential systems to allow for seamless transition of operations from the primary data center to the DR site with minimal manual intervention.

Multiple networks and backup internet service providers to maintain connectivity in the event of network failures.

Automated tools that track system performance, data integrity, and security along with multi-layered security measures, including firewalls, encryption, and access controls, to protect DR infrastructure from cyber threats and unauthorised access.



Cloud-based Infrastructure to enhance scalability and flexibility in disaster recovery and support remote work capabilities.

Geographically Separate Redundant Data Centers that operate in active-passive mode, with one site handling primary operations while the other remains on standby, ready to take over in case of failure at the primary location.

Comprehensive Data Backup Solution for all critical systems and applications. These backups are securely stored at offsite locations and include full, incremental, and differential backup processes.

Virtualised Server Environment to improve resource utilisation and simplify recovery and restoration of critical applications with minimal downtime.

STRATEGIC PARTNERSHIPS

Operating in the rapidly evolving and progressive insurance industry, we have long recognised the importance of strategic partnerships in enhancing operational capabilities and extending our market reach. Our network of partnerships built over the years has enabled us to tap into diverse expertise, strengthen our offerings and maintain a competitive edge. For instance, our ties with global reinsurers continue to play a crucial role in safeguarding our underwriting capacity and claim settlement capability.

Collaborations with financial institutions, such as banks and microfinance institutions, have opened up opportunities to reach new customer segments through co-branded insurance products and bundled services that make insurance more accessible to the mainstream market. Similarly, partnerships with healthcare providers further bolster our health insurance proposition, adding significant value for our clients.

More recently, collaborations with technology partners specialising in digital infrastructure, cybersecurity, and data analytics have been critical for advancing our digital ambitions, streamlining operations, improving data security, and enhancing service delivery for policyholders.

FUTURE PLANS

Looking to the future, we are committed to enhancing our position as a leading life insurance provider in Sri Lanka while adapting to the evolving needs of our customers and the regulatory landscape. Our future plans will focus on shoring up our brand position as a trusted industry leader, which involves continuously regenerating our intangible assets to drive sustainable growth and remain at the forefront of the insurance sector.

REINSURANCE PARTNERSHIPS



2

ONGOING PARTNERSHIPS

NA

NEW PARTNERSHIPS IN 2024

HEALTHCARE NETWORK PARTNERS



74

ONGOING PARTNERSHIPS

NA

NEW PARTNERSHIPS IN 2024

FINANCIAL SECTOR PARTNER



16

ONGOING PARTNERSHIPS

1

NEW PARTNERSHIP IN 2024

TECHNOLOGY PARTNERSHIPS

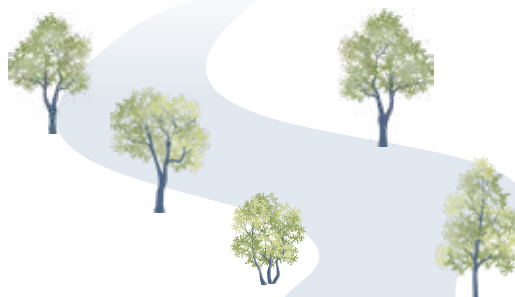


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ONGOING PARTNERSHIPS

NA

NEW PARTNERSHIPS IN 2024





HUMAN CAPITAL



OVERVIEW

At Arpico Insurance, we believe our employees hold the key to our success. Hence we are committed to long-term employee development and stability, engaging all team members on a full-time basis.

MANAGEMENT APPROACH

We strive to create a thriving work environment based on a three-pronged approach focused on Talent Management, Talent Development, and Talent Engagement to ensure we recruit the right people, provide continuous learning and career growth opportunities, and offer an inclusive, motivated workplace, culminating in an unparalleled employee value proposition.

ASSOCIATED RISKS

- Health and Safety Risk
- Reputation Risk
- Regulatory Risk / Compliance Risk

KEY ACTIONS FOR FY 2024

Signed up as a Corporate and Strategic Level Training Partner of the Institute of Chartered Accountants - Sri Lanka CA Sri Lanka, to support recruitment needs

Launch of a e-learning database

Safety System improvements

OUTPUTS/OUTCOMES



Rs. 355 Mn

Distributed as monetary benefits to Employees



73

employees promoted



1:1.2

Overall gender ratio



1:0.6

Gender ratio at a leadership level

SDG'S IMPACT



Team Profile - FY 2024				
Name	STATUS	MALE	FEMALE	TOTAL
Employees by Type	Permanent	146	233	379
	Contract	519	566	1,085

Name	AGE GROUP	MALE	FEMALE	TOTAL
Employees by Age and Gender	18 - 30 years	289	447	736
	31 - 55 years	319	273	592
	56 and above	57	79	136

Name	REGION	MALE	FEMALE	TOTAL
Employees by Region and Gender	Central	35	68	103
	Eastern	76	68	144
	North Central	38	50	88
	North Western	39	57	96
	Northern	126	100	226
	Sabaragamuwa	46	51	97
	Southern	88	141	229
	Uva	44	62	106
	Western	173	202	375

Name	CATEGORY	MALE	FEMALE	TOTAL
Employees by Category and Gender	Executive	85	26	111
	Non-Executive	61	207	268

TALENT MANAGEMENT

HR Governance, Compliance and Best Practices

Governance, compliance, and best practices form the foundation of our Human Capital development approach. The Board, as the highest governing body within the organisation, remains firmly committed to upholding strong governance principles, ensuring compliance with all applicable regulations, and integrating global best practices into every aspect of human capital management.

To that end, the Board often collaborates with the Human Resources and Remuneration Committee and the Nomination Governance Committee, to review and update the Company's HR framework in conformity with applicable labour laws and also encapsulates



global best practices. The responsibility for implementing this framework rests with the Group HR Head.

HUMAN CAPITAL

HR GOVERNANCE, COMPLIANCE AND BEST PRACTICES

REGULATORY COMPLIANCE

- Shop and Office Employees Act of 1954
- EPF Act
- ETF Act
- Payment of Gratuity Act of Sri Lanka

VOLUNTARY BEST PRACTICES

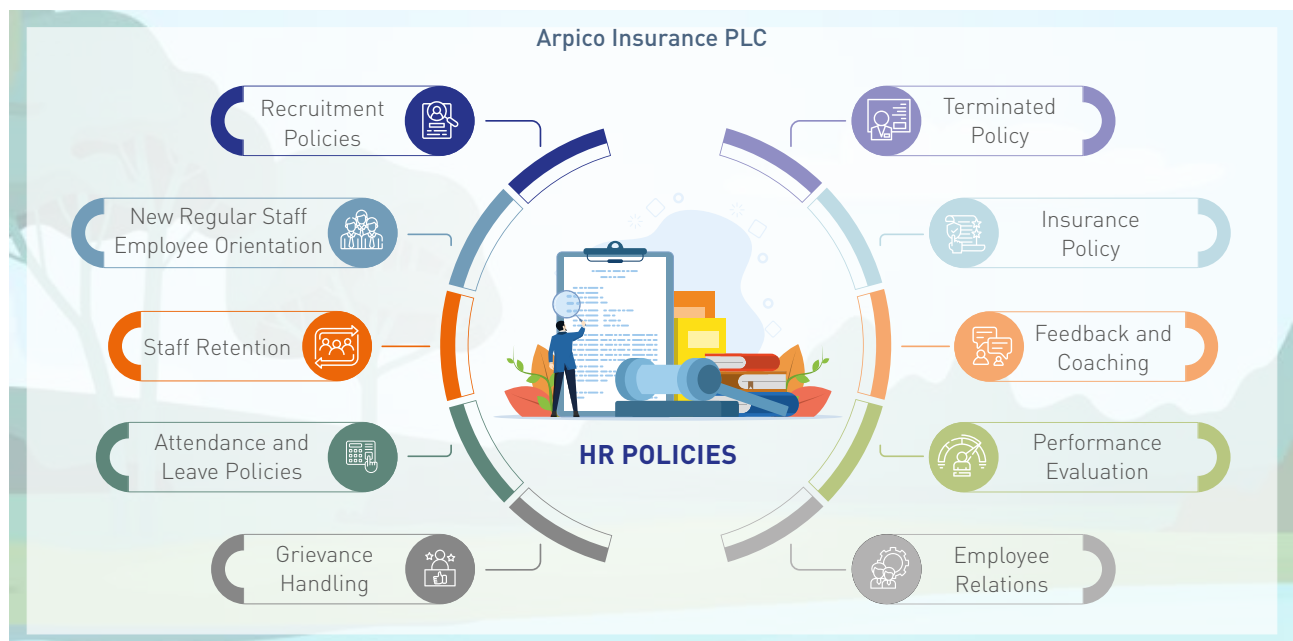
- UNGC Principle 3: freedom of association and the effective recognition of the right to collective bargaining;
- UNGC Principle 4: elimination of all forms of forced and compulsory labour;
- UNGC Principle 5: effective abolition of child labour; and
- UNGC Principle 6: elimination of discrimination in respect of employment and occupation.

ARPICO INSURANCE TRACK RECORD

- ZERO - incidents of non-compliance of labour regulations

- ZERO - incidents of reported in regard to violation of the right to freedom of association
- ZERO - incidents of reported in child labour / forced compulsory labour
- ZERO - incidents of reported in regard to discrimination or harassment in the workplace

HR POLICIES



GRI: 401-1

Employee Movement in FY 2024			
New Hires by Gender	MALE	FEMALE	TOTAL
Permanent	69	90	159
Casual	724	790	1,514

New Hires by Age and Gender	AGE GROUP	EMPLOYEES	
		MALE	FEMALE
Permanent	18 - 30 years	27	55
	31 - 55 years	4	18
	56 and above	38	17
Casual	18 - 30 years	320	463
	31 - 55 years	328	271
	56 and above	76	56

New Hires by Region and Gender	REGION	EMPLOYEES	
		MALE	FEMALE
Permanent	Central	6	6
	Eastern	8	7
	North Central	2	2
	North Western	2	2
	Northern	3	9
	Sabaragamuwa	4	4
	Southern	6	13
	Uva	5	3
	Western	33	44
Casual	Central	34	57
	Eastern	95	68
	North Central	45	54
	North Western	49	68
	Northern	152	114
	Sabaragamuwa	52	59
	Southern	99	148
	Uva	53	70
	Western	145	152

Employee Turnover by Gender	MALE	FEMALE	TOTAL
Permanent	85	102	187
Casual	955	1,057	2,012

HUMAN CAPITAL

Employee Turnover by Age and Gender	AGE GROUP	EMPLOYEES	
		MALE	FEMALE
Permanent	18 - 30 years	25	55
	31 - 55 years	57	36
	56 and above	3	11
Casual	18 - 30 years	440	663
	31 - 55 years	438	365
	56 and above	77	29

Employee Turnover by Region and Gender	REGION	EMPLOYEES	
		MALE	FEMALE
Permanent	Central	11	9
	Eastern	3	6
	North Central	2	3
	North Western	4	3
	Northern	7	3
	Sabaragamuwa	9	5
	Southern	4	19
	Uva	2	3
	Western	43	51
Casual	Central Province	110	123
	Eastern Province	154	122
	North Central Province	38	44
	North Western Province	62	63
	Northern Province	83	88
	Sabaragamuwa Province	68	77
	Southern Province	94	128
	Uva Province	110	134
	Western Province	236	278





At Arpico Insurance, we empower employees from day one through a structured onboarding experience, ensuring they are equipped, engaged, and aligned with our culture laying the foundation for long-term performance, integration, and personal growth within the Company.



ON-BOARDING

Our onboarding process is designed with the objective of providing new hires with the tools, knowledge, and confidence they need to integrate seamlessly into the organisation and contribute effectively from the outset. Through a structured and supportive approach, we help new employees understand our Company culture, values, as well as access the necessary resources to perform their roles efficiently.

a) Pre-boarding (Before the First Day)

- Issuance of offer letters and employment contracts.
- Collection of necessary documents (NIC, qualifications, bank details, etc.).
- Access provisioning (email, system logins, workstation setup).
- Welcome email with Company policies, employee handbook, and role expectations.

b) Orientation (First Week)

- Formal introduction to Arpico Insurance's vision, mission, and values.

- Overview of Company policies, compliance, and regulatory requirements.
- Introduction to Company culture, leadership, and key business functions.
- Tour of office premises (for physical employees) and IT system familiarisation.

c) Training & Role-Specific Induction (First Month)

- Departmental introduction and role expectations.
- Training on products, services, and key operational processes.
- Guidance on performance metrics, KPIs, and reporting structures.
- Mentorship or buddy assignment for initial guidance.

d) Integration & Engagement (First Three Months)

- Regular check-ins with HR and line managers to assess progress.
- Ongoing support for professional development and skill enhancement.
- Inclusion in team meetings and Company-wide initiatives.
- Performance review and feedback sessions to ensure alignment with Company goals.

e) Confirmation & Long-Term Development (First Six Months & Beyond)

- Performance appraisal to determine confirmation of employment.

- Opportunities for career growth through learning and development programs.
- Continuous engagement through employee wellness, recognition, and retention initiatives.

GRI: 401-2, 405-2

REMUNERATION AND BENEFITS

At Arpico Insurance PLC, we are committed to ensuring all employees receive fair, competitive, and equitable remuneration and benefits that reflect the nature of their job, their qualifications, experience, and performance. Our approach to compensation is guided by the basic principle that every employee should be rewarded appropriately for their contributions while maintaining alignment with industry standards and best practices.

We also strictly adhere to the principle of gender pay equity, maintaining a 1:1 ratio in the basic salary offered to men and women in similar roles across the Company, reinforcing our broader efforts to foster diversity, equality and inclusion in the workplace.

Aside from offering competitive salaries, we provide a comprehensive benefits package designed to support the financial well-being, career growth, and enhance the overall quality of life of our employees.

GRI: 401-3

BENEFITS OFFERED TO EMPLOYEES

- Festival Advance Scheme to assist employees during festive seasons.
- Employees with school-going children receive educational support through the provision of exercise books to aid their studies
- Subsidised Insurance Scheme offering hospital cover of up to Rs. 100,000/- for all employees.
- OPD Bill Reimbursement with limits based on salary scales

GRI: 401-3

Parental Leave	FY 2024	FY 2023
In compliance with the Shop and Office Employees Act of 1954, female employees are entitled to 84 days paid maternity leave, post-delivery as well as two hours nursing time for a period of one year after recurring to work.		
Total number of employees that were entitled to parental leave	48	58
Total number of employees that took parental leave	48	58
Total number of employees that returned to work in the reporting period after parental leave ended	47	55
Total number of employees that returned to work after parental leave ended and were still employed 12 months after their return to work	37	35
Return to work and retention rates of employees that took parental leave	98%	94%

GRI: 403-1, 403-2, 403-3, 403-4, 403-5, 403-6, 403-7

WORKPLACE SAFETY

As an insurance company, the nature of our business does not inherently expose our employees to safety hazards or health risks. However, as a responsible corporate entity, Arpico Insurance remains committed to ensuring the safety and wellbeing of all employees while they are at work. To this end, we strictly adhere to national fire safety regulations and follow best practices recommended by the Occupational Health Unit of the Ministry of Health and the National Institute of Occupational Health & Safety of Sri Lanka.

Moreover, fire wardens at each location are tasked with monitoring safety measures and identifying potential risks and improving safety awareness among branch teams.

TALENT RETENTION

GRI: 404-3

Performance Management

All permanent employees of the Arpico Insurance PLC completing 1 full year of service are entitled to an annual performance appraisal. To facilitate this, we have implemented a comprehensive performance management mechanism that recognises achievements while advocating continuous improvement at all levels of the Company.

IMPROVEMENTS TO SAFETY SYSTEMS IN FY 2024

- Revised the workplace safety policy to align with new regulatory guidelines.
- Introduced ergonomic chairs and adjustable desks to reduce workplace injuries.
- Implemented fire evacuation drills and safety briefings for all employees.

The process begins with the target setting exercise wherein departmental targets are cascaded down to employees level via individual KPI's. In this regard, department heads are tasked with setting mutually agreeable quantitative KPI's along with broader qualitative (behavioural) metrics for each individual employee.

Managers are required to maintain continuous and ongoing monitoring of employee performance and take appropriate follow up action, including coaching, mentoring and additional training to help poor performers to improve.

The annual performance appraisal, which comprises both quantitative and qualitative assessments, serves as an opportunity for employees to formally discuss their performance outcomes with their respective managers. The overall outcomes of the annual performance appraisals are used as the basis for determining increments, promotions etc, subject to the approval of the CEO.

Apart from the formal Annual Performance Appraisal, employee performance is also reviewed at the end of the probationary period, at disciplinary hearings and during exit interviews.

GRI: 404-1, 404-2

TRAINING AND DEVELOPMENT

Arpico Insurance is committed to fostering a culture of continuous learning and professional growth. As a progressive organisation, we ensure that our employees receive the necessary training to excel in their roles and deliver exceptional service. Aligned with our Learning and Development strategy, we adopt a blended learning approach built on the 70:20:10 principle, where 70% of learning occurs through on-the-job experiences, 20% through mentoring and coaching, and 10% through structured classroom training.

In recent years, classroom training has been increasingly conducted via e-learning thereby greatly reducing the

Employee Category	Total Number of Employees receiving a formal Performance Appraisal (as a percentage of employees within the category)
Executive	80%
Non-Executive	68%

practical difficulties in conducting physical workshops for our front-line teams across the country.

During the year, significant investments were made to enhance e-learning through the launch of a new internal Learning Database System to facilitate self-paced learning, empowering employees to access training materials at their convenience. Following its roll out, a series of new compliance training modules were introduced. Additionally, recognising the importance of leadership development, we also introduced a specialised e-learning program tailored for mid-level managers.

Career Progression

At Arpico Insurance, we place a strong emphasis on the career progression of our employees, as we believe their growth goes hand-in-hand with long-term organisational success. To support this, we have implemented several structured leadership development initiatives designed to empower employees to advance their career within the Company.

High performers identified through the annual performance appraisal are earmarked for further development through structured leadership programmes to enable them to systematically build the competencies necessary for future leadership positions. A notable initiative is the Leadership Acceleration Programme which integrates a mix of mentoring, executive coaching, and experiential learning to give participants the opportunity to sharpen their critical leadership skills, strategic thinking capabilities, and decision-making expertise. Another key initiative is the Career Growth Framework which

introduced structured career paths to help employees transition into higher roles.

Rewards and Recognition

Rewards and recognition form an important part of our overall approach to talent retention. The Million Dollar Roundtable Programme (MDRT) is a key initiative to recognise and reward our frontline employees. In 2024, a total of 10 Arpico Insurance employees were recognised under the MDRT scheme.

TALENT ENGAGEMENT

GRI: 2-25, 2-26, 407-1

Employee Relations

Based on the principle that strong employee relations are fundamental to fostering an engaged and motivated workforce, we strive to create an inclusive and transparent work environment where employees feel valued, heard, and invested in the Company's long-term success.

Accordingly, managers at all levels are encouraged to engage in continuous dialogue with their teams through regular briefings, departmental meetings, and informal discussions. Our open-door policy further reinforces this approach, empowering employees to reach out directly to their superiors to discuss work-related concerns, seek guidance, or share feedback.

In addition, employees are informed about key operational changes via email within a minimum notice period of 3 days for any significant operational changes.

The Company does not maintain ties with trade unions with strong relationships built with employees over

the years preventing the need for a collective bargaining agreement.

GRI: 2-3

Grievance Handling

We consider grievance handling as a vital aspect in ensuring our employees' concerns are addressed fairly, promptly, and confidentially.

A designated HR representative serves as the first point of contact for resolution of grievances at a department-level, while department heads are trained and empowered with the necessary skills to manage grievances effectively. If an issue remains unresolved or is of a serious nature, it follows a formal escalation process, ensuring further review and appropriate action by senior leadership.

Additionally, our whistleblowing policy allows employees anonymously to report grievances. Grievances received through the whistleblower channel are handled directly by the Head of Internal Audit, Department head or a Board member, ensuring all concerns, including those of a sensitive or ethical nature, are handled with the highest level of accountability.

Future Plans

Going forward, Arpico Insurance will focus on strengthening its HR strategy through the implementation of AI-driven analytics to predict turnover trends and optimise talent management. In addition, we are exploring hybrid work models and flexible working hours to improve work-life balance, aiming to boost employee productivity, satisfaction, and overall well-being.



SOCIAL & RELATIONSHIP CAPITAL



OVERVIEW

Our Social and Relationship Capital represents the essential connections that create an ecosystem for business continuity and systematic expansion over time.

MANAGEMENT APPROACH

Our approach to developing Social and Relationship Capital is driven by the need to build strong ties with our key stakeholders including customers, business partners, and communities. Anchored to the core values of Arpico Insurance and the legacy of trust synonymous with the Arpico brand, we promote collaboration, consistent engagement, ethical practices, and a strong emphasis on shared success, as the basis of building stakeholder trust and loyalty.

ASSOCIATED RISKS

- Underwriting Risk
- Reinsurance Risk
- Claims Risk
- Insurance Market Risk
- Information Security / Cyber Security Risk

KEY ACTIONS FOR FY 2024

					
10,305	Rs. 1,144 Mn	Rs. 220 Mn	22	Rs. 55 Mn	Rs. 184 Mn
new policies issued to customers	worth of claims paid to customers	worth commission and incentives paid to agents	training programmes for agents	worth claims ceded to reinsurers	to suppliers

OUTPUTS/OUTCOMES

		
05 Days	1 Day	Zero
Average time taken to settle claims	Average time taken to resolve queries / complaints	incidents of product non-compliance

SDG'S IMPACT





achieve their goals while safeguarding their future. Be it our endowment plans, retirement plans, investment plans, or life policies, all our products are structured to provide financial security, long-term value, and peace of mind.

Underwriting remains the key to achieving these objectives. Our in-house panel of underwriting experts carefully weigh the risks to ensure that policies are not only tailored to individual needs but also uphold the long-term stability of our portfolio, all while ensuring the average time taken for underwriting decisions are on par with industry best practices.

CUSTOMER

In an increasingly competitive and complex operating environment, we recognise that customer experience is the key catalyst in earning and retaining the trust of different customer segments that consume our insurance products. As such we aim for precise solutions that ensure a seamless and personalised experience that exceeds

expectations at every stage of the customer journey.

GRI: 416-1, 416-2

PRODUCT STEWARDSHIP

We express our conviction to product stewardship by ensuring that every underwriting solution we offer is designed to empower our customers to

Year	Number of Policies
2020	18,902
2021	21,802
2022	16,239
2023	10,487
2024	10,305

PRODUCTS

 ENDOWMENT PLAN	 EDUCATION PLAN	 LOAN PROTECTION PLAN	 RELIEF PLAN
 ARPICO HEALTHCARE	 ARPICO TRUST PLAN	 TERM ASSURANCE PLAN	 GROUP ASSURANCE PLAN
 CUSTOMER INSURANCE SCHEME	 RETIREMENT PLAN	 ARPICO INVESTMENT BOUND	

SOCIAL & RELATIONSHIP CAPITAL

The focus on developing customer-centric products is an integral part of our product development lifecycle. The process begins with the study of market demands followed by the preparation of a comprehensive product paper. All product papers are rigorously evaluated with successful initiatives presented

simultaneously for Board approval as well as mandatory authorisation from the insurance regulator.

Meanwhile, as part of our commitment to continuous improvement, all existing products are subject to a comprehensive review at least once

every two years to determine compliance with evolving regulations as well as to assess the competitiveness of our offerings vis-a-vis evolving market trends and customer preferences. This process provides an opportunity for revamping / realigning our offerings or phasing out products as needed.

Challenges and Opportunities encountered in 2024		Response by Arpico Insurance
Challenges	With the ongoing economic downturn impacting disposable incomes, there was increased sensitivity to pricing with many customers demanding more cost-effective solutions	Creating multiple value propositions with diverse pricing structures to cater to various customer segments
Opportunities	Growing demand for convenient digital solutions for improved speed of delivery	Introduced digital platforms for seamless interaction, efficient claims processing, and simplified insurance purchases.

Name	2024	Membership Status
Average Time taken for underwriting decisions (non-medical)	Our SLA is to attend the case within 48 hours	Our SLA is to attend the case within 48 hours
Average Time taken for underwriting decisions (medical)	Our SLA is to attend the case within 48 hours	Our SLA is to attend the case within 48 hours
Average Time taken to deliver policy to the customer	According to our SLA; - Policies issued 1st – 15th : within 5 working days - Policies issued 16th – 25th : within 3 working days - Policies issued after 25th : within 10 working days	According to our SLA; - Policies issued 1st – 15th : within 5 working days - Policies issued 16th – 25th : within 3 working days - Policies issued after 25th : within 10 working days



CLAIM MANAGEMENT

Our claims management process has been designed with the best interest of our policyholders at heart. Accordingly, we have put in place a comprehensive framework of standard operating procedures to support the management of the claims internally, from the time the claim is received until it is finalised.

In 2024, we further streamlined our internal claim handling process by setting out clear guidelines to define the escalation, decision-making, monitoring and oversight and review processes in regard to claims. This was

done primarily with the aim of limiting the average time taken to settle claims to 5 days.

MULTI-CHANNEL ACCESS

Underpinned by our customer experience goals, we have adopted a multi-channel approach to provide

seamless access and convenience for our customers across Sri Lanka. At the heart of this strategy is our extensive island-wide branch network that allows customers to engage with us directly, receive personalised service, and access our comprehensive range of insurance solutions. Complementing

this, we work with a network of insurance agents who are equipped to offer expert advice and tailored solutions, ensuring that customers' unique needs are met.

GRI: 417-1, 417-2, 417-3



BRANCHES

69

[2023 - 69]



AGENTS

1,085

[2023 - 1,583]



WEB PORTAL

01

[2023 - 01]



SOCIAL MEDIA

01

[2023 - 01]

DIGITAL PLATFORMS

Recognising the importance of digital transformation in enhancing customer

experience, we have in recent years invested heavily in digital platforms to empower our customers to access

policy information, make payments, file claims, and communicate with us at their convenience.

DIGITAL INITIATIVES FOR FY 2024

SMS to the customer during claim process to inform the status of the claim.

Slip transfer facility for settlement of claims

E proposal submission platform incorporating rule-engine based underwriting principles for Arpico Endowment (END) & Arpico Relief (ARP) plans, to enable advisors to complete and submit insurance applications through the system

Digital Initiatives for FY 2024

SOCIAL & RELATIONSHIP CAPITAL

MARKETING AND COMMUNICATION

We firmly believe that effective and transparent communication is central to building trust and fostering customer loyalty. To empower customers to make well-informed decisions about their insurance needs we are committed to provide clear, accurate, and unbiased information. We prioritise transparency by avoiding exaggerated claims or misleading language, ensuring our promotional efforts authentically represent the value and benefits of our products and services.

Understanding our commitment to ethical and responsible communication, all advertising campaigns and promotional material across all platforms align strictly with the guidelines set by the insurance regulator. Additionally, all advertising and promotional material is carefully scrutinised to confirm its consistency, factual accuracy, and cultural sensitivity for our diverse audience.

We have also established comprehensive customer communication guidelines and conduct targeted training aimed at improving employees' product knowledge and reinforce the principles of clear, respectful, and professional interactions with customers.

COMPLAINT HANDLING

At Arpico Insurance, we view customer complaints not merely as issues to be resolved but as valuable opportunities to understand customer concerns, refine our processes, and enhance overall customer experience. As such, we have in place a robust complaints handling

mechanism to handle every concern promptly, fairly, and transparently.

Our structured framework is designed to manage complaints effectively, from initial receipt to resolution, with clear escalation channels and timelines. Insights gained from complaints are analysed systematically to identify trends and drive continuous improvement across our operations, ensuring we adapt to customer needs and expectations proactively. As part of our ongoing efforts to strengthen the complaint management process, we began the groundwork to set up a fully automated Customer Relationship Management (CRM) solution for 360 degree customer experience management.





We prioritise customer privacy with robust data protection measures, enhance customer experience through digital innovation, and strengthen partnerships by empowering agents and suppliers aligned with our values



In the event that the customers are unsatisfied with the resolution provided, they are advised to refer their complaint to the Insurance Ombudsman or Insurance Regulatory Commission of Sri Lanka.

GRI: 418-1

Customer Privacy

We acknowledge that customers' personal and financial information shared with us is highly sensitive, and take every measure to protect its confidentiality.

Our approach to customer privacy is based on strict adherence to regulatory requirements and global best practices in data protection. We clearly communicate how data is collected, stored, and used indicating that customer information is utilised strictly for legitimate business purposes only. Additionally, we have implemented robust systems, advanced encryption technologies, and stringent access controls to prevent unauthorised access



and safeguard data integrity. These efforts are accompanied with regular training for employees.

In the year under review, there were no complaints received regarding breach of customer privacy.

Future Plans

Moving forward, we will continue to reiterate our commitment to enhancing the customer experience. In particular, we will focus on leveraging digital innovation to introduce service enhancements and dynamic value propositions that deliver seamless convenience to customers. Enhancing customer engagement remains a top priority. Central to this effort will be the implementation of a new CRM system, which was initiated in 2024 and scheduled for completion next year.

BUSINESS PARTNERS AND SUPPLIERS

Business partners and suppliers contribute significantly towards sustaining organisational growth. Within the Arpico Insurance business model, business partners, such as insurance agents help expand market reach, while reinsurers are vital for managing risks and scalability. Suppliers provide essential goods and services, from technology solutions to administrative support, enabling the Company to maintain seamless operations and focus on customer satisfaction.

Agent Network

Our network of insurance agents is a fundamental part of our distribution network with the agent network accounting for approximately Rs. 1,695 Mn of Arpico Insurance PLC's annual average GWP.

Considering their impactful position in our value chain, our principle approach to building the agent network revolves around developing brand ambassadors who embody the core values and mission of Arpico Insurance. To that end, we have a robust recruitment programme that seeks to engage individuals with integrity, dedication, and a customer-centric mindset. This is coupled with investments in their professional development through continuous training designed to enhance their product knowledge, sales skills, and imbibe ethical conduct.

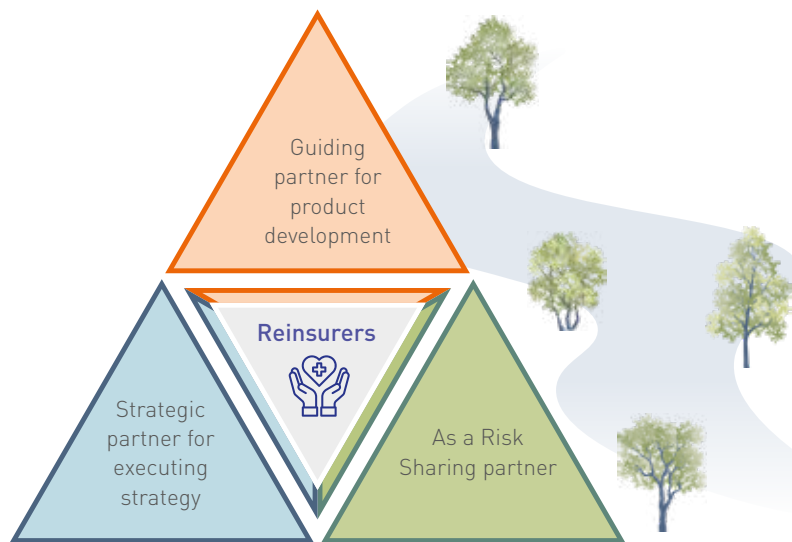
We assess the effectiveness of our agents through regular performance evaluations which help determine high performers, identify areas for improvement and opportunities for innovation, as well as reinforce our agents' commitment to shared value. Meanwhile, high performers are rewarded by way of incentives and other recognition schemes, including the highly-coveted Million Dollar Round Table (MDRT) status.

SOCIAL & RELATIONSHIP CAPITAL

Name	2024	2023
Total no. of Agents	1,085	1,583
No. of new Recruits	1,514	1,847
Resignations / Terminations	2,012	2,358
Attrition Rate	1.5	1.3
MDRT Winners	10	12

In the year under review, we initiated quarterly roundtable sessions, bringing together high performing agents to discuss industry trends, share insights,

and brainstorm collaborative opportunities. These roundtables foster a sense of community and encourage the sharing of innovative ideas for mutual growth.



Reinsurance Partners

Reinsurers, who aid in risk diversification and bolstering our capacity to optimise capital utilisation, serve as a key strategic link in our value creation process. Transferring a portion of our risks to carefully selected reinsurance partners, allows us to enhance our underwriting bandwidth, while safeguarding financial stability and resilience of our business model to support the delivery of our strategy.

Additionally, we leverage the global expertise of our reinsurance partners to improve our product design and development to meet the evolving needs of our customers.

Given the crucial role reinsurers play within our value chain, we take great care in selecting and working with the right partners. In this regard, we typically work only with highly-reputed A+ or A rated global organisations with proven track record and long-standing reputation for financial stability. Today, Arpico Insurance has arrangements with 2 of the world's leading reinsurers. In 2024, we strengthened our reinsurance agreements to cover specific high-risk categories, ensuring we are well-protected against large-scale claims and can continue to offer competitive products in the life insurance market.

Name of Reinsurer	Logo	Credit Rating	Profile	Length of Relationship with Arpico Insurance
Munich Re		Fitch : (AA) (July 2024) A.M. Best : A+ (July 2024) S&P Global Ratings :AA (July 2024)	- World largest reinsurer by gross premium - Expertise in risk over 144 years - Total asset base of € 231 Bn (€ 1 = LKR 374 [TT]) 31st December 2024	Since 2012

In FY 2024, claims to the value of Rs. 310 Mn on account hospitalisation claims and another Rs. 237 Mn on account of death, were ceded to reinsurers, reflecting a 31% decrease and 14% increase respectively from the previous year.

Suppliers

Vendors who provide routine requirements and service providers who offer essential services for business continuity occupy an important position in our value chain. Hence, guided by the

formally documented "Purchasing Procedure," we take a disciplined approach to selecting the best-fit suppliers who have the capacity to support our business objectives.

Keen to form long term partnerships, we evaluate suppliers based on their ability to meet quality standards, adherence to timelines, and alignment with our values and sustainability standards.

GRI: 2-28

Memberships and Affiliations

Memberships and affiliations with various organisations add significant value to our business as they allow us to connect with industry leaders, peers, and experts, facilitating collaborations, partnerships, and joint ventures. These relationships provide access to industry insights, market trends, and best practices through reports, forums, and training programmes. Affiliations also offer a platform for advocacy, ensuring representation in policy discussions and influencing regulations to align with industry interests. Additionally, they create opportunities for market expansion by offering global exposure and local insights collectively positioning the businesses for long-term success and innovation in a competitive landscape.

Memberships and Affiliations
Institute of Chartered Accountants of Sri Lanka
Insurance Regulatory Commission of Sri Lanka (IRCSL)
Insurance Association of Sri Lanka (IASL)
Sri Lanka Insurance Institute (SLII)
Colombo Stock Exchange (CSE)
Central Bank of Sri Lanka (CBSL)
The National Chamber of Commerce Sri Lanka

>>	EDUCATION SUPPORT PROGRAM
	Arpico “Wings” (Aththatu) program to help school children with stationaries
>>	ENVIRONMENTAL CONSERVATION INITIATIVES
	- Sri Lanka’s 1st Green annual report initiative with carbon neutralisation - 2023 - Carbon foot print-oriented decision making - Waste management initiatives
>>	SMALL BUSINESS DEVELOPMENT SUPPORT
	Partnerships and Collaborations
>>	DISASTER RELIEF AND PREPAREDNESS
	Disaster preparedness training drills

Future Plans

We will continue to strengthen ties with our reinsurance partners to support increased scalability across our existing verticals as well as exploring the possibility of introducing new insurance solutions, including health insurance products tailored for specific demographics and microinsurance options designed for low-income segments. Digital enablement to empower the agent network will also be another important area, going forward. By increasing the level of digital integration across our agent network, we expect to amplify our ability to serve a wider audience more effectively and efficiently.

COMMUNITY

Recognising the interconnectedness of our business with the communities around us, we take our role as a community steward very seriously, as we strive to create meaningful, positive change in the lives of those we serve through a 5-pillar strategy that aims to uplift the wider community.





NATURAL CAPITAL



OVERVIEW

As a service-oriented organisation, Arpico Insurance PLC does not rely on natural resources for its core business operations. However, resources such as water and electricity used in our day-to-day operations contribute to the gradual depletion of environmental resources, impacting Natural Capital over time.

MANAGEMENT APPROACH

Despite our limited impact on the environment, we recognise the importance of minimising the loss of natural capital. Anchored by our ESG strategy, we have implemented policies and procedures to encourage sustainable practices within our operations. Additionally, we have identified focus areas for which specific targets have been established to promote resource efficiency.

ASSOCIATED RISKS

- Climate Risk
- Reputation Risk

KEY ACTIONS FOR FY 2024



Rs. 100,437

Invested in installing energy efficient lighting



Launched a special incentive scheme to reward branches for achieving their energy reduction targets



Rs. 359,630

Incurred on repair and maintenance of water systems across the branch network

OUTPUTS/OUTCOMES



78 GJ

Energy Consumption per branch



487 CO₂T

Organisation-wide Carbon footprint



421 m³

Water consumption per branch

SDG'S IMPACT





Arpico Insurance drives sustainability by reducing energy consumption across branches, incentivising efficiency, and actively monitoring emissions through carbon footprint assessments aligned with national guidelines



ENERGY MANAGEMENT

Electricity used to power branch operations is the main source of energy used by Arpico Insurance PLC. Hence our energy management strategy revolves around reducing consumption especially in energy-intensive areas. Branches are assigned energy reduction targets and encouraged to continuously seek opportunities to enhance energy efficiency. Branch level and Company level energy consumption along with performance against energy reduction targets are monitored and reported to the management on a monthly basis. In keeping with this approach, a special incentive scheme was implemented in the current financial year to reward branches for achieving their energy reduction targets.

More recently we have started switching to energy efficient solutions in a bid to manage overall energy consumption across our operations. To that end, we have commenced installing LED lighting across our branch network.

MONITORING EMISSIONS

Emission concerns arise primarily as a result of the energy consumed to facilitate day-to-day business

PROGRESS TOWARDS SLFRS S2

As part of our ongoing commitment to sustainability, Arpico Insurance PLC is making significant progress toward SLFRS S2 compliance, aligning with global best practices in climate-related financial disclosures. With carbon footprint calculations and disclosures already embedded in our sustainability strategy, our current focus is on enhancing the integration of climate-related financial risks and opportunities into core business decision-making.

KEY PROGRESS IN 2024

Enhanced Climate Risk Governance:

- Updated risk policies to account for physical and transition climate risks in underwriting and investment decisions.

Refined Carbon Footprint Analysis & Reporting:

- Improved data accuracy through tracking of energy, paper, and resource consumption across branch operations.

Scenario Analysis & Climate Risk Quantification:

- Conducted climate stress tests to assess the impact of extreme weather events on claims frequency and mortality rates.

Investment Portfolio Alignment with Climate Goals:

- Developed an ESG investment roadmap, incorporating low-carbon and sustainable asset allocations.



5,406GJ

TOTAL ENERGY CONSUMPTION



357GJ

TOTAL ENERGY SAVING



78GJ

ENERGY CONSUMPTION PER BRANCH

operations. Employee commuting for business purposes (Scope 1) and purchased electricity (Scope 2) stands as the top contributors, responsible for the Company's direct and indirect emissions respectively.

As part of the ongoing efforts to further strengthen emission monitoring, Arpico

Insurance PLC has for the past 2 years, undertaken to compute the Company's Carbon Footprint covering organisation-wide GHG Scope 1 and Scope 2 emissions based on the guidelines issued by the Sri Lanka Sustainable energy Authority.

Scope	Description	2024	2023
		Emission (Tons of CO ₂)	Emission (Tons of CO ₂)
Direct Green House Gas Emission	Paid employee commuting	296	276
Indirect Green House Gas Emission	Grid Connected Electricity	191	319
Total		487	595

ARPICO INSURANCE PLC - KEY ENVIRONMENTAL FOCUS		
Energy and Emissions	Water	Waste
		
Energy Investigations and Assessments : - Conduct regular energy investigations to identify areas of high energy consumption and potential energy Improvements. - Analyse historical energy usage data track patterns and identify opportunities for optimisation.	Efficient Fixtures and Appliances: - Install water-efficient features such as low-flow faucets, toilets and urinals to reduce water consumption. - Upgrade to energy-efficient and water-saving appliances in the cafeteria and meeting rooms.	Waste Reduction and source Separation: - Education programs: Develop and conduct awareness programs for employees on waste reduction techniques. - Source Separation: Encourage and facilitate the separation of recyclables, compostables, and non-recyclables at the source.
Energy-Efficient Equipment and Appliances: Upgrade to energy-efficient lighting system, including LED bulbs, and install energy efficient applications and machinery.	Leak Detection and Repair: Regularly inspect plumbing systems for leaks and promptly repair any identified issues.	Recycling Programs: - Collection Bins: Provide clearly labels recycling bins for different types of materials throughout the premises. - Partnerships: Collaborate with local recycling facilities to ensure proper disposal and recycling of materials.
Renewable Energy Adoption: Invest in renewable energy sources, such as solar panels.	Policy Development and Monitoring: - Develop and Implement water management policies and guidelines that outline best practices for water conservation. - Install water meters to monitor and track water usage in different branches of the organisation.	Composting Initiatives: - Compost bins: Introduce composting bins for organic waste in common areas such as cafeterias and break rooms. - Compost Education: Educate employees about the benefits of composting and the proper disposal of organic waste.
Remote Work and Virtual Meetings: - Promote virtual meetings to minimise the need for employee travel and associated energy usages. - Enhance remote work options to reduce energy consumption related to office facilities.	Educational Programs: Implement awareness programs to educate employees about the importance of water conservation and ways to reduce water usage.	Reusable and Sustainable Practices: Reusable Items: Promote the use of reusable items such as water bottles, utensils, and containers to reduce single use of plastics.
Employee Engagement - Involve employees in energy-saving initiatives through incentive programs and recognition for their contributions. - Encourage employees to report energy related issues and suggest improvement ideas.		



**Arpico Insurance
champions responsible
water and waste
management through
infrastructure upgrades,
employee awareness, and
compliance-driven
disposal practices-paving
the way for long-term
sustainability and efficiency**



WATER CONSERVATION

As a service organisation, Arpico Insurance PLC does not depend on water to carry out its core business activities. Given that the Company's interaction with water is limited to the utility and sanitation needs of employees, we have adopted a broad based approach to managing water usage. We continuously invest in upgrading our infrastructure to minimise water wastage and have appointed a dedicated maintenance officer to oversee preventive work and repairs to minimise leaks etc. These efforts are supported by ongoing awareness campaigns to promote water conservation practices among our employees.

Key indicators including, Branch level and Company level water consumption



29,059m³

**TOTAL WATER
CONSUMPTION**



77m³

**WATER CONSUMPTION
PER PERSON**



421m³

**WATER CONSUMPTION
PER BRANCH**



as well as performance against water reduction targets are monitored and reported to the management on a monthly basis.

Since no harmful substances are mixed during usage, water used by the Company is considered fit to be discharged to the municipal drainage system.

GRI: 306-1, 306-2

WASTE MANAGEMENT

Our waste footprint primarily comprises paper waste, e-waste and food-waste. In regard to paper waste, we strive to apply the principles of Reduce, Reuse, and Recycle (3R) across all levels of our business operations. Additionally, we collaborate with licensed waste disposal partners to ensure that both paper and e-waste are handled and disposed of in compliance with Central Environmental Authority (CEA) guidelines, reinforcing our commitment to sustainable waste management practices.

FUTURE PLANS

We will continue to work towards minimising the loss of Natural Capital, through a comprehensive plan focused on energy, emissions, water, and waste management. Our goal is to reduce energy consumption per branch by 5% annually while progressively moving toward a net-zero position. This will be achieved through renewable energy sourcing and the implementation of efficient operational layouts. As our energy initiatives gain traction, we anticipate a corresponding improvement in our emission performance over time, further reducing our environmental impact.

With regard to water, we will strive to lower per-person water consumption by 2% annually. We also expect to establish a sustainable mechanism to facilitate water reuse. At the same time, we remain committed to reducing paper waste by 5% through the adoption of e-documentation systems such as KEISON and by encouraging reuse, wherever possible and practical. We are also looking to develop a fully - fledged strategy to ensure sustainable long term solutions for reducing and disposing of food waste.

STAKEHOLDER ENGAGEMENT

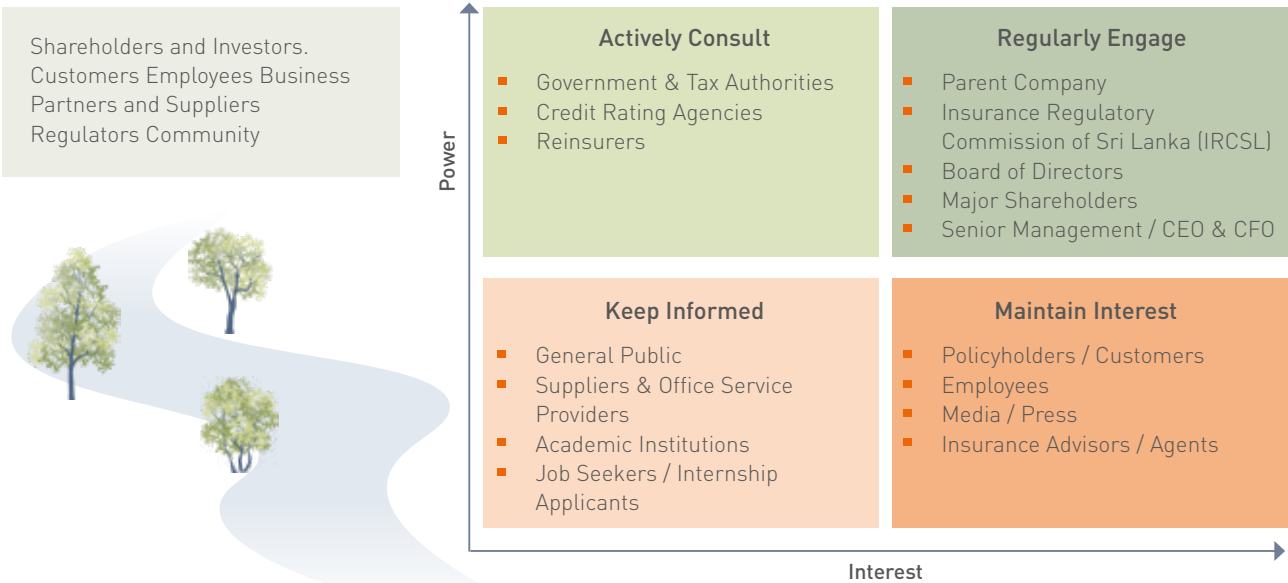
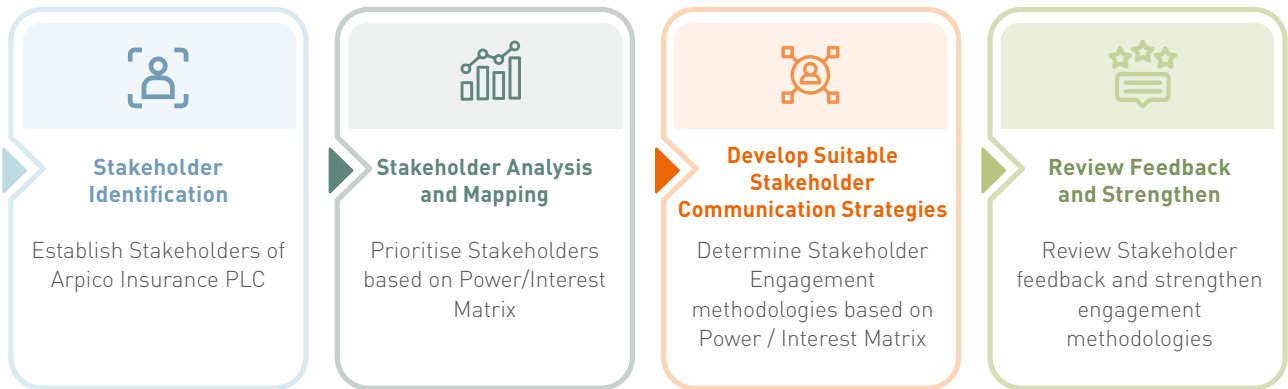
Proactive stakeholder engagement is no longer a choice - it is a strategic imperative. At Arpico Insurance, we view every stakeholder interaction as an opportunity to learn, adapt, and grow, ensuring our decisions reflect the values, needs, and aspirations of those who matter most to us.

In today's fast-paced world, where trends are constantly evolving, stakeholder engagement has become a crucial element in enhancing Arpico Insurance's ability to strategically adapt

and remain relevant. We recognise that engaging with stakeholders is essential for understanding their expectations and concerns, while also providing an opportunity to communicate the steps

we are taking to address these issues. Arpico Insurance follows a structured, four-step process to continuously strengthen and build meaningful relationships with our key stakeholders.

STAKEHOLDER ENGAGEMENT PROCESS



Stakeholder	Engagement Mechanisms and Frequency of Engagement	Expectations and Concerns	Arpico Insurance PLC's Strategic Initiatives	Value Delivered
 SHAREHOLDERS AND INVESTORS Strength of Relationship - HIGH	Annual Report (Annual) Annual General Meeting (Annual) CSE Interim Financial Reports (Quarterly) Announcements (As needed) Corporate Website (Continuous and Ongoing) One-on-one meetings (as needed)	- Consistent financial performance - Capital Adequacy - Reliability of dividends - Transparent, accurate and timely disclosure of financial and nonfinancial information - Regulatory compliance - Ethics and values including the commitment to anti bribery and Anti Corruption	- Focus on growing captive market share - Disciplined underwriting principles - Stringent management of capital and liquidity - Robust risk management measures - Strong governance and oversight	Top line growth Dividend payout Capital Adequacy Liquidity Ratio ROE ZERO incidents regarding non-compliance of regulations ZERO incidents of bribery or corruption
 CUSTOMERS Strength of Relationship - HIGH	Sales Teams (Continuous and Ongoing) Customer Satisfaction Surveys (periodic) ATL/BTL / Digital/ Social Media Promotional Campaigns (As needed) Corporate Website (Continuous and Ongoing) Claim process (as needed) Complaint channels (as needed)	- Competitive pricing - Diversity of product portfolio - Channels to access products and services - Timeline for policy delivery - Efficiency of the claims process - Overall convenience - Data privacy	- Customer-centric product portfolio catering to segments - Multi Channel Access combining both digital and physical infrastructure - Responsible marketing and communications - End-to-end claim management - Proactive Complaint handling - Continuous investment to upgrade core IT infrastructure - Implemented reliable BCP Framework & DR Architecture	4% year - on - year growth in customers base 56% policy renewal rate 10,305 of new policies Increase in new policies through digital channels Average Time taken to deliver policy to the customer - 02 days ZERO incidents of customer privacy violations

STAKEHOLDER ENGAGEMENT

Stakeholder	Engagement Mechanisms and Frequency of Engagement	Expectations and Concerns	Arpico Insurance PLC's Strategic Initiatives	Value Delivered
 EMPLOYEES Strength of Relationship - SATISFIED	Employee Surveys (As needed) Performance Appraisal (annual) Team Meetings / Briefings (Continuous and Ongoing) Internal Communications (Continuous and Ongoing) Employee Engagement Programmes (periodic)	- Remuneration and Benefits - Training and developments - Work-life balance - Gender parity - Rewards and recognition - Job security and prospects - Safe workplace	- Governance, Compliance and Best Practices - Fair and equitable recruitment - Competitive remuneration and benefits - Performance management - Training and development - Career progression - Rewards and recognition - Assurance of workplace safety - Employee relations - Grievance handling	8% average salary increment 1,673 new recruits 73 promotions
 BUSINESS PARTNERS AND SUPPLIERS Strength of Relationship - SATISFIED	Contracts with insurers (Annual) Agent on-boarding process (as needed) Supplier evaluation process (as needed)	- Honouring contractual obligations - Growth opportunities - Timely settlement of dues	- Collaboration with reinsurers to enhance underwriting skills and develop and implement best practices - Knowledge sharing and capacity building for insurance brokers - Effective management of supplier networks	Rs. 87 Mn premiums ceded to reinsurers Rs. 220 Mn of restorations paid to sales force. One new supplier relationships formed

Stakeholder	Engagement Mechanisms and Frequency of Engagement	Expectations and Concerns	Arpico Insurance PLC's Strategic Initiatives	Value Delivered
 REGULATORS Strength of Relationship - SATISFIED	Mandatory reporting disclosure (Annual / Quarterly) Compliance audits by regulators (Annual) Industry forums and meetings (periodic)	- Financial Transparency & Accuracy - Compliance with governance frameworks, including effective risk assessment, mitigation measures, and internal audit functions - Prompt reporting of material events that impact investors and stakeholders - Shareholder Rights - Environmental, Social, and Governance (ESG) Compliance - Anti-Corruption & Ethical Conduct	100% compliance with regulatory requirements - Early adoption of new regulations - Voluntary adoption of good governance practices - Timely payment of taxes	ZERO incidents regarding non-compliance of regulations ZERO incidents of bribery or corruption Rs. 10 Mn paid as taxes
 COMMUNITY Strength of Relationship - HEALTHY	Sales Teams (Continuous and Ongoing) Corporate Website (Continuous and Ongoing) Social Media (Continuous and Ongoing) CSR Initiatives (Periodic)	Community support and wellbeing	- Educational programmes - Healthcare outreach - Business development assistance - Disaster relief	Donated stationary to Aththidiya Primary School children

OPERATING ENVIRONMENT

An economy's true strength lies not only in numbers, but in its resilience and adaptability. As Sri Lanka begins its long-awaited recovery, the improving macroeconomic indicators provide fertile ground for businesses like Arpico Insurance to regain momentum, recalibrate strategies, and contribute to the nation's renewed growth journey.

PERFORMANCE OF THE SRI LANKAN ECONOMY

Sri Lanka experienced a long-awaited economic turnaround in 2024 after several years of subdued performance. The economy rebounded strongly, supported by broad-based growth across key sectors. Inflation, which had been a concern in previous years, moderated significantly, creating a stable pricing environment. This, along with a stronger currency and lower energy costs, contributed to improved economic conditions. In response to declining inflation and overall stability, the Central Bank adopted a more accommodative monetary policy, reducing interest rates to stimulate investment and credit growth. These positive developments marked a

significant shift towards sustained economic recovery and renewed confidence in the country's financial landscape

GDP GROWTH

Sri Lanka's economy experienced a strong recovery in 2024, with GDP crossing the 4% mark, denoting the highest annual growth rate since 2017. All key sectors, industry, services, and agriculture expanded steadily, driving economic momentum.

INFLATION

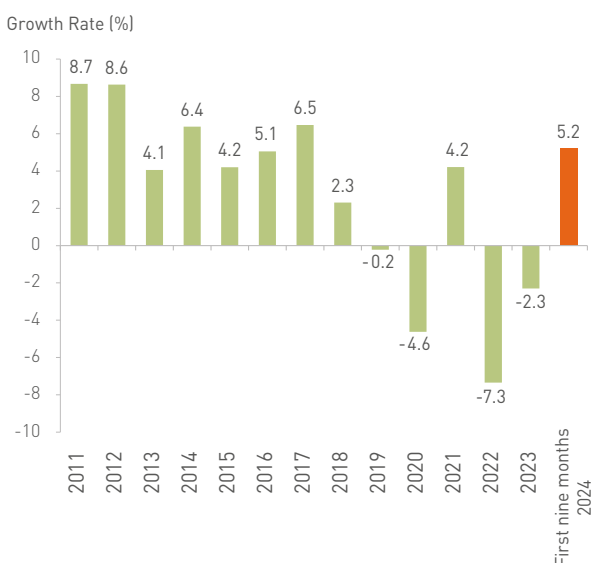
Inflation declined steadily despite an early-year surge caused by a VAT increase and the removal of exemptions on key consumer items. Factors such as lower energy prices, a stronger

currency, and declining food costs contributed to inflation remaining at single digit levels and well within the desired 4%-6% band.

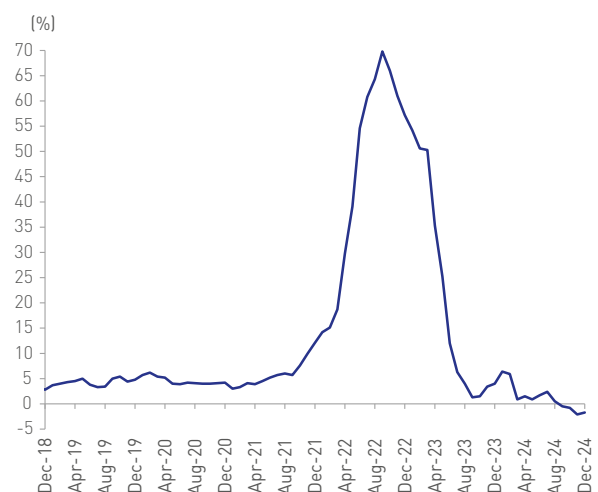
INTEREST RATES

With inflation subdued and economic activity gaining traction, the Central Bank adopted an accommodative monetary policy in 2024. Policy rates were reduced three times during the year, leading to lower market interest rates. This move was aimed at further fuelling economic activity by increasing credit availability and improving financial conditions for businesses and consumers.

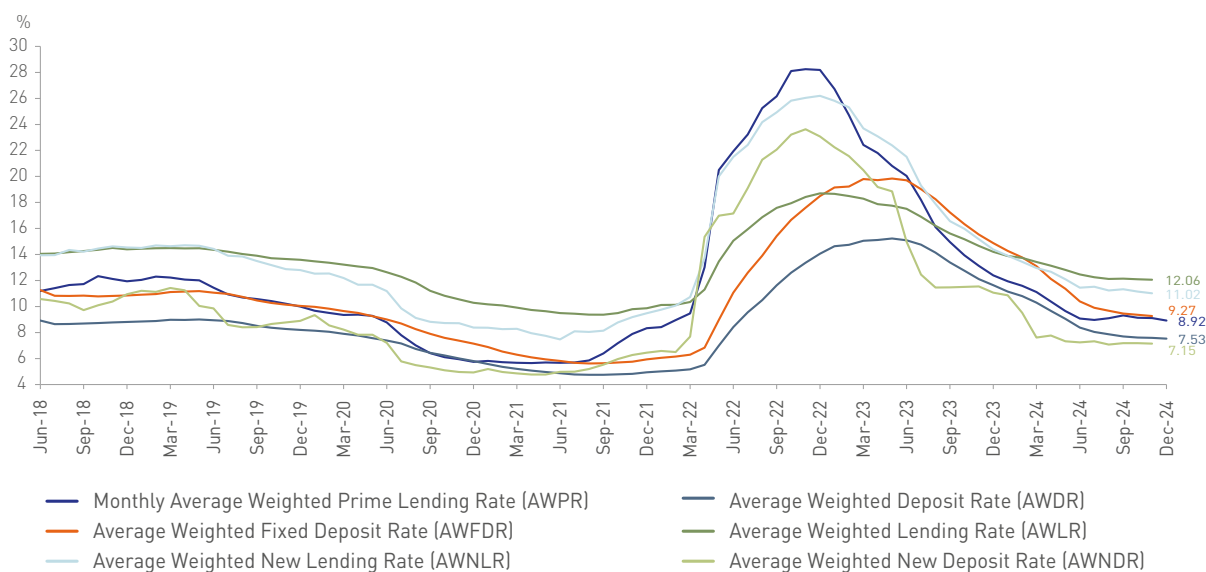
Annual Real GDP Growth



CCPI Based Y-o-Y Headline Inflation



Market Interest Rates



LIFE INSURANCE INDUSTRY - KEY HIGHLIGHTS FOR 2024

The Sri Lankan insurance industry has demonstrated resilience in 2024, navigating a complex economic landscape characterised by inflationary pressures, regulatory changes, and evolving consumer preferences. Amid these challenges, the industry has continued to grow, driven by an increasing awareness of financial protection and strategic product innovations.

MARKET PERFORMANCE AND GROWTH TRENDS

The life insurance segment, which constitutes a significant portion of the industry, maintained steady growth, reflecting a growing emphasis on long-term financial security. GWP of the life insurance industry expanded from Rs. 152,645 Mn in 2023 to Rs. 183,342 Mn in 2024, representing an impressive 20% expansion year-on-year, while new policy issuances registered 14% improvement year-on-year.

REGULATORY DEVELOPMENTS

Regulatory reforms have continued to shape the industry's direction in 2024. The Insurance Regulatory Commission of Sri Lanka (IRCSL) implemented new compliance measures to align with IFRS 17, ensuring greater transparency in financial reporting. Additionally, sustainability reporting in line with IFRS S1 and S2 also gained momentum, prompting insurers to integrate environmental, social, and governance (ESG) considerations into their risk management frameworks.

PESTLE Analysis

	Risk Event	Description	Impact to Arpico Insurance	
			Risks	Opportunities
 POLITICAL	Impact of Elections	The Sri Lankan general elections in 2024 created a period of political uncertainty, which affected the country's stability and business environment. Changes in government resulted in shifts in regulatory policies impacting the insurance industry.	Uncertainty around regulatory policies and tax changes.	Potential for expansion into new sectors if new government policies favour insurance growth.
 ECONOMIC	Economic Recovery with Disinflation and Low Interest Rates	Sri Lanka's economy showed signs of recovery in 2024, supported by disinflation and lower interest rates. Inflation, which had peaked in 2023, began to ease in 2024, improving consumer purchasing power.	Risk of low returns from investments due to monetary policy.	- Increased demand for life insurance products due to improved purchasing power. - Better returns on insurance-linked investments due to low interest rates.

OPERATING ENVIRONMENT

PESTLE Analysis				
	Risk Event	Description	Impact to Arpico Insurance	
			Risks	Opportunities
 SOCIAL	Changing Demographics	In 2024, Sri Lanka's population continued to age, with nearly 20% of the population expected to be 60 years or older by 2025. This demographic shift increased the demand for life insurance products that focused on retirement and health coverage. Additionally, urbanisation continued, leading to growing awareness of life insurance products, especially among the working-age population.	- Increased competition in the market for life insurance products targeting older demographics. - Risk of underestimating the needs of the aging population in product development.	Rising demand for retirement and health-focused insurance policies.
 TECHNOLOGICAL	Cybersecurity Risks	With the rapid digitalisation of services in Sri Lanka in 2024, Arpico Insurance faced increasing risks related to data security. Sri Lanka saw a rise in cyberattacks on businesses, and insurers were prime targets due to their sensitive customer data.	- Increased exposure to cyberattacks and data breaches. - Potential legal liabilities and reputational damage from security incidents.	Invest in enhanced cybersecurity measures, boosting trust with customers.
 LEGAL	Compliance with Evolving Regulations	In 2024, Sri Lanka made significant progress in aligning its insurance laws with international standards. The Insurance (Amendment) Act of 2024 introduced new guidelines on solvency margins and transparency in claims settlements.	Costs of implementing new compliance measures and updates to existing systems.	Early adoption of regulatory requirements
 ENVIRONMENTAL	Natural Disasters and Climate Change	Sri Lanka continued to experience the adverse effects of climate change, with increasing occurrences of floods and droughts in 2024. The National Building Research Organisation reported severe flooding in the southern regions in early 2024, leading to significant property damage and loss of life.	Potential financial strain from higher-than-expected disaster payouts.	- Develop new products related to climate change, such as climate risk-based life insurance or health policies. - Partner with government or NGOs in climate resilience programmes, building brand credibility.

SRI LANKA'S ECONOMIC OUTLOOK

Sri Lanka's economy is expected to continue its recovery, supported by easing inflation and lower interest rates. However, while improved consumer purchasing power will create opportunities for growth, ongoing fiscal and tax policy changes may bring fresh challenges that may affect business confidence over the medium term.

LIFE INSURANCE INDUSTRY PROSPECTS

The life insurance industry is projected to grow as economic conditions improve and consumer awareness increases. With Sri Lanka's ageing population expanding, demand for retirement and

health-focused insurance policies will rise. Lower inflation and higher disposable incomes will likely drive greater insurance penetration. New regulatory reforms under the Insurance (Amendment) Act of 2024 will require insurers to enhance compliance and transparency. Additionally, as climate change intensifies, insurers will need to develop innovative products that address disaster-related financial risks and support resilience-building initiatives.

WAY FORWARD FOR ARPICO INSURANCE

Arpico Insurance will focus on sustainable growth by expanding its product portfolio to cater to evolving consumer needs,

particularly in retirement and health-focused insurance. In parallel, the Company will aim to strengthen its digital infrastructure to enhance customer engagement while prioritising cybersecurity to safeguard sensitive data. Adapting to regulatory changes proactively, Arpico will ensure compliance while leveraging new opportunities for market expansion. Additionally, by exploring strategic partnerships the Company hopes to develop innovative solutions to address emerging risks, including climate-related challenges.

MANAGEMENT REFLECTION AND STRATEGIC OVERSIGHT



Building New Fronts

As the industry shifts paradigms, we strive to maintain our position at its forefront with technological innovation and multifaceted coverage for diverse communities of people. The strategic direction implemented by our leaders is complemented by an impressive workforce that maintains high quality standards with pride and dedication.

STRATEGY AND RESOURCE ALLOCATION

A robust strategy is never static - it evolves through reflection, foresight, and adaptability. At Arpico Insurance, we align resources and strengths to navigate market complexities, turning challenges into opportunities while staying true to our purpose of delivering long-term value to all stakeholders.

The process of establishing Arpico Insurance PLC's strategy involves a detailed and systematic approach that integrates both material matters and a SWOT analysis. Material matters are carefully considered to identify the factors most influential to the Company's operations, reputation, and

long-term success. In parallel, a SWOT analysis is conducted to assess Arpico Insurance's internal strengths and weaknesses, while identifying opportunities and threats. By combining insights from both material matters and the SWOT analysis, aims to ensure the Company's strategy is agile and

well-equipped to respond to shifts in the market. Moreover, by continually evaluating and adjusting the strategy in response to both internal and external factors, Arpico Insurance ensures its long-term relevance and success in the competitive insurance industry.

STRENGTHS	WEAKNESSES	OPPORTUNITIES	THREATS
Strong Brand Reputation: Arpico Insurance has a well-established brand known for reliability and customer service in the life insurance sector.	Financial Losses: Recent financial challenges have impacted profitability and may affect future investments in growth initiatives.	Growing Demand for Health Insurance: Increasing awareness of health issues presents opportunities for expanding health insurance offerings.	Intense Competition: The local insurance market is highly competitive, with many players vying for market share, putting pressure on pricing and margins.
Diverse Product Portfolio: A wide range of insurance products catering to various customer needs, enhancing market competitiveness.	Limited Digital Presence: A relatively underdeveloped online platform for customer engagement and policy management compared to peers.	Digital Transformation: Investment in digital tools and platforms can enhance customer experience and operational efficiency.	Economic Volatility: Fluctuations in economic activity, inflation, interest rates and taxes can impact consumer spending on insurance products.
Experienced Management Team: A skilled leadership team with vast expertise in the insurance industry and a commitment to sustainable practices.	Dependency on Traditional Marketing: Heavy reliance on conventional marketing strategies may limit outreach to tech-savvy customers.	Sustainability Trends: Rising consumer preference for sustainable products offers a chance to develop eco-friendly insurance options.	Changing Regulatory Environment: New regulations may pose challenges in compliance and operational adjustments.
Robust Distribution Network: A strong network of agents and brokers that enables effective market penetration and customer reach.	High Turnover and Low Productivity of Sales Force: Frequent turnover in the sales team and lower productivity levels may impact customer acquisition and retention efforts.	Regulatory Support: Government initiatives to promote insurance coverage create an environment conducive to growth.	Technological Disruptions: Rapid technological advancements by competitors may threaten Arpico Insurance's market position if not addressed.



Pillar 1	Growth & Stability	
Resource Allocation Approach	Arpico Insurance adopts a balanced approach to achieve financial strength, competitive advantage, and enduring success in an evolving insurance landscape. This involves maintaining a well-diversified investment portfolio, optimising capital allocation, and adhering to strict risk management protocols. Moreover, to drive sustainable growth the Company focuses on market expansion, product diversification, and digital transformation, allowing the Company to reach a broader customer base while enhancing efficiency and service quality. Operational stability is reinforced through streamlined processes, cost optimisation, and robust governance frameworks that align with regulatory standards.	
Value creation / preservation / erosion metrics for FY 2024	12% year drop in GWP (-4% - 2023) 258% CAR (345% - 2023) 2 times liquidity coverage ratio (2 times - 2023) 13% ROE (-41% - 2023)	
Way Forward		Capitals Impacted
Short - Medium Term	Revenue Diversification: Establish collaborations with hospitals and clinics to explore revenue diversification	S&RC
	Portfolio Expansion: Expand the product portfolio to covering a broader range of offerings from mainstream life insurance products to premium services	S&RC
Long Term	Market Leadership: Aim to become a market leader in health insurance by continuously innovating and responding to customer needs	IC

STRATEGY AND RESOURCE ALLOCATION

Pillar 2		Operational Excellence
Resource Allocation Approach	Arpico Insurance achieves operational excellence through an integrated approach, firstly by strengthening operational capabilities through digital transformation and automating key processes. A strong emphasis is placed on workforce development, ensuring that employees are equipped with the necessary skills, training, and tools to deliver exceptional service while fostering a culture of continuous improvement. Risk management and compliance are also embedded into every aspect of operations, ensuring efficient management of regulatory compliance requirements and adoption of industry best practices. Data-driven decision-making also plays a crucial role, allowing the Company to optimise resource allocation, assess performance metrics, and implement proactive strategies to streamline efficiency	
Value creation / preservation / erosion metrics for FY 2024	▪ Average time taken to settle claims - 5 days (5 - 2023) ▪ Average time taken to resolve queries / complaints - 1 Day (2 Days - 2023) ▪ ZERO incidents of product non-compliance ▪ ZERO incidents of non-compliance ▪ ZERO data security breaches	
Way Forward		Capitals Impacted
Short - Medium Term	Process Optimisation: Conduct a comprehensive review of internal processes and implement lean management techniques to enhance efficiency.	MC
	Automation Implementation: Invest in technology solutions to automate repetitive tasks, reducing time and errors in processing claims and policy applications.	MC
Long Term	Continuous Improvement Culture: Foster a culture of continuous improvement through regular training and development programs for staff.	HC
	Data-Driven Decision Making: Utilise data analytics to inform operational decisions, ensuring agile responses to market changes and customer needs	IC

Pillar 3		Customer Fulfilment
Resource Allocation Approach	Arpico Insurance strives for customer fulfilment through a comprehensive approach that combines personalised service, innovative insurance solutions, and digital accessibility. To continuously enhance its product portfolio the Company prioritises the development of innovative insurance plans tailored to evolving customer needs, offering flexible coverage options, value-added benefits, and customised financial solutions. At the same time by leveraging technology to streamline policy issuance, claims processing, and customer interactions, Arpico Insurance aims to create seamless experiences and greater convenience. Equally importantly, a strong focus on customer engagement and education empowers policyholders to make informed decisions, while a dedicated support team ensures prompt assistance and transparency.	
Value creation / preservation / erosion metrics for FY 2024	4% year increase in the customer base (-12% - 2023) 10,305 new policies issued (10,487 - 2023) 99% claim settlement ratio (98% - 2023) - Rs. 3.55 EPS (Rs. -10.33 - 2023)	
Way Forward		Capitals Impacted
Short - Medium Term	Launch a Comprehensive Digital Platform: Develop and launch an integrated online portal for customers to manage their policies, make claims, and access resources	MC
	Personalised Customer Experience: Leverage customer data to create highly personalised experiences, ensuring tailored communication and service delivery.	IC
	Customer Feedback Systems: Implement robust customer feedback systems to gather insights and improve service quality continually	S&RC
Long Term	Continuous Platform Upgrades: Regularly update the digital platform with new features based on customer feedback and emerging technology	MC
	Customer Loyalty Programs: Develop loyalty programmes that reward long-term customers and encourage referrals.	S&RC
	Brand Advocacy: Build a community of brand advocates through engagement initiatives, enhancing customer loyalty and driving word-of-mouth referrals.	IC

STRATEGY AND RESOURCE ALLOCATION

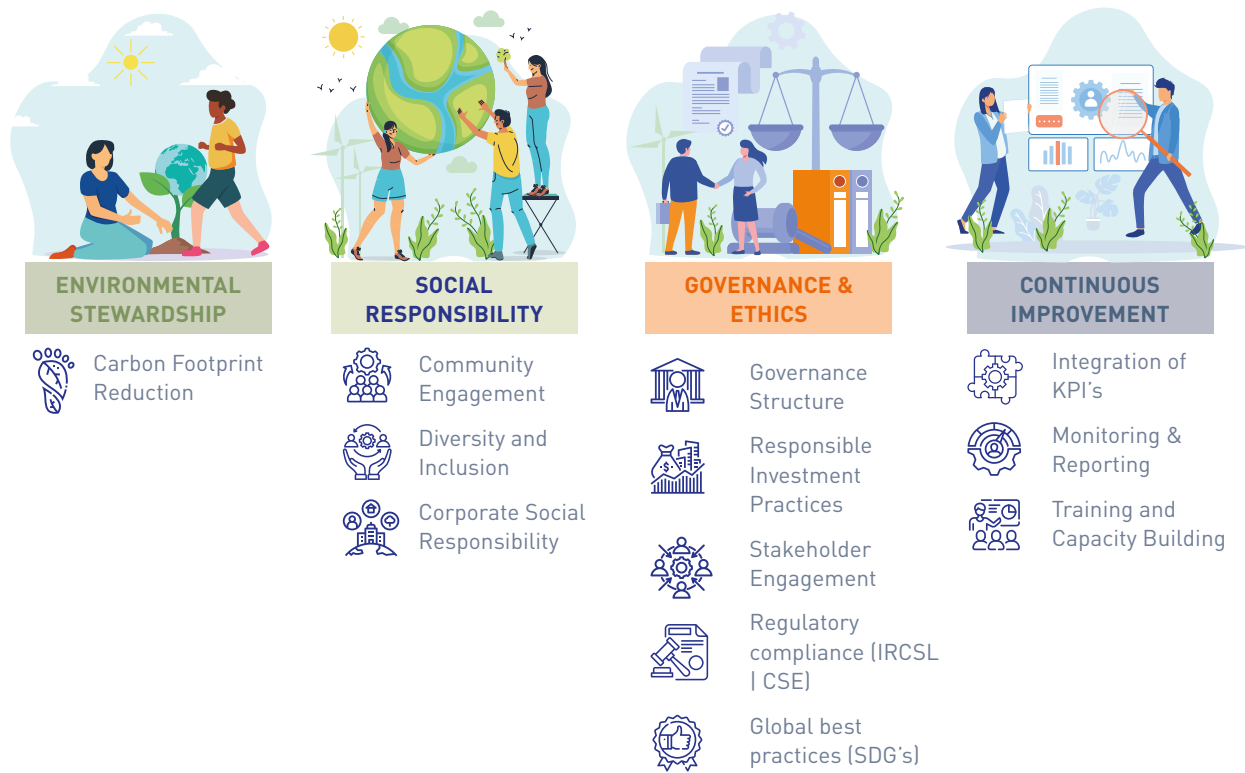
Pillar 4	Engaged Workforce	
Resource Allocation Approach	The Company offers competitive compensation, career progression opportunities, and a strong focus on work-life balance to support employee satisfaction and retention, while promoting open dialogue and team-building activities to create an inclusive and motivated work workplace. Further, by focusing on investing training, leadership development, and skill-building initiatives the Company seeks to enhance employee capabilities, drive innovation, and service excellence.	
Value creation / preservation / erosion metrics for FY 2024	51% employee retention (50% - 2023) - Rs. 5 Mn Revenue per employee (Rs. 5.4 Mn - 2023) - ZERO injuries - ZERO days lost due to employee ill health	
Way Forward		Capitals Impacted
Short - Medium Term	Employee Analytics - Use of AI-driven analytics to predict turnover trends and optimise talent management.	IC
Long Term	Work-life balance: Introduce hybrid work models and flexible working hours to boost employee well-being	HC

Pillar 5	Sustainability and Climate Action	
Resource Allocation Approach	Arpico Insurance is committed to sustainability and climate action through responsible investment, sustainable operations, and community engagement. The Company integrates Environmental, Social, and Governance (ESG) factors into its investment decisions to transform operations through more focus on energy efficiency and waste reduction to minimise its carbon footprint. Digital initiatives undertaken by the Company also contribute to sustainability by enabling paperless processes, thereby reducing environmental impact and supporting its climate action goals. Arpico Insurance also promotes sustainability and climate action among wider communities through its CSR initiatives.	
Value creation / preservation / erosion metrics for FY 2024	487 CO₂T - Carbon Footprint (596 CO₂T - 2023) 200 Direct beneficiaries from CSR activities (Nill - 2023) - ZERO incidents of ethics violations	
Way Forward		Capitals Impacted
Short - Medium Term	Community Engagement: Initiate community programmes focused on environmental sustainability, such as tree planting and awareness campaigns.	S&RC
	Adopt and publish annual sustainability reports following recognised frameworks, showcasing achievements and future commitments	IC
Long Term	Carbon Neutral Goals: Work towards becoming a carbon-neutral Company by implementing sustainability practices across all operations.	NC

SUSTAINABILITY COMMITMENTS

At Arpico Insurance, sustainability is embedded into our core values. We recognise that long-term success depends not just on financial performance but on responsible environmental, social, and governance practices. Our commitments are designed to generate positive outcomes for the planet, our people, and communities - ensuring a resilient future for all stakeholders.

SUSTAINABILITY COMMITMENTS



SUSTAINABILITY COMMITMENTS

ENVIRONMENTAL STEWARDSHIP



Carbon Footprint Reduction



Arpico Insurance's commitment to Environmental Stewardship revolves on reducing the Company's carbon footprint through energy-efficient practices and sustainable resource management. To that end, we have implemented measures to minimise waste, conserve energy, and promote the use of renewable resources within our operations. Our initiatives also include transitioning to digital processes to reduce paper usage and encouraging employees to adopt eco-friendly practices.

SOCIAL RESPONSIBILITY



Corporate Social Responsibility (CSR) Initiatives

We believe in giving back to the communities we serve and engage in various community development initiatives through a well defined Corporate Social Responsibility (CSR) Strategy. Our CSR strategy is designed to support community development and promote social well-being, through targeted initiatives aimed at enhancing education, health, and livelihoods in the communities we serve.



Diversity and Inclusion

Our commitment to social responsibility extends to fostering a diverse and inclusive workplace. We strive to create an environment where all employees feel valued and empowered to contribute their unique perspectives.

GOVERNANCE AND ETHICS



Strong Governance Framework:

The Board of Directors plays a leading role in shaping Arpico Insurance's sustainability vision and strategy, ensuring alignment with the Company's mission and long-term objectives. They review and approve sustainability goals, providing strategic direction and oversight for key initiatives. The implementation of these initiatives is overseen by a dedicated Sustainability Team operating under the guidance of the Board. This team consists of cross-functional representatives from key departments, encompassing operations, marketing, risk management, and human resources.

Key responsibilities of the Sustainability Team include formulating sustainability policies and action plans to address Environmental, Social, and Governance (ESG) challenges, promoting awareness and participation in sustainability initiatives across the organisation, and engaging among both internal and external stakeholders.



Responsible Investment Practices

Arpico Insurance is committed to responsible investment practices that integrate ESG factors into investment decisions. Accordingly, our Investment Policy incorporates ESG criteria into the decision-making process, enabling us to assess potential investments based on their long-term sustainability impact. The Company's dedicated Investment Team conducts thorough evaluations, considering both financial performance and broader ESG implications, including opportunities in sectors that create positive social and environmental value.



Stakeholder Engagement

At Arpico Insurance, we prioritise active stakeholder engagement to better understand and address the concerns of employees, customers, investors, and community members. Their insights play a crucial role in shaping our sustainability strategies, ensuring our initiatives align with their needs and expectations. We also participate in industry forums and sustainability networks, to exchange knowledge and explore innovative solutions.

GOVERNANCE AND ETHICS CONTD.

REGULATORY COMPLIANCE



Insurance Regulatory Framework

As a life insurer operating in Sri Lanka, Arpico Insurance is governed by the regulations set forth by the IRCSL for the protection of policyholders and the overall stability of the insurance market. These include specifically:

- **Solvency and Capital Adequacy Regulations** - The IRCSL mandates specific solvency and capital adequacy requirements to ensure financial stability and protect policyholders. Arpico Insurance conducts regular assessments to ensure sufficient capital reserves and solvency margins are maintained as required by regulatory standards. The Company's risk department performs comprehensive financial analysis and stress testing to evaluate our capital adequacy and risk exposure. Our risk management team also monitors compliance with these regulations, and we provide regular reports to the Board and regulatory authorities to demonstrate adherence to solvency requirements.
- **Anti-Money Laundering (AML) and Counter-Terrorism Financing (CTF) Regulations** - Arpico Insurance is committed to preventing money laundering and terrorist financing as outlined by the Financial Action Task Force (FATF) and local AML regulations. Accordingly, we conduct customer due diligence to identify and verify the identity of our clients and monitor transactions for suspicious activities. Our compliance team conducts regular training for employees on AML and CTF regulations to empower employees to identify and report suspicious activities. We also have a comprehensive internal reporting system to ensure that any potential violations are promptly investigated and reported to the relevant authorities.
- **Data Protection and Privacy Regulations** - With the increasing emphasis on data privacy, Arpico Insurance complies with local data protection regulations set out under the Personal Data Protection Act. Reinforcing the commitment to safeguarding our customers' personal information and ensuring its confidentiality, we have established data protection policies and procedures that govern the collection, processing, and storage of customer data. Our IT and compliance teams work together to implement security measures to protect sensitive information, and we conduct regular audits to ensure compliance with data protection laws.
- **Consumer Protection Regulations** - We aim to uphold consumer protection regulations by providing clear and accurate information about our products, services, and fees. Further underscoring our commitment to transparency, fairness, and accountability, we have developed customer service protocols that include comprehensive product disclosure statements and standardised communication materials. Our customer service team receives training on consumer protection regulations to ensure that they provide accurate and transparent information to policyholders.

GLOBAL BEST PRACTICES



United Nations Sustainable Development Goals (SDG's)

Acknowledging that sustainability is not only a moral obligation but also a strategic imperative, Arpico Insurance strives to align our systems and processes with internationally recognised frameworks and standards. Following a comprehensive review of our business model, strategy, risk and governance processes, we have undertaken to support selected SDG's and targets where we as an organisation can make a notable impact.



SDG	Target
1	1.3
3	3.8
4	4.3
5	5.5
8	8.1, 8.2.1, 8.5, 8.10.1
9	9.3.1
10	10.1, 10.2
11	11.5.2
13	13.2.2

SUSTAINABILITY COMMITMENTS

CONTINUOUS IMPROVEMENT



Sustainability Performance Metrics

We have established a structured approach for aligning department-level performance with Company-wide sustainability commitments. Sustainability-related KPIs are embedded across all departments, with each team setting specific, measurable targets enabling departments to track progress, address challenges, and refine their strategies as needed. Sustainability KPIs are established by the Board of Directors in collaboration with the Sustainability Team, and are clearly communicated across all levels of the organisation.

The Sustainability Team planned to establish may hold separate department-wise meetings, often providing detailed guidelines and resources to assist departments in developing action plans that define targeted initiatives, timelines, and resource allocations. Cross-functional collaboration will also strongly be encouraged to promote sharing of best practices and fosters innovation for the purpose of amplifying sustainability efforts.



Monitoring and Reporting

We regularly track and report on key performance indicators (KPIs) to evaluate progress toward our sustainability goals. The Sustainability Team oversees this process, with each department required to submit quarterly reports detailing their performance, challenges, and key initiatives.

A dedicated analyst within the Sustainability Team collects and analyses data to identify trends and assess the effectiveness of sustainability initiatives. These insights are compiled into reports and presented for review by the executive leadership team and the Board of Directors. Once approved by the Board, we publish our achievements, challenges, and future goals through an Integrated Annual Report to allow stakeholders to track our progress over time. To further support transparency, integrity and comparability of sustainability disclosures Arpico Insurance adheres to the Global Reporting Initiative (GRI) framework. The Board seeks independent assurance regarding the accuracy and completeness of sustainability disclosures prior to publication of the Annual Report.



Training and Capacity Building

Training and capacity building forms an integral part of Arpico Insurance's efforts towards continuous improvement in its sustainability performance. Regular training sessions and workshops are conducted to update employees on regulatory changes and industry best practices. Additionally, we provide resources and tools to support compliance at all levels of the organisation, reinforcing our commitment to ethical and responsible business practices.

FOCUS FOR THE FUTURE

Forge new partnerships with NGOs, industry leaders, and academic institutions to leverage expertise and resources in advancing our sustainability agenda.

Expanding community outreach to promote environmental awareness and social well-being, focusing on areas that align with our sustainability goals.

Exploring the integration of digital technologies, such as data analytics

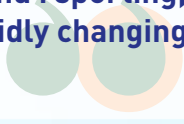
and artificial intelligence, to enhance our sustainability monitoring and reporting processes.

Investing in research and development to create innovative insurance products that encourage sustainable practices among our clients.

MATERIAL TOPICS



Identifying what truly matters helps us direct our efforts where they are most impactful. Arpico Insurance regularly reviews material topics to reflect stakeholder expectations and evolving market dynamics. These topics serve as the foundation of our strategy, risk management, and reporting, ensuring we remain relevant, responsible, and resilient in a rapidly changing environment.



The foundation of Arpico Insurance's value creation lies in a robust materiality assessment process, which identifies and prioritises the key factors influencing business sustainability. Regular reviews and updates of this process ensure alignment with evolving stakeholder needs and emerging trends.

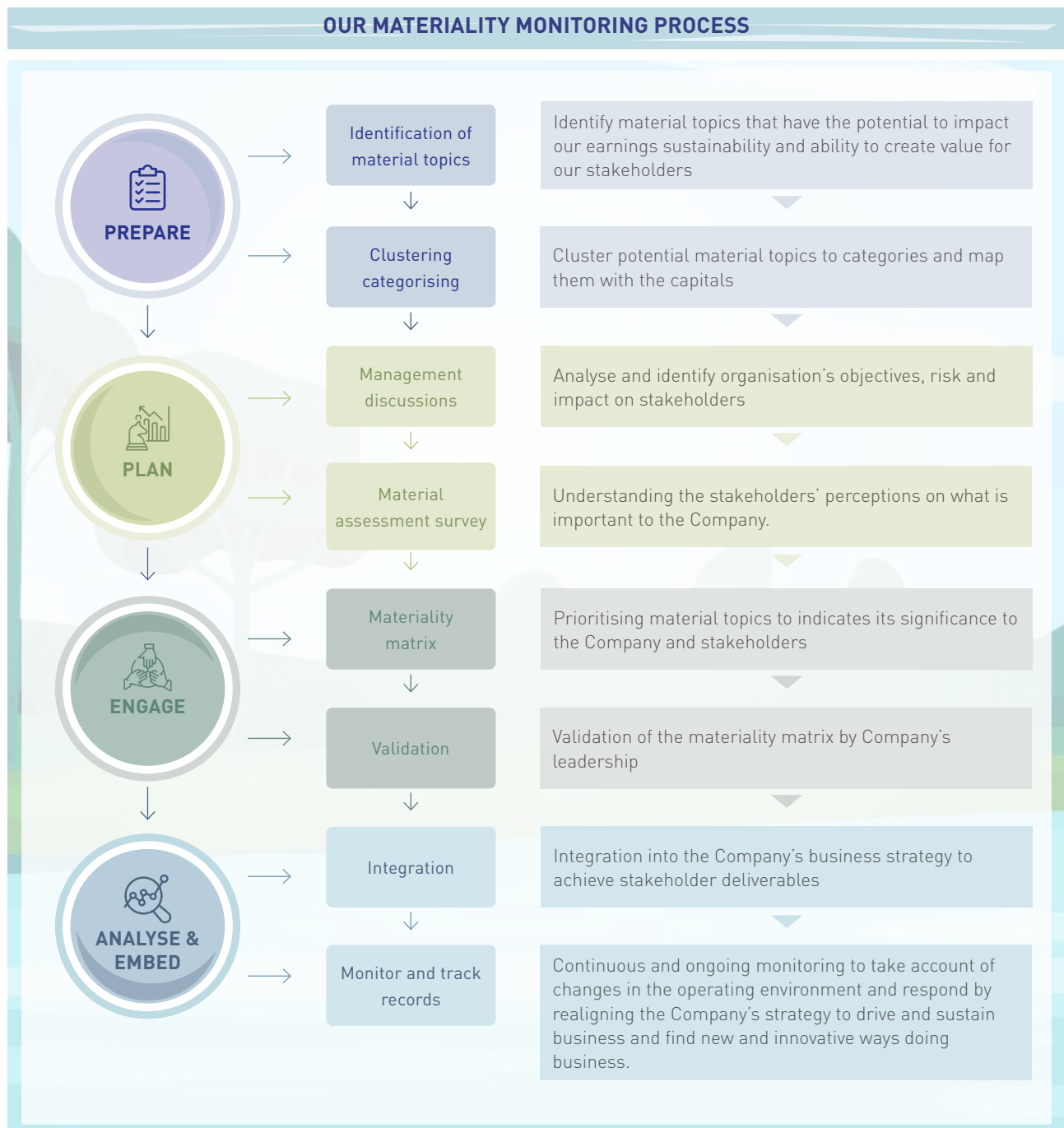


The foundation of Arpico Insurance's value creation lies in a robust materiality assessment process, which identifies and prioritises the key factors influencing business sustainability and long-term success. The Materiality process is shaped by a combination of internal and external dynamics, including market risks and opportunities, regulatory and legal developments, shifting global trends, and stakeholder expectations.

To gain a comprehensive understanding of material issues, the Company integrates data-driven insights from independent research, sector-specific studies, legal and regulatory updates, as well as public sentiment captured through media coverage and social media analytics. The results are then structured into a materiality matrix, which highlights the most pressing issues for both the Company and its stakeholders. This matrix serves as a guide in strategic decision-making and reporting, ensuring that its sustainability initiatives align with stakeholder priorities and contribute to long-term value creation.

Regular reviews and updates of the materiality assessment ensure that Arpico Insurance's Material Topics accurately capture emerging trends and evolving stakeholder needs. Accordingly, considering rapid changes in the broader environment, a comprehensive PESTLE analysis conducted in early 2024 for the purpose of refining the list of Material Topics applicable to the Company in FY 2024.

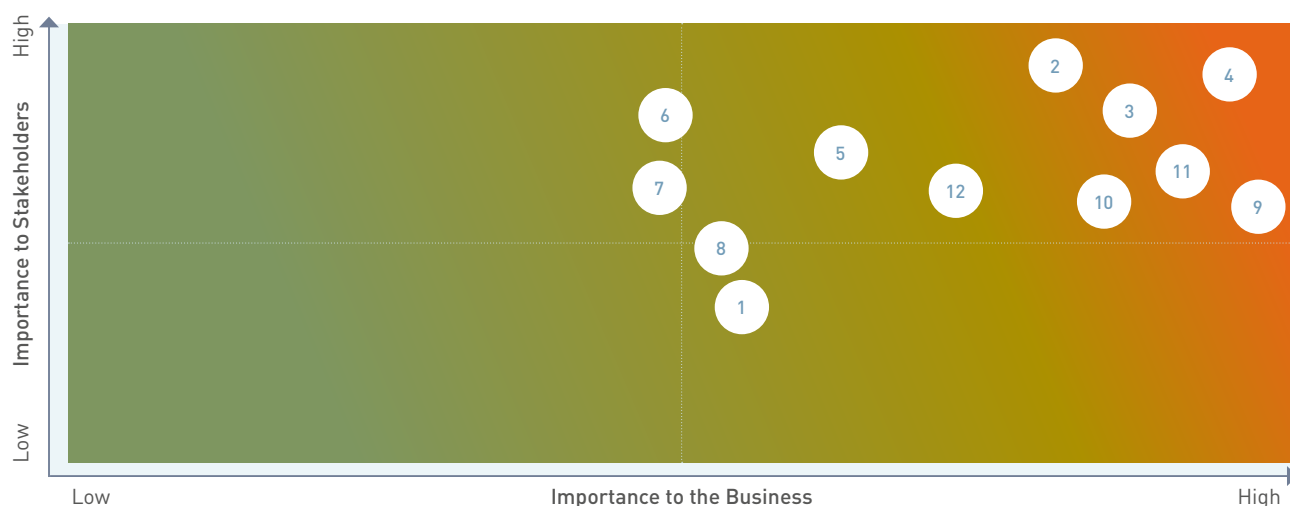
MATERIAL TOPICS



PESTLE ANALYSIS - FY 2024

 POLITICAL	- Government policies on insurance regulations and taxation - Impact of public-private partnerships on the insurance sector - Political stability and its influence on economic confidence and consumer spending on life insurance
 ECONOMIC	- Inflation and interest rates affecting premium affordability and investment returns - GDP growth and rising disposable income impacting demand for life insurance - Employment rates and rise in salary scales influencing insurance penetration
 SOCIAL	- Aging population increasing demand for retirement and health-related insurance products - Growing middle class leading to higher awareness of life insurance benefits - Increasing awareness about life insurance as a savings alternative
 TECHNOLOGICAL	- Digital transformation in policy underwriting, claims processing, and customer service - Adoption of AI and analytics to develop personalised insurance solutions - Cybersecurity risks associated with handling sensitive customer data
 LEGAL	- SLFRS 17 under IRCSL impacting capital requirements and solvency margins - Personal Data Protection Act affecting the collection and use of customer information - Consumer protection laws enforcing greater transparency and fairness in policy offerings
 ENVIRONMENTAL	- Climate change risks influencing insurance claims (e.g., increased health risks, natural disasters) - Shift toward green initiatives and ESG (Environmental, Social, Governance) considerations in investment strategies - SLFRS S & S2 reporting of sustainability and climate related risks and opportunities

MATERIALITY MATRIX



MATERIAL TOPICS

Material Topics			Management Approach	GRI Relevance	Link to Strategic Pillars					Resource Allocation through Capitals
					Growth and Stability	Operational Excellence	Customer Fulfilment	Engaged Workforce	Sustainability and Climate Action	
ENVIRONMENT	1	Resource Optimisation	Streamline operational processes, and adopting sustainable practices to ensure the efficient use of resources	GRI 302 GRI 303 GRI 306						FC NC
	2	Product Responsibility	Legally compliant insurance solutions supported by ethical underwriting and clear policy communication	GRI 416 GRI 417						S & RC IC
	3	Inclusive Access	Building a strong distribution network comprising both physical and digital channels to serve all customer segments, including underserved groups	N/A						FC MC
SOCIAL	4	Claim Management	Uphold rigorous standards of accuracy, compliance, and customer care, streamlining claims processing with digital innovations and dedicated service teams to provide financial security with minimal hassle	N/A						S&RC
	5	Excellence in Customer Service	Providing personalised support, prompt assistance, and seamless policy management	N/A						S&RC HC
	6	Employment Equity	Fair hiring practices, merit-based promotions, and continuous learning initiatives to ensure a supportive environment that values talent, integrity, and respect for all	GRI 401, GRI 403, GRI 404, GRI 405, GRI 407, GRI 408, GRI 409						FC HC
	7	Career Progression	Offering tailored development programs, continuous learning opportunities, and clear advancement pathways to help employees achieve their professional goals and thrive within the organisation	N/A						FC HC

Material Topics			Management Approach	GRI Relevance	Link to Strategic Pillars					Resource Allocation through Capitals
					Growth and Stability	Operational Excellence	Customer Fulfilment	Engaged Workforce	Sustainability and Climate Action	
	8	Safety and Wellbeing	Implementing comprehensive health and safety programs, providing mental health support, and fostering a workplace culture that prioritises work-life balance and employee wellness	N/A						HC
GOVERNANCE	9	Market Share	Continuously innovating products, expanding distribution channels, and enhancing customer service to attract new clients and strengthen relationships with existing policyholders	N/A						FC S&RC
	10	Digital Transformation	Strategic investments in innovative technologies to transform front end interfaces and back end infrastructure	N/A						FC S & RC MC
	11	Business Ethics	Upholding the highest standards of business ethics by ensuring transparency, integrity, and accountability in all operations, while adhering to regulatory requirements	GRI 205						IC
	12	Information Security and Data Governance	Ensuring the highest standards of information security and data governance through robust security measures, compliance with regulations, and a transparent approach to data management to safeguard clients' sensitive data	GRI 418						S&RC IC

ESG INTEGRATION

Sustaining Environment, Social and Governance Sustainability reporting holds paramount importance for Arpico Insurance PLC as it serves as a cornerstone of our commitment to responsible business practices and transparency. As a leading player in the insurance industry, we recognise the interconnectedness between our operations and the environment, society, and governance factors. Sustainability reporting allows us to systematically assess and communicate our impacts, risks, and opportunities across these areas, enabling stakeholders to make informed

decisions and hold us accountable for our actions. By disclosing our sustainability performance, we not only fulfil regulatory requirements but also demonstrate our dedication to long-term value creation, sustainable growth, and stakeholder trust.

The purpose of this report is multifaceted. Firstly, it serves as a comprehensive record of Arpico Insurance PLC's sustainability efforts, achievements, and challenges over the reporting period. Secondly, it provides stakeholders, including investors, customers, employees, regulators, and

communities, with transparent and credible information about our sustainability performance and initiatives. This report aims to foster dialogue, engagement, and collaboration with our stakeholders, empowering them to actively participate in shaping our sustainability agenda. Ultimately, by sharing our sustainability journey openly and honestly, we aspire to inspire positive change, drive innovation, and contribute to a more sustainable future for all.

Sustaining Health	Sustaining Investment	Sustaining Operation
Improving access to quality Healthcare Total Policy Numbers - 26,396 HRB Claim in 2024 - Rs. 310 Mn	Total Investment on Government Securities Rs.1,451 Mn	Digital advancements Transformed Online Payments instead to Cheque Payment Staff Training Meetings conducted Via Zoom

Sustaining Culture	Sustaining Health
Accelerating Career Development IBSL Exam Paid – Rs. 4.1 Mn Diversified Religious and Gender Head Count Head Office 90 Nationalities 04 Approved training Organisation of CA Sri Lanka	Board Governance Board awareness of ESG Practices Proposed and Processing New Committee Related to Sustainability

OUTCOME OF ESG-DRIVEN ADOPTION:

1. Resilient and sustainable business operations.
2. Enhanced reputation and brand equity.
3. Improved stakeholder relationships and trust.
4. Compliance with regulatory requirements and potential incentives.
5. Long-term value creation for all stakeholders.

OVERVIEW OF SUSTAINABILITY REPORTING

Economic	Environmental
GRI 200 Series	GRI 300 Series
SDGs 7,8,9,10,11,12	SDGs 6,7,9,11,12,13,14,15
Social	Governance
GRI 400 Series	GRI 300 Series
SDGs 1,2,3,4,5,6,8,9,10,12,16	SDGs 5,8,9,11,12,13,16,17

SLFRS – S1 General requirement for Disclosure of Sustainability Related Financial Information

SLFRS – S2 Climate Related Disclosures Risk & Opportunities

SUSTAINABILITY STRATEGY

Arpico Insurance PLC's sustainability goals and objectives are rooted in our commitment to creating long-term value while minimising negative impacts on the environment and society. Our overarching goal is to integrate sustainability into every aspect of our operations, from product development and risk management to employee engagement and community outreach. Specifically, we have set ambitious targets across key sustainability pillars, including environmental stewardship, social responsibility, and governance excellence. These targets encompass reducing our carbon footprint, enhancing diversity and inclusion within our workforce, fostering ethical business practices, and promoting financial inclusion and literacy in the communities we serve. By pursuing

these goals, we aim to not only mitigate risks and seize opportunities but also build resilience, trust, and loyalty among our stakeholders.

Fundamental driver of innovation, differentiation, and competitiveness. We recognise that sustainable practices are not only ethically imperative but also strategically advantageous, enabling us to future-proof our business in an increasingly complex and interconnected world. Our sustainability initiatives are closely aligned with our core business objectives, such as delivering exceptional customer value, maintaining financial stability, and fostering a culture of integrity and accountability. By embedding sustainability into our business processes and decision-making frameworks, we can enhance operational efficiency, mitigate regulatory and reputational risks, and capitalise on emerging market opportunities. Moreover, sustainability serves as a powerful catalyst for driving employee engagement, attracting top talent, and enhancing brand reputation and trust among customers and investors.

In line with our commitment to transparency and best practices, Arpico Insurance PLC adheres to internationally recognised frameworks and standards for sustainability reporting. These include the Global Reporting Initiative (GRI), which provides guidelines for disclosing economic, environmental, and social impacts, as well as the Sustainability Accounting Standards related to the Sri Lanka, which offers industry-specific standards for reporting financially material sustainability information. Additionally, we embrace the Action Plan of the Climate related Financial Disclosures (IFRS-S1 & IFRS-S2), which help us assess and disclose climate-related risks and opportunities in our business operations and investment decisions. By adhering to these frameworks and standards, we ensure the consistency, comparability, and reliability of our sustainability reporting, thereby enhancing transparency and accountability to our stakeholders.

Compliance Status of Key ESG Guideline

Institution	Standard	Effective date	Application stage
CA Sri Lanka	SLFRS – S1 SLFRS – S2	2025/01/01	Early adopted [refer page 128]
Global Reporting Initiatives	GRS – 200,300,400 Series	Voluntary Adoption	Adoption
The United Nations	Sustainability Development Goals	Voluntary Adoption	Adoption
Colombo Stock Exchange	CSE Sustainability Reporting Guide	Voluntary Adoption	Adoption

ESG INTEGRATION

ENVIRONMENTAL INITIATIVES

Arpico Insurance PLC is dedicated to minimising its environmental footprint through a comprehensive set of initiatives. Our efforts to reduce energy consumption involve the implementation of energy efficient technologies and practices across our operations, resulting in significant reductions in greenhouse gas emissions. We have also implemented

robust waste management strategies to minimise waste generation and promote recycling and responsible disposal practices. Additionally, we closely monitor and manage our water usage to ensure efficient utilisation of this vital resource.

Furthermore, we are actively investing in renewable energy sources such as instalment of solar power systems in our branches and exploring

opportunities to enhance resource efficiency throughout our value chain. These initiatives underscore our commitment to promoting environmental sustainability and advancing towards carbon footprint, aligning with our broader goal of creating value for both our business and the planet.

Energy Management	
Total Energy Consumption	5,406GJ
Total Energy Saving	357GJ
Energy Consumption per Branch	78 GJ

Water Management	
Total Water Consumption	29,059m ³
Total Water Consumption per Person	77m ³
Total Water Consumption per Branch	421m ³

Waste Management	
Paper Recycled	50 kg

Emission Management	
Carbon Footprint	487 CO ₂ T

SOCIAL RESPONSIBILITY

Arpico Insurance PLC places a strong emphasis on social responsibility and actively engages with the community through various initiatives. We prioritise employee welfare by offering comprehensive benefits, professional development opportunities, and a supportive work environment that

fosters diversity and inclusion. Our commitment to fair labour practices is reflected in our adherence to labour laws and regulations, as well as our efforts to promote employee health and safety. Furthermore, we demonstrate our dedication to social causes through corporate philanthropy, volunteer programs, and strategic partnerships

with NGOs. These initiatives range from supporting education and healthcare initiatives to environmental conservation projects, demonstrating our holistic approach to social responsibility and community engagement.

Employees	
Female Representation	54%
MDRT Members	10

Business Partners	
Supplier Payment	Rs. 184 Mn
Number of Branches	69

Customers	
Gross Written Premium	Rs. 1,969 Mn
Total Claims Paid	Rs. 1,144 Mn
New Policies	10,305

GOVERNANCE AND ETHICS

Arpico Insurance PLC maintains a robust corporate governance structure characterised by clear roles, responsibilities, and oversight mechanisms. Our governance practices are guided by principles of transparency, accountability, and integrity, ensuring the highest standards of ethical business conduct. We prioritise compliance with all applicable regulations and industry standards, regularly reviewing and updating our policies and procedures to reflect evolving legal and regulatory requirements. Moreover, we have

implemented stringent measures to promote transparency and accountability in decision-making processes, including regular audits, disclosure of relevant information to stakeholders, and the establishment of independent oversight bodies such as the Board of Directors and audit committees. These measures underscore our unwavering commitment to upholding the trust and confidence of our stakeholders while driving sustainable value creation for our business.

- Majority of Board is comprised of Independent Non-Executive Directors

- Board committees are chaired by and composed of Independent Non-Executive Directors
- Proposed and Processing New Committee Related to Sustainability
- Awareness Board ESG Practices SLFRS S1 & SLFRS S2 SDGs 16,17



CONSOLIDATED STATEMENT OF ESG PERFORMANCE

Environmental Performance	
Total energy consumption	5,406 GJ
Carbon Footprint (GHG emission)	487 CO ₂ T
Total water consumption	29,059 m ³
Paper Recycled	50 kg

Social Performance	
Employees	
Female representation	54%
MDRT achievers	10
Customers	
Revenue/Gross Written Premium	Rs 1,968 Mn
Claims paid	Rs. 1,144 Mn
Business Partners	
Supplier payments	Rs. 184 Mn
Number of Branches	69

Governance Performance	
Number of Directors	5
Number of Board meetings	8
Number of audit committee meetings	4

PATHWAY TO SLFRS S1 & S2



As part of our continued commitment to transparency, accountability, and sustainability, Arpico Insurance PLC is proud to present our inaugural disclosure aligned with SLFRS S1 and S2, issued by the International Sustainability Standards Board (ISSB). This marks a significant milestone in integrating sustainability and climate-related considerations into our core business strategy, governance, and risk management processes



At Arpico Insurance, we view climate uncertainty not as a limitation, but as an opportunity to build resilience integrating sustainability into our strategy to protect lives and livelihoods for generations to come



CLIMATE RESPONSIBILITY STATEMENT

At Arpico Insurance PLC, we recognise that the rapidly changing global climate is reshaping the environment in which we operate, and influencing the long-term sustainability of the insurance sector, altering the risk landscape, and redefining how we manage and underwrite those risks, in turn impacting our ability to create and deliver stakeholder value over time.

Sri Lanka's unique vulnerabilities to climate change ranging from rising temperatures to increased frequency of extreme weather events underscore the need for our business to contribute to the resilience of individuals, communities, and ecosystems. As a life insurer, we are uniquely positioned to drive awareness and action in mitigating climate risks and supporting a sustainable future for all.

While our underwriting, risk management, and operational teams are highly skilled at assessing and adapting to evolving risks, the accelerating pace and complexity of climate-related challenges require a more strategic and forward-thinking approach. Climate change introduces interconnected and unpredictable variables that impact not only individual policyholders but also broader economic and social systems.

Understanding and responding to these impacts requires predicting the long-term impacts of climate change on health outcomes, mortality rates, and economic resilience involves navigating uncertainties within interconnected systems. These systems range from direct physical risks, such as extreme weather events, to cascading effects on healthcare infrastructure, income stability, and demographic trends. The complexity of these relationships poses challenges for precise forecasting but underscores

the importance of proactive scenario planning and adaptive strategies.

At Arpico Insurance, we recognise that the increasing uncertainty around future scenarios is not a limitation but an opportunity to build resilience into our business strategies. By embracing scenario analysis as part of our climate-related disclosure practices, we aim to integrate long-term sustainability into our operations and ensure the continued fulfilment of our mission: providing peace of mind and security to our policyholders.

Our commitment to addressing climate-related risks is guided by a dual purpose: to uphold our obligations as a life insurer and to contribute to the broader effort of building a sustainable, climate-resilient future for Sri Lanka.

This voluntary climate statement for FY2024 has been prepared with guidance from emerging global frameworks, including the Sustainability Standards S1 and S2 issued by the International Sustainability Standards Board (ISSB) and the Task Force on Climate-related Financial Disclosures (TCFD) framework, and aims to demonstrate Arpico Insurance PLC's broad approach identifying and disclosing sustainability-related risks and opportunities, including those posed by climate change.

1. GOVERNANCE

Board Oversight

The Board of Directors of Arpico Insurance PLC is responsible for overseeing risks and opportunities, including those related to climate change. These responsibilities are articulated in the Board Charter. The Board retains accountability for monitoring climate change progress and receives regular updates on climate-related matters through management reports, which are discussed during most Board meetings. The Board has the requisite skills and competencies to ensure informed decision making regarding sustainability and climate change issues. Board members regularly review their skills, composition, and performance with the support of the Nominations Committee to ensure the team's expertise aligns with the Company's strategic goals, including sustainability and climate resilience.

BOARD FOCUS FOR FY 2024

Understanding Climate-Related Impacts for Arpico Insurance

In FY2024, the Board engaged in several in-depth discussions on climate-related issues. Initial discussions in March 2024 saw the Board deepening their understanding of global climate change trends and their potential implications for Sri Lanka, along with an analysis of climate related impacts for Arpico Insurance. This was followed by the Approval of governance and oversight processes for climate-related matters, review of key climate risks and their integration into the enterprise risk management framework, and updates on emission monitoring initiatives. Key highlights included;

- Establishing long-term emissions reduction goals for the Company.
- Outlining pathways for sustainable operational practices, including cost projections and assumptions.

- Inclusion of climate-related risks in the Company's periodic strategic reviews ensures they are fully embedded in decision-making processes, from product development to risk underwriting.

Climate related impacts for Arpico Insurance

Physical Impacts

- Extreme weather events: Floods and heavy rainfall have led to an increase in claims related to property damage and loss of livelihoods, particularly in areas prone to flooding. These events disrupt economic activities and contribute to financial uncertainty among policyholders, impacting the retention of policies.
- Rising temperatures and health risks: Increasing temperatures have resulted in higher incidences of vector-borne diseases such as dengue, impacting claims on health insurance policies. Additionally, heatwaves have triggered health risks among vulnerable populations, leading to an increase in hospitalisation claims.

Transition Impacts

- Regulatory and stakeholder expectations: Stakeholders, including regulatory bodies, expect enhanced transparency and disclosure regarding climate-related impacts on our operations and underwriting processes. This has necessitated significant investments in developing risk assessment tools and climate adaptation strategies.
- Economic pressures: Inflationary pressures on commodities due to global climate impacts, such as rising food prices or disruptions in global supply chains, indirectly affect policyholder behaviours, including lapses or reductions in coverage levels.

Management's Role in Climate Risk Assessment and Mitigation

The Board has delegated responsibility to the CEO to execute strategies addressing climate-related risks and opportunities. The CEO, supported by the executive management team, is responsible for incorporating climate change considerations into business planning, risk management, and resource allocation in line with approved budgets and financial frameworks.

PATHWAY TO SLFRS S1 & S2

Key Roles and Responsibilities to support sustainability integration		
Board	Audit, Related party, Risk, Investment committees	Nomination and Remuneration committees
Sets strategic direction and approves goals, operational plans, and budgets	Assisting the Board in fulfilling oversight responsibilities in relation to financial management and related reporting, including the review of overall systems for risk management across Sanford	Assisting the Board in fulfilling oversight responsibilities in relation to Board composition and structure, including in relation to sustainability and climate related expertise
Reviews risk assessment policies, including climate-related risks, and defines risk appetite		
Monitors progress against climate risks, metrics, targets, and disclosures		
Receives updates on key sustainability issues at each meeting (~8 per year)		
Reviews remuneration policies and incentive schemes		
Chief Executive Officer		
- Oversees business operations to execute strategy - Establishes and implements the risk management framework - Integrates climate-related actions and commitments into risk management, planning, and budgeting - Identifies, monitors, and reports climate-related risks and opportunities to subcommittees and the Board - Allocates capital for climate mitigation and response within the Board-approved budget - Promotes a positive risk awareness culture within the business - Monitors processes for risk reviews, and reports the same to the sub committees and Board as relevant. Reviews monthly sustainability updates which include sections on climate change policy, regulation, trends, and operational impacts - Organises, facilitates and leads climate scenario evaluation and climate related risk and opportunity workshops - Engages third-party experts to assist when appropriate such as audits, climate research and disclosure support		
Executive management		
- Responsible for ensuring climate related impacts and risks within each business area are managed, monitored and evaluated appropriately - Implementing and acts upon risk mitigation strategies approved by the Board, CEO and executive management team - Monitors emerging and developing risks, including those relating to climate. Manages risk reporting and monitoring of residual risk levels - Manages the collection of data to support tracking of metrics internally or with external assistance - Tracks climate relevant research, trends and regulation		
Operation Staff		
- All employees are empowered to be responsible for risk management. - The Company's Risk Assessment Guide provides the structural guidance at the operational level around risk tolerance and notification levels using a scaled basis (very low or low rated events notified to supervisor/manager, medium rated to GMs and managers, high rated to executives, and extreme level events to CEO, executive and Board)		

2. STRATEGY

Arpico Insurance PLC's strategic goals underwent a comprehensive review and refresh in 2024 to align with evolving industry standards and market dynamics. Our core values - Care, Integrity, and Excellence, continue to shape our approach, while our vision remains steadfast: to be the most trusted and innovative solutions provider for life insurance needs. With a commitment to redefining life insurance through trust, innovation, and exceptional customer experiences, we continuously refine our strategies to address emerging risks and opportunities.

Historically, our strategic priorities focused on three key areas: strengthening customer trust through transparency and reliability, innovating our product portfolio to meet diverse life insurance needs, and leveraging advanced technology to enhance service delivery and operational efficiency. However, against the backdrop of the SLFRS S1 & S2 roadmap, we introduced a fourth priority in the current financial year to build resilience and adaptability in response to climate-related and market challenges, marking the commencement of our journey to integrate climate risk considerations

into our business strategy vis-a-vis the following tactical initiatives:

- Diversification of product offerings and geographic expansion to mitigate climate-related risks affecting policyholder demographics and investment portfolios.
- Investment in research and development (R&D) for innovative insurance solutions that address climate resilience, such as coverage for climate-induced risks.
- Regular monitoring of climate-relevant economic and environmental indicators to assess their potential impact on insurance claims and policyholder behaviour.
- Allocation of capital toward digital platforms for efficient risk assessment and claims processing.
- Active participation in industry-wide adaptation and sustainability planning initiatives to promote resilience and shared best practices.
- Review of underwriting guidelines, product structures, and investment strategies to provide a robust structural response to reduce climate risks and enhance business sustainability.

3. RISK MANAGEMENT PROCESSES

As an initial step to establishing a structured risk management strategy for managing climate related matters, the Arpico Insurance management engaged in a series of discussions with cross-functional teams to assess climate risks and opportunities in the insurance sector. It was agreed to hire the services of an external consultant to perform scenario analyses to stress-test Arpico Insurance business model against future climate conditions and formulate strategies to mitigate risks while capitalising on opportunities for climate resilience.

As part of the scenario analysis, an initial long list of climate-related risks and opportunities was developed, followed by a materiality assessment to determine physical and transition and rate risks into High, Moderate, or Low materiality based on their significance across different timeframes and scenarios. The boundaries for the analysis covered Arpico Insurance and its value chain, encompassing suppliers, partners, and customers. Key focus areas included underwriting risks, claims patterns, and investment portfolio resilience under these scenarios.

Climate Related Risks		Potential Impact to Arpico Insurance	Time Horizon	Materiality Rating
Physical Risk 1	Increased frequency of extreme weather events	Potential disruption to operations, increased claims frequency and severity, and impact on policyholder solvency	Short to Medium Term	High
Physical Risk 2	Rising temperatures	Increased energy costs for maintaining optimal office environments	Long Term	Moderate
Transition Risk 1	Regulatory changes	Costs related to compliance with new climate-related regulations	Medium Term	High
Transition Risk 2	Market perception of carbon-intensive operations	Reputational damage and reduced competitiveness	Short to Medium Term	High

PATHWAY TO SLFRS S1 & S2

Climate Related Opportunities		Benefits to Arpico Insurance	Time Horizon	Materiality Rating
Opportunity 1	Increased awareness of climate-related risks	Growth in demand for life insurance products that address climate risks	Short to Medium Term	High
Opportunity 2	Trend towards digital adoption	Reduce paper waste and improved operational efficiency	Medium Term	Moderate
Opportunity 3	Shift towards renewable energy	Long-term cost savings and alignment with sustainability goals	Long Term	High
Key Assumptions <i>Time Horizon:</i> Short Term Less than 3 years Medium Term : 3–7 years Long Term : 7+ years <i>Materiality Rating:</i> High Critical to the business model and strategy Moderate: Important but manageable with planned initiatives Low: Limited impact, monitored periodically				

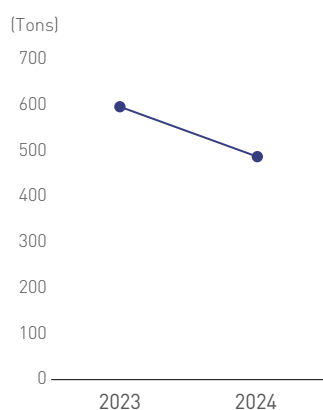
4. METRICS AND TARGETS

Arpico Insurance PLC aims to report on its environmental impact in accordance with the Arpico Insurance GHG Reporting Policy, which aligns with the Greenhouse Gas Protocol metrics for emissions.

SCOPE	CATEGORY	2024	2023
S1	Direct Emissions (Fuel) [tCO ₂ e]	296	277
S2	Indirect emissions from electricity location based[tCO ₂ e]	191	319

DETAILS	APPROACH, ASSUMPTION, BASIS
Measurement period	1st Jan to 31st December, following our financial year cycle
Base Emission measurement year	FY 2023: 1st Jan to 31st December
Emission Factors	Emission factors used by Arpico Insurance are based on the latest factors published by third party-maintained software systems and databases from: ■ Ceylon Electricity Board ■ Sri Lanka Sustainable Energy Authority

Total Emission



SPACE FOR IMPROVEMENT - FOCUS FOR 2025 AND BEYOND

- Develop measures to monitor the progress on managing climate-related risks and opportunities.
- Begin disclosing the financial impacts of climate-related risks and the associated costs of mitigation and adaptation efforts.
- Embed climate scenario analysis processes into broader risk management and business strategy reviews.
- Establish processes to ensure climate-related risks and opportunities are key considerations in capital deployment and funding decisions.
- Identify activities vulnerable to transition and physical risks and disclose the proportion of capital allocated to mitigating these risks.
- Assess the financial implications of climate risks and opportunities over specific time horizons.
- Further refine business opportunities associated with climate change, such as green financial products or sustainable investment initiatives.
- Explore the feasibility of an internal emissions pricing mechanism during FY25 and FY26 to ensure accountability in reducing emissions across operations.
- Develop and integrate a comprehensive climate transition plan into the Company's overarching business strategy.
- Ensure emissions factors within the GHG inventory align with globally recognised methodologies such as GWP100, and address uncertainties in emissions reporting.

RISK MANAGEMENT



Building New Strategies

As we continue to push the envelope to provide the most valuable insurance solutions to our customers, we embrace the risks associated with the enhancement of our processes, and fortify our mechanisms to withstand said risks, with the stakeholders' benefits in mind. While we push boundaries, we push for the magnified success of those we serve.

APPROACH TO RISK MANAGEMENT

Recognising that risk is an inherent aspect of Arpico Insurance’s business operations as a life insurance provider, the Company has adopted a comprehensive Enterprise Risk Management (ERM) approach to enable prudent risk-taking in alignment with corporate objectives. This ERM framework includes a comprehensive Risk Assessment process designed to identify, assess, and mitigate key risks that could impact earnings, capital, liquidity, operations and reputation of the Company. To formally institutionalise the ERM approach, the Policy on Risk Management and Internal Control was implemented in the current financial year.

The Policy, which adheres to the revised Section 9 of the Corporate Governance Rules (9.2) set by the Colombo Stock Exchange (CSE) aims to ensure risk management and internal control procedures are integrated into all business processes and decision-making activities. To that end, the policy establishes a comprehensive framework managing all types of risk including insurance, financial,

operational, and strategic risks applicable to the Company.

RISK MANAGEMENT PROCESS

This Risk Management Process follows a structured cycle that includes establishing the risk context, identifying potential risk events, analysing and evaluating risks, assessing their impact, implementing risk mitigation strategies, continuously monitoring and controlling risks, and finally, reporting key risk insights to relevant internal stakeholders to facilitate informed decision-making.



Key Objectives of the ERM Process Ensuring Financial Stability and Solvency

- Protecting Policyholders’ Interests
- Safeguarding Against Operational and Strategic Risks
- Maximising Risk-Adjusted Returns
- Ensuring Effective Claims Management
- Maintaining Reputational Integrity

RISK MANAGEMENT PROCESS

- Step 1** Clearly establish parameters to enable the identification of risks that could impact the Company’s strategic objective, with due consideration given to the strengths, weaknesses, opportunities, and threats
- Step 2** Identification of internal threats through team meetings, incident reporting, branch level self-risk assessments, internal audit report findings and determining external risk factors using tools such as PESTLE analysis
- Step 3** Analysing the likelihood of occurrence and quantifying the severity of impact in relation to risks using tools such as scenario analysis and stress testing to determine the impact on the Company’s earnings and capital position
- Step 4** Develop suitable mitigation strategies, either risk avoidance, risk reduction, risk acceptance and risk sharing/transferring
- Step 5** Ongoing risk monitoring, with regular reviews and updates in order to determine deviations from established risk tolerance limits for each major risk category

RISK GOVERNANCE

The Board of Arpico Insurance remains the ultimate authority for risk oversight, and in this capacity, it has adopted the best practices set out under the Three Lines of Defence mechanism, to establish a robust and effective risk governance framework to promote clear accountability and comprehensive risk management throughout the organisation.

- First Line of Defence - consists of risk owners (Heads of Departments / Branches), who are directly responsible for managing risks as part of their day-to-day operations. They are accountable for ensuring that internal controls are implemented and risk policies are followed in all activities, thus empowering them to integrate risk into their decision making. The first line also has responsibility to

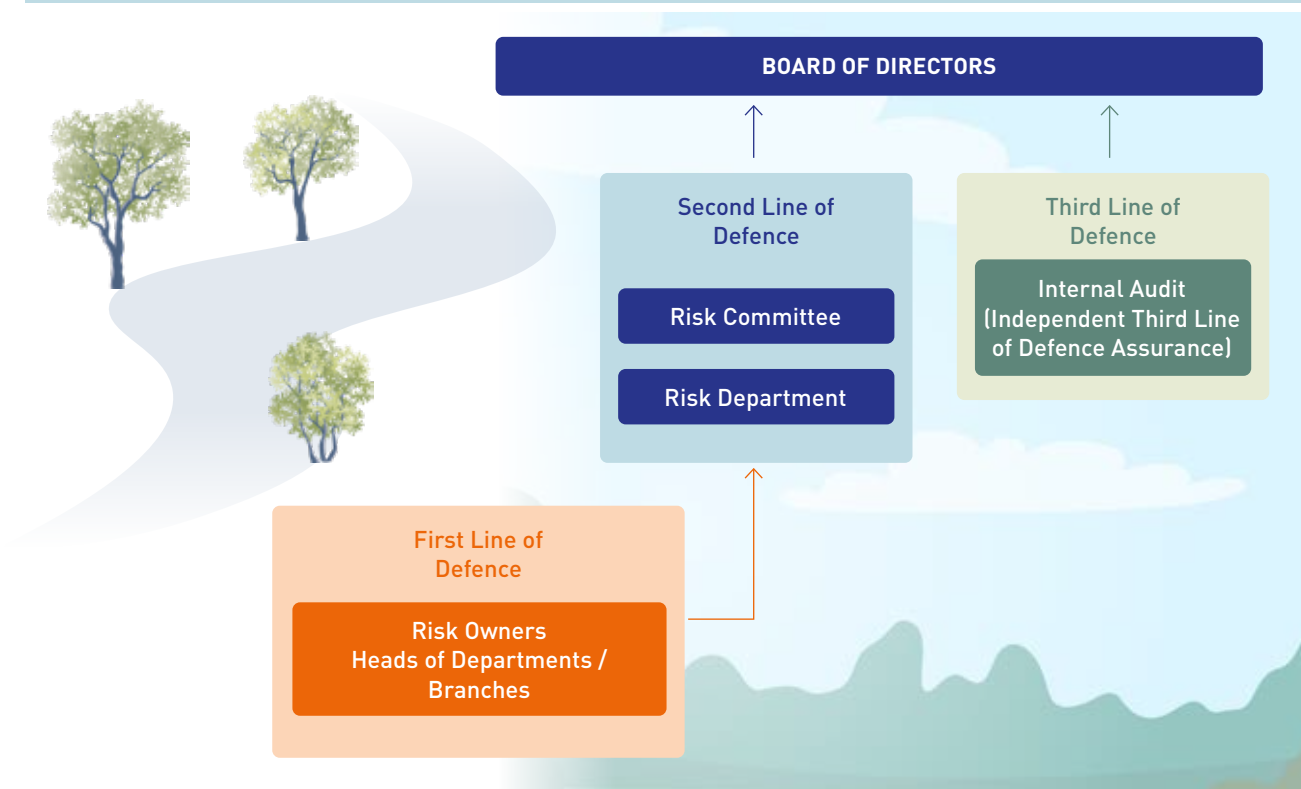
identify and report on potential risks detected during the day-to-day operations.

- Second Line of Defence – comprises the Risk Department and the Risk Committee, both assigned to monitor the effectiveness of risk management activities carried out by the first line. The Risk Department is entrusted with the responsibility of conducting risk assessments to ensure that the Company operates within its defined risk appetite. The Risk department is also required to identify and report emerging risks to the Risk Committee for appropriate action. The Risk Committee serves as the main advisor to the Board on risk related matters. In this capacity, the Risk committee is required to escalate significant issues to the Board. This includes reviewing risk

policies and providing guidance to the Board regarding appropriate revisions / updates.

- Third Line of Defence – the internal audit function, which provides an independent and objective assessment to the Board regarding the overall effectiveness of the risk management framework. Internal auditors evaluate the implementation of risk controls, policies, and procedures, identifying areas for improvement and ensuring that all lines of defence are functioning as intended. Their work helps ensure accountability, transparency, and continuous improvement in risk management practices.

ARPICO INSURANCE RISK GOVERNANCE STRUCTURE



APPROACH TO RISK MANAGEMENT

RISK MANAGEMENT TOOLS

Arpico Insurance's Enterprise Risk Management framework is supported by a range of tools that facilitate effective risk identification, assessment, mitigation, and monitoring. These tools are designed to align risk-taking activities with the Company's strategic objectives while safeguarding policyholder and stakeholder interests. The key tools within the ERM framework include:

- Risk Appetite Statement (RAS) - The RAS defines the level and types of risks Arpico Insurance is prepared to take in pursuit of its strategic goals. It establishes clear risk tolerance limits, guiding decision-making and resource allocation. The Board, in collaboration with the Risk Committee, periodically reviews and updates the RAS to reflect regulatory changes, industry best practices, and evolving market conditions.
- Policies and Procedures - A comprehensive set of risk management policies and procedures ensures consistency, accountability, and compliance with regulatory requirements. These policies serve as a reference for employees, embedding risk management into daily operations. Regular reviews and updates are conducted to adapt to emerging risks and corporate governance standards.
- Risk Register - Provides a comprehensive record of all identified risks across the organisation, categorised by type and assessed for potential impact and likelihood. The Risk Register is regularly updated to reflect new and emerging risks, along with the effectiveness of mitigation strategies in place. Each risk entry includes action plans, responsible parties, and timelines for addressing the risks, ensuring that appropriate resources are allocated to manage them effectively. In this

At the functional level, the Company's risk appetite is as follows.

Risk Category	Level of Risk Appetite
Insurance market risk	Strategically optimise risks taken
Regulatory risk	Full compliance, zero tolerance
Reputation risk	Minimise with operational risk controls
Underwriting risk	Minimise with operational risk controls
Reinsurance risk	Strategically optimise risks taken
Claims risk	Minimise with operational risk controls
Liquidity risk	Strategically optimise risks taken
Fraud risk	Full compliance, zero tolerance
Information technology risk	Minimise with operational risk controls
Cyber security risk	Minimise with operational risk controls
Investment risk	Strategically optimise risks taken
Health & safety risk	Minimise with operational risk controls
Legal risk	Minimise with operational risk controls
Premises risk	Minimise with operational risk controls
Financial crime risk	Minimise with operational risk controls

manner, the Risk Register serves as a key reference for decision-makers, facilitating proactive risk management, transparent communication, and accountability across the organisation.

- Stress Testing - A critical tool used to evaluate the Company's resilience under adverse financial and economic conditions. By simulating extreme but plausible scenarios, stress testing helps identify vulnerabilities and informs contingency planning. This enhances Arpico Insurance's ability to maintain financial stability and sustain long-term business operations.
- Risk Awareness Culture - A strong risk-aware culture is fundamental to effective ERM. Through continuous training, communication, and leadership engagement, Arpico Insurance ensures that employees at all levels understand risk management principles and integrate them into their daily responsibilities. This fosters a proactive approach to risk

identification and mitigation, enhancing overall organisational resilience.

MANAGING KEY RISKS FOR FY 2024

Arpico Insurance Risk Context and Strategy for 2024

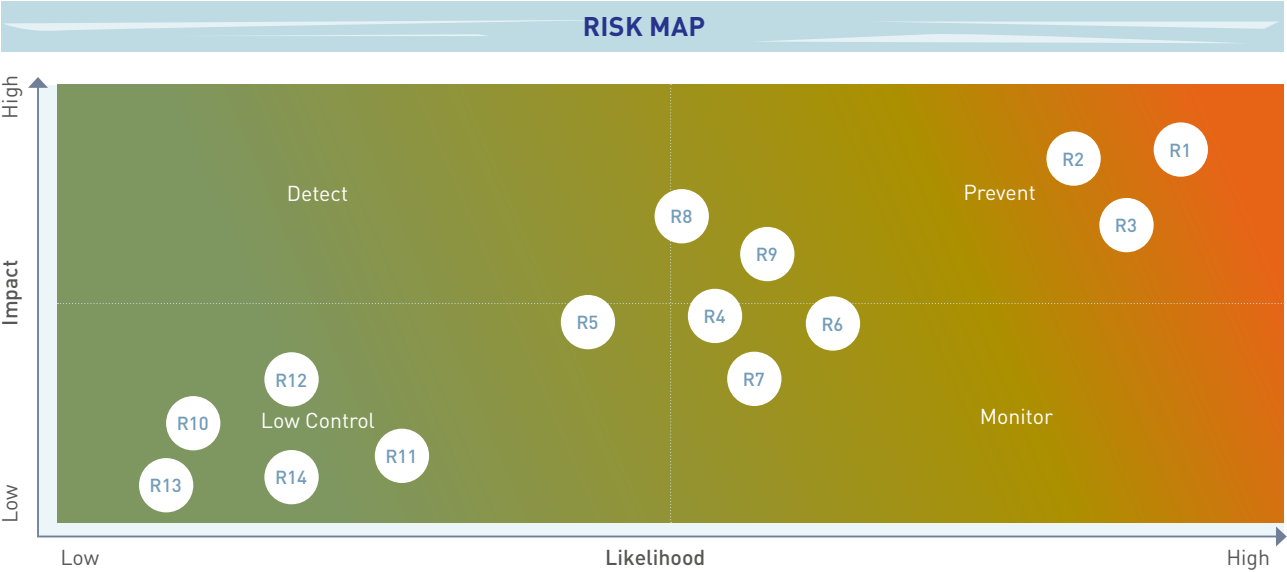
In 2024, Arpico Insurance navigated a dynamic risk landscape shaped by political, economic, technological, regulatory, and environmental factors. Political uncertainty following the general elections created market volatility, affecting investor confidence and asset valuations, while fluctuations in interest rates, exchange rates, and capital market performance posed risks to the Company's investment portfolio. Uncertainty also affected overall policyholder behaviour, potentially leading to delayed premium payments, higher policy surrenders, or reduced new business inflows.

On the other hand, with economic conditions improving, policyholders were more financially stable, leading to a reduction in lapses, policy surrenders, and delayed premium payments, easing

liquidity pressures for the Company. Economic recovery led to increased employment and disposable income, which in turn boosted new policy sales. Similarly, the growing ageing population increased demand for life and health insurance. However, with policies being issued claims assessment and underwriting controls were significantly

strengthened to safeguard profitability and maintain reserve adequacy. Rapid digitalisation continued to heighten information and cybersecurity risks, with a rise in cyber threats necessitating stronger data protection measures. Regulatory changes under the Insurance (Amendment) Act of 2024

had increased compliance risks, requiring enhanced governance and reporting to maintain operational stability. Meanwhile, the growing frequency of climate-related disasters and illnesses, such as heat-related illnesses and respiratory diseases, made risk assessment more complex.



	Description	Overall Risk Score	Mitigating Actions
Insurance Risks			
R1	Underwriting Risks	Risk due to inaccurate assessment of risks when accepting policies	HIGH
			- Adequate segregation of duties between sales and underwriting functions - A manual detailing clear underwriting guidelines - Continuous and ongoing discussions with Actuarial consultants and reinsurers to refine underwriting assumptions - Perform trend analysis based on regular reviews of mortality, morbidity, and longevity trends using credible medical reports to adjust premium rates dynamically to reflect emerging risk factors such as aging populations and climate-related health issues
R2	Reinsurance Risk	Inability or unwillingness of the reinsurers to fulfil its contractual obligations in a timely manner	HIGH
			- Build a diverse network of globally reputed reinsurance partners, rated A or above - Continuous and ongoing engagement with existing reinsurance partners - Continuous monitoring and follow up of insurance receivables

APPROACH TO RISK MANAGEMENT

		Description	Overall Risk Score	Mitigating Actions
R3	Claims Risk	Insufficient provisioning of reserves to support reported claims	HIGH	- Prudent claim provisioning practices - Continuous monitoring of actual claim trends - Review of significant claims under the expertise of the Claims Panel
R4	Insurance Market Risk	Failure to adapt to changing market dynamics	MODERATE	- Frequent discussions with global reinsurance partners to monitor global trends - Invest in digital technology to deliver innovative products and seamless convenience to the policyholder
Financial Risks				
R5	Liquidity Risk	Lack of adequate liquidity to support continuity of day-to-day operations and meet contractual obligations	MODERATE	- Maintaining a healthy mix of short, medium and long term investments - Regularly review the Company's cash flows and liquidity position - Strict guidelines to build liquidity buffers to meet insurance claims and other contractual obligations - Special clauses incorporated in reinsurance contracts to account for instances when claims exceed provisional values
R6	Credit Risk	Financial stress owing to counterparties failing to meet their obligations towards the Company	MODERATE	- Credit risk evaluation of counterparties in line with established investment guidelines - Expert teams to carry out credit evaluations - Strict policy mandating corporate debt investments with counterparties with a proven track record including BB+ and above issuer rating - Monitoring credit risk exposure with regard to investment counterparties - Regularly review the Company's cash flows and liquidity position - Strict guidelines to build liquidity buffers to meet insurance claims and other contractual obligations - Special clauses incorporated in reinsurance contracts to account for instances when claims exceed provisional values
R7	Investment Risk	Weak investor confidence owing to economic conditions influencing investment returns	MODERATE	- Maintaining a healthy mix of short, medium and long term investments - Continuous monitoring of the investment climate in the country

		Description	Overall Risk Score	Mitigating Actions
Operational Risks				
R8	Fraud Risk	Potential for misappropriation of financial or non-financial resources, including claims	MODERATE	- Strict internal controls to prevent fraud - Ongoing risk assessment to determine areas for fraud potential within departments and branches - Code of conduct setting out behaviours and consequences of misconduct - Fraud awareness and training - Whistleblower procedure for reporting of fraud coupled with an independent investigation and appropriate disciplinary measures
R9	Information and cybersecurity risk	Potential for unauthorised access to the Company's IT systems and possible threat to network and data security leading to the loss of confidential data	MODERATE	- Comprehensive cybersecurity policy - Secure network connections across the branch network - Vulnerability assessment and penetration testing to safeguard security posture - Awareness and training on data security - Comprehensive access control mechanism to prevent unauthorised access
R10	Health and Safety	Business disruption caused by employee ill health	LOW	- Compliance with fire safety regulations - Safety awareness training - Health insurance coverage
R11	Premises Risk	Damage to physical infrastructure owing to unforeseen events including extreme climate related disasters	LOW	- Comprehensive insurance coverage for all physical infrastructure - Comprehensive BCP framework, including designated Crisis Management Team - Robust cloud-based DR infrastructure for critical operations
R12	Legal Risk	Potential adverse impact owing to litigation	LOW	- Strong in-house legal expertise - Hiring of external consultants as needed
Strategic Risks				
R13	Reputation Risk	Damage to the Company's reputation and brand image owing to the inability to meet stakeholder deliverables	LOW	- Robust stakeholder engagement process - Strong conduct and ethics supported by Code of Conduct setting out appropriate behaviours and expectations from employees - Tone from the top by the Board of Directors - Internal grievance process for employees - Whistleblower process

APPROACH TO RISK MANAGEMENT

		Description	Overall Risk Score	Mitigating Actions
R14	Regulatory Risk / Compliance Risk	Adverse impacts owing to the failure to comply with regulatory requirements	LOW	- Board oversight for compliance - Attendance of industry forums and other workshops by the Board and senior management to keep abreast of the latest regulatory developments - Annual review and update of policies and procedures undertaken by Board committees to capture changes in regulatory requirements - Internal audit programme to detect and address compliance gaps

KEY PRIORITIES FOR 2025 AND BEYOND

- Strengthen underwriting processes; continuously review pricing strategies.
- Build financial stability; adjust to economic changes.
- Strengthen liquidity planning; ensure financial stability.
- Implement dynamic interest rate management strategies.
- Proactively manage regulatory changes; build strong regulatory relationships.
- Improve compliance infrastructure; Promote a culture of compliance.
- Enhance investment management practices; focus on risk-adjusted returns.
- Upgrade technology infrastructure; ensure resilience and recovery capabilities.
- Build resilience to major events; improve crisis management plans.
- Enhance legal risk management; focus on proactive legal strategies.
- Stay responsive to market changes; continuously engage with customers.
- Focus on maintaining a positive reputation; strengthen stakeholder relationships.
- Focus on fraud prevention; improve detection and response capabilities.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

WELCOME TO THE 2024 ARPICO INSURANCE PLC ANNUAL REPORT

It is with pleasure that the Board of Directors of Arpico Insurance PLC present their Annual Report on the affairs of the Company, audited financial statements and the auditor's report for the year ended 31st December 2024. This report was approved by the of Directors on 11th April 2025.

Arpico Insurance PLC is a licensed life insurance company registered under the Regulation of Insurance Industry Act No. 43 of 2000. The Company was incorporated on 22nd June 2011 as a limited liability company under the Companies Act, No. 17 of 1982 and reregistered on 21st May 2015 as per the requirements of the Companies Act No. 07 of 2007 and bears the Company Registration Number, PB 4739 PQ.

The ordinary shares of the company are listed on the Diri Savi Board of the Colombo Stock Exchange.

PRINCIPAL ACTIVITIES

The principal activity of the Company constitutes provision of life insurance in Sri Lanka. No significant changes were made to the Company's principal activities during the financial year under review. The Company has not engaged in any activities, which contravene laws and relevant regulations.

VISION, MISSION AND CORPORATE VALUES

Company's vision and mission are provided on page no 8 of this Annual Report. The Directors ensure that the business activities of the Company are carried out within the framework of objectives outlined in the vision and mission and are in conformity with the values of the Company reflecting a commitment to the highest ethical standards and integrity.

Review of Company Performance

Complying with the requirements of the Companies Act, the Chairman's Message, Review of Operations, Financial Review and other statements in this Annual Report briefly describe the performance of the Company during the

financial year under review. These reports form an integral part of the Annual Report of the Board of Directors.

FUTURE DEVELOPMENT

An overview of the future developments of the Company is presented in the Chief Executive Officer's Review (pages 18-21).

FINANCIAL STATEMENTS

The audited financial statements that include the Income Statement and Statement of Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity, Statement of Cash Flows and Notes to the Financial Statements of the Company for the financial year ended 31st December 2024 on pages 170 to 246 form an integral part of the annual report of the Directors.

The Financial Statements have been prepared in accordance with the Sri Lanka Accounting Standards (SLFRS) laid down by the Institute of Chartered Accountants of Sri Lanka and comply

with the Companies Act No 7 of 2007, Regulations of the Insurance Industry Act No 43 of 2000 and other rules and regulations of the Insurance Regulatory Commission of Sri Lanka and the listing rules of the Colombo Stock Exchange.

AUDITORS' REPORT

The Auditors' Report can be found on pages 172 to 174 of this Annual Report.

AUDITORS

The current auditors Messrs. Ernst & Young will be considered reappointed as auditors, at the Annual General Meeting of the Company in terms of Section 158 of the Companies Act No. 07 of 2007. A resolution authorising the Directors to determine their remuneration will be proposed at the Annual General Meeting. Their audit fee for the year is disclosed in Note 10 to the Financial Statements. As far as the Directors are aware, the auditors do not have any other relationship with the Company other than those disclosed in this Annual Report.

	2024 Rs.'000	2023 Rs.'000
First Year Premium	694,163	724,786
Renewal	1,000,978	1,022,212
Group Premium	273,619	489,606
Total	1,968,762	2,236,605

RESULTS

The Company recorded a net profit of Rs 235 Mn for the year. A synopsis of the financial performance is presented below.

	2024 Rs.'000	2023 Rs.'000
Net written premium	1,881,275	2,141,063
Total other revenue	608,089	647,262
Net Income	2,489,364	2,788,325
Total benefits, claims and other expenses	(2,344,474)	(3,472,157)
Profit before tax	144,891	(683,832)
Income tax reversal	90,000	-
Profit/(Loss) for the year	234,891	(683,832)

ANNUAL REPORT OF THE BOARD OF DIRECTORS

ACCOUNTING POLICIES

The accounting policies adopted in the preparation of the financial statements are given on pages 189 to 245. There were no significant changes to the accounting policies of the Company during the year.

GROSS WRITTEN PREMIUM

The table below gives growth in gross written premium for the year 2024. Further details on financial performance are given on pages 64 to 71 2024.

ACTUARY'S REPORT

This Annual Report includes reports from the Life Actuary of Arpico Insurance PLC. The Actuary has expressed satisfaction with the progress achieved by the Company to date and of the performance of the Company during the year under review.

Actuarial Reports are provided on page 171.

TAXATION

The Company's operations for the year under review has recognised Rs. 90 Mn of deferred tax asset. The Company

recognised deferred tax asset extent to which future taxable profits will be available to utilise the available tax losses in foreseeable future.

RISK BASED CAPITAL REQUIREMENT (RBC)

The Company has complied with the requirements of the Risk Based Capital (RBC) framework on solvency margin as required by the IRCSL. Total Available Capital (TAC) and Risk Based Capital Adequacy Ratio (CAR) of the Company were maintained in excess of the minimum requirements as prescribed by the IRCSL throughout the year. Details on RBC of the Company is given in page 242 of the Annual Report.

PROPERTY, PLANT AND EQUIPMENT

The book value of Property, Plant & Equipment of the Company stood at Rs. 41 Mn as at 31st December 2024. Details are given in Note 19 to the financial statements (pages 202 to 205).

INVESTMENTS

Investments of the Company amounted to Rs. 4.2 Bn. Details are given in Note 21 to the financial statements. Stated Capital and total equity of the

company as at 31st December 2024 stood at Rs. 675 Mn and Rs. 1.8 Bn. Respectively. Details for Statement of Changes in Equity are given on page 178.

HUMAN RESOURCES

The company's human resource policy is driven to reach its corporate goals and objectives by inculcating in employees a strong value system and ethics. While the Company is focused on developing employee ability to optimise results, the policies and procedures in place ensure equitable treatment of all employees.

BOARD OF DIRECTORS

The Board of Directors of the Company consists of five (05) Directors with wide financial knowledge and experience. The names of the Directors who held office are given below and their brief profiles appear on pages 22 to 25.

Name of the Director	Date of Appointment	Directorship Status
Mr. Ramal Jasinghe	16th May 2023	Chairman (Independent Non-Executive Director)
Mr. Shiron Gooneratne	2nd May 2016	Non-Executive Director
Mr. Kelum Senanayake	01st December 2023	Executive Director
Mr. Yudhishtan Kanagasabai	18th July 2024	Independent Non-Executive Director
Mr. Ainsley Rohan Mutturajah Muttiah	03rd Mar 2025	Independent Non-Executive Director
Mrs. Dilukshika Fernando (Ceased to hold office since 30th Nov 2024)	01st November 2021	Independent Non-Executive Director
Mrs. Lasinee Seresinhe (Ceased to hold office since 17th January 2024)	17th June 2014	Independent Non-Executive Director

	2024 No. of Shares	2023 No. of Shares
Mr. Ramal Jasinghe	Nil	Nil
Mr. Shiron Gooneratne	Nil	Nil
Mr. Kelum Senanayake	Nil	Nil
Mr. Yudhishtan Kanagasabai (With effect from 18th Jul 2024)	Nil	N/A
Mr. Ainsley Rohan Mutturajah Muttiah (With effect from 03rd Mar 2025)	N/A	N/A
Mrs. Dilukshika Fernando (Ceased to hold office since 30th Nov 2024)	Nil	Nil
Mrs. Lasinee Seresinhe (Ceased to hold office since 17th January 2024)	Nil	Nil

BOARD COMMITTEES

The Board whilst assuming responsibility for the management and the smooth running of the Company has established subcommittees to ensure effective control over specific functions of the Company. The subcommittees consist of

- Audit Committee
- Risk and Compliance Committee
- Investment committee.
- Nominations and Governance Committee
- Remuneration Committee
- Related Party Transactions Review Committee

NEW REGULATIONS

SLFRS 17 will be effective w.e.f. 1st January 2026 which requires significant changes in Arpico Insurance PLC existing business model and it will affect to the core business operations, IT systems, etc. Most importantly, this will change the way we measure our performance in a logical manner. However, the Company has evaluated the risk of changing SLFRS 4 to SLFRS 17 and has taken key initiatives such as educating its close stakeholders at an early stage.

Directors' Interest in Contracts with the Company

Directors' and other key management personnel's interest in transactions of the Company are disclosed in Note 32 to the Financial Statements.

The Company maintains an interest register in conforming to the provisions of the Companies Act No. 07 of 2007.

Directors' Responsibility for Financial Reporting

The Statement of Directors' Responsibility is given on page 145. The Financial Statements of the Company are prepared in conformity with the requirements of relevant Sri Lanka Financial Reporting Framework and Sri Lanka Accounting Standards (Mandated by the Act No. 15 of 1995 and the Companies Act No. 07 of 2007 which reflect a true and fair view of the financial position and performance of the Company).

Corporate Governance

The Board acknowledges their responsibility to ensure that the Company complies with good corporate governance practices as set out on pages 33 to 60.

Risk Management and System of Internal Controls

The board recognises effective risk management and internal control systems are essential parts of the management of the organisation. Company has implemented a comprehensive risk management process which is monitored through the Board risk management committee and the audit committee.

Detailed outline of the risk management process is given on pages 134 to 147 of this Annual Report.

Contingencies

There were no significant contingencies identified throughout the year to disclose in the Annual Report.

DONATIONS

Arpico Insurance PLC organised Arpico Aththatu program to support rural education and this time we contributed books to 200 students in Aththidiya Primary School.

Statutory Payments

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the government, other regulatory institutions and in relation to the employees have been made on time.

Compliance with Laws and Regulations

The Company has not engaged in any activity against the prevailing laws and regulations. Compliance with the provisions of laws and regulations has been confirmed to the Board of Directors at Board meetings.

Events after the Balance Sheet Date

Details of events after the balance sheet date are provided in Note 40 (page 244) to the financial statements.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

Going Concern

The Directors have adopted the going concern basis in preparing the financial statements. They have reviewed the Company's performance and financial standing and are satisfied that it has adequate resources to continue its operations in the foreseeable future.

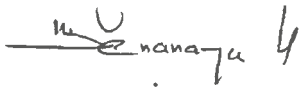
Annual General Meeting

Annual General Meeting will be held at Richard Pieris and Company Auditorium, No.310, High Level Road, Navinna, Maharagama on 24th June 2025. The notice of the Annual General Meeting is on page 276 of this publication.

For and on behalf of the Board,



Ramal Jasinghe
Chairman



Kelum Senanayake
Director / Chief Executive Officer



Mrs. J Siriweera
Company Secretary

11th April 2025

STATEMENT OF DIRECTORS' RESPONSIBILITY ON FINANCIAL REPORTING

The Companies Act No.7 of 2007 Sections 150 (1) and 151 places responsibility on the Directors to prepare and present financial statements for each year comprising

- Statement of Financial Position as at year end date
- Statements of Comprehensive Income,
- Statement of Cash Flows
- Statement of Changes In Equity for the year together with the significant accounting policies and explanatory notes.

In preparing and presenting the financial statements, the Directors are responsible to ensure that:

- a) Sri Lanka Accounting Standards, as applicable, have been followed,
- b) Appropriate accounting policies have been selected and applied consistently and they disclose material departures and reasons for departures,
- c) Reasonable and prudent judgments and estimates have been made,
- d) The Companies Act No. 7 of 2007, Regulation of Insurance Industry Act No.43 of 2000, and subsequent amendments thereto
- e) Listing Rules of Colombo Stock Exchange have been complied with
- f) Statement of Recommended Practice (SoRP),
- g) Code of Best Practice on Corporate Governance 2017 issued by CA Sri Lanka

And while conforming to the standards, policies, laws, rules and regulations stated herein; to discharge their responsibility to ensure disclosure of the financial position of the Company with reasonable accuracy; they are mindful of their responsibility to ensure that the Company maintains adequate accounting records for the purpose.

The Directors have a responsibility to ensure that the Company has adequate resources to continue business in the foreseeable future. They, after a comprehensive review of the Company's financial position, have adopted the going concern basis for the preparation of the financial statements.

The Directors are responsible for the proper management of the resources of the Company. They have taken steps to establish and maintain an appropriate system of internal control to obtain reasonable assurance that the Company is protected from undue risks, frauds and other irregularities.

The Directors confirm that they have provided the auditors all the information and explanations which were considered necessary for the conduct of their audit.

The Directors are of the view that they have discharged their responsibilities as set out in this statement.

COMPLIANCE REPORT

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company, all contributions levies and taxes payable on behalf of and in respect of the employees of the Company, and all other known statutory dues, as were due and payable by the Company, as at the reporting date have been paid or, where relevant provided for, except as detailed in Note 39 (page 244) to the Financial Statements, relating to contingent liabilities.

By order of the Board



Richard Pieris Group Services (Private) Limited
Company Secretary

Colombo, Sri Lanka
11th April 2025

CHIEF EXECUTIVE OFFICER'S AND FINANCIAL CONTROLLER'S RESPONSIBILITY STATEMENT

The financial statements of Arpico Insurance PLC as at 31st December 2024 are prepared and presented in compliance with the following;

- Sri Lanka Accounting Standards issued by the Institute of Chartered Accountants of Sri Lanka (CASL)
- Companies Act No. 07 of 2007
- Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995
- Insurance Industry Act No. 43 of 2000 and amendments thereto
- Statement of Recommended Practice (SoRP)
- Listing Rules of the Colombo Stock Exchange (CSE) and
- Code of Best Practice on Corporate Governance 2017 issued jointly by the CASL and Securities and Exchange Commission (SEC).
- Sustainability Disclosure Standards (SLFRS S1 and S2)

Accordingly, the Company has prepared the financial statements which comply with SLFRSs / LKASs and related interpretations applicable for the year ended 31st December 2024, together with the comparative data as at and for the year ended 31st December 2023, where required, as described in the accounting policies.

The accounting policies used in the preparation of the financial statements are appropriate and are consistently applied, unless otherwise stated in the notes accompanying the financial statements. There have been no changes in the accounting policies adopted by the Company during the year under review.

Significant accounting policies and estimates that involve a high degree of judgement and complexity were discussed with our External Auditors and the Board Audit Committee.

We confirm that to the best of our knowledge, the Financial Statements and other financial information included in this annual report, fairly present in all

material respects the financial position, results of operations and cash flows of the Company as of, and for, the periods presented in this Annual Report. We are responsible for establishing and maintaining internal controls and procedures to be designed under our supervision, and procedures. We have designed such controls and procedures, or caused such controls and procedures to be designed under our supervision, to ensure that material information relating to the Company is made known to us and for safeguarding the Company's assets and preventing and detecting fraud and error. We have evaluated the effectiveness of the Company's internal controls and procedures and are satisfied that the controls and procedures were effective as of the end of the period covered by this annual report and on an ongoing basis.

We confirm, based on our evaluations that there were no significant deficiencies and material weaknesses in the design or operation of internal controls and fraud that involves management or other employees. The Company's Internal Audit Function also conducts periodic reviews to ensure that the Internal Controls and Procedures are consistently followed.

The Financial Statements of the Company were audited by Messrs. Ernst & Young; Chartered Accountants and their Report is given on pages 172-174. The Audit Committee pre-approves the audit and non-audit services provided by Messrs. Ernst & Young, in order to ensure that the provision of such services does not impact to the Ernst & Young's independence and objectivity.

The Board Audit Committee also reviews the External Audit Plan, the Internal Audit Plan, all Internal Audit reviews and Management Letter, and follows up on any issues raised during the Statutory Audit as well as the Internal Audits. The Board Audit Committee also meets with the External and Internal Auditors to review the effectiveness of the audits.

We confirm that the Company has complied with all applicable laws and regulations and guidelines and that there are no material litigations that are pending against the Company other than those arising in the normal course of conducting insurance business. We also confirm that the Company has complied with the following Insurance Regulatory Commission of Sri Lanka (IRCSL) requirements;

- All provisions in the RII Act No. 43 of 2000, and subsequent amendments there to, and all rules, regulations, determinations, directions issued by IRCSL; complied with all orders made by the Ministry of Finance and Planning under the RII Act No. 43 of 2000
- Terms and conditions pertaining to reinsurance placements issued by IRCSL in terms of Section 31(1) of the RII Act, No. 43 of 2000
- All applicable circulars issued by IRCSL
- All provisions in the Financial Transactions Reporting Act No. 06 of 2006
- Rules on Know Your Customer (KYC) and Customer Due Diligence (CDD) for the Insurance Industry issued by the Financial Intelligence Unit established under the Financial Transactions Reporting Act No. 06 of 2006
- Guidelines on Anti Money Laundering Programme for Insurers issued by IRCSL



Kelum Senanayake
Director / Chief Executive Officer



S.H. Dulanjith Kaweesha
Financial Controller

11th April 2025

DIRECTORS' STATEMENT ON INTERNAL CONTROLS

The statement fulfils the requirement to publish the Directors' Statement on risk management and internal control as per the Code of Best Practice on Corporate Governance 2023 issued by CA Sri Lanka.

The Board of Directors is responsible for maintaining a sound system of internal controls and risk management to safeguard shareholders' investments and the Company's assets. The Board identifies principal risks on an ongoing basis and ensures the implementation of appropriate systems to evaluate and manage these risks by considering the nature and extent of risks, the adequacy of the entire risk management framework, the likelihood of the risks concerned materialising, and the Company's ability to reduce the incidence and costs of operating particular controls.

The Board has established an appropriate control environment and is responsible for reviewing the design and effectiveness of the Company's internal control systems and management information systems, including systems for compliance with applicable laws, regulations, rules, directives, and guidelines. The Board defines the process to be adopted for its review of the design and effectiveness of internal control, encompassing both the scope and frequency of the reports it receives and reviews during the year, and the process for its assessment. The Board implements and forms its own view on the design and effectiveness of the Company's internal control systems after due and careful enquiry based on the information and assurances provided to it. The Board takes responsibility for the implementation of effective internal controls and related disclosures in the annual report, with the Audit Committee ensuring the carrying out of reviews of internal controls and reporting to the Board thereon.

The Board ensures that an effective and comprehensive internal audit of the internal control systems is carried out by operationally independent, appropriately trained, and competent staff. Reports presented by management, internal, and external audit are reviewed to ensure that significant risks are identified, documented, evaluated, monitored, and managed. The design and effectiveness of the related system of internal control are assessed, with particular regard to any significant failures or weaknesses in internal control that have been reported, and necessary action is taken promptly to remedy any significant failings or weaknesses. If the findings indicate a need for more extensive monitoring of the system of internal controls, sufficient resources are deployed.

The Audit Committee of the Company assesses internal control matters raised by the Internal Audit Department, regulatory authorities, External Auditors, and management. It evaluates the adequacy and effectiveness of the Company's risk management and internal control systems. Additionally, the committee reviews the internal audit function, focusing on the scope of audits, independence, available resources, and overall quality. The minutes of Audit Committee meetings are periodically presented to the Board of Directors. Further details on the committee's activities can be found in the 'Audit Committee Report' on pages 151-157.

CONCLUSION

There is an ongoing process for identifying, evaluating, and managing the significant risks faced by the Company. This process has been in place for the year under review, is regularly reviewed by the Board, and accords with such direction.

The financial reporting system has been designed to provide reasonable assurance regarding the reliability of

financial reporting, and the preparation of financial statements for external purposes has been done in accordance with relevant accounting principles and regulatory requirements.



Mr. Ramal Jasinghe
Chairman



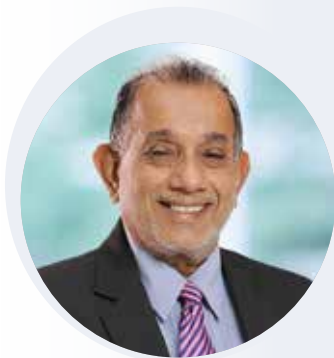
Kelum Senanayake
Director/Chief Executive Officer



Yudy Kanagasabai
Chairman – Audit Committee

Colombo, Sri Lanka
11th April 2025

RISK COMMITTEE REPORT



**MR. YUDHISHTRAN
KANAGASABAI**
Chairperson, Risk
Committee

Proactive risk management is integral to Arpico Insurance’s governance. The Risk Committee ensures that emerging risks are identified early, monitored rigorously, and managed effectively. Our risk oversight framework supports decision-making and resilience, strengthening our ability to safeguard value and sustain business continuity.

RISK COMMITTEE CHARTER

The Risk Committee (“the Committee”) is appointed by the Board of Directors and is accountable to the Board. The Committee’s primary responsibility is to oversee the Company’s risk management framework, ensuring that an effective risk management system is in place to identify, assess, and mitigate key risks. The Committee supports the

Board in fulfilling its responsibility to establish and maintain an enterprise-wide risk management framework.

In 2024, risk management discussions were incorporated within the main Board meetings, and the Risk Committee did not hold separate meetings. However, risk-related matters were continuously reviewed,

ensuring the Company adhered to its risk strategy and regulatory compliance.

COMPOSITION OF THE COMMITTEE

The Risk Committee comprises Non-Executive Directors, with a majority being independent. The following members were appointed to the Committee:

Name	Directorship Status	Membership Status
Mrs. L. Seresinhe	Independent Non-Executive Director (Ceased to hold office from 27th May 2024)	Chairman
Mr. Yudhishtan Kanagasabai	Independent Non-Executive Director (w.e.f. 01 October 2024)	Chairman
Mr. Ramal Jasinghe	Board Chairman and Independent Non-Executive Director	Member
Mrs. Dilukshika Fernando (Ceased to hold office by 30th November 2024)	Independent Non-Executive Director	Member
Mr. Rohan Muttiah	Independent Non-Executive Director (w.e.f. 3rd March 2025)	Member

Throughout 2024, the Committee comprised three members. However, following 30th November 2024, it was reduced to two members until the appointment of a new Independent Director.

In addition, the following members participated in risk-related discussions by invitation:

- Chief Executive Officer
- Head of Actuarial, Risk, Compliance, and Investments

- Risk & Compliance Officer
- Financial Controller
- Other corporate management team members

TERMS OF REFERENCE

The Risk Committee's duties and responsibilities include:

- Reviewing the Company's risk management framework, including risk appetite, risk strategy, and the effectiveness of risk management controls.
- Assessing risks such as market, liquidity, operational, strategic, compliance, and technological risks, using appropriate risk indicators.
- Ensuring compliance with all applicable laws, regulations, and internal policies.
- Reviewing concerns raised by auditors and regulators regarding risk exposure and mitigation strategies.
- Evaluating and approving updates to the Company's AML/CFT Compliance Policy and other key risk-related policies.
- Monitoring capital adequacy, solvency, and financial sustainability within the risk tolerance framework.
- Providing recommendations to the Board regarding risk strategies and responses to emerging threats.

ACTIVITIES IN 2024

Although the Risk Committee did not hold separate meetings in 2024, risk management discussions took place within the main Board meetings. Key risk-related activities included:

- Reviewing the Company's existing risk management controls and providing strategic directions to management.
- Analysing regulatory inspection reports and making recommendations for process improvements.
- Evaluating the compliance status of the Company, particularly in relation to financial solvency and risk-based capital adequacy.

- Monitoring and advising on correspondence with the industry regulator.

FUTURE PLANS & ACTIVITIES FOR 2025

The Risk Committee aims to strengthen the Company's risk governance framework further in the coming year. Key focus areas for 2025 include:

- Conducting a formal review of the risk management framework, policies, and internal controls.
- Implementing a structured approach to Enterprise Risk Management (ERM) aligned with international best practices.
- Establishing risk dashboards to provide real-time risk exposure monitoring.
- Enhancing stress testing methodologies to better evaluate financial resilience.
- Ensuring ongoing compliance with emerging regulatory requirements.

The Committee remains dedicated to supporting Arpico Insurance PLC in achieving a robust and proactive risk management culture while maintaining strong corporate governance and regulatory alignment.



Mr. Yudhishtaran Kanagasabai
Chairperson, Risk Committee

Arpico Insurance PLC
11th April 2025

RISK COMMITTEE REPORT

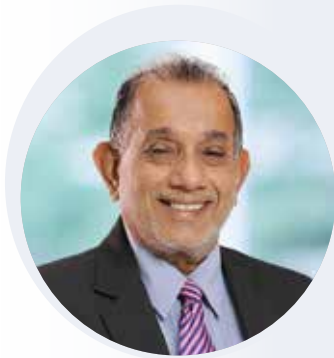
REFERENCES

CODE OF BEST PRACTICE ON CORPORATE GOVERNANCE ISSUED BY CA SRI LANKA

Principal	Heading	Listing Rules Requirement	Company`s Status
D4.1	Composition	- Minimum 3 directors - Majority of committee should be non-executive directors - Chairman needs to be an independent director - CFO and CEO must attend all meetings - CIO and CRO(Risk officer) must participate as adequate	Complied*
D 4.2	Terms of reference	Risk Committee has established terms of reference delineating its authority and duties. The responsibilities include establishing the risk management framework, assessing outcomes and mitigation strategies, overseeing insurance and information security, monitoring ESG risks, and maintaining a strong disaster recovery plan. The committee will provide regular reports to the Board and conduct annual reviews of risk management frameworks, processes, and practices to ensure ongoing effectiveness.	Complied

*Not in compliance during the period following the resignation of Mrs. Dilukshika Fernando with effect from 30th November 2024, until the appointment of Mr. Rohan Muttiah with effect from 3rd March 2025

AUDIT COMMITTEE REPORT



**MR. YUDHISHTRAN
KANAGASABAI**

Chairperson, Audit
Committee

The Audit Committee plays a vital role in ensuring transparency, integrity, and accountability across all financial reporting processes. We provide independent oversight of internal controls, financial statements, and audit functions - thereby reinforcing stakeholder confidence and aligning our operations with the highest standards of corporate governance.

INTRODUCTION

The Audit Committee plays a pivotal role in ensuring financial integrity, governance excellence, and regulatory compliance at Arpico Insurance PLC. Operating within the framework of the Rules on Corporate Governance under the Listing Rules of the Colombo Stock Exchange and the Code of Best Practice on Corporate Governance 2023 issued by CA Sri Lanka, the Committee provides independent oversight of financial reporting, internal controls, risk management, and external audit functions.

To maintain global best practices, the Audit Committee Charter is reviewed annually to integrate emerging governance trends and ensure continued compliance with Sri Lanka Accounting Standards (SLFRS/LKAS).

COMPOSITION OF THE COMMITTEE AND BAC MEETINGS AND ATTENDANCE

The Audit Committee consists exclusively of Non-Executive Directors, a majority of whom are independent.

This structure ensures impartial decision-making and enhanced governance oversight. As of 2024, the Committee was composed as follows:

Expertise and Diversity

- **Mr. Yudhishtan Kanagasabai**
Non-Executive Independent Director (Chairman, appointed July 18, 2024)

Mr. Kanagasabai is a Fellow of the Institute of Chartered Accountants of Sri Lanka
- **Mr. Shiron Gooneratne**
Non-Executive Director (Member)

Mr. Gooneratne is a Fellow of the Institute of Chartered Accountants of Sri Lanka
- **Mrs. W. Dilukshika N. Fernando**
Non-Executive Independent Director (Ceased to hold office on November 30, 2024)
- **Mrs. Lasinee Seresinhe**
Non-Executive Independent Director (Ceased to hold office on May 27, 2024)
- **Mr. Rohan Muttiah**
Non Executive Independent Director (w.e.f 3rd March 2025)

The Committee members bring a diverse range of expertise in finance, risk management, actuarial analysis, and corporate governance, ensuring robust oversight. Further details on their experience, qualifications, and expertise are available on pages 22-25 of the Annual Report.

All members of the Committee engage in continuous professional development (CPD), attending internal and external training sessions, industry conferences, and governance seminars to stay abreast of evolving regulatory requirements including listing rules, capital market provisions and financial reporting standards.

Representatives from Ernst & Young (EY), the Group Management Committee, and key members of the finance and risk teams attended discussions as required, ensuring effective oversight of financial reporting and internal controls.

AUDIT COMMITTEE REPORT

Name	Directorship Status	Membership Status	Date of appointment	Attendance
Mrs. Lasinee Seresinhe (Ceased to hold office from 27th May 2024)	Non-Executive Independent Director	Chairman	17th June 2014	2/2
Mr. Yudhishtan Kanagasabai (From 18th July 2024)	Non-Executive Independent Director	Chairman	18th July 2024	2/2
Mr. Shiron Gooneratne	Non-Executive Director	Member	02nd May 2016	2/4
Mrs. W Dilukshika N Fernando (Ceased to hold office from 30th November 2024)	Non-Executive Director	Member	01st November 2021	4/4
Mr.Rohan Muttiah -Non-Executive Independent Director (w.e.f. 3rd March 2025)	Non-Executive Independent Director	Member	03rd March 2025	N/A

MEETINGS HELD

Quarter	Q1	Q2	Q3	Q4	Total
No of Meetings	1	1	1	1	4

SECRETARY TO THE COMMITTEE

Richard Pieris Group Services (Pvt) Limited serves as the Secretary to the Board Audit Committee.

CHARTER OF THE COMMITTEE

The Audit Committee Charter, approved by the Board, defines the scope, authority, and duties of the Committee. It is reviewed annually to incorporate emerging governance requirements.

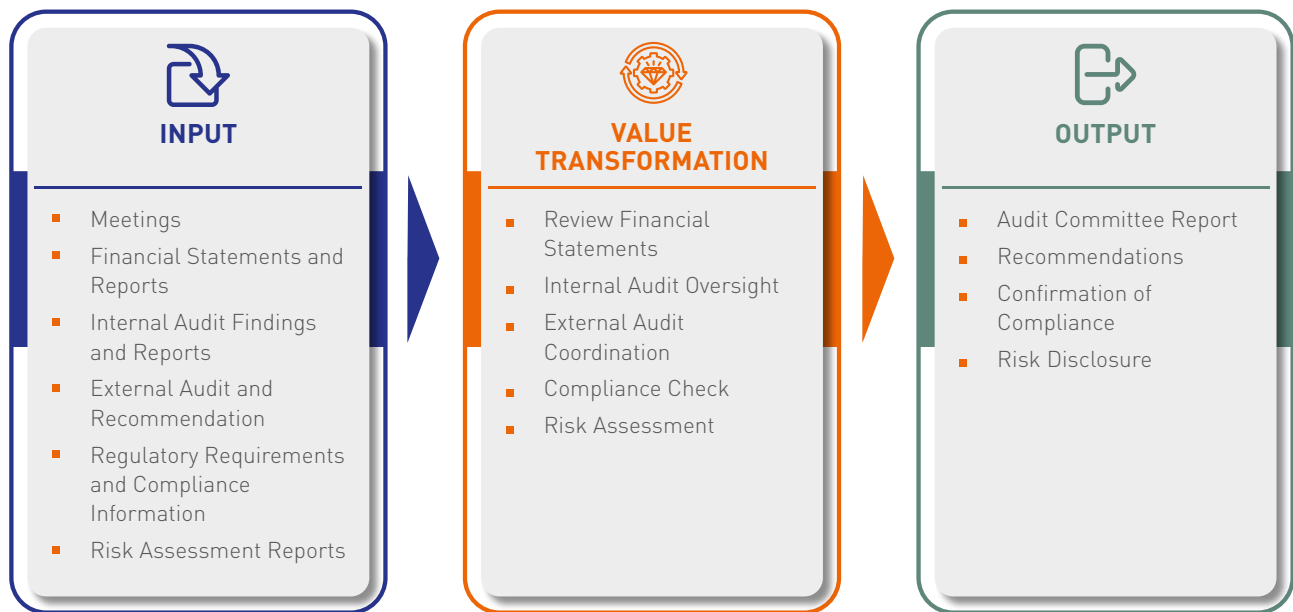
The Charter mandates:

- Oversight of Financial Reporting and Disclosures
- Assessment of Internal and External Audit Functions
- Evaluation of Risk Management and Internal Control Frameworks
- Ensuring Compliance with Legal and Regulatory Standards

- Review of Ethical Conduct, Governance, and Whistleblowing Mechanisms

The most recent review and approval of the Audit Committee Charter took place on October 25, 2024. The Committee works closely with senior management and has unrestricted access to financial information, executives, and relevant operational data, ensuring transparency and accountability.

VALUE CREATION



HIGHLIGHTS

Throughout the year, the Committee took proactive measures to address critical financial and governance challenges, including:

- Implementation of SLFRS 17: Successfully navigating the transition, ensuring compliance and seamless financial reporting adjustments.
- Enhancing Internal Control Systems: Strengthening fraud detection mechanisms, AML/CFT compliance, and governance structures.
- Regulatory Risk Management: Addressing key concerns raised by regulatory bodies, ensuring full alignment with industry best practices.
- Capital Adequacy & Solvency: Assessing the Company's risk-based capital adequacy and recommending strategies to bolster financial resilience.

ACTIVITIES

1. MEETINGS

The Committee met 4 times during the year. The attendance of the members at these meetings is stated on page 45. Other members of the Board and the Group Management Committee, as well as the External Auditors, were present at discussions where it was appropriate. The proceedings of the Audit Committee are regularly reported to the Board of Directors.

2. FINANCIAL REPORTING

The primary role of the Committee in relation to financial reporting is to monitor the integrity of the Company's published financial information including reviewing its full-year and quarterly financial results. The Committee undertakes this with the management and concentrates on ensuring compliance with the relevant financial and governance reporting requirements. The Committee considers the principal accounting

policies that are used when preparing these results as well as reviewing the significant accounting issues and areas of judgements made as noted below and other key areas. Also, this includes the fair, balanced and understandable review. The Committee receives regular reports from the Company's Financial Controller to support this work.

3. INTERNAL AUDIT

The work of the internal audit function spans the whole Company including, as and when relevant, acquired businesses and provides independent and objective assurance over the Company's systems of internal controls through a risk-based approach. The Committee reviews and approves the scope and resourcing of the internal audit plan annually with the Audit and Risk. The scope of the plan is determined by reference to the Company's operating risks and strategy as well as functional and external risks.

AUDIT COMMITTEE REPORT

The Committee reviewed;

1. The Internal Audit Plan and monitored its implementation through regular communication
2. All major findings revealed through audit investigations and potential fraud monitoring activities carried out during the year.

4. RISK MANAGEMENT

The Audit and Risk provides quarterly reports to the Committee which cover the performance of the Company's system of internal control and its effectiveness in managing the Company's principal risks and identifying any control failings or weaknesses. These reports highlight matters which might impact the delivery of the Company's key strategic objectives or which indicate improvement is required in any of the Company's processes or controls. The Committee carefully considers these findings and discusses appropriate actions where necessary. An annual review of the Company's risk management processes is undertaken by the Committee, as required by the Code, the Institute of Chartered Accountants of Sri Lanka (ICASL) Guidance on Audit Committees and the recommendations of the ICASL Guidance on Risk Management, Internal Control and Related Financial and Business Reporting. These processes include material controls which cover financial, operational and compliance controls and risk management systems. The outcomes of these reviews are shared with the Board. These, in combination with other updates to the Board on the Company's principal risks, allowed the Board to assess the effectiveness of the Company's systems of internal control and residual risk prior to making its statement in this Annual Report and Accounts. The internal control system and risk management process have been in place during the year and up to the date of this Report and Accounts.

5. EXTERNAL AUDIT

The Committee is responsible for reviewing the performance and effectiveness of the external Auditors, as well as their appointment and remuneration. A review of the external Auditors' performance and effectiveness is undertaken by the Committee each year. The review includes looking at qualification, expertise, resources and reappointment of the external Auditors, as well as ensuring that no issues have arisen which might adversely affect their independence and objectivity. The review also considers how robust the external audit itself has been, as well as the quality of delivery. It also addresses the ICASL's Audit Committee Report as well as any feedback received from the Company's senior managers. How well the external Auditors have exercised professional scepticism and whether they have provided an appropriate degree of constructive challenge to management is assessed by the Committee and, as part of risk evaluation planning, the Committee also considers the risk of external auditors withdrawing from the market.

6. INDEPENDENCE AND OBJECTIVITY OF THE EXTERNAL AUDITORS

The Audit Committee executed an annual assessment of the External Auditor's independence and objectivity, including the audit process' efficacy. Auditors having no relationship (other than that of Auditors) with the Company, as far as the Audit Committee is aware. In addition, as required by the Companies Act No. 07 of 2007 and Best Practice on Corporate Governance 2023 issued by CA Sri Lanka, the Committee has received a declaration from EY confirming that they do not have any relationship with the Company, which may have a bearing on their independence.

7. ETHICS, GOOD GOVERNANCE AND WHISTLE BLOWING

The committee continuously emphasised on upholding ethical values of the staff members. In this regard, the Company has a Code of Ethics and a

whistleblower's charter which ensure and encourage all staff members to be ethical, transparent and accountable and resort to whistleblowing if they suspect any wrongdoings or other improprieties. The Company takes steps in line with good business practice to detect and prevent fraudulent activity. Highest standards of corporate governance and adherence to the Company's Code of Ethics were ensured.

8. SRI LANKA ACCOUNTING STANDARDS

Committee reviewed the revised policy decisions relating to adoption of new and revised Sri Lanka Accounting Standards (SLFRS/LKAS) applicable to the Company and made recommendation to the Board of Directors. The Committee continuously monitored the progress of implementation of SLFRS as per the requirements of Sri Lanka Accounting Standards. The Committee would continue to monitor the compliance with relevant Accounting Standards and keep the Board of Directors informed at regular intervals.

REGULATIONS/ RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The role, functions and the composition of the Board Audit Committee (BAC) are defined by the provisions of the Insurance Industry Act No.43 of 2000 by the Insurance Board of Sri Lanka (the Direction); Section 9.13 of Listing Rules of the Colombo Stock Exchange (the CSE Rules); and Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).

PURPOSE

The purpose of the audit committee is to

- Assist the Board of Directors in fulfilling its overall responsibilities for the financial reporting process.
- Review the system of internal control and risk management procedures

- Monitor the effectiveness of internal audit function
- Review the Company's process for monitoring compliance with laws and regulations
- Assess the independence and performance of the Company's external auditors
- Make recommendations to the Board on the appointment of external auditors, their remuneration and terms of appointment

KEY RESPONSIBILITIES OF THE COMMITTEE

- Reviewing financial information and monitoring the integrity of the financial statements of the Company, its annual report, accounts and quarterly reports prepared for disclosure, prior to submission to the Board and ensuring compliance with statutory provisions, accounting standards and accounting policies.
- Reporting to the Board on the quality, appropriateness and acceptability of the Company's accounting policies and practices.
- Assessing the reasonableness of the underlying assumptions based on which estimates and judgments are made when preparing the financial statements.
- Overseeing the Internal Audit function and reviewing of audit reports to ensure that appropriate actions are taken by the Management to implement the recommendations made by the Internal Auditors.
- Assessing the independence and reviewing the adequacy of the scope, functions and resources of the Internal Audit Department, including the appointment of the Chief Internal Auditor and the performance of the Head and senior staff members of the Internal Audit Department.

- Overseeing the appointment, compensation, resignation and dismissal of the External Auditor, including review of the External Audit function, its cost and effectiveness and monitoring of the External Auditors' independence and/or objectivity.
- Reviewing the adequacy and effectiveness of the Internal Controls, Risk Management and ensure compliance with Corporate Governance and regulatory requirements.
- Reviewing the Terms of Reference of the Committee periodically and ensuring that it reflects the best practices of the industry at all times.

SLFRS 17 INSURANCE CONTRACTS NEW ACCOUNTING POLICY DISCLOSURES

The 2024 financial statements include quantitative and qualitative disclosures of transitioning to the new standard. SLFRS 17 represents a material change in accounting for the Company in 2024 and accordingly the estimated impact on transition has been disclosed in the financial statements. As noted under the heading 'Accounting Standards' the Committee held several sessions during the year on SLFRS 17 training and reviewing proposed methodologies. The Committee reviewed the proposed disclosures' compliance with accounting standards. The Committee also considered the appropriateness of the qualitative and quantitative disclosures and the range provided for the impact on the opening balance sheet in the context of the progress of the implementation project.

Arpico Insurance PLC is actively working towards the implementation of IFRS 17 (Insurance Contracts), which is mandated for adoption by 2026. To facilitate a seamless transition, we have selected KPMG as our strategic implementation partner. The Company is presently in the technical analysis phase, which includes:

- System vendor evaluation and finalisation
- Impact assessment on financial reporting and actuarial models
- Development of data structures and risk assessment methodologies
- Testing phase alignment with industry best practices

The Audit Committee closely monitors this transition to ensure compliance, accuracy, and financial transparency, aligning with global accounting standards and regulatory expectations.

LOOKING AHEAD TO 2025

As part of its strategic agenda for 2025, the Audit Committee will:

- Ensure the successful implementation of IFRS 17, collaborating closely with KPMG to navigate technical challenges.
- Enhance cybersecurity and IT risk governance, ensuring data protection and regulatory compliance.
- Strengthen financial reporting standards, ensuring continued compliance with SLFRS 17 and emerging global standards.
- Ensure continued external auditor independence, reinforcing objectivity and governance best practices.
- Deepen risk governance frameworks, expanding oversight on enterprise risk management, regulatory compliance, and evolving market risks.

Through its unwavering commitment to governance excellence, the Audit Committee plays an indispensable role in strengthening investor confidence, regulatory compliance, and long-term value creation for Arpico Insurance PLC.



Mr. Yudhishtan Kanagasabai
Chairperson, Audit Committee

Arpico Insurance PLC
11th April 2025

AUDIT COMMITTEE REPORT

REFERENCES

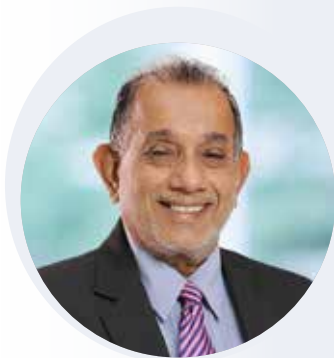
LISTING RULES ISSUED BY COLOMBO STOCK EXCHANGE [CSE] ON CORPORATE GOVERNANCE

Principal	Heading	Listing Rules Requirement	Company's Status
9.13.1	Establish	Maintain separate Committees to perform the Audit and Risk Functions, the Audit Committee	Complied
9.13.2	Terms of reference	Should have a written terms of reference clearly defining its scope, authority and duties	Complied
9.13.3	Composition	Minimum of three (03) Directors of the Listed Entity, out of which a minimum of two (02) members shall be Independent.	Complied
		Exclusively should consist of Non-Executive Directors.	Complied
		During the year the Committee met four [4] times with the participation of the CEO, CFO, and Chief Audit and Compliance Officer by invitation. An Independent Director serves as the Chairperson.	
9.13.4	Functions	The Committee fulfils its duties by overseeing the entity's compliance with financial regulations, reviewing financial statements and accounting policies, recommending external auditor appointments, ensuring assurance on financial records and risk management, overseeing compliance with auditing standards and risk management, evaluating risk policies, taking corrective actions on excessive risks, reviewing audit effectiveness, establishing policies for external auditor engagement, justifying auditor changes when necessary, and promptly reporting breaches to the Board and relevant authorities.	Complied
9.11.6	Disclosures	During the year, the Company has demonstrated compliance with the necessary disclosure requirements, as follows. a) Chairperson and Audit Committee members' details, b) Risk management status for the Company. c) CEO and CFO assurance statement. d) Compliance opinion on financial reporting requirements. e) Confirmation of Audit Charter existence. f) Summary of internal audit method. g) Details of functions discharged for the financial year. h) Confirmation of external auditors' independence. i) Auditor independence determination and engagement details report.	Complied

CODE OF BEST PRACTICE ON CORPORATE GOVERNANCE**ISSUED BY CA SRI LANKA**

Code	Requirement	Company's Status
D3	The Audit Committee consists of 2 [Two] Independent Non-Executive Directors and 1 [one] Non-independent Non-Executive Director.	Complied
	The Audit Committee assists the Board in executing its oversight responsibility for the integrity of the financial statements of the Company.	Complied
	The Audit Committee also ensures internal control and risk management systems of the Company and its compliance with legal and regulatory requirements and assesses the external auditors' performance, qualifications and independence.	

INVESTMENT COMMITTEE REPORT



**MR. YUDHISHTRAN
KANAGASABAI**

Chairperson, Investment
Committee

Prudent investment decisions are central to the long-term success of Arpico Insurance. The Investment Committee ensures optimal asset allocation aligned with the Company’s risk appetite and return expectations, while remaining responsive to market changes and regulatory compliance to safeguard policyholder and shareholder value.

INTRODUCTION



The Investment Committee plays a pivotal role in ensuring prudent financial stewardship by evaluating risks, formulating mitigation strategies, and ensuring compliance within the Company’s prescribed risk tolerance. By aligning investment decisions with economic trends and regulatory requirements, the Committee safeguards the Company’s financial stability and long-term growth.

INPUT

- Competent Committee members.
- Scheduled Committee meetings
- Constant dialogue with the management

ACTIVITIES IN 2024

- Portfolio Management & Economic Analysis:
- Risk & Opportunity Assessment:
- Strategic Decision-Making & Governance

RESULT

- Manage market risk effectively.
- Healthy and profitable investment portfolio

KEY ACTIVITIES IN 2024

- Portfolio Management & Economic Analysis:
 - Conducted periodic reviews of the investment portfolio in light of the evolving economic landscape and interest rate fluctuations.
- Assessed the implications of the Domestic Debt Restructuring announced in June 2023 on the Company’s investments and adjusted strategies accordingly.
- Identified and monitored the implementation of medium- and long-term investment strategies to ensure portfolio resilience.
- Risk & Opportunity Assessment:
 - Continuously monitored investment projections to identify emerging risks and capitalise on growth opportunities.
 - Strengthened oversight mechanisms to enhance risk-adjusted returns and optimise asset allocation.

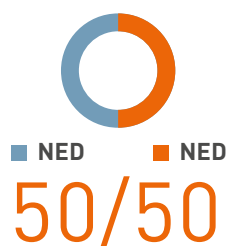
- Strategic Decision-Making & Governance:**
 - Ensured alignment of investment policies with regulatory standards set by the Insurance Regulatory Commission of Sri Lanka (IRCSL).
- Maintained active engagement with senior management to support data-driven investment decisions.
- Upheld high governance standards by convening scheduled committee meetings and fostering a culture of financial discipline.

GOVERNANCE BENCHMARKS OF THE COMPANY



COMPOSITION, ATTENDANCE & MEETINGS

Name	Directorship	Position	Attendance
Mr. Yudhishtan Kanagasabai	Non-Executive Independent Director	Chairman (w.e.f. 18th July 2024)	2/2
Mr. Shiron Gooneratne	Non-Executive Director	Chairman	2/2
Mrs. Dilukshika Fernando	Non-Executive Independent Director	Member (Ceased 30th Nov 2024)	1/1
Mr. Rohan Muttiah	Non-Executive Independent Director (w.e.f 3rd March 2025)	Member	N/A



INVESTMENT COMMITTEE REPORT

KEY DUTIES & RESPONSIBILITIES



- Oversee portfolio performance, liquidity management, and asset-liability matching to ensure financial stability
- Ensure full compliance with investment regulations set by IRCSL.
- Approve and integrate new asset classes and counterparties to enhance portfolio diversification.
- Continuously evaluate investment policies, strategies, and market trends to align with corporate objectives.
- Analyse macroeconomic indicators, including inflation and interest rates, to inform future investment strategies.

COMMITTEE AUTHORITY



- The committee is granted unrestricted access to obtain regular updates from the management at any given moment. To fulfil its obligations with utmost effectiveness and efficiency, the committee is empowered to acquire and seek information from the management pertaining to its responsibilities.

OBJECTIVE OF THE INVESTMENT COMMITTEE



- The primary goal of an Investment Committee is to establish a sound and cautious approach for managing investment strategy. Its main responsibilities include providing strategic oversight and closely monitoring the performance of the investment portfolio.

INVESTMENT COMMITTEE'S STRATEGIC OUTLOOK FOR 2025



- Looking ahead, the Investment Committee remains committed to:
- Enhancing investment returns while maintaining a disciplined risk-reward framework.
 - Strengthening asset-liability management at both product and fund levels.
 - Exploring innovative investment opportunities to sustain long-term financial growth.

CONCLUSION



- The Investment Committee remains dedicated to refining and optimising the Company's investment strategy, ensuring long-term value creation for shareholders and policyholders. Through robust governance, strategic foresight, and risk-aware decision-making, the Committee continues to position the Company for financial resilience and sustainable growth.

Mr. Yudhishtan Kanagasabai
Chairperson, Investment Committee

Arpico Insurance PLC
11th April 2025

REMUNERATION COMMITTEE REPORT



MR. ROHAN MUTTIAH

Chairperson, Remuneration Committee

Fair, transparent, and performance-linked remuneration underpins employee motivation and retention. The Remuneration Committee ensures our compensation policies reflect market realities, align with long-term strategic goals, and support a culture of accountability, inclusivity, and excellence across all levels of Arpico Insurance.

COMPOSITION AND ATTENDANCE OF THE COMMITTEE

The Board Human Resource and Remuneration Committee (the "Committee") comprises three Non-Executive Directors, the majority of whom are independent. The profiles of the Committee members are detailed on pages 22 to 25 of this report.

Committee Composition

From January 2024 to October 2024 (Group Committee):

Name	Directorship Status	Membership Status
Dr. Jayatissa De Costa P.C.	Non-Executive Independent Director	Chairman
J.F. Fernandopulle	Non-Executive Independent Director	Member
Mr. Prasanna Fernando	Non-Executive Independent Director	Member

From January 2024 to October 2024 (Group Committee):

Name	Directorship Status	Membership Status
Mrs. Dilukshika Fernando	Non-Executive Independent Director	Chairman (Ceased 30th Nov 2024)
Mr. Yudhishtan Kanagasabai	Non-Executive Independent Director	Chairman (w.e.f. 18th July 2024)
Mr. Shiron Gooneratne	Non-Executive Director	Member
Mr. Rohan Muttiah	Non-Executive Independent Director (w.e.f 3rd March 2025)	Chairman since February 2025

SECRETARY TO THE COMMITTEE

Richard Pieris Group Services (Pvt) Limited serves as the Secretary.

Throughout 2024, the Committee comprised three members. However, following 30th November 2024, it was reduced to two members until the appointment of a new Independent Director approved by the Insurance Regulatory Commission of Sri Lanka (IRCSL).

CHARTER OF THE COMMITTEE

The Committee is empowered to evaluate, assess, decide, and recommend policies and strategies concerning the Company's Human Resource Management.

GOVERNANCE AND REGULATORY FRAMEWORK

The Committee operates in accordance with Rule 7.10.5 of the Colombo Stock Exchange's Listing Rules, ensuring

compliance with best practices in corporate governance.

KEY OBJECTIVES, RESPONSIBILITIES, AND DUTIES

- **Executive and Board Remuneration:** Determines remuneration for the Chairman, Deputy Chairman, Managing Director, and other Board members, ensuring independence in decision-making.

REMUNERATION COMMITTEE REPORT

- **Senior Management Compensation:** Establishes remuneration structures for Key Management Personnel (KMP), including performance-based incentives.
- **Remuneration Policy Formulation:** Develops and reviews policies to maintain industry competitiveness and strategic alignment.
- **Performance Evaluation:** Assesses the performance of the Managing Director and KMP against predefined goals.
- **Succession Planning:** Recommends key promotions and ensures a robust leadership pipeline.
- **Compensation Benchmarking:** Reviews executive pay trends to ensure alignment with market standards.
- **Approval of Incentives & Benefits:** Sanctions annual increments, bonuses, and incentive schemes to reward employee performance.

KEY ACTIVITIES IN 2024

- **Review of Executive Remuneration Policies:** Conducted an in-depth review to ensure alignment with industry standards and Company strategy.
- **Performance-Based Compensation Adjustments:** Recommended salary revisions and incentive structures for Key Management Personnel based on individual and Company performance.
- **Succession Planning Initiatives:** Assessed and recommended leadership development programs to strengthen future talent pipelines.
- **Employee Benefits Enhancement:** Reviewed and approved revisions to employee benefit schemes, ensuring competitiveness and retention of key talent.
- **Compliance with Regulatory Frameworks:** Ensured adherence to the latest corporate governance regulations and best practices in executive remuneration.

- **Engagement with Independent Consultants:** Sought external expertise to benchmark remuneration packages with peer companies and best market practices.

REMUNERATION POLICY

The Company's Remuneration Policy is designed to attract, motivate, and retain high-caliber professionals necessary to achieve corporate objectives. The Committee ensures that compensation structures remain competitive within the industry and across sectors.

REMUNERATION STRUCTURE

Board of Directors

- Non-Executive Directors receive only Directors' fees, determined by participation in Board and Committee meetings.
- No retirement benefits, share options, or Company loans are provided.
- Details of Directors' remuneration are disclosed in Note 37 on page 242 of this report.

Chief Executive Officer (CEO)

- The CEO's remuneration comprises a fixed salary and performance-based incentives.
- Compensation is reviewed annually, aligning with Company performance and market trends.
- The CEO is entitled to retirement benefits but not Company loans or share options.

Employees

- **Fixed Pay:** Salaries and allowances are determined based on job scope and complexity, with annual reviews.
- **Variable Pay:** Performance-linked bonuses and incentive schemes reward individual and Company-wide achievements.
- **Other Benefits:** Employees receive examination loans and insurance benefits.
- **Retirement Benefits:** Employees receive gratuity, with no additional retirement schemes.

- **Employee Share Schemes:** The Company does not offer employee share schemes.

There are 08 senior managers who directly report to CEO/Executive Director. Their aggregate remuneration amounted to Rs. 24 Mn in 2024.

COMMITTEE PERFORMANCE EVALUATION

In 2024, the Committee conducted a self-assessment, led by the Chairman, evaluating effectiveness and compliance. The results indicated a satisfactory performance in fulfilling its mandate.

PROFESSIONAL ADVICE

The Committee has the authority to seek independent professional advice on remuneration matters when necessary, ensuring informed decision-making.

OUTLOOK FOR THE YEAR AHEAD

The Committee remains committed to:

- Strengthening the Remuneration Policy to attract and retain top talent.
- Aligning executive compensation with long-term corporate strategy.
- Enhancing performance-linked incentive structures.
- Ensuring continued compliance with governance and regulatory requirements.

The Committee will continue to evolve its remuneration strategy to foster a high-performance culture, driving sustainable business growth and stakeholder value.



Mr. Rohan Muttiah
Chairperson, Remuneration Committee

Arpico Insurance PLC
11th April 2025

Principal	Heading	Listing Rules Requirement	Company's Status
9.12.3	Availability	The Company needs to have a Remuneration Committee in place and follow a formal and transparent process for developing policies on Executive Directors' remuneration and determining individual Directors' remuneration packages. No Director is involved in deciding their own remuneration.	Complied
9.12.4	Composition	Remuneration for Non-Executive Directors should be based on a policy which adopts the principle of non-discriminatory pay practices among them to ensure that their independence is not impaired.	Complied
9.12.5	Terms of Reference	Shall have a written terms of reference clearly defining its scope, authority, duties and matters	Complied
9.12.6	Composition	Exclusively comprised with non-executive directors.	Complied
		Minimum of three (03) Directors of the Listed Entity, out of which a minimum of two (02) members shall be Independent Directors.	Complied
9.12.7	Functions	Recommends and assesses the relevance of the remuneration payable to the Executive Directors of the Company.	Complied
9.12.8	Disclosures	a) Chairperson and members of the Remuneration Committee and their Directorships. b) Statement on remuneration policy. c) Aggregate remuneration of Executive and Non-Executive Directors.	Complied

CODE OF BEST PRACTICE ON CORPORATE GOVERNANCE ISSUED BY CA SRI LANKA

Principal	Heading	Listing Rules Requirement	Company's Status
B.1	Remuneration Procedure	Establish formal and transparent procedure for executive employees and individual directors.	Complied
B.2	Composition	The Board ensures that the remuneration of the Executive Director and KMPs remains competitive to attract and retain top talent. The Remuneration Committee sets appropriate pay levels considering performance and risk factors, while NEDs' remuneration reflects their time commitment and responsibilities. No Directors receive share options as part of their compensation. The Committee also addresses early termination policies, performance-based pay, and best practices, with annual reviews of the CEO's and senior management's performance to align incentives with company goals.	Complied
B.3	Disclosures	Statement of remuneration policy.	Complied
		Number and amount of aggregate remuneration of senior management reporting directly to Chief Executive Officer.	

NOMINATIONS AND GOVERNANCE COMMITTEE REPORT



**MR. YUDHISHTAN
KANAGASABAI**

Chairperson, Nominations
Committee

Strong leadership and sound governance are pillars of our success. The Nominations and Governance Committee ensures the Board is diverse, skilled, and future-ready, while upholding the highest standards of governance to support sustainable value creation and stakeholder trust in Arpico Insurance.

COMPOSITION OF THE COMMITTEE

The Board of Directors of Arpico Insurance PLC established the Nominations Committee in October 2024 to enhance corporate governance

and strengthen the oversight of Board appointments and key management positions. Prior to its establishment, the functions related to Director nominations and governance were handled by the main Board.

The Committee is composed entirely of Non-Executive Directors, with a majority being independent. The profiles of the members are provided on pages 22 to 25 of this report.

Committee Members:

Name	Directorship Status	Membership Status
Mrs. Dilukshika Ferando	Non-Executive Independent Director	Chairman (Ceased to hold office by 30th November 2024)
Mr. Yudhishtan Kanagasabai (w.e.f. 18th July 2024)	Non-Executive Independent Director	Chairman
Mr. Shiron Gooneratne	Non-Executive Director	Member
Mr. Rohan Muttiah	Non Executive Independent Director (w.e.f. 3rd March 2025)	Member

SECRETARY TO THE COMMITTEE

Richard Pieris Group Services (Pvt) Limited serves as the Secretary.

CHARTER OF THE COMMITTEE

The Nominations Committee was established to ensure that the Board maintains an effective composition with qualified individuals possessing the necessary expertise, independence, and leadership qualities. The Committee oversees the selection, appointment, re-election, and succession planning of the Board of Directors and key management personnel.

TERMS OF REFERENCE

The Committee operates within a well-defined Terms of Reference, covering its composition, authority, and scope of responsibilities. The key functions of the Committee include:

- Evaluating and recommending individuals for appointment or re-election to the Board.
- Assessing qualifications, competencies, independence, and potential conflicts of interest of nominees.
- Reviewing the structure, composition, and skills matrix of the Board and making recommendations regarding any necessary changes.
- Advising on succession planning for Directors and key management personnel to ensure leadership continuity.
- Recommending governance best practices in Board appointments, ensuring alignment with corporate governance principles and regulatory requirements.

- Considering the re-election of Directors based on their performance and contributions.
- Seeking external professional advice when necessary to ensure an objective selection process.

METHODOLOGY OF THE COMMITTEE

The Committee meets as and when necessary to assess the suitability of individuals for appointment as Directors and Key Management Personnel. It also oversees any other matters mandated under its Charter. The Committee ensures a rigorous and transparent selection process, adhering to corporate governance best practices.

PROFESSIONAL ADVICE

The Committee has the authority to seek independent professional advice on matters within its scope whenever required. This ensures that the nomination and appointment process remains objective and is based on merit and strategic alignment.

ACTIVITIES IN 2024

Since the Nominations Committee was formed in October 2024, no meetings were held during the year. However, the Committee will commence its operations fully in 2025, undertaking a review of the Board's composition and engaging in key governance activities.

OUTLOOK FOR 2025

The Nominations Committee will play a vital role in shaping the governance structure of Arpico Insurance PLC. The key focus areas for 2025 include:

- Conducting a formal review of Board composition and ensuring a balanced mix of skills and expertise.
- Identifying and recommending suitable candidates for Board and senior leadership positions.
- Establishing a framework for Board evaluations and performance assessments.

- Implementing a structured succession planning mechanism for key leadership roles.
- Ensuring the independence and objectivity of Board appointments, aligned with regulatory requirements and best governance practices.
- Conducting periodic assessments of the Committee's effectiveness in achieving its objectives.

The Committee remains committed to ensuring that Arpico Insurance PLC continues to be governed by a highly competent and diverse Board that aligns with the Company's strategic vision and governance principles.



Mr. Yudhishtaran Kanagasabai
Chairperson, Nominations Committee

Arpico Insurance PLC
11th April 2025

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE



**MR. YUDHISHTRAN
KANAGASABAI**

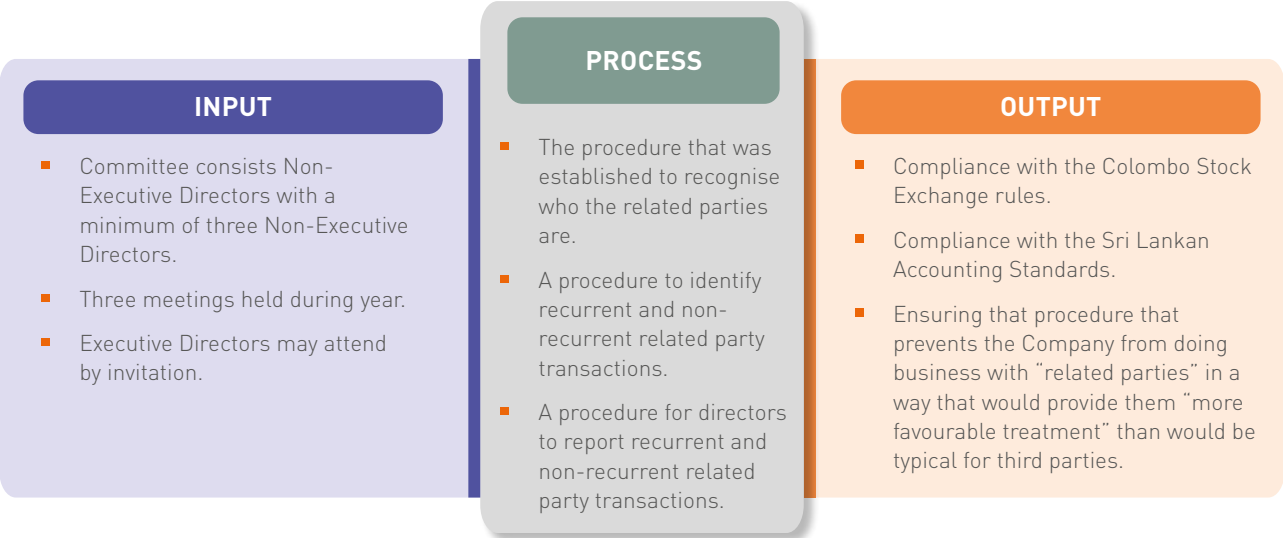
Chairperson, Related Party
Transactions Review
Committee

Integrity in all transactions is a non-negotiable value at Arpico Insurance. The Related Party Transactions Review Committee provides independent oversight to ensure transparency, fairness, and compliance in dealings with related parties-protecting stakeholder interests and maintaining the Company's reputation for good governance

The Related Party Transactions Review Committee of Richard Pieris and Company PLC acts on behalf of Arpico Insurance PLC. Through relevant

procedures, the Board and the committee ensure that the Company does not engage in transactions that would grant such a related party 'more

favourable treatment' beyond the ordinary course of treatment relayed to third parties of the business.



COMPOSITION AND ATTENDANCE OF THE COMMITTEE

The Related Party Transactions Review Committee (RPTRC) comprises experienced professionals with diverse

backgrounds. The members include representatives from the Board, internal audit, finance, and legal departments. Regular attendance and participation were maintained

throughout the year, ensuring comprehensive oversight.

From January to September 2024 (Group Committee)			
Member	Directorship Status	Membership Status	Attendance Record
Dr. Jayatissa De Costa P.C.	Independent Non-Executive Director of RPC	Chairman	3/3
Mr. Prasanna Fernando.	Independent Non-Executive Director RPC	Member	3/3
Mr. J. F. Fernandopulle	Independent Non-Executive Director RPC	Member	3/3

From October 2024 (New Arpico Insurance Committee)			
Member	Directorship Status	Membership Status	Attendance Record
Mr. Yudhishtan Kanagasabai (w.e.f 18th July 2024)	Independent Non-Executive Director	Member/Director – Chairman	1/1
Mrs. W Dilukshika N Fernando (Ceased to hold office since 30th November 2024)	Independent Non-Executive Director	Member/Director	1/1
Mr. Shiron Gooneratne	Non-Executive Director	Member/Director	1/1
Mr. Rohan Muttiah	Non Executive Independent Director (w.e.f. 3rd March 2025)	Member	



SECRETARY TO THE COMMITTEE

Richard Pieris Group Services (Pvt) Limited serves as the Secretary.

CHARTER OF THE COMMITTEE

The committee's charter outlines its purpose, authority, and responsibilities in alignment with LKAS 24. This includes overseeing related party transactions, evaluating their fairness, and ensuring compliance with regulatory requirements.

OBJECTIVES, RESPONSIBILITIES, AND DUTIES

The committee's primary objectives include safeguarding the Company's interests, preventing conflicts of interest, and ensuring transparency. Responsibilities encompass a rigorous review of all related party transactions, assessment of their terms, and validation of adherence to the LKAS 24 standards.

ACTIVITIES IN 2024

In 2024, the committee diligently reviewed all related party transactions,

providing a detailed analysis in adherence to LKAS 24. Notable activities included comprehensive risk assessments, due diligence on significant transactions, and continuous monitoring of related party relationships.

- Throughout the financial year that concluded on December 31, 2024, the committee met four times and the proceedings of the committee meetings have been regularly reported to the Board of Directors during the financial year.

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

- Reviewed all related party transactions over the previous four quarters and verified that they happened at a fair price.
- There were no non-recurrent or recurrent RPT that exceeded the respective thresholds mentioned in the Listing Rules of the CSE.

DISCLOSURES DURING THE YEAR

Transparent disclosures regarding related party transactions were made in the financial statements for the year 2024, complying with the disclosure requirements outlined in LKAS 24 (Refer Note 37, page 242). This ensured stakeholders were well-informed about the nature, extent, and financial impact of these transactions.

DECLARATION

The Directors have declared all material interests in contracts involving in the Entity and whether they have refrained from voting on matters in which they were materially interested. All committee members declared their independence and confirmed their commitment to act in the best interests of Arpico Insurance PLC. Conflicts of interest, if any, were disclosed and appropriately managed in line with established protocols.

THE YEAR AHEAD

Looking forward, the committee is committed to enhancing its processes, staying abreast of regulatory changes, and proactively addressing emerging

challenges. Continued vigilance in 2024 will be pivotal to maintaining the integrity and transparency of related party transactions.

This report attests to the committee's dedication to upholding the highest standards of corporate governance and compliance with LKAS 24.



Mr. Yudhishtan Kanagasabai
Chairperson, Related Party
Transactions Review Committee

Arpico Insurance PLC
11th April 2025

COMPLIANCE STATUS ACCORDING TO COLOMBO STOCK EXCHANGE LISTING RULES REQUIREMENT

Principle 9.14	Terms as Best Practice Code	Compliance Status
9.14.3	Related Party Transactions Review Committee shall establish and maintain a clear policy, procedure and process in place for the identification, clarification and reporting the Related Party Transactions on an end-to-end basis across the Entity's operations.	✓
9.14.4	Meet quarterly, have access to enough knowledge or expertise to assess all aspects of proposed Related Party Transactions, and where necessary, should obtain appropriate professional and expert advice from an appropriately qualified person, where necessary the approval of the Board of Directors should be obtained prior to entering into the relevant Related Party Transaction and if director is having material personal interest to a transaction under the approval of board he shall not voice or participate in the decision.	✓

COMPLIANCE STATUS ACCORDING TO THE BEST PRACTICE CODE 2023 REQUIREMENT

Principle D5	Terms as Best Practice Code	Compliance Status
D.5.2	Comprise of a minimum three members	Note 1
	Minimum three non-executive directors of whom the majority is independent	✓
	Chairman should be independent non-executive director	✓
	Committee will meet at least four times a year.	✓
D.5.3	Should have written terms of reference dealing clearly with its authority and duties.	✓
	Declarations of related parties and related party transactions should obtain quarterly.	✓
	Prior entering to any related party transaction, related party transactions review committee or the board must review.	✓
	Should have list of related parties and process in place to capture and report related party transactions	✓

Note 1: Not in compliance during the period following the resignation of Mrs. Dilukshika Fernando with effect from 30th November 2024, until the appointment of Mr. Rohan Muttiah with effect from 3rd March 2025.

FINANCIAL STATEMENTS



Building New Foundations

As we embark on a new chapter and a new era, we embrace the future with systems in place to ensure the highest levels of transparency in our operations and to guarantee that those who place their future in our hands are rewarded with the best returns. At Arpico Insurance PLC, our commitment to enriching the futures of our stakeholders is as steadfast as ever.

FINANCIAL CALENDER

	For the year 2025	For the year 2024
Annual Report	In March 2026	In May 2025
Annual General Meeting	In April 2026	In June 2025
Interim Financial Statement Calendar		
For the three months ended/ ending March 31st	On or before 15th May 2025	On 14th May 2024
For the six months ended/ending June 30th	On or before 15th August 2025	On 7th August 2024
For the nine months ended/ ending September 30th	On or before 15th October 2025	On 29th October 2024
For the year ended/ending December 31st	On or before 29th February 2026	On 3rd March 2025

FINANCIAL HIGHLIGHTS

PROFITABILITY / RETURN



145

PROFIT BEFORE TAX
(Rs. Mn)
2023 - {683}
Change: 828



370

OPERATING PROFIT/(LOSS)
(Rs. Mn)
2023 - {503}
Change: 873



337

EBITDA
(Rs. Mn)
2023 - {509}
Change: 846



12%

NET PROFIT MARGIN
2023 - {31%}
Change: 44%



5%

RETURN ON ASSETS
2023 - {14%}
Change: 19%

MARKET PERFORMANCE



26.5

MARKET PRICE PER SHARE
(Rs.)
2023 - 22.5
Change: 4



3.5

EARNING PER SHARE
(Rs.)
2023 - {10.3}
Change: 13.8

EFFICIENCY RATIOS



39%

ASSET TURNOVER
2023 - 46%
Change: {7%}

GEARING RATIOS



63%

DEBT/TOTAL ASSETS
2023 - 71%
Change: {8%}



1.72

DEBT / EQUITY
2023 -2.41
Change: {0.7}

INDUSTRY SPECIFIC RATIOS



27%

ACQUISITION COST TO GWP
2023 - 28%
Change: {1%}

ACTUARIAL REPORT



11th April 2025

To the Shareholders of Arpico Insurance PLC.

ACTUARIAL VALUATION OF THE LONG TERM INSURANCE BUSINESS AS AT 31 DECEMBER 2024

We have carried out an actuarial valuation of the Long Term Insurance Business as at 31 December 2024. We hereby certify that, in our opinion,

- 1) Proper records have been kept by the Company, which are appropriate for the purpose of the actuarial valuation of the liabilities of the Long-Term Insurance Fund;
- 2) Adequate and proper reserves have been provided as at 31 December 2024, for all liabilities in respect of the Long Term Insurance Fund, taking into account all current and contingent liabilities as at that date;
- 3) As at 31 December 2024, the Company maintained a Capital Adequacy Ratio of 258% calculated as per the Solvency Margin (Risk Based Capital) Rules 2015 issued by the Insurance Regulatory Commission of Sri Lanka as required under the Regulation of Insurance Industry Act No. 43 of 2000. This is well above the minimum Capital Adequacy Ratio of 120% as per the same rules;
- 4) We carried out a Liability Adequacy Test ("LAT") for Long Term Insurance fund as at 31 December 2024 as required by SLFRS 4 - Insurance Contracts and the assets are sufficiently adequate as compared to liabilities under the LAT

Signature:


.....
Saket Singhal, FIAI
Appointed Actuary
COP No: 175/058

31st December 2024

Actsured Lab (Pvt) Limited
No 11/2, 1st Lane Pagoda Rd, Nugegoda, Sri Lanka
www.actsuredlab.com | thanuja@actsuredlab.com | iroshini@actsuredlab.com | +94 774702189

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF ARPICO INSURANCE PLC



Ernst & Young
Chartered Accountants
Rotunda Towers
No. 109, Galle Road
P.O. Box 101
Colombo 03, Sri Lanka

Tel: +94 11 246 3500
Fax: +94 11 768 7869
Email: eysl@lk.ey.com
ey.com

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of Arpico Insurance PLC ("the Company"), which comprise the statement of financial position as at 31 December 2024, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 December 2024, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the Code of Ethics for Professional Accountants issued by CA Sri Lanka (Code of Ethics) and we

have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in the audit of the financial statements of the current period. These matters were addressed in the context of the audit of the financial statements as a whole, and in forming the auditor's opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA FCCA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman FCA FCMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajeewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gemage ACA ACMA, C A Yalagala ACA ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), B Vasanthan ACA ACMA, W D P L Perera ACA

Principals: T P M Ruberu FCMA FCCA MBA (USJ-SL), G B Goudan ACMA, D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakthivel B.Com (Sp)

A member firm of Ernst & Young Global Limited

Key audit matter	How our audit addressed the key audit matter
1. LIFE INSURANCE CONTRACT LIABILITIES Assessing the carrying value of Life Insurance Contract Liabilities Life Insurance Contract Liabilities amounting to Rs. 2.7 Bn represent 86% of total liabilities of the Group as at 31 December 2024 and are estimated by management using actuarial techniques as described in Note 30 to the financial statements. The Life Insurance Contract Liabilities were determined by the management specialist engaged by the Company. This was a key audit matter due to: - materiality of the reported Life Insurance Contract Liabilities; and - the degree of management judgements, assumptions and estimation uncertainties associated with the actuarial techniques used to estimate Life Insurance Contract Liabilities and perform the Liability Adequacy Test used to determine the adequacy of the carrying value of Life Insurance Contract liabilities. Key areas of significant judgements, assumptions and estimates made by management include mortality rate, morbidity rate, lapses ratio and surrenders ratio, loss ratios, bonus, interest rates, discount rates and related claim handling expenses, as disclosed in Note 30 to the financial statements.	Our audit procedures included the following key procedures: - Assessed the competence, capability and objectivity of the management specialist engaged by the Group. - Obtained an understanding of the process including actuarial techniques used by management to estimate Life Insurance Contract Liabilities and carry out the Liability Adequacy Test. - Agreed key information used in estimating Insurance Contract Liabilities to source documents and accounting records. - With the support of an Expert, we assessed the reasonableness of the key judgements, assumptions and estimates made and actuarial technique used to estimate the value of Life Insurance Contract Liabilities, and the Liability Adequacy Test. Reasonableness was assessed by reference to market data and policyholder experience. We assessed the adequacy of the disclosures in Note 30 and 2.2 to the financial statements.

Other information included in the Company's 2024 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF ARPICO INSURANCE PLC

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

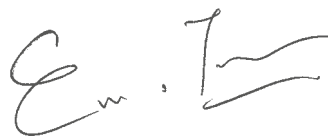
From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

As required by Section 47(2) of the Regulation of Insurance Industry Act, No.43 of 2000, as far as appears from our examination, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 4169.



11 April 2025
Colombo

INCOME STATEMENT

Year ended 31 December	Note	2024 Rs.	2023 Rs.
Gross written premium	6	1,968,762,572	2,236,604,711
Premium ceded to reinsurers	7	(87,487,646)	(95,541,262)
Net written premium		1,881,274,926	2,141,063,449
Other revenue			
Fees and commission income	8	30,467,426	29,250,346
Net Investment income	9	539,983,615	581,234,628
Net fair value gains / (losses)	10	14,012,635	28,455,896
Net realised gains		17,615,861	-
Other operating revenue	11	6,010,235	8,320,843
Total other revenue		608,089,772	647,261,713
Net income		2,489,364,698	2,788,325,162
Net insurance benefits and claims paid	12	(1,143,558,636)	(1,401,134,620)
Net change in insurance claims outstanding	12	(17,472,163)	(27,835,847)
Underwriting and net acquisition costs	13	(531,502,361)	(624,048,548)
Change in contract liabilities - life fund	30.5	181,059,252	(591,734,541)
Other operating, administrative and selling expenses	14	(690,527,683)	(702,909,591)
Depreciation and Amortisation	19/20/18	(142,472,209)	(124,493,940)
Total benefits, claims and other expenses		(2,344,473,800)	(3,472,157,088)
Profit/(Loss) before tax		144,890,898	(683,831,926)
Income tax (expense) / reversal		90,000,000	-
Profit for the year		234,890,898	(683,831,926)
Earning / (Loss) per share			
Basis (Rs.)		3.55	(10.33)
Diluted (Rs.)		3.55	(10.33)

The accounting policies and notes as set out in pages 182 to 246 form an integral part of these financial statements.

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 December	Note	2024 Rs.	2023 Rs.
Profit / (Loss) for the year		234,890,898	(683,831,926)
Other comprehensive income			
Items that are or may be reclassified to profit or loss			
Net change in fair value of available-for-sale (AFS) financial assets		195,050,188	181,155,947
Net change in liabilities of insurance contracts arising from fair value changes in available for sale financial assets		(10,905,758)	(52,270,837)
Net change in fair value of AFS reserve transferred to insurance liabilities	30	10,905,758	52,270,837
Net change in fair value of available for sale financial assets of insurance liabilities transferred to the income statement		-	-
Items that will never be reclassified to profit or loss			
Actuarial loss on defined benefit plan	31	660,193	(4,164,915)
Other comprehensive income, net of tax		195,710,381	176,991,032
Total comprehensive income for the year, net of tax		430,601,279	(506,840,894)
Total comprehensive income attributable to:			
Owners of the Company		430,601,279	(506,840,894)
Non - controlling interests		-	-

The accounting policies and notes as set out in pages 182 to 246 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

	Note	31.12.2024 Rs.	31.12.2023 Rs.
Assets			
Intangible assets	18	7,252,280	767,227
Property, plant and equipment	19	41,808,801	60,343,336
Right of use assets	20	171,032,028	198,167,665
Deferred tax asset	16	90,000,000	-
Financial assets	21	4,262,978,831	3,949,884,217
Loans to life policyholders	22	199,044,250	241,246,301
Reinsurance receivables	23	10,519,552	11,108,850
Amounts due from related parties	24	5,936,182	30,985,542
Premium receivables	25	59,716,100	91,475,027
Other assets	26	107,691,105	175,300,704
Cash and cash equivalents	27	53,869,097	56,396,474
Total assets		5,009,848,226	4,815,675,345
Equity and liabilities			
Equity			
Stated capital	29	675,564,870	675,564,870
Retained earnings		1,005,999,971	770,448,880
Available for sale reserves		159,513,183	(35,537,005)
Total equity		1,841,078,024	1,410,476,745
Liabilities			
Insurance contract liabilities	30	2,715,710,389	2,885,863,883
Employee benefit obligation	31	15,878,745	15,667,480
Reinsurance payables	32	8,696,647	37,579,204
Lease liabilities	20	208,113,822	221,777,381
Amounts due to related parties	33	7,114,065	49,590,990
Other financial liabilities	34	177,860,728	126,283,782
Other liabilities	35	35,395,805	68,435,879
Total liabilities		3,168,770,202	3,405,198,600
Total equity and liabilities		5,009,848,226	4,815,675,345

The accounting policies and notes as set out in pages 182 to 246 form an integral part of these financial statements.

I certify that the above financial statements comply with the requirements of the Companies Act No. 07 of 2007



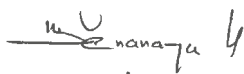
S. H. Dulanjith Kaweesha
Financial Controller

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Signed for and on behalf of the board.



Ramal Jasinghe
Chairman



Kelum Senanayake
Director / Chief Executive Officer

Colombo
11th April 2025

STATEMENT OF CHANGES IN EQUITY

Year ended 31 December	Stated Capital Rs.	AFS Reserve Rs.	Retained Earnings Rs.	Total Equity Rs.
As at 1 January 2023	675,564,870	(216,692,952)	1,458,445,721	1,917,317,639
Profit for the year	-	-	(683,831,926)	(683,831,926)
Actuarial loss on defined benefit plan	-	-	(4,164,915)	(4,164,915)
Net change in fair value of available-for-sale financial assets	-	181,155,947	-	181,155,947
Total comprehensive income	675,564,870	(35,537,005)	770,448,880	1,410,476,745
As at 31 December 2023	675,564,870	(35,537,005)	770,448,880	1,410,476,745
As at 1 January 2024	675,564,870	(35,537,005)	770,448,880	1,410,476,745
Profit / (Loss) for the year	-	-	234,890,898	234,890,898
Actuarial loss on defined benefit plan	-	-	660,193	660,193
Net change in fair value of available-for-sale financial assets	-	195,050,188	-	195,050,188
Total comprehensive income	675,564,870	159,513,183	1,005,999,971	1,841,078,024
As at 31 December 2024	675,564,870	159,513,183	1,005,999,971	1,841,078,024

The accounting policies and notes as set out in pages 182 to 246 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS

Year ended 31 December	Note	2024 Rs.	2023 Rs.
Cash flows from operating activities			
Insurance premium received		1,991,804,237	2,237,538,603
Reinsurance premium paid		(116,370,203)	(90,364,381)
Insurance benefits and claims paid		(1,213,810,474)	(1,478,459,067)
Reinsurance claim received		56,275,224	46,871,115
Payments to intermediaries to acquire insurance contracts		(363,099,337)	(398,048,399)
Other operating cash flows		(681,975,155)	(875,007,321)
Cash generated from operating activities		(327,175,709)	(557,469,451)
Employee benefits paid		(4,068,271)	(11,498,151)
Net cash generated from operating activities		(331,243,978)	(568,967,602)
Cash flows from investing activities			
Acquisition of financial investments		(86,415,932)	(58,554,734)
Proceeds from maturity of financial investments		-	-
Interest received		563,198,107	652,767,050
Dividend received		18,987,559	9,033,438
Acquisition of property, plant and equipment		(4,378,003)	(10,494,261)
Purchase of intangible assets		(6,923,367)	-
Advance paid to right of use assets		(91,985,714)	(133,436,001)
Net cash flows used in investing activities		392,482,650	459,315,492
Net cash flows used before financing activities		61,238,672	(109,652,110)
Cash flows from financing activities			
Payment of lease liability		(63,766,049)	(3,751,097)
Net cash used in financing activities		(63,766,049)	(3,751,097)
Net increase / (Decrease) in cash and cash equivalents		(2,527,377)	(113,403,207)
Cash and cash equivalents at the beginning of the year		56,396,474	169,799,681
Cash and cash equivalents at the end of the year		53,869,097	56,396,474

The accounting policies and notes as set out in pages 182 to 246 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS

STATEMENT OF CASH FLOWS FROM OPERATING ACTIVITIES

Year ended 31 December	Note	2024 Rs.	2023 Rs.
Reconciliation of profit before taxation with cash from operating activities			
Profit before tax		144,890,898	[683,831,926]
Adjustment for:			
Non - cash items included in profit before tax			
Depreciation of property, plant & equipment	19	22,912,538	25,434,957
Amortisation of intangible assets	18	438,314	351,100
Interest income		[520,996,055]	[572,201,191]
Net depreciation of right of use assets	20	119,121,357	98,707,883
Dividend income		[18,987,559]	[9,033,438]
Interest expense of lease Liability and borrowings	14.2	50,102,490	50,134,224
Unrealised Gain		[14,012,635]	[28,455,896]
Realised Gain		[17,615,861]	-
Provision for employee benefit	14	4,939,728	5,942,861
Income tax reversal		63,145,989	-
Profit before working capital changes		[166,060,796]	[1,112,951,425]
Net change in operational assets			
Net change in reinsurance assets		589,296	[9,206,184]
Net change in premiums receivable		31,758,928	7,859,557
Net change in receivables and other assets		94,463,610	[91,306,486]
Net change in operating assets		126,811,834	[92,653,114]
Net change in operational liabilities			
Net change in life insurance contract liabilities		[170,153,494]	644,004,495
Net change in reinsurance liabilities		[28,882,557]	5,176,881
Net change in other liabilities		[88,890,694]	[1,046,288]
Net change in operating liabilities		[287,926,745]	648,135,088
Gratuity paid		[4,068,271]	[11,489,151]
Cash flows from operating activities		[331,243,978]	[568,967,602]

The accounting policies and notes as set out in pages 182 to 246 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

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NOTES TO THE FINANCIAL STATEMENTS

1 CORPORATE INFORMATION

1.1 Reporting entity

Arpico Insurance PLC ("Company") is a Public limited liability company incorporated and domiciled in Sri Lanka and the ordinary shares of the company are listed on the stock exchange. The company is registered under the Insurance Industry Act No.43 of 2000 and amendments there to. The registered office of the company is located at 310, Highlevel Road, Nawinna, Maharagama and the principal place of business is located at No. 55/20, Vauxhall Lane, Colombo 02.

1.2 Principal activities and nature of operations

Arpico Insurance PLC is primarily engaged in carrying out life insurance business. Life Insurance is a protection against financial losses that would result from an insured event that adversely affecting the insured. In such situations, the beneficiary nominated receives the proceeds and is thereby safeguarded from financial impacts of the insured event. The benefit paid by a life insurer is consideration for premium payments made by the insured. There were no significant changes in the nature of the principal activities of the company during the financial year under review.

1.3 Parent enterprise

The company's ultimate parent undertaking and controlling party is Richard Pieris & Company PLC which is incorporated in Sri Lanka.

1.4 Date of authorisation for issue

The financial statements of Arpico Insurance PLC for the period ended 31 December 2024 were authorised for issue by the board of directors on 11th April 2025.

1.5 Number of Employees

The staff strength of the Company as at 31 December 2024 is 379 (2023 - 406).

1.6 Responsibility for Financial Statements

The responsibility of the Board of Directors in relation to the financial statements is set out in the Statement of Directors' Responsibility in the annual report and certification of financial position.

2 BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES, ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

2.1 Statement of compliance

The financial statements of the company have been prepared in accordance with Sri Lanka Accounting Standards as issued by the Institute of Chartered Accountants of Sri Lanka. The preparation and presentation of these financial statements are also complying with the requirements of Section 151 (2) of the Companies Act, No.7 of 2007 and the regulation of

insurance industry Act, No. 43 of 2000 and amendments there to Sri Lanka Accounting Standards, rules and regulations of the insurance regulatory commission of Sri Lanka and listing rules of the Colombo Stock Exchange (CSE)

These SLFRSs and LKASs are available at the website of CA Sri Lanka www.casrilanka.com

These Financial Statements, except for information on cash flows have been prepared following the accrual basis of accounting.

The company has not adopted any inappropriate accounting treatments, which are not compliance with the requirements of the SLFRS and LKASs, regulations governing the preparation and presentation of these Financial Statements.

Changes in accounting policies

The accounting policies adapted by the company is consistent with those used in the previous year.

The company financial statements include the following components.

- (i) The Income Statement and Statement of profit and loss and other Comprehensive Income

Providing information on the financial performance of the company for the year under review (Refer pages 175 and 176)

- (ii) The Statement of Financial Position

Providing information on the financial position of the company as at the year-end (Refer page 177).

- (iii) The Statement of Changes in Equity

Depicting all changes in shareholders' (Refer page 178)

- (iii) The Statement of Cash Flows

Providing information to the users, on the ability of the company to generate cash and cash equivalents and the needs of entities to utilise those cash flows (Refer pages 179 and 80)

- (iv) Notes to the Financial Statements

Comprising Accounting Policies and other explanatory information (Refer page 181)

2.2 Basis of measurement

The Company Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

Item	Basis of measurement	Note no
FINANCIAL ASSETS		
Available-for-sale financial assets are measured at fair value	Fair Value	28
Fair value through profit & loss	Fair Value	28
Held to maturity	Amortised Cost	28
Loans & receivable	Amortised Cost	28
NON-FINANCIAL ASSETS/LIABILITIES		
Insurance Contract liabilities	Actuarially valued in line with the guidelines issued by the Insurance Regulatory Commission of Sri Lanka (IRCSL)	30
Employee Benefits Obligation	Actuarially valued and recognised at present value of the defined benefit obligation	31

The assets and liabilities of the Company presented in the Statement of Financial Position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern as explained by Statement of Recommended practice (SoRP) issued by the Insurance Regulatory Commission of Sri Lanka.

No adjustments have been made for inflationary factors affecting the Company Financial Statements.

The amounts in the Financial Statements have been rounded off to the nearest rupee except where otherwise indicated as permitted by the Sri Lanka Accounting Standard -LKAS 1 Presentation of Financial Statements.

2.3 Materiality and Aggregation

Each material class of similar items is presented separately. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard LKAS 1 - Presentation of Financial Statements.

Notes to the Financial Statements are presented in a systematic manner which ensures the understandability and comparability of Financial Statements of the Company. Understandability of the Financial Statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different nature or functions.

2.4 Going concern

In determining the basis of preparing the financial statements for the year ended 31 December 2024, based on all available information the management has considered the consequences of current economic downturn, other events and conditions such as current market uncertainty and market volatility, Economic

factors (exchange rates, Inflation, Unemployment, ect.) and it has determined that they do not create a material uncertainty that casts substantial doubt upon the entity's ability to continue as a going concern.

The directors have made an assessment and reasonably satisfied that the company have adequate resources together with sufficient renewing income from customers, to continue in operational existence for the foreseeable future. The company does not foresee a need for liquidation or cessation of trading, taking into account all available information about future. Accordingly, they continue to adopt the going concern basis in preparing the Financial Statements.

Further, the Company has taken actions to mitigate the impact from adverse macroeconomic conditions such as expense management and curtailment, development of product strategy to meet new environment, digitalisation and innovation, claims and surrender management, prudent asset allocation etc. Therefore, the Financial Statements of the Company are continued to be prepared on a going concern basis

2.5 Functional and presentation currency

Items included in the Financial Statements of the Company are measured using the currency of the primary economic environment in which the Company operates (the functional currency).

Accordingly, these Financial Statements are presented in Sri Lankan Rupees (LKR), the Company's functional and presentation currency.

There was no change in the Company's presentation and functional currency during the year under review.

NOTES TO THE FINANCIAL STATEMENTS

2.6 Supplementary Statements - Statement of Financial Position of the Life Insurance Fund

Supplementary Statement of Financial Position of the Life insurance fund together with the notes are disclosed in page 222, continuing the past practice which is a requirement of the Statement of Recommended Practice (SORP) for insurance contracts, adopted by the ICASL.

2.7 Reporting period

The Financial Statements are prepared for the twelve months period ended and as at 31 December 2024.

2.8 Comparative Information

Comparative information including quantitative, narrative and descriptive information as relevant is disclosed in respect of previous period in the financial statements. The presentation and classification of the financial statement of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year.

2.9 Offsetting

Assets and liabilities including financial assets and financial liabilities are offset, and the net amount reported in the statement of financial position, only when Sri Lanka Accounting Standards allows. Incomes and Expenses are not offset in the income statement, unless required or permitted by Sri Lanka Accounting Standards.

3 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of financial statements in conformity with Sri Lanka Accounting Standards requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about the carrying amount of assets and liabilities that are not readily apparent from other sources.

Estimates and underlying assumptions are reviewed on an on-going basis. Revision to estimates are recognised prospectively.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements is included in the following notes:

Critical Judgements	Note	Page
Lease terms - extension options	20	205
Classification of financial assets	28	217
Classification of insurance, reinsurance and investment contracts: assessing whether the contract transfers significant insurance risk and whether an insurance contract contains direct participation features	30	222
Impairment of financial assets	28	219
Impairment of intangible assets	18	201
Measurement of defined benefit obligations: key actuarial assumptions	31	226
Recognition and measurement of provisions and contingencies: key assumptions on the likelihood and magnitude of an outflow of resources	39	204
Impairment of non-financial assets: key assumptions underlying recoverable amounts	5.1	189
Measuring insurance and reinsurance contracts: key assumptions	30	222
Liability Adequacy Test	30	222
Measurement of GWP accrual adjustment	6	190

Accounting assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties that have a risk of resulting in material adjustments for the year ended 31 December 2024 are included in the following notes

Critical assumptions and estimation uncertainties	Note	Page
Insurance contract liabilities and key actuarial assumptions	30	222
Fair value of financial instruments with significant unobservable inputs	28	217
Impairment measurement of financial assets: determination of inputs into the Incurred Credit Loss (ECL) measurement model, including key assumptions and incorporation of forward looking information	28	217
Useful life-time of property, plant and equipment	19	202
Recognition of deferred tax asset	16	196
Measurement of defined benefit obligation: key actuarial assumptions	31	226
Estimating the incremental borrowing rate for lease liabilities	20	206
Provisions and contingencies	39	244
Modifications to the discount rate used for valuation of insurance contract liabilities	30	222
Going concern basis	2.4	183
Liability Adequacy Test (LAT)	30	222

4 FORWARD-LOOKING INFORMATION

The following standards have been issued and are effective for annual period beginning on or after 01 January 2018. Further, early adoption was permitted with the transitional rules. However, these standards have not been applied to these financial statements.

4.1 SLFRS 9 – Financial instruments

The standard became effective for the annual periods beginning on or after 1 January 2018, with early adoption permitted.

The Company met the eligibility criteria for temporary exemption under the amendments to SLFRS 4 from applying SLFRS 9 in 2018 and has accordingly deferred the adoption of SLFRS 9 until SLFRS 17, 'Insurance Contracts' is adopted upon its mandatory effective date.

SLFRS 9 replaces the existing guidance in LKAS 39 Financial Instruments: Recognition and Measurement. SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for

calculating impairment on financial assets, and new general hedge accounting requirements. It also carries forward the guidance on recognition and de recognition of financial instruments from LKAS 39.

Temporary exemption from SLFRS 9

An Insurer may apply the temporary exemptions from SLFRS 9 if, and only if:

- (a) It has not previously applied any version of SLFRS 9, other than only the requirements for the presentation of gains and losses on financial liabilities designated as at Fair Value through profit or Loss and;
- (b) Its activities are predominantly connected with insurance, at its annual reporting date that immediately precedes 1 April 2016, or at a subsequent annual reporting date.

As the company's activities are predominantly connected with insurance and it has not previously applied any version of SLFRS 9 as indicated above, the company will be eligible for the temporary exemption from applying SLFRS 9.

As at 31 December	2024 Rs.	2023 Rs.
Insurance contract liability	2,715,710,390	2,885,863,883
Claim payable	21,356,751	18,450,500
Reinsurance payables	8,696,647	37,579,204
Liabilities connected with insurance	2,745,763,788	2,941,893,587
Total liabilities	3,168,770,203	3,405,198,600
Predominance ratio	87%	86%

NOTES TO THE FINANCIAL STATEMENTS

Financial Assets

SLFRS 9 has introduced new classification and measurement approach for financial assets based on the characteristics of cash flows of financial asset and the business model in which assets are managed. Accordingly, SLFRS 9 includes three principal classification categories to financial assets.

- Amortised cost – Financial assets held within a business model whose objective is to hold financial assets in order to collect contractual cash flows and the contractual terms of the financial asset gives rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.
- Fair Value through other comprehensive income – Financial asset held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset gives rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.
- Fair value through profit or loss – Financial asset which has not identified as amortise cost or Fair value through other comprehensive income.

Impact Assessment

- The equity investment securities that are classified as fair value through profit or loss (FVTPL) under LKAS 39, will be remained under FVTPL and measured at fair value.”
- Debt investment securities that are classified as available for sale under LKAS 39, may classified as fair value through other comprehensive income under SLFRS9, or be classified at amortised cost and measured at fair value / amortised cost respectively.”
- Held to maturity investment securities measured at amortised cost under LKAS 39 will be measured at amortised cost under SLFRS 9.
- Loans and receivables measured at amortised cost under LKAS 39 will also be measured at amortised cost under SLFRS 9.
- Trading assets and derivative assets held for risk management, which are classified as held for trading and measured at fair value under LKAS 39, will also be measured at fair value under SLFRS 9.”

Impairment – Financial Assets

SLFRS 9 has replaced the “Incurred loss” model which is introduced by LKAS 39, by introducing “Expected Credit Loss” (ECL) model. In this impairment of financial assets is recognised under 3 stages.

- Stage 01 – As soon as a financial instrument is originated or purchased, 12-month expected credit losses are recognised in profit or loss and a loss allowance is established. This serves as a proxy for the initial expectations of credit losses. For financial assets, interest is calculated on the gross carrying amount (i.e without deduction for expected credit losses).
- Stage 02 – If the credit risk increases significantly and is not considered low, full lifetime expected credit losses are recognised in profit or loss. The calculation of interest is the same as for Stage 1. (Gross carrying amount)
- Stage 03 – If the credit risk of a financial asset increases to the point that it is considered credit-impaired, interest is calculated based on the amortised cost (i.e the gross carrying amount less the loss allowance which is the net carrying amount). Financial assets in this stage will generally be assessed individually.

This will be required considerable judgement over how changes in economic factors affect to Expected Credit Loss (ECL), which will be determined on a probability weighted basis.

Financial liabilities

Under LKAS 39 all fair value changes of liabilities designated as at FVTPL are recognised in profit or Loss, whereas under SLFRS 9 the amount of change in the fair value that is attributed to changes in the credit risk of the liability is presented in Other Comprehensive Income and the remaining amount of change in the fair value is presented in profit or Loss.

4.2 SLFRS 17 – Insurance contracts

As recommended by the Accounting Standards Committee, the Institute of Chartered Accountants of Sri Lanka has decided to adopt SLFRS 17 - Insurance Contracts with effective from annual reporting periods beginning on or after 1 January 2026.

SLFRS 17 Insurance contracts establishes the principles for the recognition, measurement, presentation and disclosure of insurance contracts within the scope of the standard. The objective of SLFRS 17 is to ensure that an entity provides relevant information that faithfully represents those contracts. This information gives a basis for users of Financial Statements to assess the effect that insurance contracts have on the entity's financial position, financial performance and cash flows.

This standard allows to recognise a group of insurance contracts it issues from the earliest of the following:

- (a) the beginning of the coverage period;
- (b) the date when the first payment from a policyholder becomes due; and
- (c) when the group becomes onerous if facts and circumstances indicate that there is such a group.

SLFRS – 17 has introduced three measurement approaches;

1. Building block approach (BBA)

On initial recognition, an entity shall measure a group of contracts at the total of:

- a) the amount of fulfilment cash flows ("FCF"), which comprise; estimates of future cash flows, an adjustment to reflect the time value of money ("TVM") and the financial risks associated with the future cash flows and risk adjustment for non-financial risk.
- b) the contractual service margin ("CSM")

The CSM represents the unearned profit of the group of insurance contracts that the entity will recognise as it provides services in the future. This is measured on initial recognition of a group of insurance contracts at an amount that, unless the group of contracts is onerous, results in no income or expenses arising from:

- the initial recognition of an amount for the FCF
- the derecognition at that date of any asset or liability recognised for acquisition cash flows; and;
- any cash flows arising from the contracts in the group at that date.

2. Premium allocation approach (PAA)

An entity may simplify the measurement of the liability for remaining coverage of a group of insurance contracts using the Premium Allocation Approach (PAA) on the condition that, at the inception of the group:

- (a) the entity reasonably expects that this will be a reasonable approximation of the General Model, or
- (b) the coverage period of each contract in the group is one year or less.

Where, at the inception of the group, an entity expects significant variances in the FCF during the period before a claim is incurred, such contracts are not eligible to apply the PAA.

Using the PAA, the liability for remaining coverage shall be initially recognised as the premiums, if any, received at initial recognition, minus any insurance acquisition cash flows. Subsequently the carrying amount of the liability is the carrying amount at the start of the reporting period plus the premiums received in the period, minus insurance acquisition cash flows, plus Amortisation of acquisition cash flows, minus the amount recognised as insurance revenue for coverage provided in that period, and minus any investment component paid or transferred to the liability for incurred claims.

3. Variable fee approach (VFA)

Insurance contracts with direct participation features apply a modified version of the general model called the variable fee approach. One of the concerns that respondents had with the application of the general model to insurance contracts with participation features was that it could result in the reporting of artificial volatility in profit or loss. This volatility could arise from a mismatch between the accounting treatment of investment gains and losses on underlying items attributable to policyholders, and the accounting treatment of the liability to those policyholders. The requirement in the general model to report the impacts of all changes in financial assumptions in comprehensive income (rather than by adjusting the CSM) was also considered to create artificial profit volatility in cases where the returns from underlying items would be paid to policyholders. The variable fee approach therefore addresses these concerns by adjusting the general model.

Discount rates

The discount rates applied to the estimate of cash flows shall:

- (a) reflect the time value of money (TVM), the characteristics of the cash flows and the liquidity characteristics of the insurance contracts;
- (b) be consistent with observable market prices of those financial instruments whose cash flow characteristics are consistent with those of the insurance contracts; and
- (c) exclude the effect of factors that influence such observable market prices but do not affect the future cash flows of the insurance contracts

Risk adjustment for non-financial risk

The estimate of the present value of the future cash flows is adjusted to reflect the compensation that the entity requires for bearing the uncertainty about the amount and timing of future cash flows that arises from non-financial risk.

NOTES TO THE FINANCIAL STATEMENTS

Subsequent measurement

On subsequent measurement, the carrying amount of a group of insurance contracts at the end of each reporting period shall be the sum of:

- (a) the liability for remaining coverage comprising the FCF related to future services and the CSM of the group at that date;
- (b) the liability for incurred claims, comprising the FCF related to past service allocated to the group at that date.

Onerous contracts

An insurance contract is onerous at initial recognition if the total of the FCF, any previously recognised acquisition cash flows and any cash flows arising from the contract at that date is a net outflow. An entity shall recognise a loss in profit or loss for the net outflow, resulting in the carrying amount of the liability for the group being equal to the FCF and the CSM of the group being zero.

On subsequent measurement, if a group of insurance contracts become onerous (or more onerous), that excess shall be recognised in profit or loss. Additionally, CSM cannot increase and no revenue can be recognised, until the onerous amount previously recognised has been reversed in profit or loss as part of a service expense.

Modification and de-recognition

Modification of an insurance contract

If the terms of an insurance contract are modified, an entity shall derecognise the original contract and recognise the modified contract as a new contract if there is a substantive modification, based on meeting any of the specified criteria.

The modification is substantive if any of the following conditions are satisfied:

- (a) if, had the modified terms been included at contract's inception, this would have led to:
 - I. exclusion from the Standard's scope;
 - II. unbundling of different embedded derivatives;
 - III. redefinition of the contract boundary; or
 - IV. the reallocation to a different group of contracts;
- (b) if the original contract met the definition of a direct participating insurance contracts, but the modified contract no longer meets that definition, or vice versa; or

- (c) the entity originally applied the PAA, but the contract's modifications made it no longer eligible for it.

De-recognition

An entity shall de-recognise an insurance contract when it is extinguished, or if any of the conditions of a substantive modification of an insurance contract are met.

Transition

An entity shall apply the standard retrospectively unless impracticable, in which case entities have the option of using either the modified retrospective approach or the fair value approach.

Under the modified retrospective approach, an entity shall utilise reasonable and supportable information and maximise the use of information that would have been used to apply a full retrospective approach, but need only use information available without undue cost or effort. Under this approach the use of hindsight is permitted, if that is the only practical source of information for the restatement of prior periods.

Under the fair value approach, an entity determines the CSM or the loss component at the transition date as the difference between the fair value of a group of insurance contracts at that date and the FCF measured at that date. Using this approach, on transition entity has a choice need for annual groups.

At the date of initial application of the Standard, those entities already applying SLFRS 9 may retrospectively re-designate and reclassify financial assets held in respect of activities connected with contracts within the scope of the standard.

Entities can choose not to restate SLFRS 9 comparatives with any difference between the previous carrying amount of those financial assets and the carrying amount at the date of initial application recognised in the opening equity at the date of initial application. Any restatements of prior periods must reflect all the requirements of SLFRS 9.

4.3 Other new standards and amendments applicable on or after 01st January 2024

- Classification of liabilities as current or non current (amendments to LKAS 1)
- Disclosure of accounting policies (amendments to LKAS 1 and SLFRS practice statement 2)
- Supplier Finance Arrangements (Amendments to LKAS 7)

- Definition of accounting estimates (amendments to LKAS 8)
- Deferred tax related to assets and liabilities arising from a single transaction (Amendments to LKAS 12)
- International Tax Reform - Pillar Two Model Rules (Amendments to LKAS 12)
- Lease Liability in a Sale and Leaseback (Amendments to SLFRS 16)
- Lack of exchangeability (Amendments to LKAS 21)
- General Requirements for Disclosure of Sustainability-related Financial Information (SLFRS S1 Early adoption)
- Climate Related Disclosures (SLFRS S2 Early adoption)

5 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The Company has consistently applied the following accounting policies to all periods presented in these financial statements. The accounting policies are presented along with the respective notes.

Set out below is an index of the significant policies;

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5.1 Other Significant Accounting Policies Not Covered With Individual Notes

Impairment of non-financial assets

The carrying amounts of the company's non-financial assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets.

5.2 Changes in significant accounting policies

During the current annual reporting period company has not made any change in material accounting policies .

The details of the new and amendments to existing SLFRSs effective from 01 January 2024 which have been duly considered in the preparation of the Financial Statements of the Company have been disclosed in Note 4.3. Further, the Company has voluntarily early adopted SLFRS S1 and S2 standards during the current period.

NOTES TO THE FINANCIAL STATEMENTS

6 GROSS WRITTEN PREMIUM

Accounting Policy

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured.

Gross written premiums on life insurance contracts are recognised as revenue when payable by the policyholder (policies within the 30-day grace period are considered as due). Premiums received in advance are not recorded as revenue and recorded as liability until the premium is due unless otherwise the relevant policy conditions require such premiums to be recognised as income. Benefits and expenses are provided against such revenue to recognise profits over the estimated life of the policies. For single premium business, revenue is recognised on the date on which the policy is effective.

All products sold by the Company are insurance contracts and therefore classified as insurance contracts. Thus, the Company does not have any investment contracts within its portfolio as at the reporting date

For the year ended 31 December	2024	2023
	Rs.	Rs.
First year premium	694,163,807	724,786,310
Renewal premium	1,000,978,872	1,022,212,144
Group premium	273,619,893	489,606,257
Total gross written premium	1,968,762,572	2,236,604,711

7 PREMIUM CEDED TO REINSURERS ON INSURANCE CONTRACTS

Premium ceded to reinsurers represents the premium paid by the Company to its reinsurers in order to manage its underwriting risks.

Accounting Policy

Reinsurance Premiums are recognised as an expense on the earlier of the due date or date on which the policy is effective. Value of the premiums are decided on the rates agreed with reinsurers and accounted on an accrual basis.

For the year ended 31 December	2024	2023
	Rs.	Rs.
Conventional policies	87,487,646	95,541,262
Total premium ceded to reinsurers	87,487,646	95,541,262
Total net written premium	1,881,274,925	2,141,063,449

8 FEES AND COMMISSION INCOME

Accounting Policy

Policyholders are charged for policy administration services, surrenders and other contract fees. These fees are recognised as revenue over the period in which the related services are performed.

For the year ended 31 December	2024	2023
	Rs.	Rs.
Policyholder administration fees	30,467,426	29,250,346
Total fees and commission income	30,467,426	29,250,346

9 INVESTMENT INCOME

Accounting Policy

Investment income comprises interest income on funds invested and dividend income (including AFS financial assets).

Interest income is recognised in the income statement as it accrues and is calculated by using the Effective Interest Rate method (EIR). The effective interest rate is the rate that exactly discounts the estimated future cash receipts or payments through the expected life of the financial assets or liabilities (or, where appropriate, a shorter period) to the carrying amount of the financial assets or liabilities. When calculating the EIR, the Company estimates future cash flows considering all contractual terms of the financial instruments, but not future credit losses.

The calculation of the EIR includes all transaction costs and fees that are an integral part of EIR. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or liability. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognised as an adjustment to the EIR of the instrument.

Dividend Income is recognised when the Company's right to receive the payment is established. For equity securities this is the ex-dividend date.

Dividends are presented under net finance income in the Income Statement

For the year ended 31 December	Note	2024 Rs.	2023 Rs.
Held to maturity financial assets	9.1	176,387,792	181,797,921
Loans and receivables	9.2	307,030,801	352,653,269
Available for sale financial assets	9.3	56,565,022	46,783,437
Total investment income		539,983,615	581,234,628

9.1 Investment Income from Held to maturity financial assets

For the year ended 31 December	2024 Rs.	2023 Rs.
Treasury bonds	176,387,792	181,797,921
	176,387,792	181,797,921

9.2 Investment Income from Loans and receivables Financial Assets

For the year ended 31 December	2024 Rs.	2023 Rs.
Interest income		
Reverse repurchase agreements	38,305,242	47,205,092
Fixed deposits	191,832,927	195,688,693
Savings account interest	1,477,765	4,085,776
Debentures	70,944,633	91,905,201
Commercial Paper	1,442,308	-
Treasury bills	3,027,926	13,768,507
	307,030,801	352,653,269

NOTES TO THE FINANCIAL STATEMENTS

9 INVESTMENT INCOME CONTD.

9.3 Investment Income from Available for sale financial assets

For the year ended 31 December	2024	2023
	Rs.	Rs.
Interest income		
Treasury bonds	37,577,463	37,750,000
Dividend income	18,987,559	9,033,438
	56,565,022	46,783,437

10 FAIR VALUE GAIN/(LOSS)

Accounting Policy

Fair value gains and losses recorded in the income statement on investments include fair value gains / losses on financial assets at FVTPL.

For the year ended 31 December	2024	2023
	Rs.	Rs.
Fair value through profit or loss financial assets		
Fair value gain from Unit Trusts	14,012,635	28,455,896
Total fair value gains/(losses)	14,012,635	28,455,896

11 OTHER OPERATING REVENUE

Accounting Policy

Other income is recognised on an accrual basis. This includes fees ,miscellaneous income and disposal gains of property plant and equipment.

Any gain or loss arising from the disposal of a PPE item is determined as the difference between the net proceeds from the sale and the asset's carrying amount at the time of disposal. This gain or loss is recognised as 'Other Income' in the Income Statement in the year the Company transfers control of the asset to the buyer. In the case of revalued assets, any related balance in the revaluation reserve is transferred to retained earnings upon disposal.

For the year ended 31 December	2024	2023
	Rs.	Rs.
Gain on sale of property, plant and equipment	-	-
Other operating revenue	6,010,235	8,320,843
Total other operating revenue	6,010,235	8,320,843

12 NET BENEFITS AND CLAIMS

Accounting Policy

Gross benefits and claims

Gross benefits and claims for life insurance contracts include the cost of all claims arising during the year, including internal and external claims handling costs that are directly related to processing and settlement of claims. Death, Hospitalisation and surrenders are recorded on the basis of notifications received. Maturity payments are recorded when due.

Reinsurance Recoveries

Reinsurance claims recoveries are recognised when the related gross insurance claim is recognised according to the terms of the relevant contract.

12.1 Analysis of life insurance claims and benefits paid

For the year ended 31 December	2024			2023		
	Gross claims paid	Claims recovered from reinsurers	Net claims paid	Gross claims paid	Claims recovered from reinsurers	Net claims paid
Hospitalisation	310,934,006	(47,650,076)	263,283,930	453,888,008	(51,389,731)	402,498,277
Death	237,450,286	(8,035,850)	229,414,436	207,450,441	(4,687,568)	202,762,873
Surrender payments	288,063,610	-	288,063,610	527,998,715	-	527,998,715
Policy maturities	362,796,660	-	362,796,660	267,874,755	-	267,874,755
Total life insurance claims and benefits	1,199,244,562	(55,685,926)	1,143,558,636	1,457,211,919	(56,077,299)	1,401,134,620

12.2 Net change in insurance claims outstanding

Accounting Policy

Any differences between the initial estimated cost of claims and the final settlement amount or revised estimates are recorded in the Income Statement in the year they occur. Additionally, any changes in outstanding insurance claims are also reflected in the Income Statement.

For the year ended 31 December	2024	2023
	Rs.	Rs.
Gross change in insurance claims outstanding		
Hospitalisation	8,491,291	12,637,955
Death	15,667,687	(4,551,926)
Policy maturities	-	26,845,693
	24,158,978	34,931,722
Change in contract liabilities ceded to reinsurers		
Hospitalisation and death	(6,686,815)	(7,095,874)
Total net change in insurance claims outstanding	17,472,163	27,835,847

NOTES TO THE FINANCIAL STATEMENTS

13 UNDERWRITING AND NET ACQUISITION COSTS

Accounting Policy

All acquisition costs for insurance contracts are recognised as an expense when incurred. Reinsurance commission income on outward reinsurance contracts is recognised when receivable.

For the year ended 31 December	2024	2023
	Rs.	Rs.
Commission Expenses for Insurance Contracts	378,311,458	363,484,042
Staff Cost - Marketing	153,190,903	260,564,505
	531,502,361	624,048,548

14 OTHER OPERATING AND ADMINISTRATIVE EXPENSES

Accounting Policy

Expenses are recognised in the income statement on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the income statement.

For the year ended 31 December	Note	2024	2023
		Rs.	Rs.
Administration & establishment expenses		255,073,245	206,324,831
Employee benefits expense	14.1	355,063,419	419,220,159
Selling expenses		30,288,529	27,230,377
Finance cost	14.2	50,102,490	50,134,224
Total other operating and administrative expenses		690,527,683	702,909,591

14.1 Employee benefits expense

Accounting Policy

Short term employee benefits

Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short - term cash bonus if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

Defined Contribution Plans

A defined contribution plan is a post-employment benefit scheme where the company makes fixed contributions to a separate fund without any further financial obligation beyond these payments. These contributions are recognised as employee benefit expenses in the Income Statement during the periods in which they are incurred.

Employees' Provident Fund (EPF)

All employees of the company are enrolled in the Employees' Provident Fund (EPF). Under this scheme, the company contributes 12% of each employee's salary, while employees contribute 8%.

Employees' Trust Fund (ETF)

All employees of the company are also enrolled in the Employees' Trust Fund (ETF), to which the company contributes 3% of each employee's salary.

For the year ended 31 December	2024	2023
	Rs.	Rs.
Short Term Employee Benefit Expenses		
Administrative employees		
Staff remuneration and Other expenses	116,256,112	120,917,446
Employees' provident fund - EPF	9,673,973	10,472,341
Employees' trust fund - ETF	3,240,501	2,618,085
Sales force		
Staff remuneration and Other expenses	205,681,771	260,213,643
Employees' provident fund - EPF	12,962,004	15,244,627
Employees' trust fund - ETF	2,309,330	3,811,156
	350,123,691	413,277,298
Long Term Employee Benefits		
Contributions to employee benefit obligation plans	4,939,728	5,942,861
Total employee benefits expense	355,063,419	419,220,159

14.2 Finance cost/(gains)

Accounting Policy

Interest cost is recognised in the Income Statement as it accrues and is calculated by using the effective interest rate method.

For the year ended 31 December	2024	2023
	Rs.	Rs.
Interest expenses on lease liabilities and borrowings	50,102,490	50,134,224
Total employee benefits expense	50,102,490	50,134,224

NOTES TO THE FINANCIAL STATEMENTS

15 PROFIT BEFORE TAX

Accounting Policy

Operating profit is the result generated from the continuing principal revenue-producing activities of the Company as well as other income and expenses related to operating activities. Operating profit excludes share of profit of equity-accounted investees and income taxes.

Profit before tax is stated after charging all expenses including the following;

For the year ended 31 December	Note	2024 Rs.	2023 Rs.
Director fee and emoluments	15.1	2,234,481	2,075,549
Statutory audit and audit related services		4,344,679	2,744,888
Depreciation of property plant and equipment	19.1	22,912,538	25,434,957
Amortisation of intangible assets	18	438,314	351,100
Depreciation of right of use assets	20.17	119,121,357	98,707,883
Amortisation of lease liabilities	20.2	41,059,179	41,208,804
EPF	31	22,635,977	25,716,968
ETF	31	5,549,831	6,429,242
Defined benefit plan cost	31.1	4,939,728	5,942,861

15.1 Director fee and emoluments

Directors' emoluments represent the salaries and fees paid Non-Executive Directors of the Company.

16 INCOME TAX EXPENSE

Accounting Policy

Income tax expense comprises current and deferred tax. Current and deferred taxes are recognised in profit or loss except to the extent that it relates to items recognised in the Other Comprehensive Income or directly in equity, when it is recognised in the OCI equity respectively.

16.1 Current Tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. Provision for taxation is based on the profit for the year adjusted for Taxation purposes in accordance with the provisions of the Inland Revenue Act, No. 24 of 2017.

Current income tax assets and liabilities also include adjustments for tax expected to be payable or recoverable in respect of previous periods.

Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions, where appropriate.

16.2 Deferred Tax

Accounting Policy

Deferred tax is recognised in respect of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary difference to the extent that it is probable that future taxable profits will be available against which they can be used. The reversal of relevant taxable temporary differences are determined based on future taxable profits. If the amount of taxable temporary differences is insufficient to recognise a deferred tax asset in full, then future taxable profits, adjusted for reversal of existing temporary differences, are considered, based on the business plans. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised; such reductions are reversed when the probability of future taxable profits improves.

Unrecognised deferred tax assets are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available against which they can be used.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date.

The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Company expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

Use of Judgements and Estimates

Judgements

The company uses judgement to utilise the deficit transfer against the taxable income generated in the Shareholder fund with agreement of the tax consultant and the Board of Directors.

Deferred Tax Assets

The company use judgement in recognising a deferred tax asset in its financial statements. Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profits will be available to the company which can be utilised against such tax losses. Judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax planning strategies.

Applicable tax law

The gains and profits from the life insurance business are ascertained in terms of Section 67 of the Inland Revenue Act No. 24 of 2017 and as amended subsequently by the Inland Revenue (Amendment) Act, No. 45 of 2022.

Tax Rates

Taxable Income Sources	Tax Rate
Surplus distributed to shareholders from the life insurance policyholders fund as certified by the actuary	30%
Investment income of the shareholder fund less any expenses incurred in the production of such income	30%
Dividend paid out of profit	15%

NOTES TO THE FINANCIAL STATEMENTS

16 INCOME TAX EXPENSE

16.3 Amounts recognised in Profit or Loss

16.3.1 Current year tax charge

For the year ended 31 December	Note	2024 Rs.	2023 Rs.
Current income tax			
Income tax on current year's profit		-	-
Over/under provision of income taxes		-	-
Total current income tax		-	-
Deferred income tax			
Deferred tax assets	16.34	(90,000,000)	-
Deferred taxation		(90,000,000)	-
Total income tax (reversal)/expense		(90,000,000)	-

16.3.2 Reconciliation of tax charge

For the year ended 31 December		2024 %	2024 Rs.	2023 %	2023 Rs.
Profit /(Loss) for the year			144,890,897		(683,831,926)
Shareholder Investment Income			207,829,293		255,306,434
Less :					
Utilisation of Tax losses			(207,829,293)		-
Utilisation of Policy Holder Loss Transfer			-		(255,306,434)
Taxable Income			-		-
Tax using the Company's domestic tax rate					
Dividend Income	15%		-	15%	-
Other	30%			30%	
Tax on exempt Income					
Reversal / (Origination) of deferred tax asset			90,000,000		-
Income tax expense			90,000,000		-

16.3.3 Tax loss analysis

	2024 Rs.	2023 Rs.
Balance as at 1 January	-	154,079,604
Tax losses recognised during the year	749,217,226	-
Tax losses utilised during the year	(207,829,293)	(154,079,604)
Balance as at 31 December	541,387,933	-

16.3.4 Deferred taxation

	2024	2023
	Rs.	Rs.
Deferred tax asset	162,416,380	-
Derecognition due to revised projection	(72,416,380)	
Deferred tax asset	90,000,000	-

In accordance with LKAS 12 – Income Taxes, deferred tax assets are recognised to the extent that it is probable that future taxable profits will be available against which the tax losses can be utilised.

The Company has recognised deferred tax assets amounting to Rs 162 million arising from tax losses carried forward from prior year.

Based on the management's latest projections of future taxable income, the Company has assessed that only Rs. 90 million of the deferred tax asset is recoverable within the tax loss claimable timeframe. Consequently, a provision has been made to derecognise the remaining LKR 90 million of deferred tax assets, reflecting a prudent approach in line with anticipated taxable profits.

17 EARNING PER SHARE

Accounting Policy

The Company presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit after tax of the Company by the weighted average number of ordinary shares outstanding during the year.

Diluted EPS is determined by adjusting the profit after tax and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

The EPS calculations have been prepared in accordance with LKAS 33 – Earnings Per Share.

17.1 Basic Earnings / (Loss) per Share

For the year ended 31 December	2024	2023
	Rs.	Rs.
Profit / (Loss) for the year attributable to ordinary share holders	234,890,898	(683,831,926)
Weighted average number of ordinary shares (Nos)	66,230,407	66,230,407
Basic Earning/(Loss) per ordinary share Rs.	3.55	(10.33)

17.2 Diluted Earnings per Share

There was no dilution of ordinary shares outstanding. Therefore, diluted earnings per share is the same as basic earnings per share as shown in Income Statement

NOTES TO THE FINANCIAL STATEMENTS

18 INTANGIBLE ASSETS

Accounting Policy

Recognition and Measurement

An intangible asset is recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with the Sri Lanka Accounting Standard LKAS 38 - Intangible Assets.

Computer Software

Computer software acquired separately are measured on initial recognition at cost. Following initial recognition, these assets are stated in the statement of financial position at cost, less accumulated Amortisation and accumulated impairment losses.

Research and Development cost

Research costs are expensed as incurred. Development expenditure on an individual project are recognised as an intangible asset, when the Company can demonstrate:

- The technical feasibility of completing the intangible asset, so that the asset will be available for use or sale.
- The potential for the asset to generate future economic benefits.
- The availability of resources necessary to complete the asset.
- The ability to reliably measure the expenditure incurred during development.
- The ability to use the intangible asset generated.

Following initial recognition, the development expenditure is carried as an asset at cost, less any accumulated amortisation and impairment losses.

Subsequent Expenditure

Subsequent expenditure on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Useful Economic Life and Amortisation

Amortisation is calculated to write off the cost of the computer software on straight line basis over their estimated useful lives of 5 years and is generally recognised in profit or loss. None of the intangible assets are assumed to have a residual value.

Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate. Changes in the expected useful life or the expected pattern of future economic benefits embodied in the assets is accounted for by changing the useful life or method as appropriate and are treated as changes in accounting estimates.

De-Recognition

An intangible asset is de-recognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from de-recognition of such intangible assets is included in income statement.

	2024	2023
	Rs.	Rs.
Computer software		
Cost		
Balance as at 1 January	2,329,400	2,329,400
Acquisitions during the year - separately acquired	6,923,367	-
As at 31 December	9,252,767	2,329,400
Accumulated Amortisation and impairment losses		
As at 1 January	1,562,173	1,211,073
Amortisation charge for the year	438,314	351,100
As at 31 December	2,000,487	1,562,173
Carrying amount		
As at 31 December 2024	7,252,280	
As at 31 December 2023		767,227

18.1 Acquisition of intangible assets during the year

During the financial year, the Company has acquired intangible assets of Rs. 6.9 Mn (2023 - Nil). These were fully paid by cash in 2024 (2023 - Nil).

18.2 Intangible assets with indefinite useful life

The Company does not have intangible assets with indefinite useful life as at the reporting date. (2023 - Nil).

18.3 Research and development cost

There are no research and development cost incurred during the year which is eligible for capitalisation in the Financial Statements.

18.4 Internally-generated intangible assets and separately acquired intangible assets

All intangible assets are separately acquired during the year and there are no such internally generated intangible assets during the year.

18.5 Fully amortised intangible assets in use

There were no fully amortised intangible assets in use as at reporting date.

18.6 Title restriction on intangible assets

There were no restrictions that existed on the title of the intangible assets of the company as at the reporting date.

18.7 Assessment of impairment of intangible asset

The Board of Directors has evaluated the potential impairment of intangible assets as of 31 December 2024. Based on this assessment, no impairment provision is required in the Financial Statements as of the reporting date (2023 - Nil).

18.8 Borrowing cost capitalisation

No borrowing costs were capitalised in relation to the acquisition of intangible assets during the year 2024 (2023 - Nil).

18.9 Individually material / significant intangible assets

As of 31 December 2024, the Company's total intangible assets amounted to Rs. 9 million, of which Rs. 6.9 million relates to a firewall upgrade carried out during the year. This upgrade enhances the Company's cybersecurity infrastructure and will be amortised over its estimated useful life of 5 years.(2023-Nil)

NOTES TO THE FINANCIAL STATEMENTS

18 INTANGIBLE ASSETS

18.10 Intangible Assets Pledged as Security

None of the Intangible assets have been pledged as security as at the reporting date.

18.11 Revaluation of intangible assets

Since, cost model has been followed, there is no revaluation adjustment for intangible assets.

18.12 Intangible assets acquired by way of government grants

As at reporting date, the Company has not acquired Intangible assets by way of government grants.

18.13 Amount of Contractual Commitments for the Acquisition of Intangible Assets

There were no any contractual commitments for the acquisition of Intangible assets as at reporting date.

19 PROPERTY, PLANT AND EQUIPMENT

Accounting Policy

The Company applies the requirements of the Sri Lanka Accounting Standard LKAS 16 - Property, Plant and Equipment, in accounting for its owned assets which are held and used in the provision of services or for administrative purposes and are expected to be used for more than one year.

Basis of Recognition

Property, plant and equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year. Company recognise Property, plant and equipment if it is probable that future economic benefits associated with the asset will flow to the Company and cost of the asset can be reliably measured.

Basis of Measurement

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to or replace a part of it. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located.

Cost model

The Company applies the cost model and records at cost of purchase together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses.

Subsequent Costs

The cost of replacing a component of property or equipment is added to the carrying amount of the asset if it is probable that the replacement will generate future economic benefits for the Company and its cost can be reliably measured. The carrying amount of the replaced component is derecognised. Routine maintenance and servicing costs of property and equipment are recognised as expenses when incurred.

Repairs and Maintenance

Repairs and maintenance are charged to the income statement during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the Company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

Capital Work in Progress

Capital work in progress is stated at cost. These are expenses of a capital nature directly incurred in property, plant and equipment, awaiting for capitalisation.

Cost of dismantling

The estimated costs of dismantling, removing, or restoring items of property, plant and equipment is Nil.

Useful Economic Life and Depreciation

Depreciation is recognised in the Income Statement on a straight line basis over the estimated useful lives of each part of an item of property, plant and equipment since this most closely reflects the expected pattern of consumption of the future economic benefits embedded in the asset. Land is not depreciated.

The estimated useful lives for the current and comparative periods are as follows:

Furniture Fittings	5 years
Office Equipments	5 years
Computer	4 years
Motor Vehicle	5 years

Depreciation methods, useful lives and residual values are reassessed at each reporting date and adjusted if appropriate.

De-recognition

The carrying amount of an item of property, plant and equipment is derecognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of an item of property, plant and equipment is included in the Income statement when the item is derecognised.

Carrying value

The carrying value of an asset or a significant component within a class is assessed annually against its fair value. If the fair value is lower than the carrying value, the asset is written down to its fair value, with the adjustment recognised in the Income Statement.

For assets with material residual values, an annual reassessment is conducted. A comprehensive breakdown of all classes of property, plant, and equipment, including the reconciliation of carrying amounts and accumulated depreciation at the beginning and end of the year, is provided in Note 19.1

19.1 Reconciliation of Gross Carrying Value of Property, Plant, and Equipment

Rs.	Office Equipment	Furniture & Fittings	Computer	Motor Vehicle	2024 Total	2023 Total
Cost						
As at 1 January	39,245,482	133,993,223	62,611,111	5,800,000	241,649,816	231,155,555
Additions	371,293	3,610,150	396,560	-	4,378,003	10,494,261
Disposals	-	-	-	-	-	-
As at 31 December	39,616,775	137,603,373	63,007,671	5,800,000	246,027,819	241,649,816
Accumulated depreciation						
As at 1 January	28,561,314	93,809,975	53,135,190	5,800,000	181,306,480	155,871,523
Depreciation charge for the year	3,563,306	14,151,444	5,197,788	-	22,912,538	25,434,957
Disposals	-	-	-	-	-	-
As at 31 December	32,124,621	107,961,419	58,332,978	5,800,000	204,219,018	181,306,480
Carrying amount						
As at 31 December 2024	7,492,154	29,641,954	4,674,693	-	41,808,801	
As at 31 December 2023	10,684,167	40,183,248	9,475,921	-		60,343,336

NOTES TO THE FINANCIAL STATEMENTS

19 PROPERTY, PLANT AND EQUIPMENT CONTD.

19.2 Other changes to property, plant and equipment

Except as disclosed in Note 19.1, there were no other impacts on property, plant, and equipment from sources such as assets classified as held-for-sale, acquisitions through business combinations, reversals of impairment losses recognised in OCI or the Income Statement, or exchange rate differences during the period ended 31 December 2024 (2023 - Nil).

19.3 Capitalisation of borrowing cost

There were no capitalised borrowing costs related to the acquisition of property, plant and equipment during the year 2024 (2023 - Nil).

19.3 Title Restriction on Property, Plant and Equipment

There are no restrictions that existed on the title of property, plant and equipment of the Company as at the reporting date.

19.4 Acquisition of PPE during the year

During the financial year, the Company acquired property, plant & equipment to the aggregate value of Rs. 4.4 Mn (2023 - Rs. 10 Mn). Cash payments amounting to Rs. 4.4 Mn (2023 - Rs. 10 Mn) were made during the year to purchase of property, plant & equipment.

19.5 Disposal of Property, Plant and Equipment During the Year

There was no disposal of property, plant and equipment during the year (2023 - Nil).

19.6 Amount of Contractual Commitments for the Acquisition of Property, Plant and Equipment

There are no contractual commitments for the acquisition of property, plant and equipment as at the reporting date.

19.7 Impairment of property, plant and equipment

The Board of Directors has evaluated the potential impairment of property, plant, and equipment as of 31 December 2024. Based on this assessment, no impairment provision is required in the Financial Statements as of the reporting date (2023 - Nil).

19.8 PPE pledged as security for liabilities

There were no items of property, plant and equipment pledged as securities for liabilities during the year. (2023 - Nil).

19.9 Temporarily idle property, plant and equipments

There were no temporarily idle property as at the year ended 31 December 2024. (2023 - Nil).

19.20 Compensation from Third Parties for Property, Plant, and Equipment

No compensation was received or receivable from third parties for property, plant, and equipment that were impaired, lost, or disposed of as of the reporting date.

19.21 Compensation from Third Parties for Property, Plant, and Equipment

As of the reporting date, there were no property, plant, and equipment under construction (2023 - Nil).

19.22 Property, Plant, and Equipment Retired from Active Use

No property, plant, and equipment were retired from active use as of the reporting date (2023 - Nil).

19.23 Permanent Decline in Value of Property, Plant, and Equipment

There has been no permanent decline in the value of property, plant, and equipment requiring an impairment provision in the Financial Statements as of 31 December 2024 (2023 - Nil).

19.24 Fully depreciated PPE in use

PPE includes fully depreciated assets which are in the use of normal business activities. The initial cost of fully depreciated PPE which are still in use as at reporting date, is as follows;

As at 31 December,	2024	2023
	Rs.	Rs.
Computer	46,766,355	39,749,056
Furniture	67,908,498	60,001,965
Office Equipment	22,778,176	14,901,087
	137,453,029	114,652,107

19.25 Fair value of property, plant and equipment

The carrying amount of property, plant, and equipment, as disclosed in Note 19.1, closely reflects their fair value as of the reporting date.

19.26 Revaluation of Property, Plant, and Equipment

The Company has not conducted any revaluation since it does not own any freehold land or buildings, as all land and buildings utilised are leased assets.

20 RIGHT OF USE ASSETS AND LEASE LIABILITIES

20.1 Right of use assets

Accounting Policy

At inception of a contract, the company assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the company assesses whether:

- The contract involves the use of an identified asset – this may be specified explicitly or implicitly, and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified.
- The company has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- The company has the right to direct the use of the asset. The company has this right when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for what purpose the asset is used is predetermined, the company has the right to direct the use of the asset if either
 - The company has the right to operate the asset; or
 - The company designed the asset in a way that predetermines how and for what purpose it will be used.

20.11 Initial measurement

At the commencement date the company measure the right-of-use asset at cost. Cost include the amount of the lease liability (present value of future lease payments discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined company's incremental borrowing rate), any lease payment made at or before the commencement date less any lease incentives received, initial direct cost incurred and estimate of cost to be incurred by the company in dismantling and removing the underlying asset or restoring the site on which it is located.

20.12 Subsequent measurement

The recognised right of use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term.

Depreciation has been charged to income statement under operating and administration expenses.

NOTES TO THE FINANCIAL STATEMENTS

20 RIGHT OF USE ASSETS AND LEASE LIABILITIES CONTD.

20.13 Impairment

As of the reporting date, the Company has not recognised any impairment loss on right-of-use assets, as each business unit continues to operate under the business continuity plans outlined in the Company's risk management strategy.

20.14 Short-term leases and leases of low-value assets

The company applies the short-term lease recognition exemption to leases that have a lease term of 12 months or less from the commencement date. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

20.15 Nature of the leasing activity

The Company has lease agreements for its head office and branches, typically ranging from 1 to 5 years, with extension options. Lease terms are negotiated individually and vary based on specific terms and conditions.

20.16 Presentation

The Company presents right-of-use assets, excluding those classified as investment property, under a separate line item titled "Right-of-Use Assets" and lease liabilities under a separate line item titled "Lease Liabilities".

20.17 Reconciliation of the carrying value of Right of use assets

As at 31 December	Note	2024 Rs.	2023 Rs.
Opening as at 01 January		198,167,665	163,439,549
Additions of right of use asset during the period		85,070,180	120,713,332
Net depreciation for the period	20.18	(119,121,357)	(98,707,883)
Advance payment for leases		6,915,540	12,722,667
Closing right of use asset balance as at 31 December		171,032,028	198,167,665

20.18 Amounts recognised in income statements

As at 31 December	Note	2024 Rs.	2023 Rs.
Net depreciation for the period			
Lease depreciation		(106,064,474)	(86,754,281)
Amortisation of advance		(13,056,883)	(11,953,602)
		(119,121,357)	(98,707,883)

20.19 Amounts recognised in statement of cash flows

Lease payments for short-term leases, leases of low-value assets, and variable lease payments not included in the lease liability measurement are classified under operating activities. The principal portion of lease payments is classified under financing activities, while the interest portion is recorded under operating activities. During the period, the Company did not receive cash from leases, as it operates as the lessee.

As at 31 December	Note	2024 Rs.	2023 Rs.
Total cash flow (out) of lease		155,751,769	137,187,098

20.20 Extension Options

Some property leases contain extension options exercisable by the Company up to one year before the end of the non-cancellable contract period. Where practicable, the Company seeks to include extension options in new leases to provide operational flexibility. The extension options held are exercisable only by the Company and not by the lessors. The Company assesses at lease commencement date whether it is reasonably certain to exercise the extension options. The Company reassesses whether it is reasonably certain to exercise the options if there is a significant event or significant changes in circumstances within its control.

20.2 Lease Liabilities

Initial recognition and measurement

At the commencement lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined using the company's incremental borrowing rate.

Generally company use incremental borrowing rate as discount rate. Incremental borrowing ranges between 9% to 25%.

The Company determines its incremental borrowing rate by obtaining interest rates from various external financing sources and making necessary adjustments to reflect the specific terms of the lease and the nature of the leased asset. Lease payments considered in measuring the lease liability include:

- Fixed payments, including in-substance fixed payments.
- Variable lease payments that depend on an index or rate, initially measured using the index or rate at the lease commencement date.
- Expected amounts payable under a residual value guarantee.
- The exercise price of a purchase option if the Company is reasonably certain to exercise it.
- Lease payments during an optional renewal period if the Company is reasonably certain to extend the lease.
- Penalties for early termination, unless the Company is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in:

- Future lease payments due to a change in an index or rate.
- The Company's estimate of amounts payable under a residual value guarantee.
- The Company's assessment of whether it will exercise a purchase, extension, or termination option.
- In-substance fixed lease payments.

When the lease liability is remeasured, a corresponding adjustment is made to the carrying amount of the right-of-use asset. If the right-of-use asset has been reduced to zero, the adjustment is recorded in profit or loss.

Interest Expense on lease liability

Interest expenses on lease liabilities are calculated using the effective interest rate method and recognised as finance expenses in the Income Statement.

NOTES TO THE FINANCIAL STATEMENTS

20 RIGHT OF USE ASSETS AND LEASE LIABILITIES CONTD.

20.2 Lease Liabilities Contd.

Subsequent measurement

After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is premeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

As at 31 December	Note	2024 Rs.	2023 Rs.
Opening as at 01 January		221,777,381	175,394,254
Additions during the period		85,070,180	120,713,332
Finance cost recognised in profit and loss		41,059,179	41,208,804
Lease payments		(139,792,918)	(115,539,009)
Closing as at 31 December		208,113,822	221,777,381

Maturity analysis – Contractual undiscounted cash flows

As at 31 December	Note	2024 Rs.	2023 Rs.
Less than one year		91,693,179	111,785,821
Between one to five years		159,825,224	176,231,977
More than five years		2,541,000	2,262,700
Total Undiscounted lease liabilities		254,059,402	290,280,498
Finance cost		(45,945,581)	(68,503,117)
Lease liability as at 31-12-2024		208,113,822	221,777,381

Lease commitment for short term leases

As of the reporting date, the Company has no commitments for short-term leases.

Restrictions and covenants imposed by the leases

There are no restrictions or covenants under lease agreements that require disclosure in these Financial Statements.

Sale and lease back transaction

The Company has not engaged in any sale and leaseback transactions as of the reporting date (2023: Nil).

Sub lease

The Company does not have any subleased properties as of the reporting date (2023: Nil).

21 FINANCIAL ASSETS

Accounting Policy

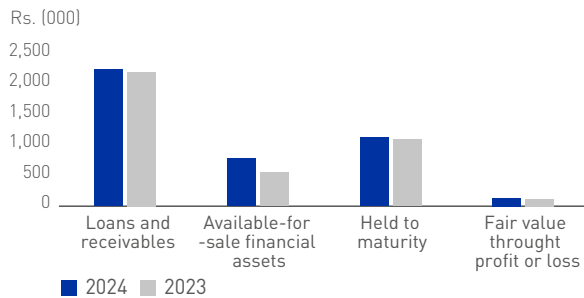
See accounting policy in Note 28

The risk management practices adopted by the Company in relation to the investment portfolio and risk management disclosures are outlined in the financial statements.

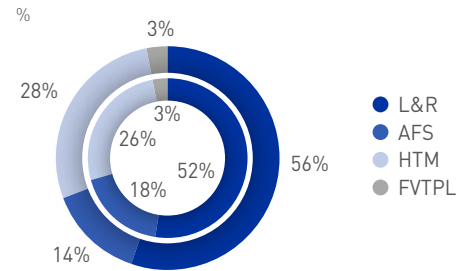
The Company's financial instruments are summarised by categories together with their carrying values as follows;

As at 31 December	Note	2024		2023	
		Carrying value	Fair value	Carrying value	Fair value
		Rs.	Rs.	Rs.	Rs.
Loans and receivables	21.1	2,232,094,687	2,218,010,715	2,193,341,372	2,180,394,775
Available-for-sale financial assets	21.2	780,240,836	780,240,836	547,159,911	547,159,911
Held to maturity	21.3	1,118,291,661	1,214,517,246	1,091,046,902	806,619,029
Fair value through profit or loss	21.4	132,351,647	132,351,647	118,336,033	118,336,033
Total financial instruments		4,262,978,831	4,345,120,444	3,949,884,217	3,652,509,748

Investments-Reporting Category wise



Investment Composition



21.1 Loans and receivables (L&R)

As at 31 December	Note	2024	2023
		Rs.	Rs.
Amortised cost			
Debentures	21.11	471,257,072	653,557,574
Fixed deposit		1,072,650,120	1,114,975,140
Reverse repurchase agreements		436,742,023	242,836,584
Commercial Papers		151,442,308	-
RPAF loan		100,003,164	100,000,000
Treasury bills		-	81,972,074
		2,232,094,687	2,193,341,372
Provision for impairment		-	-
		2,232,094,687	2,193,341,372

NOTES TO THE FINANCIAL STATEMENTS

21 FINANCIAL ASSETS CONTD.

21.11 Debentures

As at 31 December Issuer	2024				
	Credit rating	Maturity date	Carrying value	Market value	Interest (%)
			Rs.	Rs.	
Seylan Bank (LI)	BBB	4/12/26	18,789,329	17,570,000	9.75
Seylan Bank (SH)	BBB	4/12/26	18,789,329	17,570,000	9.75
Sampath Bank (LI)	BBB+	4/12/28	53,202,735	50,000,000	9.00
Sampath Bank (SH)	BBB+	4/12/28	53,202,735	50,000,000	9.00
Commercial Bank (A) (SH)	BBB+	9/21/26	20,494,785	20,000,000	9.00
Commercial Bank (B) (LI)	BBB+	9/21/28	51,307,097	50,000,000	9.50
Commercial Bank (A) (LI)	BBB+	9/21/26	30,742,178	30,000,000	9.00
NDB (PH)	BBB	11/24/26	50,594,983	50,000,000	11.90
NDB (PH)	BBB	11/24/26	30,356,990	30,000,000	11.90
COM(PH)	BBB+	12/11/27	3,976,795	5,566,400	28.00
COM(SH)	BBB+	12/12/27	7,058,431	9,883,200	28.00
Sampath (PH)	BBB+	2/9/28	12,462,377	13,500,000	28.00
Sampath(SH)	BBB+	2/9/28	23,678,517	25,650,000	28.00
Singer Finance PLC	BBB	6/25/26	22,247,594	20,404,250	9.25
Singer Finance PLC	BBB	6/25/26	22,247,594	20,404,250	9.25
LOLC	A-	7/30/26	26,052,801	23,312,500	10.25
LOLC	A-	7/30/26	26,052,801	23,312,500	10.25

As at 31 December Issuer	2023				
	Credit rating	Maturity date	Carrying value	Market value	Interest (%)
			Rs.	Rs.	
Hatton National Bank PLC	A	9/22/24	16,763,794	12,047,000	12.30
National Development Bank PLC	BBB+	3/31/24	110,570,922	105,000,000	13.95
National Development Bank PLC	BBB+	3/31/24	56,569,874	45,000,000	13.95
Seylan Bank PLC	BBB+	4/12/26	18,729,866	17,570,000	9.75
Seylan Bank PLC	BBB+	4/12/26	18,809,046	17,570,000	9.75
Sampath Bank PLC	A	4/12/28	53,088,026	50,000,000	9.00
Sampath Bank PLC	A	4/12/28	53,088,026	50,000,000	9.00
Commercial Bank of Ceylon PLC	A	9/21/26	20,469,240	20,000,000	9.00
Commercial Bank of Ceylon PLC	A	9/21/26	51,254,094	50,000,000	9.50
Commercial Bank of Ceylon PLC	A	9/21/26	30,703,558	30,000,000	9.00
National Development Bank PLC	BBB+	11/24/26	50,888,476	50,000,000	11.90
National Development Bank PLC	BBB+	11/24/26	30,294,853	30,000,000	11.90
Commercial Bank of Ceylon PLC	BBB+	12/11/27	3,920,911	5,072,000	28.00
Commercial Bank of Ceylon PLC	A	12/12/27	6,143,640	9,005,000	28.00
Sampath Bank PLC	A	2/9/28	12,285,651	12,909,000	28.00
Sampath Bank PLC	A	2/9/28	23,342,546	24,526,000	28.00
Singer Finance PLC	BBB	6/25/26	22,213,977	21,250,000	9.25
Singer Finance PLC	BBB	6/25/26	22,243,101	21,250,000	9.25
LOLC Holdings	A-	7/30/26	26,040,876	25,000,000	10.25
LOLC Holdings	A-	7/30/26	26,137,097	25,000,000	10.25

21.2 Available for sale financial assets

As at 31 December	2024	2023
	Rs.	Rs.
Treasury bonds	332,894,050	300,321,631
Quoted equities	447,346,786	246,838,280
	780,240,836	547,159,911

21.3 Held to Maturity

As at 31 December	2024	2023
	Rs.	Rs.
Treasury bonds	1,118,291,661	1,091,046,902
	1,118,291,661	1,091,046,902

21.4 Fair Value Through Profit or Loss

As at 31 December	2024	2023
	Rs.	Rs.
Unit trust	132,351,647	118,336,033
	132,351,647	118,336,033

21.5 Carrying values of financial instruments

The movement of carrying value of above financial instruments as of reporting date is as follow;

As at 31 December	Loans and Receivables	Available- For- Sale	Held to Maturity	Fair Value Through Profit & Loss	Total
Issuer	Rs.	Rs.			Rs.
At 1 January 2023	2,153,718,672	307,925,670	1,130,191,222	89,882,076	3,681,717,640
Purchases			44,958,250		44,958,250
Script Dividend		9,033,438	(159,600,272)		(150,566,835)
Maturities	(517,723,096)		(100,000,000)		(617,723,096)
Disposals					-
Fair value gains recorded in income statement			175,497,702		175,497,702
Fair value gains recorded in other comprehensive income		230,200,803		284,539,57.21	258,654,760
Amortisation adjustment/accrued interest	557,345,796				557,345,796
At 31 December 2023	2,193,341,372	547,159,911	1,091,046,902	118,336,033	3,949,884,218
At 1 January 2024	2,193,341,372	547,159,911	1,091,046,902	118,336,033	3,949,884,218
Purchases	599,298,555		170,684,544		769,983,099
Script Dividend		9,683,618			9,683,618
Maturities	(867,576,040)		(319,827,577)		(1,187,403,617)
Disposals					-
Fair value gains recorded in income statement				14,015,614	14,015,614
Fair value gains recorded in other comprehensive income		195,050,188			195,050,188
Amortisation adjustment/accrued interest	307,030,801	28,347,120	176,387,792		511,765,713
At 31 December 2024	2,232,094,688	780,240,836	1,118,291,661	132,351,647	4,262,978,832

NOTES TO THE FINANCIAL STATEMENTS

21 FINANCIAL ASSETS CONTD.

21.6 Equity securities

As at 31 December 2024	Market Price	No of shares	Cost	Carrying amount/Fair Value
Listed Bank				
National Development Bank PLC	113.25	3,950,082	287,833,604	447,346,786
As at 31 December 2023	Market Price	No of shares	Cost	Carrying amount/Fair Value
Listed Bank				
National Development Bank PLC	65	3,797,512	287,833,604	246,838,280

21.6 Fair value of financial assets and liabilities not carried at fair value

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the financial statements (i.e., held to maturity and loans and receivables).

Assets for which fair value approximates carrying value

For financial assets and financial liabilities that have a short-term maturity (less than three months), it is assumed that the carrying amounts approximate to their fair value. This assumption is also applied to demand deposits, and savings accounts without a specific maturity. For other variable rate instruments an adjustment is also made to reflect the change in required credit spread since the instrument was first recognised.

Fixed rate financial instruments

The fair value of fixed rate financial assets and liabilities carried at amortised cost are estimated by comparing market interest rates when they were first recognised with current market rates for similar financial instruments. The estimated fair value of fixed interest bearing deposits is based on discounted cash flows using prevailing money-market interest rates for debts with similar credit risk and maturity. For quoted debt issued the fair values are determined based on quoted market prices. For those notes issued where quoted market prices are not available, a discounted cash flow model is used based on a current interest rate yield curve appropriate for the remaining term to maturity and credit spreads.

21.7 Determination of fair value and fair values hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

- Level 1 : quoted (unadjusted) prices in active markets for identical assets or liabilities
- Level 2 : valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 : valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

As at 31 December 2024	Level 1	Level 2	Level 3	Total Fair Value
	Rs.	Rs.	Rs.	Rs.
Available for sale financial assets	-	780,240,836	-	780,240,836
Fair Value Through Profit or Loss	132,351,647	-	-	132,351,647
	132,351,647	780,240,836	-	912,592,483

As at 31 December 2023	Level 1	Level 2	Level 3	Total Fair Value
	Rs.	Rs.	Rs.	Rs.
Available For Sale Financial Assets	-	547,159,911	-	547,159,911
Fair Value through Profit or Loss	118,336,033	-	-	118,336,033
	118,336,033	547,159,911	-	665,495,944

21.8 Financial assets pledged as security for liabilities

There were no items of financial assets pledged as securities for liabilities during the year. (2023 - Nil)

22 LOANS TO LIFE POLICYHOLDERS

Accounting Policy

General

Policyholder loans are granted up to 90% of the surrender value of a life insurance policy at an interest rate equivalent to the prevailing market rate. These loans are initially recognised at fair value, which corresponds to the loan amount granted, and subsequently measured at amortised cost using the effective interest rate method. In the event of the policyholder's death before full repayment, any outstanding loan balance is deducted from the death benefit payable under the policy.

See Note 28 to see how financial assets measured under amortised costs are accounted.

As at 31 December	2024	2023
	Rs.	Rs.
Movement of policy loan		
Balance as at 1 January	241,246,301	321,812,161
Loans granted during the year	1,499,786	9,638,125
Provision for surrender	[5,181,008]	[5,181,008]
Repayments during the year	[51,967,546]	[96,365,208]
Balance as at 31 December	185,597,533	229,904,070
Interest receivable	13,446,717	11,342,232
Total loans to life policyholders	199,044,250	241,246,301

Please refer Note 36.4 for maturity analysis on loans to life policyholders.

22.1 Credit exposure on policy loan

The surrender value of the policies for which policy loans have been granted as at 31 December 2024 amounted to Rs. 239 Mn. (2023 Rs. 298 Mn).

If the total receivable of the loan, including interest due and accrued, exceeds the cash surrender value, the policy terminates and becomes void. The Company has a first lien on all policies which are subjected to policy loans.

This mitigates the company's credit exposure on policy loans.

The company grants policy loans at a rate equivalent to the market rate, hence initial recognition is at carrying value equal to the fair value.

22.2 Concentration risk of loans to life policyholders

Credit risk concentration related to loans granted to life policyholders is minimal, as the Company maintains a widely dispersed portfolio of receivables across a large number of policyholders.

NOTES TO THE FINANCIAL STATEMENTS

22 LOANS TO LIFE POLICYHOLDERS CONTD.

22.3 Fair value of loans to life policyholders

The fair value of policyholder loans is considered to be equal to their carrying amount, as these loans are granted at prevailing market rates.

22.4 Impairment losses on loans to life policyholders

Based on the assessment, no impairment provision is required to be made in the Financial Statements as at the reporting date in respect of loans to Life Policyholders (2023 - Nil)

22.5 Policy Loans pledged as security for liabilities

There were no items of policy loans pledged as securities for liabilities during the year. (2023 - Nil)

23 REINSURANCE RECEIVABLES

Accounting Policy

The company cedes insurance risk in the normal course of business to recognised reinsurers through formal reinsurance arrangements.

Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance is recorded gross in the Statement of Financial Position unless a right to offset exists. Reinsurance assets are reviewed for impairment at each reporting date, or more frequently, when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Company may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Company will receive from the reinsurer. The impairment loss, if any is recorded in the income statement.

Ceded reinsurance arrangements do not relieve the company from its obligations to policyholders.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expire or when the contract is transferred to another party.

As at 31 December	2024	2023
	Rs.	Rs.
Reinsurance receivable on outstanding claims	10,519,552	11,108,850
	10,519,552	11,108,850

The carrying amounts disclosed above is in respect of the reinsurance of investment contracts approximate fair value at the reporting date.

Please refer Note 36.4 for maturity analysis on reinsurance receivables.

23.1 Impairment losses on reinsurance receivables

The Board of Directors has assessed potential impairment loss of reinsurance receivables as at 31 December 2024. Based on the assessment, no impairment provision is required to be made in the Financial Statements as at the reporting date in respect of reinsurance receivables. Please refer Note no.23 for reinsurance rating analysis.

23.2 Reinsurance receivables pledged as security for liabilities

There were no items of reinsurance receivables pledged as securities for liabilities during the year. (2023 - Nil)

24 AMOUNTS DUE FROM RELATED PARTIES

As at 31 December	Note	2024 Rs.	2023 Rs.
Amounts due from related companies	24.1	5,936,182	30,985,542

24.1 Related party

As at 31 December	Relationship	Note	2024 Rs.	2023 Rs.
Richard Pieris & Company PLC	Ultimate Parent		-	-
Richard Pieris Distributors PLC	Fellow Subsidiary		5,936,182	30,985,542
			5,936,182	30,985,542

24.2 Related party receivables pledged as security for liabilities

There were no items of related party receivables pledged as securities for liabilities during the year. (2023 - Nil)

25 PREMIUM RECEIVABLE

Accounting Policy

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. Subsequent to initial recognition, insurance receivables are measured at amortised cost, using the effective interest rate method. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the income statement.

Life insurance premiums (only the premiums due in the 30-day grace period) are recognised at each reporting date and will be reversed if the premiums are not settled during the subsequent month, and thus the policies will be lapsed as per the company policy.

As at 31 December	2024 Rs.	2023 Rs.
Premium receivable from policyholders	59,716,100	91,475,027
	59,716,100	91,475,027

Impairment of premiums receivables

The Management has assessed potential impairment loss of premiums receivable as at 31 December 2024. Based on the assessment, there was no impairment loss on premiums receivable (2023 - Nil)

Collateral Details

The Company does not hold any collateral as security against potential default by policyholders or intermediaries.

NOTES TO THE FINANCIAL STATEMENTS

26 OTHER ASSETS

Accounting Policy

Inventories are valued at the lower of cost or net realisable value. Cost is primarily determined using the weighted average cost method. Net realisable value represents the estimated selling price in the ordinary course of business, reduced by any estimated selling expenses.

Other receivables and assets, excluding inventories, are recorded at cost, net of any accumulated impairment losses.

As at 31 December	2024	2023
	Rs.	Rs.
Advances, deposits & prepayments	38,354,463	101,567,337
Taxation recoverable	51,413,934	54,207,828
Inventories	17,922,708	19,525,539
	107,691,105	175,300,704

Please refer Note 36.4 for maturity analysis on other assets.

Fair value

Other financial receivables are recorded at their notional amounts and are typically settled within one year. There is no significant difference between their notional and fair values.

Loans granted to directors

No loans have been granted to the Directors of the Company.

26.1 Other assets pledged as security for liabilities

There were no items of other assets pledged as securities for liabilities during the year. (2023 - Nil)

27 CASH AND CASH EQUIVALENTS

Accounting Policy

Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. The cash and cash equivalents include cash in-hand, balances with banks and short-term deposits with banks.

As at 31 December	2024	2023
	Rs.	Rs.
Cash in hand	3,182,858	1,666,033
Cash at bank	50,686,239	54,730,441
Total cash and cash equivalent balance	53,869,097	56,396,474

27.1 Cash and bank accounts pledged as security for liabilities

Cash and bank accounts pledged as securities for liabilities during the year. (2023 - Nil)

Accounting Policy**Initial Recognition and Measurement**

The Company initially recognises loans and receivables and deposits on the date that they are originated. All other financial assets (including assets designated at fair value through profit or loss) are recognised initially on the trade date at which the Company becomes a party to the contractual provisions of the instrument.

In the case of financial assets not measured at fair value through profit or loss, it is measured initially at fair value plus transaction costs that are directly attributable to its acquisition or issue.

Depending on the intention and ability to hold the invested assets, the financial assets categories and their classification criteria are shown in the table below;

Classification	Classification criteria
Held-To-Maturity (HTM)	Financial assets with fixed or determinable payments and fixed maturities are classified as held to maturity when the Company has the positive intention and ability to hold it to maturity.
Loans and Receivables (L&R)	Loans and receivables are financial assets with fixed or determinable payments that are not quoted in an active market.
Fair Value Through Profit or Loss (FVTPL)	Financial assets held for trading and those designated upon initial recognition at FVTPL and investments typically bought with the intention to sell in the near future.
	For investments designated at FVTPL, the following criteria must be met;
	The designation eliminates or significantly reduces the inconsistent treatment that would otherwise rise from measuring the assets or liabilities or recognising gains or losses on a different basis, or
	The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on a different basis, or
Available for Sale (AFS)	Financial assets that are designated as AFS and that are not classified in any of the previous categories.
	AFS financial investments includes debt securities. Securities in this category are those that are intended to be held till maturity and which maybe sold in response to the need for liquidity or in response to changes in the market conditions.

The company's existing types of financial assets and their classifications are shown in the table below.

NOTES TO THE FINANCIAL STATEMENTS

28 FINANCIAL INSTRUMENTS CONTD.

The company's existing types of financial assets and their classifications are shown in the table below.

Financial Asset	Category			
	HTM	L&R	FVTPL	AFS
Treasury bonds	✓			✓
Treasury bills		✓		
Quoted shares				✓
Reverse repurchase agreements		✓		
Corporate debts		✓		
Fixed deposits		✓		
Unit trusts			✓	
Policy loans		✓		
Reinsurance receivables		✓		
Premiums receivable		✓		
Other receivables		✓		
Cash in hand and at bank		✓		

Subsequent Measurement

Held to maturity (HTM)

Subsequent to initial measurement, held to maturity financial assets are measured at amortised cost, using the Effective Interest Rate (EIR), less impairment. The EIR Amortisation is included in 'Interest Income' in Profit or Loss.

Loans and receivables (L&R)

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. The company also decided to classify unquoted corporate debts under this category since there is no active market for these instruments.

These investments are initially recognised at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortised cost, using the EIR, less allowance for impairment.

Fair Value Through Profit or Loss (FVTPL)

Financial assets at fair value through profit or loss are carried in the statement of financial position at fair value with changes in fair value recognised in the income statement.

Available-for-sale financial assets (AFS)

After initial measurement, available-for-sale financial assets are subsequently measured at fair value, with unrealised gains or losses recognised in Other Comprehensive Income (OCI) in the available-for-sale reserve. The company has applied the shadow accounting principles and recognised the fair value movement in life fund under movement on AFS reserve.

Interest earned whilst holding available-for-sale investments is reported as interest income using the EIR.

If the asset is determined to be impaired, the cumulative loss is recognised in the Income Statement in the Other Revenue and removed from the available-for-sale reserve.

The company evaluates its available-for-sale financial assets to determine whether the ability and intention to sell them in the near term would still be appropriate. In the case where the company is unable to trade these financial assets due to inactive markets and management's intention significantly changes to do so in the foreseeable future, the company may elect to reclassify these financial assets in rare circumstances. Reclassification to loans and receivables is permitted when the financial asset meets the definition of loans and receivables and management has the intention and ability to hold these assets for the foreseeable future or until maturity. The reclassification to held-to-maturity is permitted only when the entity has the ability and intention to hold the financial asset until maturity.

For a financial asset that is reclassified out of the available-for-sale category, any previous gain or loss on that asset that has been recognised in equity is amortised to profit or loss over the remaining life of the investment using the EIR. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired, then the amount recorded in equity is reclassified to the income statement.

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction on the measurement date.

When available, the company measures the fair value of an instrument using quoted prices in an active market for that instrument. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

If a market for a financial instrument is not active, then the company establishes fair value using a valuation technique. Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analysis.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. The fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument, i.e. Without modification or repackaging, or based on a valuation technique whose variables include only data from observable markets. When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognised in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is supported wholly by observable market data or the transaction is closed out.

28.1 Impairment of financial assets

The company assesses at each reporting date whether a financial asset or group of financial assets is impaired. The company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment.

Assets carried at amortised cost

If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Income Statement.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed. Any subsequent reversal of an impairment loss is recognised in the Income Statement, to the extent that the carrying value of the asset does not exceed its amortised cost at the reversal date.

NOTES TO THE FINANCIAL STATEMENTS

28 FINANCIAL INSTRUMENTS CONTD.

28.1 Impairment of financial assets Contd.

Available for sale financial asset

For available-for-sale financial investments, the company assesses at each reporting date whether there is objective evidence that an investment or a group of investments is impaired.

In the case of debt instruments classified as available-for-sale, impairment is assessed based on the same criteria as financial assets carried at amortised cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognised in the income statement.

Future interest income continues to be accrued based on the reduced carrying amount of the asset and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'Investment Income'. If, in a subsequent year, the fair value of a debt instrument increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in the income statement, the impairment loss is reversed through the income statement.

28.2 Maturity analysis

The maturity analysis of financial instruments are given in Note 36.4

28.3 Reclassification of Financial Assets

Reclassifications are only permitted in rare circumstances as allowed under LKAS 39. Financial assets may be reclassified from the available-for-sale category to loans and receivables if the asset meets the definition of loans and receivables and the Company has the intention and ability to hold the asset for the foreseeable future or until maturity.

28.4 Offsetting Financial Assets and Liabilities

Financial assets and financial liabilities are offset, and the net amount is reported in the statement of financial position if there is a legally enforceable right to offset and an intention to settle on a net basis or realise the asset and settle the liability simultaneously.

28.5 De-recognition

The company derecognises a financial asset when,

- The rights to receive cash flows from the asset have expired or
- The company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either
 - (a) The company has transferred substantially all the risks and rewards of the asset, or
 - (b) The company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and the sum of;

- (a) the consideration received (including any new asset obtained less any new liability assumed) and
- (b) any cumulative gain or loss that had been recognised in other comprehensive income is recognised in profit or loss.

28.6 Financial assets and liabilities by categories

Financial assets and liabilities in the tables below are split into categories in accordance with LKAS 39.

	L&R		AFS		HTM		FVTPL		Other Financial Assets/ Liabilities		Total	
	2024		2024		2024		2024		2024		2024	
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial assets by categories												
Financial investments	2,232,094,688	2,193,341,372	780,240,836	547,159,911	1,118,291,661	1,091,046,902	132,351,647	118,336,033	-	-	4,262,978,832	3,949,884,217
Loans to life policyholders	199,044,249	241,246,301	-	-	-	-	-	-	-	-	199,044,249	241,246,301
Premium receivables	59,716,100	91,475,027	-	-	-	-	-	-	-	-	59,716,100	91,475,027
Reinsurance receivable	10,519,552	11,108,850	-	-	-	-	-	-	-	-	10,519,552	11,108,850
Amounts due from related parties	5,936,182	30,985,542	-	-	-	-	-	-	-	-	5,936,182	30,985,542
Cash and cash equivalent			-	-	-	-	-	-	53,869,097	56,396,474	53,869,097	56,396,474
Total Financial Assets	2,507,310,771	2,568,157,093	780,240,836	547,159,911	1,118,291,661	1,091,046,902	132,351,647	118,336,033	53,869,097	56,396,474	4,592,064,012	4,381,096,412
Financial liabilities												
Reinsurance Payables									8,696,647	37,579,204	8,696,647	37,579,204
Amounts due to related parties									7,114,065	49,590,990	7,114,065	49,590,990
Lease liabilities									208,113,822	221,777,381	208,113,822	221,777,381
Financial liabilities									177,860,729	126,283,782	177,860,729	126,283,782
Total									401,785,263	435,231,358	401,785,263	435,231,358

The management assessed that cash and short-term deposits, amount due from related parties, reinsurance receivables, premium receivables, reinsurance payables, amount due to related parties, financial liabilities and bank overdrafts approximate their carrying amounts largely due to the short-term maturities of these instruments.

NOTES TO THE FINANCIAL STATEMENTS

29 STATED CAPITAL

Accounting Policy

Ordinary Shares

The company has issued ordinary shares that are classified as equity instruments. Incremental external costs that are directly attributable to the issue of these shares are recognised in equity, net of tax.

Rights of Ordinary Shareholders

The ordinary shares of Softlogic Life Insurance PLC are listed on the Colombo Stock Exchange (CSE) Diri Savi Board. All issued shares are fully paid and belong to a single class, carrying equal voting rights. Shareholders are entitled to receive dividends as declared and have one vote per share at company meetings.

Movements in ordinary voting shares

There is no movement in ordinary voting shares within the year.

Dividends on ordinary share capital

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the company's shareholders. Interim dividends are deducted from equity when they are paid.

As at 31 December	2024		2023	
	Nos	Rs.	Nos	Rs.
At the beginning of the year	66,230,407	675,564,870	66,230,407	675,564,870
Addition/ New Shares	-	-	-	-
At the end of the year	66,230,407	675,564,870	66,230,407	675,564,870

30 INSURANCE CONTRACT LIABILITIES

Accounting Policy

Life insurance liabilities are recognised when contracts are entered into and premiums are charged. These liabilities are measured by using the gross premium valuation, which cash flows discounted using the best estimate investment returns. All other assumptions are at best estimate with risk margins as per RBC basis.

30.1 Use of Judgements, Estimates and Assumption

30.11 Product Classification

According to SLFRS 4, Insurance Contract is a contract under which one party (the insurer) accept significant insurance risk from another party (the policyholder) by agreeing to compensate the policyholder if a specified uncertain future event (the insured event) adversely affect the policyholder.

Insurance contracts are those contracts when the company (the insurer) has accepted significant insurance risk from another party (the policyholders) by agreeing to compensate the policyholders if a specified uncertain future event (the insured event) adversely affects the policyholders. As a general guideline, the company determines whether it has significant insurance risk, by comparing benefits paid with benefits payable if the insured event did not occur. Insurance contracts can also transfer financial risk.

Investment contracts are those contracts that transfer significant financial risk and no significant insurance risk. Financial risk is the risk of a possible future change in one or more of a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of price or rates, credit rating or credit index or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract.

Once a contract has been classified as an insurance contract, it remains an insurance contract for the remainder of its lifetime, even if the insurance risk reduces significantly during this period, unless all rights and obligations are extinguished or expire. Investment contracts can, however, be reclassified as insurance contracts after inception if insurance risk becomes significant.

All the products sold by the Company are insurance contracts and therefore classified as Insurance contracts under the SLFRS 4 – Insurance Contracts. Thus, the company does not have any investment contracts within its product portfolio as at the reporting date.

30.12 Valuation of Life Insurance Contract Liabilities

The liability of the insurance contracts is valued using the Gross Premium Valuation (GPV) methodology. GPV liability is a prospective valuation method which is derived by discounting the projected future cash flows of each individual policy. These policy cash flows reflect the best estimate assumptions of the current portfolio and increased with a margin for risk an adverse deviation. All contracts are subject to a Liability Adequacy Test (LAT), which reflect management's best current estimate of future cash flows.

The main assumptions used relate to discount rate, mortality, morbidity, withdrawal, expenses and expense inflation, lapses, surrender rates and discount rates as further detailed in Note 30.6. For those contracts that insure risk related to longevity, prudent allowance is made for expected future mortality improvements, as well as wide ranging changes to the life style, which could result in significant changes to the expected future mortality exposure.

Estimates are also made for future investment income arising from the assets backing life insurance contracts.

These estimates are based on current market returns, as well as expectations about future economic and financial developments

Assumptions on future expense are based on current expense levels, adjusted for expected expense inflation, if appropriate. Lapse and surrender rates are based on the company's historical experience of lapses and surrenders.

Discount rates are based on current industry risk rates, adjusted for the company's own risk exposure.

Actuarial valuation of life insurance fund

The directors agree to the long-term insurance provision for the company at the year-end on the recommendations of the Independent Consultant Actuary following his annual investigation of the life insurance business. The actuarial valuation takes into account all liabilities and is based on assumptions recommended by the Independent Consultant Actuary.

30.2 Liability adequacy test for financial reporting

As required by the SLFRS 4 - Insurance Contracts, the Company performed a Liability Adequacy Test (LAT) in respect of Life Insurance contract liabilities with the assistance of an external qualified actuary. In performing the adequacy test, current best estimates of future contractual cash flows, including related cash flows such as claims handling and policy administration expenses, policyholder options and guarantees, as well as investment income from assets backing such liabilities, are used. If that assessment that the carrying amount of the liabilities (less related assets) is insufficient in light of the estimated future cash flows, the deficiency is recognised in the Statement of Income by creating an additional provision in the Statement of Financial Position.

30.3 Insurance Contract Liabilities - Life

As at 31 December	2024	2023
	Rs.	Rs.
Life Insurance Fund	2,699,678,369	2,880,737,620
AFS Reserve	16,032,020	5,126,263
	2,715,710,389	2,885,863,883

30.4 Change in contract liabilities - life fund

During 2024	2024	2023
	Rs.	Rs.
Increase in life insurance fund before surplus transfer	(181,059,252)	(357,222,576)
Surplus transferred from / (to) shareholders	-	948,956,234
	(181,059,252)	591,733,658

NOTES TO THE FINANCIAL STATEMENTS

30 INSURANCE CONTRACT LIABILITIES CONTD.

30.5 Movement in Life Fund

As at 31 December	2024	2023
	Rs.	Rs.
Balance as at 01 January	2,885,863,883	2,241,859,388
Change in contract liabilities life fund		
Increase in life insurance fund before surplus transfer	(181,059,252)	(357,222,576)
Surplus transferred from / (to) shareholders	-	948,956,234
Increase in life insurance fund	(181,059,252)	591,733,658
Movement in AFS reserve transferred to life fund	10,905,758	52,270,837
Balance as at 31 December	2,715,710,389	2,885,863,883

The valuation of the Life Insurance business as at 31 December 2024 was assessed by Actuarial Partners Consulting Sdn Bhd. According to the Actuarial Valuation which is based on a distribution basis, the reserve amounted to Rs. 2,715 Mn (2023 - 2,885 Mn) is adequate to cover the liabilities pertaining to the Life Insurance Business.

Long duration contract liabilities included in the Life Insurance Fund, result primarily from traditional non - participating Life Insurance products. The actuarial reserves have been established based on gross premium valuation (GPV) with cash flows discounted using the best estimate investment return.

According to Solvency margin rules (Risk Based Capital) effective from 1 January 2016, Life Insurance Policy Liabilities are valued as per the Gross Premium Valuation (GPV) method. The change in the valuation method from Net Premium Valuation (NPV), which was applicable under the previous Solvency Margin Rules and GPV as per the new rules resulted in a one off release in Liabilities. The external actuary, Actsure Lab Pvt. Limited has reworked the one off surplus which is amounting to Rs. 320 Mn on the RBC Basis. The one off surplus is applicable only for the non participating businesses. The Company does not engage in participating business. As company has adopted a distribution basis for the insurance contract liability valuation, the one off surplus will not be transferred to the shareholder fund as a restricted reserve.

As per the actuarial valuation, the Life Insurance Fund included in the financial statements shows no deficit in the required actuarial reserves as at 31 December 2024, before any transfers to shareholders. Accordingly, no transfer from the Shareholders' Fund to the Life Insurance Fund has been recommended by the Actuary for the year 2024.

With respect to the Non-Participating Fund, the market value of assets, including the one-off surplus carried forward in the fund, exceeds the market value of policyholder liabilities. As at 31 December 2024, a surplus of Rs. 38.78 million has emerged in the Non-Participating Fund. Since this surplus has arisen after utilising the one-off surplus carried forward from prior years, no shareholder transfer has been recommended. Furthermore, there is no remaining carried forward surplus in the Non-Participating Fund as at the reporting date.

Liability Adequacy Test (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance contract Liability was carried out by Actuarial Partners, as at 31 December 2024 as required by SLFRS 4 - Insurance Contracts. When performing the LAT, the Company discounted all contractual cash flows and compared this amount with the carrying value of the liability.

30.6 Key assumptions

The main assumptions used to estimate liability are as follows.

Mortality	The latest industry mortality table for male and female is used.
Discount rate	The discount rates are derived based on the asset mix and expected rates of return of the Company. The cash flows are discounted using the best estimate expected fund return. This is derived based on the Company's expected return.
Inflation	Based on the weighted salary increment experience from Arpico and the expected inflation of Sri Lanka for non-salary expense.
Morbidity	Based on the company experience

30.7 Sensitivity Analysis

The following analysis provides the sensitivity of the life insurance liability due to possible movements in key assumptions with all other assumptions held constant, and shows the impact on gross liabilities.

	Change in assumption	Impact on gross liabilities
31-Dec		2024 %
Expenses	+ 10 %	2.69%
Mortality	+ 10 %	0.27%
Mortality	- 10 %	-0.27%
Discount Rate	+ 50 basis points	-1.03%
Discount Rate	- 50 basis points	1.07%

30.8 Expected Maturity Profile for Reserves for Insurance Contracts, Net of Reinsurance (Undiscounted Cash Flows)

As at 31 December	2024	2023
	Rs.	Rs.
< 1 year	78,646	345,199
1 to 5 years	1,623,649	2,206,867
5 to 10 years	1,317,817	895,849
10 to 20 years	1,623,156	1,309,309
> 20 years	551,721	732,623

NOTES TO THE FINANCIAL STATEMENTS

31 EMPLOYEE BENEFIT OBLIGATION

Accounting Policy

Short-term employee benefit obligations are recognised on an undiscounted basis and expensed as the related service is rendered. A liability is recorded for expected short-term cash bonuses if the Company has a present legal or constructive obligation due to past employee service and if the amount can be reliably estimated.

Defined Contribution Plans

A defined contribution plan is a post employment benefit plan under which an entity pays fixed contributions into a separate entity and has no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in the income statement in the periods during which related services are rendered by employees.

Employees' Provident Fund

All employees of the Company are members of the Employees' Provident Fund (EPF). The Company and employees contribute 12% and 8% respectively of the salary, monthly to the Employees Provident Fund managed by the Central Bank of Sri Lanka.

Employees' Trust Fund

All employees of the Company are members of the Employees' Trust Fund (ETF). The Company contributes each month at the rate of 3% of the salaries of each employee, to the Employees' Trust Fund administrated by the Employees' Trust Fund Board.

Following contributions have been made to the employee provident fund and employee trust fund during the year

For the year ended 31 December	2024	2023
	Rs.	Rs.
Employees' Provident Fund (EPF)		
Employer's contribution (12%)	22,635,977	25,716,968
Employee's contribution (8%)	15,090,651	17,144,645
Employees' Trust Fund (ETF)		
Employer's contribution (3%)	5,549,831	6,429,242

31.1 Defined Benefit Plans - Gratuity

A defined benefit plan is a post employment benefit plan other than a defined contribution plan. . The Company is liable to pay gratuity in terms of the Payment of Gratuity Act No. 12 of 1983, according to which a liability to pay gratuity arises only on completion of 5 years of continued service. In order to meet this liability, a provision is carried forward in the statement of financial position as per Sri Lanka Accounting Standard LKAS 19 - Employee Benefits. The actual valuation involves making assumptions about discount rate, salary increment rate and balance service period of employees and projected unit credit method has been applied for the valuation. Due to the long term nature of plans such estimates are subject to significant uncertainty.

As per LKAS 19 - Employee Benefits, the re- measurement of the net defined benefit liability, which comprises actuarial gains and losses are recognised immediately in other comprehensive income. Interest cost and current service cost are recognised in profit or loss.

	2024	2023
	Rs.	Rs.
Gratuity benefit obligation		
Balance as at 1 January	15,667,480	17,057,855
Included in Profit or Loss:		
Current service cost	2,746,281	2,531,290
Past service cost	-	-
Interest cost on benefit obligation	2,193,448	3,411,571
Included in OCI:		
(Gain) / Loss arising from changes in assumptions	(660,193)	4,164,915
Other		
Gratuity transfer		-
Gratuity paid / payable for those who left during the period	(4,068,271)	(11,498,151)
Balance as at 31 December	15,878,745	15,667,480

The actuarial valuation for the gratuity liability was carried out as at 31 December 2024, by Mr. Poopalanathan, of Actuarial and Management Consultants (Pvt) Ltd.

31.2 Principal Actuarial Assumptions Used

The cost of defined benefit plans which is gratuity is determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, future salary increases and mortality rates. Due to the complexity of the valuation, the underlying assumptions and its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Details of the key assumptions used by the actuary in valuation of gratuity liability are set out as below;

Assumption	2024	2023
Discount rate	10.00%	14.00%
Future salary increases	8.00%	11.00%
Staff turnover rate	31% - 39%	24% - 36%
Retirement age	60 years	60 years

NOTES TO THE FINANCIAL STATEMENTS

31 EMPLOYEE BENEFIT OBLIGATION

31.3 Sensitivity Analysis

Sensitivity analysis on discounting rate and salary increment rate to Statement of Financial Position and Comprehensive Income

Assumption	2024			2023	
	Rate change	Impact to Financial Position-Increment / (Reduction) of Liability (Rs. 000)	Impact to Comprehensive Income-Charged / (Reversal) (Rs. 000)	Impact to Financial Position-Increment / (Reduction) of Liability (Rs. 000)	Impact to Comprehensive Income-Charged / (Reversal) (Rs. 000)
Discount rate	1%	(15,479)	(15,479)	(15,181)	(15,181)
Discount rate	-1%	16,302	16,302	16,188	16,188
Salary increment rate	1%	16,328	16,328	16,219	16,219
Salary increment rate	-1%	(15,447)	(15,447)	(15,143)	(15,143)

31.4 Maturity profile of defined benefit obligation

The following payments are expected on employee benefit liabilities in future years

As at 31 December	2024	2023
	Rs.	Rs.
Less than one year	4,639,366	3,314,946
Between 1-2 years	5,595,909	4,728,551
Between 3-5 years	3,834,520	4,940,475
Beyond 5 years	1,808,950	2,683,509
	15,878,745	15,667,480

32 REINSURANCE PAYABLES

Accounting Policy

Insurance payables are recognised when due and measured on initial recognition at the fair value of the consideration received less directly attributable transaction costs. Subsequent to initial recognition, they are measured at amortised cost using the effective interest rate method.

Insurance payables are derecognised when the obligation under the liability is settled, cancelled or expired.

As at 31 December	2024	2023
	Rs.	Rs.
Munich Re	7,234,979	32,823,708
Hannover Re	1,461,668	4,755,495
	8,696,647	37,579,204

33 AMOUNTS DUE TO RELATED PARTIES

As at 31 December	2024	2023
	Rs.	Rs.
Amounts due to related companies	7,114,065	49,590,990

33.1 Related Parties

As at 31 December	Relationship	2024	2023
		Rs.	Rs.
Richard Pieris & Company PLC	Ultimate Parent	7,114,065	11,696,838
Kegalle Plantation PLC	Immediate Parent	-	-
Richard Pieris Distributors Limited	Fellow Subsidiary	-	37,894,153
		7,114,065	49,590,990

34 OTHER FINANCIAL LIABILITIES

Accounting Policy

34.1 Initial recognition and measurement

Financial liabilities within the scope of LKAS 39 are classified as financial liabilities at fair value through profit or loss or loans and borrowings as appropriate. The company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings, carried at amortised cost. This includes directly attributable transaction costs.

34.2 Subsequent measurement

The measurement of financial liabilities depends on their classification as follows.

Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. Gains or losses on liabilities held for trading are recognised in the statement of income. The company has not designated any financial liabilities upon initial recognition as fair value through profit or loss.

Other financial liabilities

Loans and borrowings are carried at amortised cost after initial recognition.

34.3 De recognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires

As at 31 December	2024	2023
	Rs.	Rs.
Agency commission payable	18,249,550	3,037,429
Accrued expenses	138,254,427	104,795,854
Claims outstanding	21,356,751	18,450,500
	177,860,728	126,283,782

NOTES TO THE FINANCIAL STATEMENTS

35 OTHER LIABILITIES

Accounting Policy

Financial liabilities are initially recognised, when the Company becomes a party to the contractual provisions of the instrument. All financial liabilities are recognised initially at fair value, net of directly attributable transaction costs, except in the case of financial liabilities at fair value through profit or loss.

Other Liabilities include advances and Government levies payable and these liabilities are recorded at the amounts that are expected to be paid.

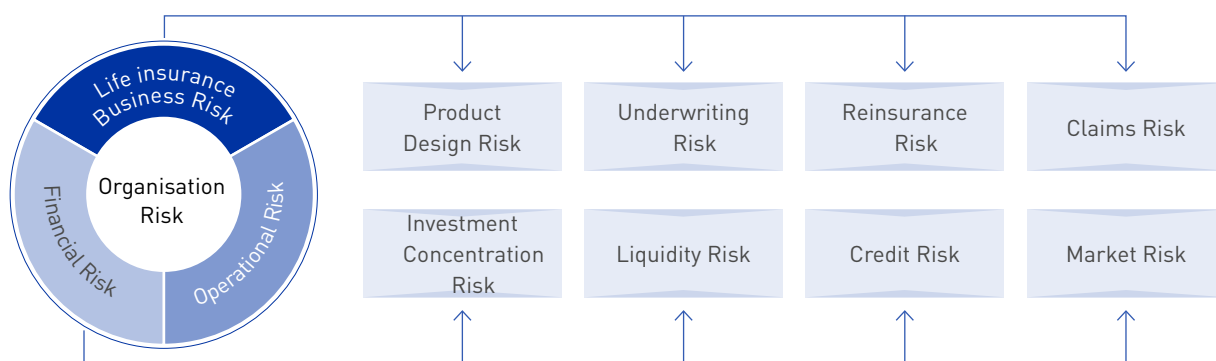
As at 31 December	2024	2023
	Rs.	Rs.
Policyholder advance payments	57,322,577	66,039,838
Government levies	(21,926,772)	2,396,041
	35,395,805	68,435,879

36 RISK MANAGEMENT FRAME WORK

36.1 Overview

The mission of risk management of the company is to promptly identify, measure, manage, report and monitor risks that affect the achievement of strategic, operational and financial objectives. This includes adjusting the risk profile in line with the Company's stated risk tolerance to respond to new threats and opportunities in order to optimise returns.

The Company is exposed to the following risks and considers in Risk Management



This note presents information about Company's exposure to each of the above risks, the Company's objectives, policies and processes for measuring/managing such risks, and the manner in which the Company manages its capital.

36.2 Risk management framework

36.21 Governance framework

The primary objective of the Company's risk and financial management framework is to protect the Company's shareholders from events that could hinder the sustainable achievement of financial objectives, including failure to exploit opportunities. The Board of Directors has the overall responsibility for the establishment and oversight of the Company's risk management framework and thus, their approval is necessary for the risk management strategy and risk policies pertaining to all activities of the Company. Further, the Board also ensures that adequate resources, expertise and support are provided for the effective implementation of the risk management strategy, policies and procedures of the Company. Management recognises the paramount importance of having efficient and effective risk management systems in place.

The board of directors has appointed a Risk Management Committee, chaired by an independent director comprising members of the senior management from business operations and control functions, which oversees the risk management activities of the Company. The activities cover areas such as the evaluation of business processes, design and implementation of the risk strategy and risk policies, review and updating of the risk profile, delegation of authority, monitoring of risk mitigation activities, etc.

The Board of Directors approves the Company's risk management policies and meets regularly to approve any commercial, regulatory and organisational requirements of such policies. These policies define the Company's identification of risk and its interpretation, limit structure to ensure the appropriate quality and diversification of assets, align underwriting and reinsurance strategy to the corporate goals, and specify reporting requirements.

36.22 Capital management objectives, policies and approach

The Company has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- To maintain the required level of solvency of the Company, thereby providing a degree of security to policyholders
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders and policyholders
- To retain financial flexibility by maintaining strong liquidity
- To align the profile of assets and liabilities taking account of risks inherent in the business
- To maintain financial strength to support new business growth and to satisfy the requirements of the policyholders, regulators and other stakeholders
- To maintain healthy capital ratios in order to support its business objectives and maximise shareholders' value

The operations of the Company are subject to regulatory requirements. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions (e.g. Solvency Margin, Approved Assets Requirements of IRCSL) to minimise the risk of default and insolvency on the part of the Company to meet unforeseen liabilities as these arise. The Company has been in compliance with all these regulatory requirements throughout the financial year to the best of our knowledge.

Approach to capital management

The Company seeks to optimise the structure and sources of capital to ensure that it consistently maximises returns to the shareholders and policyholders. The Company's approach to managing capital involves managing assets, liabilities and risks in a coordinated way, assessing shortfalls between reported and required capital levels on a regular basis and taking appropriate actions to influence the capital position of the Company in the light of changes in economic conditions and risk characteristics.

The primary source of capital used by the Company is equity shareholders' funds. The capital requirements are routinely forecasted on a periodic basis by the management and the Board. The solvency margins are calculated on a monthly basis and shared with the Board.

NOTES TO THE FINANCIAL STATEMENTS

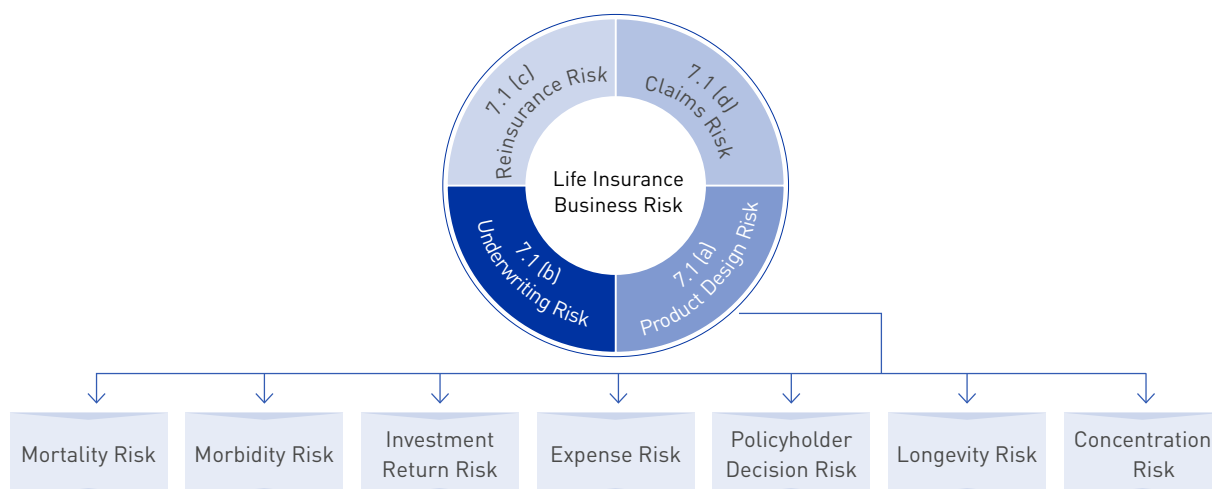
36 RISK MANAGEMENT FRAME WORK CONTD.

(c) Regulatory framework

Insurance regulator in the Country, Insurance Regulatory Commission of Sri Lanka (IRCSL) is primarily interested in protecting the rights of policyholders and monitors the Company closely to ensure that it is satisfactorily managing affairs for the benefit of policyholders. At the same time, they are also interested in ensuring that the Company maintains an appropriate solvency position to meet unforeseen liabilities arising from economic shocks, natural disasters, etc.

Thus, the operations of the Company are subject to regulatory requirements of the IRCSL as well as various other regulators such as Central Bank of Sri Lanka (CBSL), Department of Inland Revenue etc. The Company is also regulated by the Companies Act No. 07 of 2007.

36.3 Life Insurance Business Risk



The principal risk the Company faces under insurance contracts is that the actual claims and benefit payments or the timing thereof, may differ from expectations. This is influenced by the frequency of claims, severity of claims, actual benefits paid and subsequent development of long-term claims. Therefore, the objective of the Company is to ensure that sufficient reserves are available to cover these liabilities.

Risk Response

- Diversification across a large portfolio of insurance contracts and geographical areas.
- The variability of risks is improved by careful selection and implementation of underwriting strategy guidelines.
- Use of reinsurance arrangements.
- Ensure compliance (determination) requirements imposed by the regulator (IRCSL)

Risk management procedures adopted by the Company to manage insurance risk is given on pages 232 to 233.

36.31 Product design risk

Life insurance product design is largely depending on futuristic hypothetical assumptions. Accordingly there is a risk of introducing unprofitable product to the market due to inappropriate use of assumptions or judgments.

The risk that the company is exposed to under Life Insurance Contracts are as follows.

Risk	Description
Mortality risk	Risk of loss arising due to policyholders' death experience being different from expected
Morbidity risk	Risk of loss arising due to policyholders health related claim experience being different from expected
Longevity risk	Risk that annuitants live longer than expected.
Investment return risk	Risk that actual returns being difference from expected.
Expense risk	Risk that expenses incurred in acquiring and administering policies being difference from expected.
Policyholder behaviour risk	Risk that policyholders' behaviour in discontinuing and reducing contributions or withdrawing benefits prior to the maturity of the contracts are different from expected.
Concentration risk	Risk of losses due to maintaining inadequate product portfolio/ mix. (Over dependence on a product, product type or geographical area)

36.32 Underwriting Risk

The company's underwriting strategy is designed to ensure that risks are well diversified in terms of type of risk and level of insured benefits. This is largely achieved through the use of medical screening in order to ensure that pricing takes account of current health conditions and family medical history, regular review of actual claims experience and product pricing. Underwriting limits are in place to enforce appropriate risk selection criteria. For example, the company has the right not to renew individual policies, it has the right to reject the payment of fraudulent claims.

Risk responses

- Maximum input is obtained from the Consultant Actuary and Reinsurer in deciding on the terms and conditions of products in order to ensure that products are adequately priced.
- Only registered laboratories are used when obtaining medical reports and regular visits are made by the management to such laboratories to monitor the quality of service.
- Focused training is provided to Insurance Advisors on proper selling in Sinhala, Tamil and English.
- A proposal form with Customer Need Analysis is used to identify customers' requirements and sell the most appropriate policy.

36.33 Reinsurance risk

The Company's objectives for purchasing reinsurance are to provide market-leading capacity for customers while protecting the balance sheet and optimising the Company's capital efficiency. Reinsurance ceded is placed on a proportional basis. A proportional reinsurance arrangement includes both Quota Share and Facultative Treaty programmes which is taken out to reduce the overall exposure of the Company to certain classes of business. Premium ceded to the reinsurers is in accordance with the terms on the programmes already agreed based on the risks written by the insurance companies.

Recoveries from reinsurers on claims are based on the cession made in respect of each risk and is estimated in a manner consistent with the outstanding claims provisions made for the loss. Although we mitigate our exposures through prudent reinsurance arrangements, the obligation to meet claims emanating from policyholders rests with the Company. Default of reinsurers does not negate this obligation and in that respect the Company carries a credit risk up to the extent ceded to each reinsurer.

NOTES TO THE FINANCIAL STATEMENTS

36 RISK MANAGEMENT FRAME WORK CONTD.

The Company's placement of reinsurance is arranged in a manner that is neither dependent on a single reinsurer nor substantially dependent upon any single reinsurance contract. The Company uses Munich Re as its reinsurance provider for individual policies as well as for Group policies. The company also uses Hannover Re in certain cases.

Credit ratings of the reinsurance companies with whom the Company has arrangements.

Reinsurer	Rating	Rating Agency
Munich Re	AA-	Fitch
Hannover Re	AA-	Fitch

Risk Responses

- Reinsurance is placed in line with policy guidelines approved by the Board of Directors on an annual basis based on the guidelines issued by the IRCSL.
- Outstanding reinsurance receivables are reviewed on a monthly basis to ensure that all dues are collected or set off against payables on time.
- A very close and professional relationship is maintained with all reinsurers.
- Only a globally trusted and stable portfolio of reinsurance companies which are rated highly by Standard & Poors or AM Best is used.

The Company reinsures approximately 3- 4 % of gross written premium

For the year ended 31 December	2024 Rs.	2023 Rs.
Gross written premium	1,968,762,572	2,236,604,711
Reinsurance	(87,487,646)	(95,541,262)
Net Written Premium	1,881,274,926	2,141,063,449

The Company has recovered approximately 5% of gross claims from reinsurers during the period under review (2023 - 4%)

For the year ended 31 December	2024		2023	
	%	Rs.	%	Rs.
Gross claims paid		1,199,244,562		1,457,211,919
Claims recovered from reinsurers	5%	(55,685,926)	4%	(56,077,299)
Net Claims		1,143,558,636		1,401,134,620

36.34 Claim Risk

The company further enforces a policy of actively managing and promptly pursuing claims, in order to reduce its exposure to unpredictable future developments that can negatively impact the company. For contracts for which death or disability is the insured risk, the significant factors that could increase the overall frequency of claims are epidemics, widespread changes in lifestyle and natural disasters, resulting in earlier or more claims than expected. The Company limits exposure on any single life by way of retention limits agreed with the reinsurers.

Risk responses

- Obtaining adequate Reinsurance cover
- An Independent Actuary is engaged to carry out a valuation of the Life Fund twice a year.
- Claims are reserved immediately at the intimation or on the availability of information of the death or injury of an insured.
- The Claims Panel (comprising Specified Officer, Principal Officer and Manager Actuarial) is involved in taking decisions on significant / problematic claims and appeals made in respect of claims.

36.4 Financial Risk

36.41 Investment Concentration Risk

Investment concentration risk is arising due to less diversification of investment portfolio or investing too heavily in one industry, one geographic area or one type of security.

Risk Response

- The Company ensures that an acceptable level of risk. diversification is maintained on an ongoing basis.
- Assets allocation limits are regularly reviewed by the Risk Officer.

Investment concentration related to financial investments is given below.

As at 31 December	2024		2023	
	Rs.	%	Rs.	%
Government securities	1,887,927,734	44	1,716,177,190	43
Corporate debt securities	622,699,380	15	653,557,574	17
Fixed deposits	1,072,650,120	25	1,114,975,140	28
Quoted equities	447,346,786	10	246,838,280	6
RPAF loan	100,003,164	2	100,000,000	3
Unit trusts	132,351,647	3	118,336,033	3
	4,262,978,831	100	3,949,884,217	100

36.42 Liquidity risk

Liquidity risk is the risk that the company may not have sufficient liquid financial resources to meet its obligations when they fall due, or would have to incur excessive costs to do so. In respect of catastrophic / unexpected large claim events there is also a liquidity risk associated with the timing differences between gross cash outflows and expected reinsurance recoveries.

Risk response

- The Board Investment Committee (BIC) manages this risk by diversifying investment durations and reviewing cash flow projections regularly.
- Guidelines are set for asset allocations, portfolio limit structures and maturity profiles of assets, in order to ensure availability of sufficient funding to meet insurance and investment contract obligations.
- Reinsurance contracts contain clauses permitting the immediate draw down of funds to meet claim payments should claim events exceed a certain size.
- Reviewing the maturity mix of the investment portfolio by the Management and the Investment Committee (IC) on a regular basis.
- Maintaining sufficient cash balances, overnight investments and other short tenure investments to accommodate expected obligations and commitments of the Company.

NOTES TO THE FINANCIAL STATEMENTS

36 RISK MANAGEMENT FRAME WORK CONTD.

36.4 Financial Risk Contd.

Excess liquidity position of the Company excluding insurance contract liabilities is given below;

As at 31 December	2024		2023	
	Rs. '000	%	Rs. '000	%
Up to one year	1,518,701	36	985,019	24
1 - 5 years	2,048,732	49	2,807,873	67
Over 5 years	622,846	15	388,512	9
	4,190,280	100	4,181,403	100

The table below summarises the maturity profile of the non- derivative financial assets and Liabilities of the Company based on remaining undiscounted contractual obligations, including interest payable and receivable.

As at 31 December 2024	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	Above 5 years Rs '000	Total Rs '000
Financial assets						
Loans & receivables	2,232,095	1,217,237	891,184	123,674	-	2,232,095
Available for sale	780,241	-	-	332,894	447,347	780,241
Held to maturity	1,118,292	316,184	297,415	388,585	116,108	1,118,292
Fair value through profit or loss	132,352	132,352	-	-	-	132,352
Amounts due from related parties	5,936	5,936	-	-	-	5,936
Life policyholders loans	199,044	-	59,713	77,627	61,704	199,044
Reinsurance receivable	10,520	10,520	-	-	-	10,520
Premiums receivable	59,716	59,716	-	-	-	59,716
Cash and cash equivalents	53,869	53,869	-	-	-	53,869
Total assets	4,592,065	1,795,814	1,248,312	922,780	625,159	4,592,065

As at 31 December 2024	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	Above 5 years Rs '000	Total Rs '000
Financial liabilities						
Reinsurance payables	8,697	8,697	-	-	-	8,697
Amounts due to related parties	7,114	7,114	-	-	-	7,114
Other financial liabilities	177,861	177,861	-	-	-	177,861
Lease Liabilities	208,114	83,441	72,720	49,640	2,312	208,114
Total liabilities	401,785	277,112	72,720	49,640	2,312	401,785
Total excess liquidity	4,190,280	1,518,701	1,175,592	873,140	622,846	4,190,280

As at 31 December 2023	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	Above 5 years Rs '000	Total Rs '000
Financial assets						
Loans & receivables	2,193,341	789,233	1,253,087	504,029	-	2,546,348
Available for sale	547,160	-	-	318,875	246,838	565,713
Held to maturity	1,091,047	168,106	336,225	543,341	141,600,000	1,189,273
Fair value through profit or loss	118,336	118,336	-	-	-	118,337
Life policyholders loans	241,246	-	72,665	95,126	73,465	241,256
Reinsurance receivable	11,109	11,109	-	-	-	11,109
Premiums receivable	122,461	122,461	-	-	-	122,461
Cash and cash equivalents	56,396	56,396	-	-	-	56,396
Total assets	4,140,091	1,265,641	1,589,385	1,366,340	388,512	4,609,878

As at 31 December 2023	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	Above 5 years Rs '000	Total Rs '000
Financial liabilities						
Reinsurance Payables	37,579	37,579	-	-	-	37,579
Amounts due to related parties	49,591	49,591	-	-	-	49,591
Other financial liabilities	119,526	119,526	-	-	-	119,526
Lease liabilities	221,777	73,926	147,852	-	-	221,777
Total liabilities	428,474	280,622	147,852	-	-	428,474
Total excess liquidity	3,711,617	985,019	1,441,533	1,366,340	388,512	4,181,404

36.43 Credit risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation. The Company's credit risk could mainly arise from financial assets such as its investment portfolios, premium receivables from policyholders, receivables from reinsurers, loans given to policyholders and cash and cash equivalents etc.

Credit exposure

Company's exposure to credit risk as at the Balance sheet date is given in below table with the comparative figures.

As at 31 December	2024		2023		2022	
	Rs '000	% of Allocation	Rs '000	% of Allocation	Rs '000	% of Allocation
Financial Investments	4,262,979	93	3,949,884	90	3,466,090	85
Life policyholders loans	199,044	4	241,246	6	321,812	8
Reinsurance receivable	10,520	0	11,109	0	1,903	-
Amounts due from related parties	5,936	0	30,986	1	21,654	1
Premiums receivable	59,716	1	91,475	2	99,335	2
Cash in hand and at bank	53,869	1	56,396	1	169,800	4
Total credit risk exposure	4,592,064	100	4,381,096	100	4,080,594	100

As of December 31 2024 the largest credit risk exposure of 93% (2023 - 90%) is arising from financial investments.

Credit Risk Related to Financial Investments

The Company is exposed to credit risk from counterparties where the Company holds securities issued by those entities.

Credit ratings of counterparties were downgraded during the year following downgrading of the country's overall credit rating as a direct result of suspension of servicing foreign debt. However, there is no significant impact to the financial statements stemming from downgraded debenture investments of the Company.

Risk Response

- The Company's investment policy prohibits non-graded investments, unless specifically authorised.
- Appropriate actions are implemented when the Company identifies investments that are expected to be downgraded.
- The Company identifies and selectively reduces unsecured and subordinated credit exposure issued by third parties with weak credit profiles.
- Structured finance exposures are assessed on a look through basis prior to acquisition and not merely on the strength of prevailing credit ratings or credit profiles.

NOTES TO THE FINANCIAL STATEMENTS

36 RISK MANAGEMENT FRAME WORK CONTD.

36.43 Credit risk Contd.

The Company actively manages its investment portfolio to ensure that there is no significant concentration of credit risk. The Company monitors concentration of credit risk by sector and instrument. An analysis of concentration of credit risk and credit quality of financial investments are shown below.

As at 31 December	Held to maturity financial assets	Loans and receivables	Available for sale financial assets	Financial assets at fair value through profit or loss	2024	% of allocation
	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000
Financial investments						
Government securities						
Treasury Bonds	1,118,292	-	332,894	-	1,451,186	34
Treasury Bills	-	0	-	-	0	0
Reverse Repo	-	436,742	-	-	436,742	10
Corporate debt securities						
A+ A-	-	52,106	-	-	52,106	1
BBB+ BB-	-	670,597	-	-	670,597	16
Deposits	-	1,072,650	-	-	1,072,650	25
Unit Trusts	-	-	-	132,352	132,352	3
Maximum exposure to credit risk, carrying amount	1,118,292	2,232,095	332,894	132,352	3,815,632	90

As at 31 December	Held to maturity financial assets	Loans and receivables	Available for sale financial assets	Financial assets at fair value through profit or loss	2023	% of allocation
	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000
Financial investments						
Government securities						
Treasury Bonds	1,091,047	-	300,322	-	1,391,369	35
Treasury Bills	-	81,972	-	-	81,972	2
Reverse Repo	-	242,837	-	-	242,837	6
Corporate debt securities						
A+ A-	-	319,317	-	-	319,317	8
BBB+ BBB	-	434,241	-	-	434,241	11
Deposits	-	1,114,975	-	-	1,114,975	28
Unit Trusts	-	-	-	118,336	118,336	3
Maximum exposure to credit risk, carrying amount	1,091,047	2,193,341	300,322	118,336	3,703,046	94

Credit risk - financial investments in debt securities

Company limits its exposure to credit risk by analysing the creditworthiness of each debt security investment. The credit worthiness of a potential debt security investment is assessed mainly through ratings assigned to the issuing institution or the ratings assigned to an issue. The debt security investments are broadly categorised into investments in government securities and investments in corporate debt securities.

(i) Government securities

As shown in table above, as at 31 December 2024, 44% (2023 - 43%) of total credit exposure are from investments in government securities comprising treasury bonds, bills and repo investments. Government securities are usually referred to as risk free due to the sovereign nature of the instrument.

(ii) Corporate debt securities

As at 31 December 2024, corporate debt securities comprise 17% (2023 - 19%) of the total credit exposure which were rated "BBB" or better.

36.44 Credit risk relating to loans to life policyholders

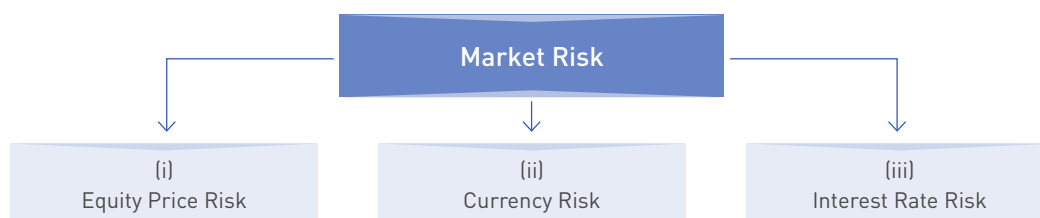
A loan issued by an insurance company considers the surrender value of the life policy as collateral. As at the balance sheet date, the value of policy loans granted amounted to Rs. 199 Million (2023 - Rs. 241 Million)

Credit risk relating to cash and cash equivalents

In order to mitigate concentration, settlement and operational risks related to cash and cash equivalents, the company limits the maximum cash amount that can be deposited with a single counterparty. In addition, the company maintains an authorised list of acceptable cash counterparties based on current ratings and economic outlook, taking into account analysis of fundamentals and market indicators. The company held cash and cash equivalents of Rs. 53 Million at 31 December 2024 (2023 - Rs. 56 Million). The cash and cash equivalents are held with banks and financial institutional counterparties, which are rated BBB or better.

36.44 Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices.



Risk Response

- A company market risk policy setting out the assessment and determination of what constitutes market risk for the company. Compliance with the policy is monitored and exposures and breaches are reported to the company investment committee. The policy is reviewed regularly for pertinence and for changes in the risk environment.
- Set asset allocation and portfolio limit structure, to ensure that assets back specific policyholder liabilities and the assets are held to deliver income and gains for policyholders which are in line with expectations of the policyholders.

NOTES TO THE FINANCIAL STATEMENTS

36 RISK MANAGEMENT FRAME WORK CONTD.

(i) Equity price risk

Equity price risk is the risk that the fair value / present value of future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market.

The Company's equity price risk exposure relates to financial assets and financial liabilities whose values will fluctuate as a result of changes in market prices. The company's price risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments, diversification plans, limits on investments in each sector and market.

The company has no significant concentration of risk.

(ii) Currency risk

Currency risk is the risk that the fair value / present value of the future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company's principal transactions are carried out in Sri Lankan Rupees and its exposure to foreign exchange risk is very minimal.

Risk Response

- The Company's financial assets are primarily denominated in the same currencies as its insurance.
- Prioritising critical foreign currency payments with bank partners to ensure continuous settling of foreign currency payments
- As agreed with reinsurers settling net reinsurance payment after setting off reinsurance receivable against reinsurance payable.

(iii) Interest rate risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Floating rate instruments expose the company to cash flow interest risk, whereas fixed interest rate instruments expose the company to fair value interest risk.

The Central Bank of Sri Lanka (CBSL) adopted a tightening monetary policy stance during the financial year, resulting in an upward trend in interest rates. Elevated pressures on inflation on account of many factors including increases in global commodity prices, food supply and the sharp depreciation of the currency in March 2022 have resulted in strong actions by the CBSL on monetary policy. Such actions have raised monetary policy rates significantly and helped bridge the gap between policy and market interest rates. Government security yields which have a direct bearing on the Company's investment income, increased correspondingly during the year. The Company proactively changed the asset allocation to capitalise on high interest rate environment. However, higher interest rate environment has a negative impact on capital adequacy ratio (CAR) of the Company and the Company has taken various measures to mitigate the impact on capital adequacy ratio to the possible extent.

Risk Response

- The Investment Committee keeps a regular track of macroeconomic scenarios and their likely impact on interest rates and corresponding impact on the investment portfolio.
- Monthly review of upcoming cash flows and established suitable investment strategies to take advantages of the increasing interest rate.
- Proactively evaluate and execute forward purchases to lock in future cash flows at favourable interest rates.
- Initial recognition of investments is closely monitored.
- Re-design of investment portfolio to keep in par with the interest rate movements.

36.5 Operational risk

Operational risk is the risk of loss arising from system failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or can lead to financial losses. The Company cannot expect to eliminate all operational risks, but by initiating a rigorous control framework and by monitoring and responding to potential risks, the Company is able to manage the risks.

Risk Response

- Segregation of duties, including the independent authorisation of transactions
- Compliance with regulatory and other legal requirements
- Documentation of controls and procedures
- Periodic assessment of operational risks faced, and the adequacy of controls and procedures to address the risks identified
- Reporting of operational losses and proposed remedial actions
- Development of contingency plans
- Ethical and business standards
- Risk mitigation, including insurance, where it is cost effective
- Compliance with Company standards, policies and procedures is supported by a programme of periodic reviews undertaken by internal audit
- The results of internal audit reviews are discussed, with audit committee and management

36.6 Capital Management

Objectives, Policies and Processes for Capital Management

For the purpose of the Company's capital management, capital includes stated capital, reserves and retained earnings. The primary objectives of the Company's capital management are to maximise shareholder returns, share price appreciation, sustain financial stability and financial strength.

The Company manages its capital structure and makes adjustments in light of changes in economic conditions and regulatory requirements to maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. The Company monitors capital using the Risk Based Capital method.

In terms of using capital, the Company engages in following value adding processes in order to provide the desired output to its varied stakeholders, while maintaining the right balance of risk based capital required.

- Providing financial security to citizens (Underwriting process)
- Management of overall business operations
- Prudent investments and risk management
- Delivering benefits and claims assured
- Closely follow up RBC guidelines issued by IRCSL

NOTES TO THE FINANCIAL STATEMENTS

36 RISK MANAGEMENT FRAME WORK CONTD.

The Company has adequate Total Available Capital (TAC) to support the Risk-Based Capital Required (RCR) or Surrender Value Capital Charge (SVCC) whichever is higher.

Summary Quantitative Data

As at 31 December	2024 Rs. '000	2023 Rs. '000	2022 Rs. '000
Total Available Capital (TAC)	1,611,333	1,427,064	2,225,237
Formula Risk Based Capital Required (RCR)	625,363	413,662	478,286
Surrender Value Capital Charge (SVCC)	498,785	345,732	511,232
Risk based Capital requirement (RCR)	625,363	413,662	511,232
Risk based Capital Adequacy Ratio (CAR)	258%	345%	435%

37 RELATED PARTY TRANSACTIONS

The company carries out transaction in the ordinary course of business with parties who are defined as related party is in Sri Lanka Accounting Standard, LKAS 24 "Related Party Disclosures.

The pricing applicable to such transactions is based on the assessment of risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated customers.

This note provides details of Arpico Insurance's related parties and the transactions which have taken place between the company and its related parties.

37.1 Terms and conditions

Transactions with related parties occur in the normal course of business. As of year-end, outstanding balances remain unsecured and interest-free, with settlements conducted in cash.

37.2 Guarantees

No guarantees were given or received during the period (2023 - Nil).

37.3 Transactions with Key Management Personnel (KMP) of the Company and close family members.

According to Sri Lanka Accounting Standard LKAS 24 "Related Party Disclosures", Key Management Personnel are those having authority and responsibility for planning, directing and controlling the activities of the entity.

Accordingly Arpico Insurance, considers its Board of Directors(Including Executive & Non-Executive Directors) and Board of Directors of Parent (Including Executive & Non-Executive Directors) as the KMP of the company.

For the year ended 31 December	2024 Rs. '000	2023 Rs. '000
Short term employee benefits	2,234,481	2,075,549

As at the reporting date, there were no receivable/payable amount relating to KMP.

Therefore, no Impairment losses have been recorded against balances outstanding from KMP.

Immediate Family Members (IFM) of a KMP are those family members who are likely to influence or be influenced by the KMP in their transactions with the Company. This includes the KMP's domestic partner, children, children of the domestic partner, and any dependents of either the KMP or their domestic partner. IFMs are considered related parties of the Company.

There were no transactions with IFMs of the Company's KMP during the year (2023: Nil).

There were no share-based transaction with KMP and IFM during the reporting period. (2023- Nil).

There were three changes to the board of directors of the company that is disclosed in the corporate governance section of this report.

37.4 Transactions with the ultimate controlling party of the company.

Richard Pieris & Company PLC is the parent/ ultimate controlling party of Arpico Insurance. The Company has transactions with its parent as follows

Insurance contracts transactions with the ultimate controlling party of the company.

	2024	2023
	Rs. '000	Rs. '000
Nature of the transaction		
Insurance premium received /receivable	27,161,491	34,028,698
Claim paid	(16,888,312)	(22,035,068)

Other transactions with the ultimate controlling party of the company.

	2024	2023
	Rs. '000	Rs. '000
Nature of the transaction		
Expenses incurred behalf of the company	(85,965,373)	(137,797,502)
Fund transfers	159,000,000	132,157,277

37.41 Transaction with / between subsidiary companies of parent company

Year ended 31 December	2024	2023
	Rs. '000	Rs. '000
Nature of the transaction		
Fellow subsidiaries		
Claim paid	(2,825,885)	(3,492,782)
Insurance premium received / receivable	7,862,846	8,946,321
Purchase of fixed assets	(1,650,330)	(3,320,690)
Rent paid	(11,630,898)	(12,567,966)
Interest received/receivables	12,377,260	12,257,500
Others	-	11,452,351

37.42 Recurrent related party transactions

There were no recurrent related party transactions which in aggregate value exceeded 10% of the gross revenue of the Company as per 31 December 2024 audited financial statements, which required additional disclosures in the 2024 Annual Report under Colombo Stock Exchange listing Rule 9.3.2 and Code of Best Practices on Related Party Transactions under the Securities and Exchange Commission Directive issued under Section 13(c) of the Securities and Exchange Commission Act

37.43 Non recurrent related party transactions

There were no non recurrent related party transactions which in aggregate value exceeds 10% of the equity or 5% of the total assets which ever is lower of the Company as per 31 December 2024 Audited Financial Statements, which required additional disclosures in the 2024 Annual Report under Colombo stock exchange listing rule 9.3.2

NOTES TO THE FINANCIAL STATEMENTS

38. COMMITMENT

There were no capital commitments and contingent liabilities as at the reporting date.

39 PROVISIONS AND CONTINGENCIES

Accounting Policy

A provision is recognised if, as a result of a past event, the Company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre - tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised in the profit or loss.

Contingent liabilities are disclosed if there is a possible future obligation as a result of a past event, or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated.

There have been no contingent Liabilities identified to recognise or disclose during the period

40 EVENTS OCCURRING AFTER THE REPORTING PERIOD

Accounting Policy

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the financial statements are authorised for issue.

No events have arisen since the reporting date which would require adjustment to or disclosure in the Financial Statements.

Accounting Policy**Operating Segment**

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the Chairman and the Board to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

Segment results that are reported to the Chairman include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

Reportable Segment

Reportable segments are operating segments or aggregations of operating segments that meet following criteria: its reported revenue, from both external customers and inter segment sales or transfers is 10% or more of the combined revenue, internal and external, of all operating segments; or the absolute measure of its reported profit or loss is 10% or more of the greater, in absolute amount, of (i) the combined reported profit of all operating segments that did not report a loss and (ii) the combined reported loss of all operating segments that reported a loss; or its assets are 10% or more of the combined assets of all operating segments.

Two or more operating segments may be aggregated into a single operating segment if aggregation is consistent with the core principles of the standard, the segments have similar economic characteristics and are similar in various prescribed respects.

If the total external revenue reported by operating segments constitutes less than 75% of the entity's revenue, additional operating segments must be identified as reportable segments (even if they do not meet the quantitative thresholds set out above) until at least 75% of the entity's revenue is included in reportable segments.

Company identify following six strategic geographic business units that are reportable segments complying to the accounting policy.

Reportable Segments	Operations
UVA	Branch operations in UVA province
Sabaragamuwa and Gampaha	Branch operations in Sabaragamuwa province and Gampah district
Corporate	Company wide Group policies
North, North Central and East	Branch operations in North, North Central and Eastern province
Southern and Central	Branch operations in Southern and Central and province

NOTES TO THE FINANCIAL STATEMENTS

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SEGMENT REPORTING CONTD.

As at 31 December	2024 Rs.	2023				2024				2023			
		Rs.		UVA		SABARAGAMUW and GAMPAHA		CORPORATE		NORTH, NORTH CENTRAL and EAST		SOUTHERN and CENTRAL	
Gross written premium	1,968,762,572	2,236,604,712	214,962,751	338,923,577	287,867,195	701,943,394	425,065,654	283,042,523	547,331,045	489,606,257	627,027,425	289,597,461	289,597,461
Premium ceded to reinsurers	(87,487,646)	(95,541,262)	(9,552,490)	(15,061,047)	(12,792,210)	(31,192,880)	(18,889,019)	(12,090,755)	(23,380,394)	(20,914,558)	(26,784,792)	(12,370,763)	(12,370,763)
Net written premium	1,881,274,926	2,141,063,449	205,410,262	323,862,530	275,074,985	670,750,514	406,176,635	270,951,768	523,950,651	468,691,699	600,242,633	277,226,698	277,226,698
Total other revenue	608,089,772	647,261,713	72,103,897	128,749,683	95,968,173	183,083,415	128,164,603	81,911,027	158,394,744	141,689,492	181,458,459	83,807,992	83,807,992
Net income	2,489,364,698	2,788,325,162	277,514,160	452,632,213	371,043,158	853,833,929	534,341,239	352,862,794	682,345,395	610,381,190	781,701,092	361,034,690	361,034,690
Net insurance benefits and claims	[1,161,030,799]	[1,401,134,620]	[75,746,906]	[175,858,887]	[467,233,719]	[255,820,797]	[186,370,491]	[143,367,804]	[321,776,385]	[586,286,229]	[256,047,507]	[121,492,544]	[121,492,544]
Underwriting and net acquisition costs	[531,502,361]	[624,048,548]	[79,694,843]	[98,126,874]	[60,018,935]	[191,279,623]	[102,382,086]	[78,973,399]	[152,714,130]	[136,607,990]	[174,950,697]	[80,802,331]	[80,802,331]
Change in contract liabilities - life fund	181,059,252	[591,734,541]	27,148,494	33,427,468	20,445,786	65,160,473	34,877,030	[74,884,058]	[144,806,404]	[129,534,259]	[165,891,534]	[76,618,287]	[76,618,287]
Other operating, administrative and selling expenses	[690,527,683]	[702,909,591]	[81,878,926]	[146,226,816]	[108,978,448]	[207,903,787]	[145,539,706]	[88,953,271]	[172,012,622]	[153,871,148]	[197,059,225]	[91,013,326]	[91,013,326]
Depreciation and Amortisation	[142,472,209]	[124,493,940]	[16,893,561]	[30,170,054]	[22,484,834]	[42,895,473]	[30,028,287]	[15,754,719]	[30,465,553]	[27,252,474]	[34,901,614]	[16,119,580]	[16,119,580]
Total benefits, claims and other expenses	[2,344,473,801]	[3,472,157,088]	[227,065,742]	[416,955,163]	[638,270,150]	[632,739,207]	[429,443,539]	[401,933,250]	[821,775,094]	[1,033,552,099]	[828,850,577]	[386,046,068]	[386,046,068]
Profit/(Loss) before tax	144,890,898	[683,831,926]	50,448,418	35,677,050	[26,726,992]	221,094,722	104,897,700	[49,070,456]	[139,429,699]	[423,170,909]	[47,742,167]	[25,011,378]	[25,011,378]

SUPPLEMENTARY INFORMATION



Building New Horizons

In the year under review, Arpico Insurance PLC has set in motion a transformation of processes and innovation so that all stakeholders will benefit from the organisation's evolution. With the trust of our customers firmly protected within our core, we look forward to the days ahead, underscored by a substantiated hope for a prosperous future.

INSURANCE REVENUE ACCOUNT

	Note	2024 Rs.	2023 Rs.
Gross written premium	6	1,968,762,572	2,236,604,711
Premium ceded to reinsurers	7	(87,487,646)	(95,541,262)
Net written premium		1,881,274,926	2,141,063,449
Other revenue			
Fees and commission income	8	30,467,426	29,250,346
Net Investment income	9	397,508,630	325,928,195
Net fair value gains / (losses)	10	7,930,090	12,767,927
Other operating revenue	11	6,010,235	5,660,615
Total other revenue		441,916,381	373,607,083
Net income		2,323,191,307	2,514,670,532
Net insurance benefits and claims paid	12	(1,143,558,636)	(1,401,134,620)
Net change in insurance claims outstanding	12	(17,472,163)	(27,835,847)
Underwriting and net acquisition costs	13	(531,502,361)	(624,048,548)
Change in contract liabilities - life fund	30	181,059,251	(591,734,541)
Other operating, administrative and selling expenses	14	(811,717,398)	(818,873,210)
Total benefits, claims and other expenses		(2,323,191,306)	(3,463,626,766)
Deficit Transfer to Life fund		-	(948,956,234)
Share Holder Fund			
Expenses not attributable to policy holders		(21,283,439)	(8,530,321)
Total revenue from share holders fund		166,174,337	273,654,630
Income tax expense		90,000,000	-
Profit from share holder fund		144,890,898	265,124,309
Profit after tax		234,890,898	(683,831,926)

STATEMENT OF FINANCIAL POSITION OF THE LIFE INSURANCE FUND

As at 31 December	Note	2024 Rs.	2023 Rs.
Assets			
Intangible assets	18	7,252,280	767,227
Property, plant and equipment	19	41,808,801	60,343,336
Right of use assets	20	171,032,028	198,167,665
Financial assets	21	2,855,053,335	1,942,890,318
Loans to life policyholders	22	199,044,250	241,246,301
Reinsurance receivables	23	10,519,552	11,108,850
Amounts due from related parties	24	5,936,182	-
Premium receivables	25	59,716,100	91,475,027
Other assets	26	82,402,960	717,511,595
Cash and cash equivalents	27	525,344,029	138,905,787
Total assets		3,958,109,517	3,402,416,107
Reserve and liabilities			
Reserve			
Other reserves		-	(4,164,915)
Total equity		-	(4,164,915)
Liabilities			
Insurance contract liabilities	30	2,715,710,389	2,885,863,883
Employee benefit obligation	31	15,878,745	15,667,480
Reinsurance payables	32	8,696,647	37,579,204
Lease liabilities	20	208,113,822	221,777,381
Amounts due to related parties	33	7,114,065	49,590,990
Other financial liabilities	34	179,396,606	130,062,245
Other liabilities	35	823,198,803	66,039,838
Total liabilities		3,958,109,517	3,406,581,021
Total equity and liabilities		3,958,109,517	3,402,416,106

10 YEAR SUMMARY - INCOME STATEMENT

	2024 Rs.	2023 Rs.	2022 Rs.	2021 Rs.	2020 Rs.
Gross written premium	1,968,762,572	2,236,604,711	2,318,578,356	2,311,632,930	1,836,100,261
Premium ceded to reinsurers	(87,487,646)	(95,541,262)	(71,539,608)	(103,292,315)	(91,424,657)
Net written premium	1,881,274,926	2,141,063,449	2,247,038,748	2,208,340,615	1,744,675,604
Other revenue					
Fees and commission income	30,467,426	29,250,346	50,077,425	45,547,057	34,222,629
Investment income	539,983,615	581,234,628	452,057,515	256,205,977	253,389,343
Fair value gains / (losses)	14,012,635	28,455,896	14,011,738	870,338	-
Net realised gains	17,615,861	-	4,601,930	-	-
Other operating revenue	6,010,235	8,320,843	31,077,813	7,149,084	9,039,175
Total other revenue	608,089,772	647,261,713	551,826,421	309,772,456	296,651,147
Net income	2,489,364,698	2,788,325,162	2,798,865,169	2,518,113,071	2,041,326,751
Net insurance benefits and claims paid	(1,143,558,636)	(1,401,134,620)	(860,031,040)	(573,138,341)	(395,053,475)
Net change in insurance claims outstanding	(17,472,163)	(27,835,847)	13,762,008	(31,167,632)	(7,955,560)
Underwriting and net acquisition costs	(531,502,361)	(624,048,548)	(630,173,632)	(753,929,519)	(418,946,461)
Change in contract liabilities - life fund	181,059,252	(591,734,541)	(408,860,708)	(58,943,480)	(296,040,673)
Other operating and administrative expenses	(690,527,683)	(702,909,591)	(747,448,886)	(671,118,030)	(557,458,730)
Depreciation and Amortisation	(142,472,209)	(124,493,940)	(80,920,951)	(92,434,528)	(87,276,940)
Total benefits, claims and other expenses	(2,344,473,800)	(3,472,157,088)	(2,713,673,209)	(2,180,731,530)	(1,762,731,839)
Profit before tax	144,890,898	(683,831,926)	85,191,960	337,381,541	278,594,912
Income tax (expense)/reversal	90,000,000	-	(48,955,682)	(100,680,805)	(77,918,674)
Profit for the year	234,890,898	(683,831,926)	36,236,278	236,700,736	200,676,238

2019 Rs.	2018 Rs.	2017 Rs.	2016 Rs.	2015 Rs.	2024 Rs.	2023 Rs.
1,633,157,997	1,387,432,253	1,038,085,079	745,386,354	482,447,118	100%	96%
(88,849,485)	(41,327,272)	(28,370,148)	(24,436,905)	(21,833,476)	(4%)	(4%)
1,544,308,512	1,346,104,981	1,009,714,931	720,949,449	460,613,642	96%	96%
28,825,103	10,666,036	8,064,174	6,269,983	4,249,018	2%	1%
261,012,023	205,215,741	163,757,872	114,148,063	78,565,662	27%	26%
21,327,018	13,823,318	85,349	(1,089,247)	1,477,455	1%	1%
-	-	-	-	-	0.00%	0.00%
10,573,868	6,935,285	5,872,807	4,773,224	3,501,200	0%	0%
321,738,012	236,640,380	177,780,202	124,102,023	87,793,335	31%	29%
1,866,046,524	1,582,745,361	1,187,495,133	845,051,472	548,406,977	126%	125%
(298,735,091)	(164,148,852)	(117,741,823)	(78,125,724)	(65,985,012)	(58%)	(63%)
(7,350,853)	(4,797,718)	(2,015,224)	(872,422)	(2,224,490)	(1%)	(1%)
(374,031,638)	(319,820,986)	(213,455,102)	(114,124,472)	(93,743,779)	(27%)	(28%)
(221,785,330)	(309,732,195)	(280,513,648)	(290,207,532)	(155,787,012)	9%	(26%)
(563,234,348)	(565,145,575)	(355,656,190)	(247,014,772)	(198,910,263)	(35%)	(31%)
(84,801,644)	(20,265,126)	(12,099,932)	(6,817,379)	(6,027,190)	(7%)	(6%)
(1,549,938,904)	(1,383,910,452)	(981,481,919)	(737,162,301)	(522,677,746)	(119%)	(155%)
316,107,620	198,834,909	206,013,214	107,889,171	25,729,231	7%	(31%)
(88,849,801)	300,349,604	-	-	-		0%
227,257,819	499,184,513	206,013,214	107,889,171	25,729,231	12%	(31%)

10 YEAR SUMMARY - STATEMENT OF FINANCIAL POSITION

As at 31 December	2024 Rs.	2023 Rs.	2022 Rs.	2021 Rs.
Assets				
Intangible assets	7,252,280	767,227	1,118,327	586,844
Property, plant and equipment	41,808,801	60,343,336	75,284,032	57,691,938
Right of use assets	171,032,028	198,167,665	163,439,549	129,675,417
Deferred tax asset	90,000,000	-	-	36,979,105
Financial assets	4,262,978,831	3,949,884,217	3,681,717,640	3,470,094,773
Loans to life policyholders	199,044,250	241,246,301	321,812,161	425,525,375
Reinsurance receivables	10,519,552	11,108,850	1,902,666	8,373,896
Amounts due from related parties	5,936,182	30,985,542	21,654,039	12,002,002
Premium receivables	59,716,100	91,475,027	99,334,584	62,470,094
Other assets	107,691,105	175,300,704	83,994,218	62,822,687
Cash and cash equivalents	53,869,097	56,396,474	169,799,679	150,015,184
Total assets	5,009,848,226	4,815,675,345	4,620,056,895	4,416,237,315
Equity and liabilities				
Shareholders' equity				
Stated capital	675,564,870	675,564,870	675,564,870	675,564,870
Retained earnings	1,005,999,971	770,448,880	1,458,445,722	1,422,126,083
Available for sale reserves	159,513,183	(35,537,005)	(216,692,952)	(26,545,650)
Total ordinary shareholders' equity	1,841,078,024	1,410,476,745	1,917,317,640	2,071,145,303
Liabilities				
Insurance contract liabilities	2,715,710,389	2,885,863,883	2,241,859,388	1,897,003,107
Employee benefit obligation	15,878,745	15,667,480	17,057,855	16,146,223
Reinsurance payables	8,696,647	37,579,204	32,402,323	70,001,400
Lease liabilities	208,113,822	221,777,381	175,394,254	157,443,360
Amounts due to related parties	7,114,065	49,590,990	30,795,272	2,105,460
Other financial liabilities	177,860,728	126,283,782	117,550,937	107,718,526
Other liabilities	35,395,804	68,435,879	87,679,226	94,673,936
Total liabilities	3,168,770,202	3,405,198,600	2,702,739,255	2,345,092,012
Total equity and liabilities	5,009,848,226	4,815,675,345	4,620,056,895	4,416,237,315
			-	-
Investor Information				
Gross Profit margin	19	(23)	16	34
Operating Profit Margin	10	(28)	(28)	-
Return on Net Assets (%)	13	(41)	2	12
Earning per share - basic (Rs.)	4	(10)	1	4
Net Assets Per Share (Rs.)	28	21	29	31
Market Price Per Share (Rs.)	26.5	22.5	23	28
Market Capitalisation (Rs. Mn)	1,755	1,490	1,503	1,881
Price Earnings Ratio (Times)	7	(2)	41	8
Other Information				
No of Shares ('000)	66,230	66,230	66,230	66,230

2020 Rs.	2019 Rs.	2018 Rs.	2017 Rs.	2016 Rs.	2015 Rs.
413,031	675,531	303,750	-	-	-
59,060,218	60,142,522	63,045,746	57,597,796	21,850,521	16,714,299
137,336,423	119,555,926	-	-	-	-
137,659,910	215,578,584	304,428,385	-	-	-
2,682,476,454	2,376,948,902	2,028,265,792	1,346,980,154	1,245,402,750	982,069,704
389,694,262	286,270,410	228,616,921	157,711,170	111,675,715	25,038,597
7,170,413	68,351,851	26,939,303	20,702,073	7,706,821	5,747,323
6,448,559	51,716,671	26,907,609	181,589	-	182,801
30,808,290	69,528,421	73,071,532	105,775,413	39,491,469	57,886,185
55,874,973	103,514,705	74,414,275	94,318,212	54,329,540	44,414,243
668,548,192	295,514,738	170,483,254	320,778,531	106,504,318	28,638,157
4,175,490,725	3,647,798,261	2,996,476,567	2,104,044,938	1,586,961,134	1,160,691,309
675,564,870	675,564,870	675,564,870	675,564,870	675,564,870	675,564,870
1,185,243,956	984,881,654	756,752,988	257,632,154	79,145,018	(28,312,297)
-	-	-	-	-	-
1,860,808,826	1,660,446,524	1,432,317,858	933,197,024	754,709,888	647,252,573
1,904,914,105	1,562,743,701	1,325,869,400	1,025,457,000	726,047,856	436,177,616
14,743,507	11,452,108	9,488,251	6,568,317	4,608,990	2,648,378
85,918,647	102,961,206	50,022,714	30,859,018	22,729,392	18,314,863
155,319,117	128,171,022	-	-	-	-
16,573,459	7,203,351	7,184,537	9,694,866	6,676,507	120,421
79,190,578	132,994,405	115,608,712	72,456,338	54,461,564	45,770,387
58,022,486	41,825,944	55,985,095	25,812,375	17,726,937	10,407,071
2,314,681,899	1,987,351,737	1,564,158,709	1,170,847,914	832,251,246	513,438,736
4,175,490,725	3,647,798,261	2,996,476,567	2,104,044,938	1,586,961,134	1,160,691,309
-	-	-	-	-	-
34	39	39	38	32	30
16	21	NA	NA	NA	NA
11	15	42	24	15	4
3	3	8	3	2	0
28	25	22	14	11	10
24	19	18	17	12	14
1,583	1,272	1,212	1,126	795	954
8	6	2	5	7	37
66,230	66,230	66,230	66,230	66,230	66,230

QUARTERLY ANALYSIS

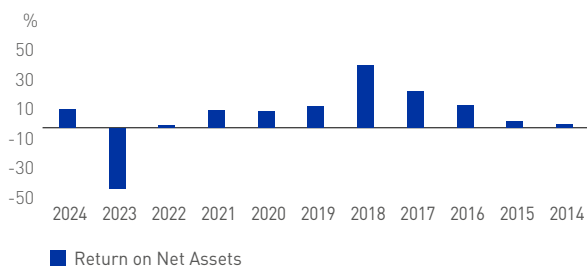
As at 31 December	2024					Total Rs.
	31 March 2024	30 June 2024	30 September 2024	31 December 2024		
	Rs.	Rs.	Rs.	Rs.		
Revenue						
Gross written premium	568,240,498	400,404,408	425,494,797	574,622,869	1,968,762,572	
Premium ceded to reinsurers	(22,268,362)	(21,771,889)	(22,571,722)	(20,875,673)	(87,487,646)	
Net written premium	545,972,136	378,632,519	402,923,075	553,747,196	1,881,274,926	
Other revenue						
Fee and commission income	5,295,940	7,215,476	5,269,092	12,686,918	30,467,426	
Income from investments	137,828,756	152,057,021	114,740,671	135,357,167	539,983,615	
Net fair value gains / (losses)	4,138,612	3,308,032	3,323,397	3,242,594	14,012,635	
Net realised gains	-	-	-	17,615,861	17,615,861	
Other income	525,588	518,476	506,550	4,459,621	6,010,235	
Total other revenue	147,788,896	163,099,005	123,839,710	173,362,161	608,089,772	
Net income	693,761,032	541,731,524	526,762,785	727,109,357	2,489,364,698	
Net insurance benefits and claims paid	(321,229,138)	(259,026,995)	(257,565,406)	(305,737,097)	(1,143,558,636)	
Net change in insurance claims outstanding	(748,071)	(10,102,472)	2,605,711	(9,227,331)	(17,472,163)	
Underwriting and net acquisition costs	(97,828,237)	(165,834,556)	(147,759,945)	(120,079,623)	(531,502,361)	
Change in contract liabilities - life fund	(13,027,767)	176,828,280	59,556,661	(42,297,922)	181,059,252	
Other operating and administrative expenses	(194,503,450)	(218,687,716)	(185,015,087)	(234,793,639)	(832,999,892)	
Net benefits and claims	(627,336,663)	(476,823,459)	(528,178,066)	(712,135,612)	(2,344,473,800)	
Profit/(Loss) before tax	66,424,369	64,908,065	(1,415,281)	14,973,745	144,890,898	
Income tax expense	(19,180,040)	(15,987,974)	(10,520,501)	135,688,515	90,000,000	
Profit/(Loss) for the period	47,244,329	48,920,091	(11,935,782)	150,662,260	234,890,898	

2023				
31 March 2023 Rs.	30 June 2023 Rs.	30 September 2023 Rs.	31 December 2023 Rs.	Total Rs.
730,146,495	575,937,228	434,817,499	495,703,489	2,236,604,711
(23,680,453)	(31,862,552)	(23,598,306)	(16,399,951)	(95,541,262)
706,466,042	544,074,676	411,219,193	479,303,538	2,141,063,449
6,567,656	11,696,200	6,915,770	4,070,720	29,250,346
145,100,096	152,841,542	145,718,897	137,574,093	581,234,628
3,717,667	5,912,667	5,437,468	13,388,094	28,455,896
	-		-	-
3,791,948	-	333,612	4,195,283	8,320,843
159,177,367	170,450,409	158,405,747	159,228,190	647,261,713
865,643,409	714,525,085	569,624,940	638,531,728	2,788,325,162
(402,597,653)	(313,342,297)	(346,841,064)	(338,353,606)	(1,401,134,620)
5,494,738	(12,190,042)	3,236,678	(24,377,221)	(27,835,847)
(153,107,839)	(156,659,555)	(130,952,336)	(183,328,818)	(624,048,548)
(10,246,378)	19,219,838	109,600,759	(710,308,760)	(591,734,541)
(245,654,034)	(185,076,907)	(143,707,212)	(252,965,378)	(827,403,531)
(806,111,166)	(648,048,963)	(508,663,175)	(1,509,333,784)	(3,472,157,088)
59,532,243	66,476,122	60,961,765	(870,802,056)	(683,831,926)
(16,871,720)	(17,292,910)	(17,877,065)	52,041,695	-
42,660,523	49,183,212	43,084,700	(818,760,361)	(683,831,926)

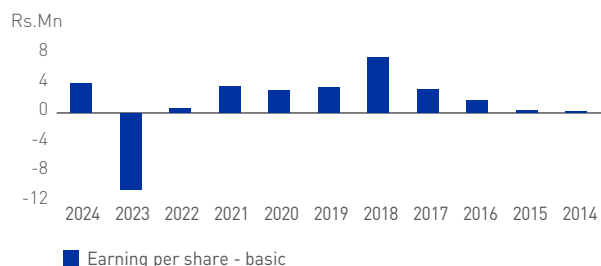
INVESTOR INFORMATION

	2024 Rs.	2023 Rs.	2022 Rs.	2021 Rs.	2020 Rs.	2019 Rs.	2018 Rs.	2017 Rs.	2016 Rs.	2015 Rs.	2014 Rs.
Gross Profit Margin	19	(23)	16	34	34	39	39	38	32	30	30
Operating profit margin	10	(28)	(28)	-	16	21	NA	NA	NA	NA	NA
Gap between Gross and operating profit	9	6	44	34	18	19	NA	NA	NA	NA	NA
Return on Net Assets (%)	12.8	-41.1	1.8	12.0	11.4	14.7	42.2	24.4	15.4	4.1	2.32287208
Earning per share - basic (Rs.)	4	-10.325	0.55	3.57	3.03	3.43	7.54	3.11	1.63	0.39	0.22
Net Assets Per Share (Rs.)	27.82	21.30	28.95	31.27	28.10	25.07	21.63	14.09	11.40	9.77	10.47669969
Market Price Per Share (Rs.)	26.5	22.5	22.7	28.4	23.9	19.2	18.3	17	12	14.4	N/A
Market Capitalisation (Rs. Mn)	1,755	1,499	1,503	1,881	1,583	1,272	1,212	1,126	795	954	N/A
Price Earnings Ratio (Times)	7.43	NA	41.27	7.96	7.89	5.60	2.43	5.47	7.36	36.92	N/A
Other Information											
No of Shares ('000)	66,230	66,230	66,230	66,230	66,230	66,230	66,230	66,230	66,230	66,230	59,303

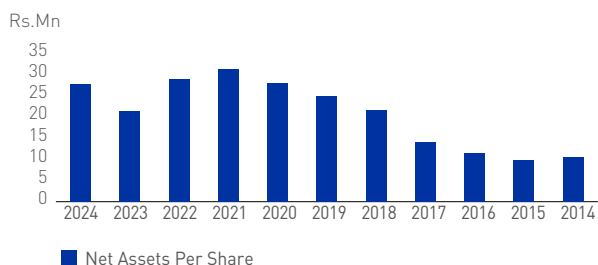
Return on Net Assets



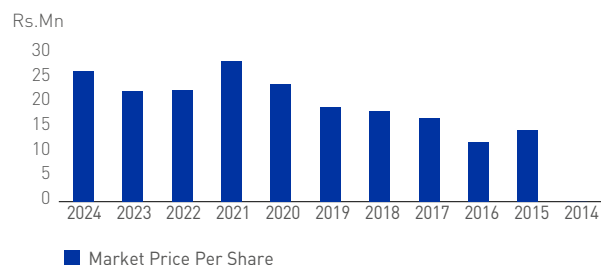
Earning per share - basic



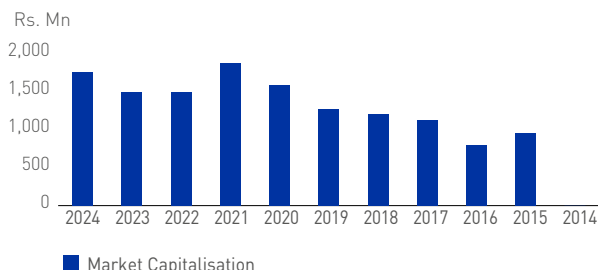
Net Assets Per Share



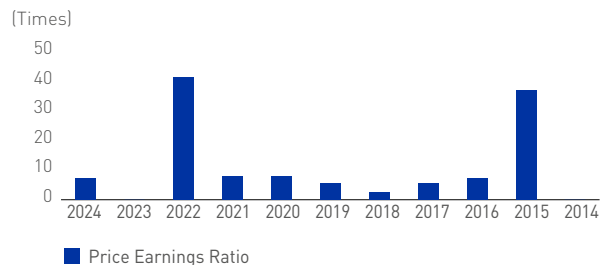
Market Price Per Share



Market Capitalisation



Price Earnings Ratio



Common Size Analysis - Statement of Profit and Loss

	As a % of Gross Written Premium		
	2024 Rs.	2023 Rs.	2022 Rs.
Gross written premium	100.0	100.00	100.00
Premium ceded to reinsurers	(4.4)	(4.27)	(3.09)
Net written premium	95.6	95.73	96.91
Other revenue			
Fees and commission income	1.5	1.31	2.16
Investment income	27.4	25.99	19.50
Fair value gains / (losses)	0.7	1.27	0.60
Net realised gains	0.9	-	0.20
Other operating revenue	0.3	0.37	1.34
Total other revenue	30.9	28.94	23.80
Net income	126.4	124.67	120.71
Net insurance benefits and claims paid	(58.1)	(62.65)	(37.09)
Net change in insurance claims outstanding	(0.7)	(1.24)	0.59
Underwriting and net acquisition costs	(27.0)	(27.90)	(27.18)
Change in contract liabilities - life fund	9.0	(26.46)	(17.63)
Other operating and administrative expenses	(35.0)	(31.43)	(32.24)
Depreciation and Amortisation	(7.2)	(5.57)	(3.49)
Total benefits, claims and other expenses	(119.0)	(155.24)	(117.04)
Profit before tax	7.4	(30.6)	3.7
Income tax (expense)/reversal	4.6	-	(0.02)
Profit for the year	12	(31)	4

INVESTOR INFORMATION

Common Size Analysis - Statement of Financial Position

	As a % of Gross Written Premium		
	2024 Rs.	2023 Rs.	2022 Rs.
Assets			
Intangible assets	0.14	0.02	0.02
Property, plant and equipment	0.83	1.25	1.63
Deferred tax asset	3.41	-	-
Right of use assets	1.80	4.12	3.54
Financial assets	85.09	82.02	79.69
Loans to life policyholders	3.97	5.01	6.97
Reinsurance receivables	0.21	0.23	0.04
Amounts due from related parties	0.12	0.64	0.47
Premium receivables	1.19	1.90	2.15
Other assets	2.15	3.64	1.82
Cash and cash equivalents	1.08	1.17	3.68
Total assets	100.00	100.00	100.00
Equity and liabilities			
Shareholders' equity			
Stated capital	13.48	14.03	14.62
Retained earnings	20.08	16.00	31.57
Available for sale reserves	3.18	(0.74)	(4.69)
Total ordinary shareholders' equity	36.75	29.29	41.50
Liabilities			
Insurance contract liabilities	54.21	59.93	48.52
Employee benefit obligation	0.32	0.33	0.37
Reinsurance payables	0.17	0.78	0.70
Lease liabilities	4.15	4.61	3.80
Amounts due to related parties	0.14	1.03	0.67
Other financial liabilities	3.55	2.62	2.54
Other liabilities	0.71	1.42	1.90
Total liabilities	63.25	70.71	58.50
Total equity and liabilities	100.00	100.00	100.00

SHAREHOLDER INFORMATION

SHARE LEDGER MANAGEMENT SYSTEM

Twenty Largest Shareholders

As at 31 December		2024	
		No. of Shares	%
Name of the Shareholder			
1.	KEGALLE PLANTATIONS LIMITED	26,685,001	40.29
2.	RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86
3.	RICHARD PIERIS AND CO LTD - ACCOUNT NO. 01	15,125,001	22.84
4.	MR.D.G.WIJEMANNA	1,757,970	2.46
5.	MRS.T.T.A.DE SILVA WEERASOORIA	1,101,076	1.5
6.	MR.C.S.N.SILVAPULLE	654,195	1.01
7.	MR.B.T.DE S WEERASOORIA	257,678	0.38
8.	T R L HOLDINGS (PVT) LIMITED	253,372	0.38
9.	MR.J.P.PAUL	239,085	0.3
10.	MR.R.P.WEERASOORIYA	196,980	0.29
11.	MR.A.P. ARUMUGAMPILLA	191,350	0.23
12.	MR.D.P. NAVARATNAM	154,500	0.22
13.	MR.S.A.OBEYESEKERE	103,300	0.2
14.	TRADING PARTNERS (PVT) LTD	100,000	0.16
15.	FLYBRUNEI SDN BHD	99,700	0.15
16.	MR.T.A.N.GOMIS	98,825	0.15
17.	SANDWAVE LIMITED	94,500	0.14
18.	MR.M.L.A.BENEDICT	92,214	0.13
19.	MR.H.A.S.MADANAYAKE	78,300	0.12
20.	MRS.K.ELANKAINESAN	70,000	0.12
	Other	1,087,359	2.07
		66,230,407	100

COMPOSITION OF SHAREHOLDERS

	2024			2023		
	No. of Shareholders as at 31.12.2024	No. of Shares	% of Shareholding	No. of Shareholders as at 31.12.2023	No. of Shares	% of Shareholding
Institutional investors	35	60,305,444	91%	32	60,387,041	91%
Individual investors	679	5,924,963	9%	685	5,985,449	9%
Total	714	66,230,407	100%	717	66,372,490	100
Resident investors	703	65,722,923	99%	706	65,701,539	99%
Non-resident investors	11	507,484	1%	11	426,284	1%
Total	714	66,230,407	100%	717	66,230,407	100%

SHAREHOLDER INFORMATION

DISTRIBUTION OF SHAREHOLDINGS

	2024			2023		
	No. of Shareholders as at 31.12.2024	No. of Shares	% of Shareholding	No. of Shareholders as at 31.12.2023	No. of Shares	% of Shareholding
Less than or equal						
1 - 1,000	564	107,418	0.16%	561	111,464	0%
1,001 - 10,000	106	418,875	0.63%	107	437,956	1%
10,001 - 100,000	31	1,194,605	1.80%	35	1,355,599	2%
100,001 - 1,000,000	8	2,050,460	3.10%	10	3,099,385	5%
Over 1,000,000	5	62,459,049	94.31%	4	61,226,003	92%
Grand total	714	66,230,407	100%	717	66,230,407	100%

PUBLIC SHARE HOLDING

	2024		2023	
	No. of Shares	% of Shareholding	No. of Shares	% of Shareholding
Public share holding	6,630,404	10%	6,630,407	10%

DIRECTORS SHAREHOLDINGS

No. of shares as at 31 December	2024	2023
Mr. Ramal Jasinghe	Nil	Nil
Mr. Bodiabaduge Shiron Adrian Gooneratne	Nil	Nil
Mr. Kelum Senanayake	Nil	Nil
Mr. Yudhishtan Kanagasaba	Nil	Nil
Mrs. Lasinee Sriyanthie Amala Serasinhe	Nil	Nil
Mrs. Wewalage Dilukshika Neelangi Fernando	Nil	Nil
Mr. Ainsley Rohan Mutturajah Muttiah	Nil	Nil

MARKET PRICE PER SHARE

For the year ended 31 December	2024 Rs.	2023 Rs.
Net Asset Value Per Share	27.8	21.3
Highest Price Per Share	28.1	25.9
Lowest Price Per Share	21	20.5
Last traded Price Per Share	26.5	22.5
Market capitalisation	1,755,105,786	1,490,184,158
Number of public shareholders	711	714
Float adjusted market capitalisation	175,705,706	149,184,158

The Company complies with option 1 of the Listing Rules 7.13.1 (b) which requires 10% minimum public holding percentage and requires minimum 200 shares with public holding.

GRI CONTENT INDEX

Statement of use	Arpico Insurance PLC has reported in accordance with the GRI Standards for the period January 2024 to 31 December 2024.
GRI 1 used	GRI 1

GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION
GENERAL DISCLOSURES		
GRI 2: General Disclosures 2021	2-1 Organisational details	8
	2-2 Entities included in the organisation's sustainability reporting	124
	2-3 Reporting period, frequency and contact point	4-6
	2-4 Restatements of information	N/A
	2-5 External assurance	31-172
	2-6 Activities, value chain and other business relationships	90
	2-7 Employees	82
	2-8 Workers who are not employees	82
	2-9 Governance structure and composition	33
	2-10 Nomination and selection of the highest governance body	164
	2-11 Chair of the highest governance body	14
	2-12 Role of the highest governance body in overseeing the management of impacts	33
	2-13 Delegation of responsibility for managing impacts	33
	2-14 Role of the highest governance body in sustainability reporting	115
	2-15 Conflicts of interest	43
	2-16 Communication of critical concerns	102
	2-17 Collective knowledge of the highest governance body	14
	2-18 Evaluation of the performance of the highest governance body	161
	2-19 Remuneration policies	161
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	2-21 Annual total compensation ratio	242
	2-22 Statement on sustainable development strategy	41
	2-23 Policy commitments	115
	2-24 Embedding policy commitments	115
	2-25 Processes to remediate negative impacts	134
	2-26 Mechanisms for seeking advice and raising concerns	154
	2-27 Compliance with laws and regulations	151
	2-28 Membership associations	90
	2-29 Approach to stakeholder engagement	102
	2-30 Collective bargaining agreements	82
MATERIAL TOPICS		
GRI 3: Material Topics 2021	3-1 Process to determine material topics	119
	3-2 List of material topics	119

SHAREHOLDER INFORMATION

GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION
Economic performance		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 201: Economic Performance 2016	201-1 Direct economic value generated and distributed	124
	201-2 Financial implications and other risks and opportunities due to climate change	124
	201-3 Defined benefit plan obligations and other retirement plans	226
	201-4 Financial assistance received from government	N/A
Market presence		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 202: Market Presence 2016	202-1 Ratios of standard entry level wage by gender compared to local minimum wage	82
	202-2 Proportion of senior management hired from the local community	N/A
Indirect economic impacts		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 203: Indirect Economic Impacts 2016	203-1 Infrastructure investments and services supported	72
	203-2 Significant indirect economic impacts	N/A
Procurement practices		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 204: Procurement Practices 2016	204-1 Proportion of spending on local suppliers	90
Anti-corruption		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 205: Anti-corruption 2016	205-1 Operations assessed for risks related to corruption	134
	205-2 Communication and training about anti-corruption policies and procedures	39-134
	205-3 Confirmed incidents of corruption and actions taken	N/A
Anti-competitive behaviour		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 206: Anti-competitive Behaviour 2016	206-1 Legal actions for anti-competitive behaviour, anti-trust, and monopoly practices	N/A
Tax		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 207: Tax 2019	207-1 Approach to tax	141
	207-2 Tax governance, control, and risk management	141
	207-3 Stakeholder engagement and management of concerns related to tax	141
	207-4 Country-by-country reporting	N/A
Materials		
GRI 3: Material Topics 2021	3-3 Management of material topics	N/A
GRI 301: Materials 2016	301-1 Materials used by weight or volume	N/A
	301-2 Recycled input materials used	N/A
	301-3 Reclaimed products and their packaging materials	N/A

GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION
Energy		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 302: Energy 2016	302-1 Energy consumption within the organisation	98
	302-2 Energy consumption outside of the organisation	98
	302-3 Energy intensity	98
	302-4 Reduction of energy consumption	98
	302-5 Reductions in energy requirements of products and services	98
Water and effluents		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 303: Water and Effluents 2018	303-1 Interactions with water as a shared resource	98
	303-2 Management of water discharge-related impacts	N/A
	303-3 Water withdrawal	N/A
	303-4 Water discharge	98
	303-5 Water consumption	98
Biodiversity		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 304: Biodiversity 2016	304-1 Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas	271
	304-2 Significant impacts of activities, products and services on biodiversity	N/A
	304-3 Habitats protected or restored	N/A
	304-4 IUCN Red List species and national conservation list species with habitats in areas affected by operations	N/A
Emissions		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 305: Emissions 2016	305-1 Direct (Scope 1) GHG emissions	98
	305-2 Energy indirect (Scope 2) GHG emissions	98
	305-3 Other indirect (Scope 3) GHG emissions	98
	305-4 GHG emissions intensity	98
	305-5 Reduction of GHG emissions	98
	305-6 Emissions of ozone-depleting substances (ODS)	N/A
	305-7 Nitrogen oxides (NOx), sulphur oxides (SOx), and other significant air emissions	N/A
Waste		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 306: Waste 2020	306-1 Waste generation and significant waste-related impacts	98
	306-2 Management of significant waste-related impacts	N/A
	306-3 Waste generated	N/A
	306-4 Waste diverted from disposal	98
	306-5 Waste directed to disposal	98

GRI CONTENT INDEX

GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION
Supplier environmental assessment		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 308: Supplier Environmental Assessment 2016	308-1 New suppliers that were screened using environmental criteria	N/A
	308-2 Negative environmental impacts in the supply chain and actions taken	N/A
Employment		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 401: Employment 2016	401-1 New employee hires and employee turnover	82
	401-2 Benefits provided to full-time employees that are not provided to temporary or part-time employees	82
	401-3 Parental leave	82
Labour/management relations		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 402: Labour/Management Relations 2016	402-1 Minimum notice periods regarding operational changes	82
Occupational health and safety		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 403: Occupational Health and Safety 2018	403-1 Occupational health and safety management system	82
	403-2 Hazard identification, risk assessment, and incident investigation	N/A
	403-3 Occupational health services	82
	403-4 Worker participation, consultation, and communication on occupational health and safety	82
	403-5 Worker training on occupational health and safety	82
	403-6 Promotion of worker health	N/A
	403-7 Prevention and mitigation of occupational health and safety impacts directly linked by business relationships	N/A
	403-8 Workers covered by an occupational health and safety management system	N/A
	403-9 Work-related injuries	N/A
	403-10 Work-related ill health	N/A
Training and education		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 404: Training and Education 2016	404-1 Average hours of training per year per employee	N/A
	404-2 Programs for upgrading employee skills and transition assistance programs	82
	404-3 Percentage of employees receiving regular performance and career development reviews	82
Diversity and equal opportunity		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 405: Diversity and Equal Opportunity 2016	405-1 Diversity of governance bodies and employees	82
	405-2 Ratio of basic salary and remuneration of women to men	82

GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION
Non-discrimination		
GRI 3: Material Topics 2021	3-3 Management of material topics	N/A
GRI 406: Non-discrimination 2016	406-1 Incidents of discrimination and corrective actions taken	N/A
Freedom of association and collective bargaining		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 407: Freedom of Association and Collective Bargaining 2016	407-1 Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	82
Child labour		
GRI 3: Material Topics 2021	3-3 Management of material topics	N/A
GRI 408: Child Labour 2016	408-1 Operations and suppliers at significant risk for incidents of child labour	N/A
Forced or compulsory labour		
GRI 3: Material Topics 2021	3-3 Management of material topics	N/A
GRI 409: Forced or Compulsory Labour 2016	409-1 Operations and suppliers at significant risk for incidents of forced or compulsory labour	N/A
Security practices		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 410: Security Practices 2016	410-1 Security personnel trained in human rights policies or procedures	N/A
Rights of indigenous peoples		
GRI 3: Material Topics 2021	3-3 Management of material topics	N/A
GRI 411: Rights of Indigenous Peoples 2016	411-1 Incidents of violations involving rights of indigenous peoples	N/A
Local communities		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 413: Local Communities 2016	413-1 Operations with local community engagement, impact assessments, and development programs	97
	413-2 Operations with significant actual and potential negative impacts on local communities	N/A
Supplier social assessment		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 414: Supplier Social Assessment 2016	414-1 New suppliers that were screened using social criteria	102
	414-2 Negative social impacts in the supply chain and actions taken	102
Public policy		
GRI 3: Material Topics 2021	3-3 Management of material topics	N/A
GRI 415: Public Policy 2016	415-1 Political contributions	N/A

GRI CONTENT INDEX

GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION
Customer health and safety		
GRI 3: Material Topics 2021	3-3 Management of material topics	N/A
GRI 416: Customer Health and Safety 2016	416-1 Assessment of the health and safety impacts of product and service categories	N/A
	416-2 Incidents of non-compliance concerning the health and safety impacts of products and services	N/A
Marketing and labelling		
GRI 3: Material Topics 2021	3-3 Management of material topics	119
GRI 417: Marketing and Labelling 2016	417-1 Requirements for product and service information and labelling	N/A
	417-2 Incidents of non-compliance concerning product and service information and labelling	110
	417-3 Incidents of non-compliance concerning marketing communications	110
Customer privacy		
GRI 3: Material Topics 2021	3-3 Management of material topics	N/A
GRI 418: Customer Privacy 2016	418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data	N/A

GLOSSARY OF INSURANCE TERMS

ACTUARY

An expert concerned with the application of probability and statistical theory to problems of insurance, investment, financial management and demography.

ACTUARIAL VALUATION

A determination by an actuary at a specific date of the value of a life insurance company's asset and its liabilities. The purpose of a valuation is to determine if the company old adequate assets to fund the company's liabilities.

AVAILABLE FOR SALE (AFS)

Securities that have been acquired neither for short-term sale nor to be held to maturity. These are shown at fair value on the statement of financial position.

AVERAGE PREMIUM PER POLICY

Measures of Total premium divided by number of policies. This is a measure to understand market segment company is accessing.

BENEFICIARY

A person named by the policyholder as the recipient of the sum insured and other benefits due in the event of the policyholder's death.

CASH FLOWS STATEMENT

Statement on the origin and utilisation of cash and cash equivalents during the accounting period. It shows the changes in liquid funds separated into cash flows from operating, investing and financing activities.

CLAIMS

The amount payable under a contract of insurance arising from the occurrence of an insured event such as destruction or damage of property and related death or injuries, the insuring of hospital or medical bills, death or disability of the insured and gratuity claims.

CLAIMS INCURRED

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the gross claims reserve at the beginning and end of the accounting period.

CLAIMS OUTSTANDING – LONG TERM INSURANCE

The amounts provided to cover the estimated ultimate cost of settling claims arising out of an event which have been notified by the date of Statement of Financial Position, being sums due to beneficiaries together with claims handling expenses, less amounts already paid in respect of those claims.

COMBINED RATIO

Sum of the loss ratio and expense ratio.

COMMISSION

Remuneration to an intermediary for services such as selling and servicing an insurer's products. This is one component of acquisition expenses.

DEPOSIT PREMIUM

A premium paid on the inception of a contract of insurance or reinsurance, which is subject to adjustment at a later date.

A deposit premium may represent the minimum amount payable.

EARNINGS PER SHARE

Ratio calculated by dividing the consolidated net income/ (loss) by the weighted average number of shares outstanding.

ENDOWMENT

Life insurance payable to the policyholder if living on the maturity date stated in the

policy or to a beneficiary if the insured dies before that date.

EX-GRATIA PAYMENT

A payment made to an insured where there is no liability to pay under the terms of the policy. In some cases, an insurer may feel there has been a mistake or a misunderstanding and it may pay claim, even though he does not appear to be liable.

FAIR VALUE

The price that a reasonable buyer would be willing to pay and a reasonable seller would be willing to accept for a product on the open market.

GROSS WRITTEN PREMIUM – LIFE

Premium to which the insurer is contractually entitled and received in the accounting period.

INSURANCE

Insurance is a contract whereby one party the insurer, in return for a consideration i.e. the premium, undertakes to pay the other party – the insured, a sum of money or its equivalent in kind, upon the happening of a specified event that is contrary to the interest of the insured.

INSURANCE PROVISION – LONG TERM

The fund or funds to be maintained by an insurer in respect of its long-term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

GLOSSARY OF INSURANCE TERMS

LIFE SURPLUS

The excess of the assets over the liabilities as determined by the actuary (taking into account solvency requirements) and after distribution of dividends to policyholders.

LONG TERM INSURANCE

Commonly referred to as Life Insurance contracts, as opposed to annual non-life insurance policies.

MATURITY

The time at which payment of the sum insured under a Life insurance policy falls due at the end of its term.

NET EARNED PREMIUM

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

NET WRITTEN PREMIUM

Gross written premium less reinsurance premium payable.

NET CLAIMS INCURRED

Claims incurred less reinsurance recoveries.

POLICY LOANS

A loan given to the policyholder on the security of the surrender value of a Life Insurance policy. The loan is limited to a percentage of the current surrender value of the policy and interest is charged on such loan

PREMIUM

The consideration payable by the insured for an insurance contract.

PROFIT COMMISSION

Commission received from the reinsurer based on the net profit of the reinsurer as defined in the agreement between the insurer and the reinsurer.

REVENUE ACCOUNT

An account which shows a financial summary of the insurance related revenue transactions for the accounting period.

REINSURANCE

Transfer of all or part of the risk assumed by an insurer under one or more insurances to another insurer, called the reinsurance.

REINSURANCE COMMISSION

Commission received or receivable in respect of premium paid or payable to a reinsurer.

REINSURANCE PREMIUM

The premium payable to the reinsurer.

RISK BASED CAPITAL (RBC)

Amount of required capital that the insurance company must maintain based on the inherent risks in the insurer's operations. These risks include Asset Depreciation Risk, Credit Receivables Risk, Underwriting Risk and Off-Balance-Sheet Risk.

RISK-BASED CAPITAL ADEQUACY

RATIO (CAR)

The capital adequacy ratio (CAR) is a measurement of available capital expressed as a percentage of risk weighted credit exposures.

$$RCAR = \frac{\text{Total Available Capital}}{\text{Risk Based Capital Required}} \times 100$$

SOLVENCY MARGIN – LIFE

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long Term Insurance business as defined in the Regulation of Insurance Industry Act No. 43 of 2000.

SURRENDER

Termination of an insurance policy by the insured before the expiry of its term (more common in Life insurance).

SURRENDER VALUE

The sum payable by an insurance Company upon the surrender of a Life Insurance policy before it has run its full course.

ABBREVIATION

Abbreviation	Full Form
AFS	Available-for-Sale
AML	Anti-Money Laundering
ARP	Arpico Relief
BCP	Business Continuity Plan
BIC	Board Investment Committee
CA	Chartered Accountants
CAR	Capital Adequacy Ratio
CAR	Risk based Capital Adequacy Ratio
CASL	Chartered Accountants of Sri Lanka
CBSL	Central Bank of Sri Lanka
CDD	Customer Due Diligence
CEA	Central Environmental Authority
CEO	Chief Executive Officer
CIM UK	Chartered Institute of Marketing
Co2	Carbon Dioxide
CO2T	Carbon Dioxide Tons
CRM	Customer Relationship Management
CSM	Contractual service margin
CSR	Corporate Social Responsibility
CTF	Counter-Terrorism Financing
DR	Disaster Recovery
EBITDA	Earnings Before Interest, Taxes, Depreciation, and Amortisation
ECL	Expected Credit Loss
ECL	Expected Credit Loss
EIR	Effective Interest Rate
END	Arpico Endowment
EPS	Earnings per share
EPS	Earnings Per Share
ERM	Enterprise Risk Management
ESG	Environmental, Social, and Governance,
FATF	Financial Action Task Force
FCF	Fulfilment cash flows
FIU	Financial Intelligence Unit
FVTPL	fair value through profit or loss
GDP	Gross domestic production
GHG	Greenhouse gases
GJ	Giga Joule
GRI	Global Reporting Initiative
GWP	Gross Written Premium

Abbreviation	Full Form
HTM	Held to maturity
IFM	Immediate Family Members
IIRC	International Integrated Reporting Council
INED	Independent Non-Executive Director
IPO	Initial Public Offering
IRCSL	Insurance Regulatory Commission of Sri Lanka.
IT	Information & Communication Technology
KPIs	Key Performance Indicators
KYC	Know Your Customer
L&R	Loans and Receivables
LAT	Liability Adequacy Test
LKAS	Sri Lanka Accounting Standards.
MBA	Master of Business Administration
MDRT	Million Dollar Round Table
NAGC	Nominations and Governance Committee
NGOs	Non-Governmental Organisations
NPAT	Net Profit After Tax
OCI	Other Comprehensive Income.
OPD	Outpatient Department
PAA	Premium Allocation approach
PDPA	Personal Data Protection Act
PESTLE	Political, Economic, Social, Technological, Legal, and Environmental
PPE	Property, Plant, and Equipment
R&D	Research and Development
RAS	Risk Appetite Statement
RBC	Risk-Based Capital
RCR	Formula Risk Based Capital Required
RCR	Risk based Capital requirement
ROA	Return on Assets
ROE	Return on Equity
RPTRC	Related Party Transaction Review Committee
SASB	Sustainability Accounting Standards Board
GBPs	Global Best Practices
SDGs	Sustainable Development Goals
SEC	Securities Exchange Commission
SLA	Service Level Agreement
SLFRS	Sri Lanka Financial Reporting Standards

ABBREVIATION

Abbreviation	Full Form
SLIM	Sri Lanka Institute of Marketing
SORP	Statement of Recommended Practice
SVCC	Surrender Value Capital Charge
SWOT	Strengths, Weaknesses, Opportunities, and Threats.
TAC	Total Available Capital
TAGS	Transparency, Accountability, Governance, and Sustainability
TOR	Terms of Reference
TVM	Time Value of money
UNGC	United Nations Global Compact
VAT	Value Added Tax
VFA	Variable Fee approach
VPN	Virtual Private Network.
WEF	With Effect From

BRANCH NETWORK

Branch	Address	Telephone Number	Ext.	Officer	E-mail	FIELD8
1	Head Office No. 55/20, Vauxhall Lane, Colombo 02	011 2200989	1989	Dhuvараහා රාමනාතන	dhuvarah.a.r@arpicoinsurance.com	
2	Ambalangoda No.48, Elpitiya Road, Ambalangoda	091 2209010 - 013	1340 to 1343	Dulmini Chathruya	dulmini.c@arpicoinsurance.com	ambalangoda@arpicoinsurance.com
3	Ambalanthota Tissa Road, Walawa, Ambalanthota	047 2037010 - 011	1310 to 1311	Nadini Dinsushika	dinsushika.n@arpicoinsurance.com	ambalanthota@arpicoinsurance.com
4	Ampara Mahinda Jewelers, 4th Avenue Ampara	063 2031020 - 023	6020 to 6023	Maheesha Senevirathne	maheesha.m@arpicoinsurance.com	
5	Anuradhapura Arpico Daily, No.525/26, Stage2, Dahaiyagama Junction, Apura	025 2031020 - 026	1020 to 1026	Lavani Nimesha	lavani.n@arpicoinsurance.com	anuradhapura@arpicoinsurance.com
6	Avissawella (AVI Ruwanwella) No.17/1/1, Kudagama Road, Avissawella	036 2238000 - 005	1120 to 1125	Amila Prasanna	amila.p@arpicoinsurance.com	avissawella@arpicoinsurance.com
7	Baddegama New Building, Old Bus Stand Road, Baddegama	091 2117400 - 402	7400 to 7402	W R Navodya	navodya.w@arpicoinsurance.com	
8	Badulla No.25, Randarawela Road, Pin Arawa, Badulla	055 2031000 - 001	1250 to 1251	Niroshini Rajapaksha	niroshini.r@arpicoinsurance.com	badulla@arpicoinsurance.com
9	Badulla - Sector 4 No.100, Muthiyangana Road, Badulla	055 2030010 - 013	N/A	Harshani Kodagoda	harshani.k@arpicoinsurance.com	
10	Balangoda No. 86 C 1 /1, Barnes Ratwatte Mawatha, Balangoda.	045 2284000 - 002	1180 to 1182	Prabath Madushanka	prabath.k@arpicoinsurance.com	balangoda@arpicoinsurance.com
11	Bandaragama No.37 D, Horana Road, Bandaragama	038 2034030 - 033	4030 to 4033	Ashani Kokila	kokila.a@arpicoinsurance.com	
12	Bandarawela No.254, Badulla Road, Bandarawela	057 2236010 - 011	1430 to 1431	H M P Herath	priyamali.h@arpicoinsurance.com	bandarawela@arpicoinsurance.com
13	Batticaloa No. 06, Baily Road, Batticaloa.	065 2232000 - 004	1140 to 1144	S Moushumy	moushumy@arpicoinsurance.com	batticaloa@arpicoinsurance.com
14	Batticaloa Metro No.36, Trincomalee Road, Batticaloa	065 2231010 - 013	1610 to 1613	S Sivaranjini	sivaranjini.s@arpicoinsurance.com	batticaloa.north@arpicoinsurance.com
15	Beruwala No.767, Marakkalawatta, Galle Road Beruwala	034 2031020 - 022	1530 to 1532	Gayathri Nisansala	gayathri.n@arpicoinsurance.com	beruwala@arpicoinsurance.com
16	Chenkalady No. 387, Trinco Road, Chankalady	065 2030311	1691	S Thanujah	thanujah.s@arpicoinsurance.com	
17	Chilaw No.128D 1/1, Puttalam Road, Chilaw	032 2231000 - 002	1370 to 1372	Ravindi Sansala	rivindi.s@arpicoinsurance.com	chilaw@arpicoinsurance.com
18	Chunnakam No. 136, Mukanthiram Narayanar Veethy, Chunnakam	021 2035010 - 016	1480 to 1486	R Gajanthan	gajanthan.r@arpicoinsurance.com	chunnakam@arpicoinsurance.com
19	Dehiattakandiya No.2892/1, Nawanageraya, Dehiattakandiya	027 2117321 - 323	N/A	Ganesha Kumari	ganesha.c@arpicoinsurance.com	
20	Dambulla No. 168, Kurunegala Road, Dambulla	066 2117340 - 343	1650 to 1653	Nirmala Swarnakanthi	nirmala.s@arpicoinsurance.com	
21	Divulapitiya No.109, Colombo Road, Divulapitiya	031 2035010 - 011	5010 - 5011	Ishara Sewmini	sewmini.i@arpicoinsurance.com	divlapitiya@arpicoinsurance.com
22	Embilipitiya No. 168A, New Town Road, Embilipitiya	047 2037000 - 001	1230 to 1231	U A Basnayake	udari.b@arpicoinsurance.com	embilipitiya@arpicoinsurance.com
23	Galle Arpico Supercenter, No. 181, Matara Road, Galle	091 2209020 - 021	1320 to 1321	Priyangika Pushparani	priyangika.g@arpicoinsurance.com	galle@arpicoinsurance.com
24	Gampola No. 174/1, Nuwaraeliya Road, Mahara, Gampola	081 2244750 - 753	1640 to 1643	Uthpala Jayasundera	uthpala.j@arpicoinsurance.com	
25	Gampola - S4 No.02, Kawishwara Road, Gampola	081 2080110- 113	1770 to 1773	Nadeeshika Mahagedera	nadeeshika.n@arpicoinsurance.com	

BRANCH NETWORK

Branch	Address	Telephone Number	Ext.	Officer	E-mail	FIELD8
26	Ginigathhena New Chamara Building, 114, Nawalapitiya Road, Ginigathhena	051 2034000 - 002	1460 to 1462	Bhagya Kumarsinghe	bhagya.k@arpicoinsurance.com	ginigathhena@arpicoinsurance.com
27	Hanwella No. 93/4/2/1, Main Street, Hanwella	036 2238010 - 013	8010 to 8013	P D P Gunawardena	dileesha.g@arpicoinsurance.com	
28	Hatton No.68, Dickoya Road, Hatton	051 2034010 - 012	4010 to 4012			hatton@arpicoinsurance.com
29	Hatton - S4 No.01, Side Street, Hatton	051 2034030 - 032	N/A	S Monisha	monisha.s@arpicoinsurance.com	
30	Horana 19A 1/1, Sri Somananda Mawatha,Horana	034 2031050 - 052	N/A	Vishaka Erandathi	vishaka.e@arpicoinsurance.com	
31	Ja-Ela No 1/1A, Dr.Jayalath Jayawardena ,Weligampitiya, Ja -Ela	011 2127070 - 073	1390 to 1393	Ann Shiromala	ann.s@arpicoinsurance.com	ja-ela@arpicoinsurance.com
32	Jaffna No.86 1/1 & 86 1/2, Navalar Road, Jaffna	021 2035000 - 005	1330 to 1335	Emarsan Jeromini	jeromini.e@arpicoinsurance.com	jafna@arpicoinsurance.com
33	Kadawatha No.172/22/C, Ragama Road, Kadawatha	011 2127060 - 061	1170 to 1171	Dewduni Nimeshika	dewduni.n@arpicoinsurance.com	kadawatha@arpicoinsurance.com
34	Kalmunai No.140/1/2, Main Road, Kalmunai	067 2117410 - 413	7410 to 7413	R Salomiyah	salomiyah.r@arpicoinsurance.com	
35	Kaluthara No.398A & 398 2/1, Galle Road, Kaluthara North	034 2031010 - 011	1260 to 1261	Ahinsa Perera	ahinsa.p@arpicoinsurance.com	kaluthara@arpicoinsurance.com
36	Kandy Metro Arpico SC, Colombo Road, Mulgampola, Peradeniya	081 2207000 - 001	1280 to 1281	Chamathka Nayomi	chamathka.n@arpicoinsurance.com	kandy@arpicoinsurance.com
37	Kandy - Sector 4 No. 7 1/1, Temple Street, Kandy	081 2034020 - 023	1680 to 1683	Subani De Silva	subani.d@arpicoinsurance.com	
38	Karapitiya No.197, Wakwella Road, Galle	091 2209000 - 002	1450 to 1452			karapitiya@arpicoinsurance.com
39	Kegalle No. 311 G, Colombo Road, Panwala ,Kegalle	035 2031010 - 012	1290 to 1292	Harshani Gimhani	harshani.g@arpicoinsurance.com	kegalle@arpicoinsurance.com
40	Kilinochchi A9 Road, Karadepokku, Kilinochchi	021 2035030 - 031	5030 to 5031	Kajenthiny Rasanayakam	kajenthiny.r@arpicoinsurance.com	Kilinochchi@arpicoinsurance.com
41	Kottawa Arpico SS, No. 296, High Level Road, Makumbura, Pannipitiya	011 2127110 - 115	1300 to 1305	Malinda Sathurasinghe	malinda.s@arpicoinsurance.com	kottawa@arpicoinsurance.com
42	Kurunegala No. 213, Malika Group Building, Colombo Road Kurunegala	037 2031000 001	1190 to 1191	Nisanasala Sewwandi	nisanasala.s@arpicoinsurance.com	kurunegala@arpicoinsurance.com
43	Mahiyanganaya No. 100/10A, Rideekotaliya, Badulla Rd, Mahiyanganaya	055 2031020 - 023	N/A	Piyumika Wijethunge	piyumika.w@arpicoinsurance.com	mahiyanganaya@arpicoinsurance.com
44	Mannar No. 144, Main Street, Sinnakudi Road, Mannar	023 2031000 - 001	1490 to 1491	Anoja Sahayaseelan	anoja.s@arpicoinsurance.com	mannar@arpicoinsurance.com
45	Matara Arpico SC, No.584, Anagarika Dharmapala Mv, Walgama, Matara	041 2031000 - 005	1240 to 1245			mathara@arpicoinsurance.com
46	Matara -S4 No. 99, New tangalle Road, Kotuwegoda, Matara.	041 2031030 - 033	N/A	Madhumali Nimasha	madhumali.n@arpico insurance.com	
47	Mathugama No.62,Ananda Mawatha, Mathugama	034 2031000 - 005	1220 to 1225			mathugama@arpicoinsurance.com
48	Monaragala No.142, Wellawaya Road, Monaragala	055 2031010 - 013	1500 to 1503	D.L.Kanchana De Silva	kanchana.s@arpicoinsurance.com	monaragala@arpicoinsurance.com
49	Moratuwa No. 612 B1/1, B1/2, Rawathawatta, Moratuwa	011 2425016 - 018	1100 to 1102	Umanga Weerasekera	umanga.d@arpicoinsurance.com	moratuwa@arpicoinsurance.com
50	Mulathiuvu Kalapaddu North, Mullathiuvu	021 2035020 - 021	1440 to 1441	Kesalanathan Kokiliny	kokiliny.k@arpicoinsurance.com	mulathiwe@arpicoinsurance.com
51	Muttur A 15, Batticaloa Road, Periya Palam, Muttur	026 2117310 - 313	N/A	P. Parimalkanthi	parimala.p@arpicoinsurance.com	

Branch	Address	Telephone Number	Ext.	Officer	E-mail	FIELD8
52	Negombo	No.349/1A, Main Street, Negombo	031 2035000 - 004	1130 - 1134	Ishara Fernando	ishara.f@arpicoinsurance.com
53	Nittambuwa	No.224/1, Kandy Rd, Aluthgama, Bogamuwa, Yakkala	033 2018010 - 013	1750 to 1753	Charuni Kawindika	charuni.k@arpicoinsurance.com
54	Nochchiyagama	Opposite Vidarshana Maha Viduhala, Puttalam Road, Nochchiyagama.	025 2031010 - 012	1380 to 1382	Nirmanani Pabasara	nirmanani.n@arpicoinsurance.com
55	Nuwaraeliya	No.170, Badulla Road, Nuwaraeliya	052 2231000 - 001	1470 to 1471	Gayanjali Upeksha	upeksha.g@arpicoinsurance.com
56	Nuwaraeliya - Sector 4	No. 170, Bambarakele, Nuwara Eliya.	052 2030510 - 512	N/A		
57	Panadura	No. 445/1/1, Galle Road, Panadura	038 2034000 - 005	1400 to 1405	Menaka Godagampola	menaka.p@arpicoinsurance.com
58	Polonnaruwa	No. 125/1A, Batticaloa, Polonnaruwa	027 2117300 - 002	7300 to 7302	Poornima Andrew	poornima.a@arpicoinsurance.com
59	Puttalam	No. 171/1, Kurunegala Road, Puttalam	032 2035000 - 002	1410 to 1412	T M N Nadeeshani	nadeeshani.n@arpicoinsurance.com
60	Rathnapuara - S1	No.450 1/1, First Floor, Main Street, Rathnapuura	045 2235000 - 003	1210 to 1213	Kasun Vidanage	kasun.v@arpicoinsurance.com
61	Rathnapuara - S4	No.450 1/1, First Floor, Main Street, Rathnapuura	045 2235070 - 073	N/A		
62	Thambuthegama	No.145, Rajina Junction, Thambuththegama	025 2031030 - 033	1660 to 1663	Ushani Dilshani	ushani.d@arpicoinsurance.com
63	Thissamaharama	No. 182, Hambanthota Road, Kachcheriyagama, Tissamaharama	047 2037020 - 024	1420 to 1424	Dilini Chathumini	dilini.c@arpicoinsurance.com
64	Trincomalee	No.314, Central Road, Trincomalee	026 2031000 - 004	1150 to 1154	S Shivashankar	shivashankar.s@arpicoinsurance.com
65	Valachchenai	Main Street, Karuwakkerny, Valachchenai	065 2031000 - 002	1110 to 1112	S Umananthini	umananthini.s@arpicoinsurance.com
66	Vavuniya	No. 52, Jaffna Road, Vavuniya	024 2230010 - 013	1160 to 1163	Niyya Sivathasan	niyya.s@arpicoinsurance.com
67	Warakapola	No. 25E 1/1,Dharmasiri Senanayake Mw, Piladuwa, Warakapola.	035 2031000 - 003	1510 to 1513	Umesha Sewwandi	umesha.s@arpicoinsurance.com
68	Wattala	No. 669 1/1-2/1, Keragapokuna, Wattala	011 2127280 - 283	1350 to 1353	Dilki Lankathilake	dilki.l@arpicoinsurance.com
69	Welimada	Aradeka Gedara Watta, Aradeka, Welimada	057 2236000 - 002	1520 to 1522	Malki Viveka Sithani	malki.v@arpicoinsurance.com

NOTES

[illegible]

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the **Thirteenth (13th) Annual General Meeting** of Arpico Insurance PLC will be held at the Richard Pieris and Company Auditorium, No. 310, High Level Road, Nawinna, Maharagama, Sri Lanka. on 24th June 2025 at 3:30 p.m. and the business to be brought before the meeting will be as follows;

1. To consider the Report of the Directors and the Statement of Accounts for the year ended 31st December 2024 with the Report of the Auditors thereon.
2. To elect Mr. Yudhishtan Kanagasabai who retires in terms of Article 29 (2) at the Annual General Meeting, a Director
3. To elect Mr. Rohan Muttiah who retires in terms of Article 29 (2) at the Annual General Meeting, a Director
4. To re-elect Mr. Ramal Githan Jasinghe who retires by rotation in terms of Article 31 (1) at the Annual General Meeting, a Director
5. To re-appoint M/s. Ernst & Young, Chartered Accountants as Auditors of the Company and to authorise the Directors to determine their remuneration.
6. To authorise the Directors to determine contributions to charities
7. To consider any other business of which due notice has been given

By order of the Board,



Richard Pieris Group Services (Private) Limited
Secretaries

30th May 2025

NOTES:

- a) A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote instead of him/her.
- b) A proxy need not be a member of the Company. The form of proxy will be found inserted in the Annual Report .

The completed form of proxy should be deposited at the registered office of the Company No. 310, High Level Road, Nawinna, Maharagama., not less than 48 hours before the time appointed for the holding of the meeting.

FORM OF PROXY

I/We* (in block letters) of
..... being
a member / members of the ARPICO INSURANCE PLC , hereby appoint
..... of
.....

whom failing BODIYABADUGE SHIRON ADRIAN PERERA GOONERATNE whom failing RAMAL GITHAN JASINGHE whom failing KELUM SENANAYAKE whom failing YUDHISHTRAN KANAGASABAI whom failing AINSLEY ROHAN MUTURAJAH MUTTIAH as my/our proxy to represent me/us and to vote on my/our behalf at the **13th ANNUAL GENERAL MEETING** of the Company to be held on 24th June 2025 and any adjournment thereof, and at every poll which may be taken in consequence thereof to vote:-

		In favour	Against
1.	To consider the Report of the Directors and the Statement of Accounts for the year ended 31st December 2024 with the Report of the Auditors thereon.	☐	☐
2.	To elect Mr. Yudhishtan Kanagasabai, who retires in terms of Article 29(2) at the Annual General Meeting, a Director	☐	☐
3.	To elect Mr. Rohan Muttiah, who retires in terms of Article 29(2) at the Annual General Meeting, a Director	☐	☐
4.	To re-elect Mr. Ramal Jasinghe, who retires by rotation in terms of Article 31 (1) at the Annual General Meeting, a Director	☐	☐
5.	To re-appoint M/s Ernst & Young, Chartered Accountants as Auditors of the Company and to authorise the Directors to determine their remuneration.	☐	☐
6.	To authorise the Directors to determine contributions to charities	☐	☐
7.	To consider any other business of which due notice has been given	☐	☐

Dated this day of 2025

.....
Signature of shareholder

NOTES:

- i. Please delete the inappropriate words.
- ii. A proxy need not be a member of the Company.
- iii. Instruction as to completion appear on the reverse of this form.

FORM OF PROXY

INSTRUCTIONS AS TO COMPLETION OF PROXY FORM

- To be valid, this Form of Proxy must be deposited at the Registered Office of the Company No. 310, High Level Road, Nawinna, Maharagama., not later than 3:30 p.m. on Sunday, 22nd June 2025
- In perfecting the Form of Proxy, please ensure that all details are legible.
- In the case of a Company/Corporation, the proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
- Please indicate with an 'X' in the space provided how your proxy is to vote on each resolution. If no indication is given the proxy at his/her discretion will vote as he/she thinks fit.
- This Form of Proxy shall in the case of an individual be signed by the appointor or his/her Attorney. Where the Form of Proxy is signed under a Power of Attorney, which has not been registered with the Company, the original Power of Attorney together with a photocopy of same or a copy certified by a Notary Public must be lodged with the Company, along with the Form of Proxy.

STAKEHOLDER FEEDBACK FORM

To request information or submit a comment/query to the Company, please complete the following and return this page to,

Richard Pieris Group Services (Pvt) Limited

No. 310, High Level Road,
Nawinna, Maharagama.
Sri Lanka.
Tel : 0114 310 500
Fax : 0114 310 777
E mail : enali.c@arpico.com

Name :

Permanent Mailing Address :

Contact Numbers (Tel) :

	Country Code	Area Code	Number
(Fax)	:		
Email	:		
Name of Company (If Applicable)	:		
Designation (If Applicable)	:		
Company Address (If Applicable)	:		
Comments/Queries	:		
	:		
	:		
	:		

CORPORATE INFORMATION

THE COMPANY

Arpico Insurance PLC

LEGAL FORM OF THE COMPANY

A limited liability company incorporated in Sri Lanka on 22nd June 2011, as a public limited liability company under the Companies Act No. 07 of 2007.

COMPANY REGISTRATION NO.

P B 4739 P Q

STOCK EXCHANGE LISTING

The shares of the Company are Listed on the Colombo Stock Exchange, Diri Savi Board

ACCOUNTING YEAR-END

December 31st

TAX PAYER IDENTIFICATION NUMBER (TIN)

134047399

REGISTERED OFFICE

Arpico Insurance PLC
No. 310, High Level Road, Nawinna, Maharagama.
Tel : 0114 310 500
Fax : 0114 310 777

CORPORATE OFFICE

Arpico Insurance PLC
No. 55/20, Vauxhall Lane, Colombo 02.
Tel : 0112 200 900
Fax : 0112 330 713

CHAIRMAN

Mr. Ramal Jasinghe

CHIEF EXECUTIVE OFFICER

Mr. Kelum Senanayake

BOARD OF DIRECTORS OF ARPICO INSURANCE PLC

Mr. Ramal Jasinghe - Chairman - Independent
Non-Executive Director
Mr. Shiron Gooneratne - Non-Executive Director
Mr. Kelum Senanayake - Chief Executive Officer /
Non-Independent Executive Director
Mr. Yudhishtan Kanagasabai - Independent
Non-Executive Director
Mr. Rohan Muttiah - Independent
Non-Executive Director

MANAGEMENT COMMITTEE

Mr. P. Vanojan - General Manager - Sales
Mrs. Sriyonie Mendis - Deputy General Manager -
Life Operations / Specified Officer
Mr. Nelushan Gunewardena - Head of Marketing
Mrs. Pavithra Peiris - Senior Manager - Conservation &
Customer Care
Mr. Niruksha Udagedara - Senior Manager Partnerships
Mr. S.H. Dulanjith Kaweesha - Financial Controller
Mrs. L. A. C. Priyanthi - Manager - Actuarial
Mrs. Sajee Kahaweedane - Manager - Sales Administration
Mr. Kithmal Godage - Risk and Compliance Officer
Mr. Chathura Jayaweera - Manager - IT
Mr. Nishabha Ranatunga - Assistant Manager -
Administration

SECRETARIES OF THE COMPANY

Richard Pieris Group Services (Pvt) Limited
No. 310, High Level Road, Nawinna, Maharagama.
Tel : 0114 310 500
Fax : 0114 310 777

AUDITORS TO THE COMPANY

Ernst & Young Chartered Accountants
P.O.Box 101, Colombo.
Tel : 0112 463 500
Fax : 0112 697 369

CONSULTANT ACTUARY

Actsure Lab (Pvt) Ltd

REINSURANCE PANEL

Munich Re India Branch

BANKERS TO THE COMPANY

National Development Bank PLC
Commercial Bank of Ceylon PLC
Union Bank of Colombo PLC
Seylan Bank PLC
Sampath Bank PLC
People's Bank
Pan Asia Banking Corporation PLC
Nations Trust Bank
Hatton National Bank PLC
DFCC Bank PLC
Bank of Ceylon
National Savings Bank
Regional Development Bank
Sanasa Development Bank PLC

FOR ANY CLARIFICATION IN THIS REGARD PLEASE WRITE TO;

Accountant
Yasas Chamara
No. 55/20, Vauxhall Lane, Colombo 02.
Tel : 0112 200 924
Email: yasas.c@arpicoinsurance.com

Designed & produced by

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ARPICO INSURANCE PLC

No: 55/20, Vauxhall Lane, Colombo 02.
0112200900-920
www.arpicoinsurance.com